# Hero MotoCorp Ltd. (HEROMOTOCO)

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# Call: Aug 2022

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Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2022
Dear Sirs,
Pursuant to the Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of earnings conference call for the quarter ended June 30, 2022.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
(Dhiraj Kapoor)
Company Secretary & Compliance Officer



"Hero MotoCorp Limited
Q1 FY23 Results Conference Call"

August 13, 2022

ANALYST : ASHUTOSH TIWARI - EQUIRUS SECURITIES

MANAGEMENT : NIRANJAN GUPTA – CHIEF FINANCIAL OFFICER
RANJIVJIT SINGH – CHIEF GROWTH OFFICER
SWADESH SRIVASTAVA - HEAD OF EMERGING MOBILITY BUSINESS UNIT
UMANG KHURANA – HEAD, INVESTOR RELATIONS & BUSINESS SUPPORT



Michelle : Good morning ladies and gentlemen and welcome to Hero MotoCorp Limited Q1 FY23 Earnings conference call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask que stions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference o ver to Mr. Ashutosh Tiwari from Equirus Securities, thank you and over to you sir.

Ashutosh Tiwari : Thank you . Michelle . Hi, good morning, everyone on behalf of Equirus Securities, I welcome all on the Q1 FY 23 Earnings call of Hero MotoCorp. I would like to thank the management for giving us the opportunity to host this call. Without further

ado, I would like to hand over the call to the Umang Khurana, who is the Head of Investor Relation s to introduce management participant, over to you Umang.
Umang Khurana : Thanks, Ashutosh. Thanks for hosting us. It's a pleasure to connect with all of you. And thank you everyone for sharing your weekend with us. As usual, we keep the call for an hour. Today, we have on the call with us, the CFO, Niranjan Gupta , also the Chief Growth Officer Ranjivjit Singh and Swadesh Srivastava , who is the Head of Emerging Mobility Business Unit. Thank you, everyone again for joining us. We'll begin with the CFO's comments and then start to take questions, over to you Niranjan.
Niranjan Gupta : Thanks Umang. So, welcome to our earnings call. And thanks for taking out time on Saturday. Q1 results as published yesterday, show sign ificant improvement sequentially on the top line, tracking the positive momentum in the industry coupled with gain in market share. We've been able to hold our EBITDA margins versus Q4, the preceding quarter and improving the same on year -on-year basis by around 180 basis points. This shows our focus on both growth as well as profitability as what we have been speaking many times. Parts Accessories & Merchandise business continues to do very well. We delivered INR 1,061 crores in the quarter at 12.6% of revenue. While focusing on building a robust portfolio in premium segment, we have also been doing premiumization of our existing models through Xtec variants, as you have seen through Splendor Xtec , Glamour Xtec , Passion Xtec and Destini Xtec . The demand for these variants is outstripping supplies as of now, as we ramp this up, it should help us in improving market share along with , of course , pricing realization and margins as well.
Let me now talk a bit about macro and micro economic factors and our outlook on industry. The global economy as we all know is facing h eadwinds of inflation and compulsion of central banks to raise interest rates to tame this, which obviously has an impact on growth. We do expect however, the rate increase cycle to stabilize in a quarter or so. Given all this context, while India is not delinked from global economy; however, it's relatively much better placed whether we look at the currency, whether we look at the interest rates, whether we look at multiple


other micro factors like the GST collection or the PMI index or the recently released IIP index. They are all indicators in the positive direction. Coupled with of course, in the short term as you can see, the normal monsoon as we are talking about and crop cycle. So , effectively, when you combine all of these and also combined the consuming base of India, with a lower per capita consumption, it means that the underlying medium term growth prospects are better than most of the countries.
The recent geopolitical issues while they do pose headwinds on one hand,

but
they also could bring inflows into the country because there are very few countries which are investment destination, like India, and so there are enough positives for us to rely on. We remain positive about the prospects of the economy in general and auto industry in particular. So with that, let me now hand it back for the Q&A.
Michelle : Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a qu estion may press star and one on your touchtone phone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen we will wait for a moment while the question to assemble.
Mr. Ashutosh Tiwari : Michelle, go on.
Michelle : Okay sir. The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.
Jinesh Gandhi : Hi, thanks for the opportunity. First question is on the demand environment : can you touch upon how demand is shaping up, especially in context of what we see in terms of the ground level retail trends and in light of our wholesale trends, July was a weak month, there is still undergoing inventory destocking or what it is?
Niranjan Gupta : Right Jinesh, as far as demand environment is concerned, you know, as we spoke about the industry and us, and it's also good to look at this sequentially given all the base effects of pandemic etc ., etc. Q1 has been better than Q4, as you have seen, the industry as well as us, in terms of the growth. In Q1 our retails are actually bet ter than wholesale.

That's the second point for you take and as far as Q2 is concerned the entire
industry, as you know, now we will build stock moving forward. Yeah, some of the
stock build up, you could say it is slower for us, it has been in July than expected
because in some of the variants , the chip impacted supply issues. But we are
confident that over August, September, we will build for our festive season. So
underlying as far as demand is concerned, it is now with the onset of festive,
everybody is looking forward to the festive season to get an indicator.
So, as of now, I would say that the momentum is right. And in the right direction,
with all the consumption spending, which is happening. Of course, a month here


and there could always swing when you get more purchases in a quarte r and
therefore a month becomes a little soft. So, we are not really concerned about
that, Jinesh.
Jinesh Gandhi : Sure , and the chip shortage is primarily for the Xtec variants ?
Niranjan Gupta : Absolutely. As you know, we launched 4 Xtec variants : Glamour, Passion,
Splendor, and Destini as well. And the good thing right away is that while on the
one side, we have the inflation story across the country and globally. But on the
other side, what we are seeing is the moment you launch a premium variant, and
all these X tec variants are at 7 to 10% higher price, the demand for these variants
is far more than what we anticipated, as a ratio. So clearly, it means that the
consumers are willing t o spend, they need to have a reason to spend.
Jinesh Gandhi : Got it. And second question pertains to the iron cost inflation in this quarter. So
on the reported basis, there ’s substantial QoQ impact . But I guess there is some
inventory related change impact which is there. But adjusted for that there was
about 150 basis from Q oQ increas e in iron-ore costs. So can you talk about what is
actually commodity costs inflation, which we saw in this quarter and the price
increases taken in Q1 and Q2 so far ? Thanks.
Niranjan Gupta : Yeah, Jinesh. So, I talked about the cost inflation first, and you are right to pick
that up. As you know, given our pipe line of supplies, the impact of any cost tak

es
a quarter to manifest. And therefore, if you look at it across the commodities of
Q4 in terms of the market index, that is the spike we saw. And then thereafter, of
course, now we have seen of late a bit of softening in aluminum and steel. All of
these will get reflected in quarters as we move forward. And therefore, we do
feel that the overall balance of the commodity basket seems to have peeked off
and therefore moving forward stabilization or maybe even coming down
depending on when all the rate increase cycles have an impact should be auguring
well. As far as price increase is concerned, we took from first April arou nd INR 850
ex-showroom , on first July we have taken around INR 1,200 rupees ex-showroom ,
which will of course get reflected in the Q2 and the coming quarters as you see.
And, of course in the last few quarters, maybe 6-7 quarters we have also been
saying is that the price increases have lagged the cost inflation and rightly so .,You
want to balance both growth and profitability, but moving forward as the
commodity pool stabilizes t hen we'll have options and the opportunity to move
the prices ahead of the cost and therefore, as an industry and opportunity to
actually recover some of the lost margins.
Jinesh Gandhi : Got it. Just to clarify the iron ore cost under recovery post July price increase will
be broadly taken care o f giving the current commodity prices or there are still
under recovery?
Niranjan Gupta : So, there are still a bit under recovery, which needs to be recovered. As you
know, our margins are at 11.2%. And therefore, at some stage, this needs to


come back to around 14% at least, and therefore there will be some recoveries to
be made for sure.
Jinesh Gandhi : Got it. Thank you.
Michelle : Thank you. I request to all the participants to limit your questions to two per
participant. Should you have a follow up question, please rejoin the queue.
Thank you. The next question is on the line of Kumar Rakesh from BNP Paribas,

please go ahead.
Kumar Rakesh : Hi team , good morning. And thank you for taking my question. My first question was around your employee headcount. So over the last nine years production, or volume has d eclined by about 20%. But our employee headcount has increased by close to 50%. And within that last part of it is temporary employees, so more than 70% of our employees are temporary employees. want you to understand why are we keeping such higher number of employees , especially temporary employees?
Niranjan Gupta : Right, so a couple of things. I think, number one is, in our industry, we don't move up or down the employee headcount with the volume and we have seen, when you said the production or the volumes have come down over X number of years. A large part of that is manifestation of the pandemic. If you look aside before pandemic, right, and give us earlier side of BSVI we were doing around 8 million of volumes, right? Pretty much there. So you don't actually take up or take down the employees based on that. And as we all know, pandemic was not just an economic crisis, more than that it was a humanitarian crisis. And w e at Hero, we do believe in taking care of the employees, and therefore having them with us; so we did not fire anyone. We in fact, ensure that even contractors and casuals, they also actually get their rightful pay. The solution is to increase the top l ine, and which is what we are focused on rather than just adjusting the employee . We've been , of course judicious , as far as our employee headcount are concerned. There are certain places that we are scaling it up, like growth priorities or globa l business, whether it is, you talk about the EV space, so there are spaces where the headcount will go up and we will be judicious in all that . But, I think the solution to all o

f this, to get the right ratios is to increase the top line which is what w e'll be focusing on top line as well as the mix, which is where we are focusing on building our premium portfolio and premiumization of our variants as well.
Kumar Rakesh : And the high temporary employee base should ideally would have given us the flexibility to maneuver inside out headcount based on how the production and demand environment has been and this trend is something which even before COVID impact is something whe re you’re in higher headcount, despite the volume coming down around BSIV -BSVI transition. Anyway, I will follow up on that later. So, on the Hero FinCorp business . So last fiscal year Hero FinCorp credit cost was about 7% is what I estimate, based on numbers disclosed. We have gone for


another round of funding in the business this quarter. But that 7% credit cost for a business because a yield of about 14% -15% doesn't look sustainable. So while going for investment in this round have we set any target to lower these high credit costs or we are okay with these numbers?
Niranjan Gupta : There is a target for the funding round. There is a target for growth at the A UM level. And as we all know that the finance penetration, the scope for growth of NBFC is huge. And as growth comes back FinCorp will have its opportunity to grow the asset base. So that's where the amount will get invested in. As far as credit cost i s concerned, I won’t say we are comfortable with that credit cost. I think FinCorp team is working on bringing back down from let's say 7% -7.5% to probably 5% -5.5%. So that's the endeavor to bring down over the next 4-6 quarters, so that the ROA and the ROE improve s, moving forward over the next 6 quarters.
Kumar Rakesh : Thanks a lot for taking my question.
Michelle : Thank you.
Kumar Rakesh : You’re welcome.
Michelle : The next question is from the line of Kapil Singh from Nomura Group. Please go ahead.
Kapil Singh : Good morning. My question is more on the sub -segments, if you could talk about the growth that we are expecting for scooters and exports, because these segments have also seen some kind of decline for last few months. And similarly for the retail sales a lso, they have declined in last one or two months. So, are there any factors which are impeding the recovery? And also EV from which month should we expect that the sales will start?
Niranjan Gupta : Hi Kapil, good morning. And I see that there is a restriction of two questions , in one question you have combined fo ur. But we will answer each of these.

Let me take up the exports first. And then thereafter, I pass on to Ranjivjit to answer on the scooter and the retail sales. And then I pass on to Swadesh for EV. As far as exports is concerned, we all know that a lot many countries globally are facing the impact of the inflation, currency etc. And mostly because our sales are in emerging m arkets. And these markets are facing whether it's Bangladesh, Nepal, Sri Lanka, Nigeria, Colombia, and all of those are facing now , we expect that to be a short term . Therefore, you'll see exports is having a softer quarter . But we do expect in the second half to move up. I think more importantly for us is to continue building scale, building the right product and get to the right percentage o f revenue in our portfolio from the global business.




Let me at this stage hand it over to Ranjivjit to answer on the scooter market share and what we are doing to address that. And also on the retail sales, general trend. Ranjivjit if you're there can you just address this?
Ranjivjit Singh : Yeah, sure. My pleasure to do so. Hi everyone Ranjivjit here. The scooter business was actually very interesting for us in Q1, we launche

d the Destini 125
Xtec . Xtec is really extra technology with the LED headlamp and with Bluetooth connectivity, it's really become a hit favorite amongst people and consumers are loving it. There's a new campaign that's out there, getting a lot of good reviews, the product is doing extremely we ll in terms of all its variants. So the 125 cc segment, we really serve very well in the market and continues to become even stronger play for us. Going forward, we're going to see some more action in the 110cc as well. Some groundbreaking innovation t hat I'm very personally excited about. We'll be bringing some new stuff in this quarter at time for festival season. I would say July is a time of transition. It's time for rejuvenation of the portfolio. And as you see July, August, September, over the quarter the whole portfolio is gonna get far more consolidated. And the results will be something that we will be happy to share in our next discussion.
Niranjan Gupta : Thanks, Ranjivjit. Let me hand it over to Swadesh, if you can just update on our EV.
Swadesh Srivastava : Thank you. Hello Kapil. Good morning. We are actually quite excited to be getting very close to our launch. We announced sometime back that we'll be launching our EV product and overall ecosystem in the festive , which is going to happen sometim e soon. And, on that day, we're also going to be announcing the dates for dispatches across the launch cities which we have in mind. So just a matter of few weeks.
Kapil Singh : Thank you team for the very detailed answer. Thanks.
Michelle : Thank you. The next question is from the line of Pramod Kumar from UBS group, please go ahead.
Pramod Kumar : Yeah . Thanks a lot for the opportunity. My first question is on the margin front, Niranjan, as with commodity prices easing now. And the expected volume recovery was the way you are looking at it , is it fair to assume that we should see the margin levels improving meaningfully from the current level because the recent quarter margin is definitely not what something Hero historically has had? I would see that as a one off so, so how should one look at the margin trajectory for the remainder of the fiscal and also for next fiscal?
Niranjan Gupta : Right Pramod. Good morning. Absolutely , Pramod as I mentioned earlier as well as the positive impact of the commodity basket cooling off ha ppens. It ensures that moving forward, we have more opportunities for pricing to go ahead of the cost, rather than what it has been for the last 4-6 quarters. And second thing is as




the volume picks up and market share picks up, then obviousl y, we should have the operating leverage. I think a combination of both these factors should, there is no reason to actually doubt that the margin should not improve. I think the combination of both these factors should help our margins to improve. How fast and how rapid we are able to accelerate or should we deploy part of that back into growth, etc ., etc. That's something that we continue to take call from quarter to quarter. But ye s, trajectory wise, I think all factor s augur well for improvement of margin from here on.

Pramod Kumar : Thanks Niranjan for that. The second question is on the demand side, because you had a great marriage season, at the end of season especially for you. And after that however demand has cooled off. Th ere are seasonal factors regular cooled off this quarter . And now the worry is that the majority of the UP, Bihar and a big chunk of Madhya Pradesh are deficient to very large deficient rainfall. And we are probably app roaching the end of the monsoon in the next couple of weeks. So could there be any implication on the festive season demand? Because these are pretty large markets? Pretty large commuter market especially . So, how are you as a company tack

ling that and , to Ranjivjit, in terms of how you look at the inventory ? Because those are pretty big markets for you, and pretty significant markets for the entire industry. So will there be somewhat of a moderation on your inventory approach going into the season, because rainfall does affect sentiment, you are seeing some of it already impacted already. So if we can just help us understand that part?

Niranjan Gupta : Let me start and I will hand it over to Ranjivjit. Ranjivjit give me probably a couple of minutes, I will just start off. So , first Pramod as you have yourself rightly said, is that marriage season was a good season. Now what that indicates is that the moment you have an event or a season or you know a general reason to actually buy then people are coming and buying and of course, the current cool off is a seasonal cool off that always happens. Moving forward, we have no reason to believe for festive not to be strong. Yes, there is some deficient rainfall. But honestly speaking, the income line in the rural India is augmented by the crop cycle, the crop production, if you look at it, if you look at the incomes, even the pattern of the consumption spending that is happening, the indicators are positive. And even if you look at the consumer confidence, I mean, that is at its highest post pandemic right now, as you know . All the indicators are giving us strong reasons to believe that there is no reason to prune down on our plans of festive inventory buildup. Ranjivjit can you just add on this, over to you?

Ranjivjit Singh : Yes, in fact, I was going to say that, at this time, the Q1 was much anticipated by the industry and more so by the consumers of Hero , there was pent up demand, the marriage dates are fabulous in terms of April and May a concentration that really got us to a great start . Obviously , as the marriage dates start whittling down the demand changes, but that is not new. We are all experienced in this industry. We know the consumer buying cycles, July is when the onset of the monsoons



happen, there will be a chang e in that and then we have to prepare for the festive season. There are some areas which have deficient rainfall, there are some which have a lot more rainfall than expected. It is really a balance. And I think, the dealers understand that from a n anticipation of the festival season. It is very clear that you know, it is looking like a double digit growth for us. There is unemployment reduction in the rural area, we think that rural will pick up even better for this festival seas on.

Urban has already picked up much better as we saw in Q1, so that that will sustain, but there is a change in the buying season of course between Q1 and Q2 and then there is a preparation for that. As far as the inventory is concerned, the inventory typically is something , like Niranjan already mentioned, that our retai ls were ahead of our dispatches. And therefore, there is an opportunity for us to make sure that there is enough inventory for the festival season, because at that time, we just have the right mix, the right models, the right numbers, so that we can satisfy the consumer demand. So absolutely, we are very go od on the festival season.

Pramod Kumar : Thanks for clarification. What will be our inventory level, at this point of time and what is the target and another thing is like if you can help us understand how big is UP, Bihar and Madhya Pradesh for you as a company, in terms of your total exposure. Thank you.

Ranjivjit Singh : Yeah, so our inventory levels are typically between the six to eight weeks kind of range, depending on the mo nth. And that's what in the end of June, it came down to about 6-7. We will be building it up as we go along. 20% is about the concentration that we get up the bigger markets. And these are the big

ger
markets, and they will continue to be so.
Pramod Kumar : Thanks a lot and wish you all the best. Thank you.
Michelle : The next question is from the line of Pramod Amthe from InCred Capital, please go ahead.
Pramod Amthe : Hi. Thanks for taking the question. With regard to the regulatory environment, I wanted to know your input on the real driving emission norms, especially the RDE2 which is expected to come in March. What is the technical changes required? One the cost implication and how are you beefing up the supply chain? Second added to the same question is even government is trying to prepone the RDE3 to the RDE2 deadline of March '23. So then, in that case, what is the type of further cost escalation required ? And how are you preparing for the same ? Which basket you feel that it is at once? Or do you feel you remain back in?
Niranjan Gupta : I think you're referring to what we call it OBD2, which is a regulatory change that you are saying. It d oesn't change the emission by the way, it is just an emission tracking. It is an onboard diagnostics. So the emission is the BS6, which is




implemented from first April 2020, which actually reduces vehicle emissions on many of the counts by almo st 90%. This is onboard diagnostics, which is not something which changes actually emission. There is already a plan in place , our products are ready for that that. The cost impact are not significant and as an industry also will be transi tioning , and this is a smooth transition. This is like any other smaller regulatory change that happens.
Pramod Amthe : And do you feel RDE3 or the OBD3 will come in and will that distort as compared to the initial plan of separating them both together?
Niranjan Gupta : No, it won't.
Pramod : Thank you.
Michelle : Thank you. The next question is from the line of Chirag Shah from Edelweiss Securities, please go ahead.
Chirag Shah : Thanks for the opportunity. My first question is on Ather Capital infusion when it happened. If you can help us understand what is the incremental stake in this round of capital infusion that we did and what is our effective stake now in Ather ?
Niranjan Gupta : Hi Chirag, our effective stake in Ather, after accounting for the dilution the net is around 35%.
Chirag Shah : 35%, so it has gone down from 38% to 35%, right?
Niranjan Gupta : No, 38% was before the accounting for dilution , you know the way you report is that you don't account for the future potential dilution, right? So that has not gone down. It stayed broadly the same. And if you account for the net dilution, then of course it is 35%, right. But on a gross basis, if you look at the current cap table, it is more than 38%.
Chirag Shah : Okay, like to like it is constant.
Niranjan Gupta : Yeah, slightly up.
Chirag Shah : Slightly up, okay. So that is one thing.
Sir, second question was just a follow up on the demand side. I have a slightly different and broader question that last two-three years we have seen a very significant price rise anywhere between 25 to 35% depending upon model. Do you think consumer have absorbed the price hike? Are their income levels in place to absorb the price hikes? Or there is still some time for them to completely absorb it given the way their income levels have played out over last 12 months? If you can shed some light? What are you reading the ground level on this part ? Are they still hesitant to come and buy the product in general at industry level ?
Niranjan Gupta : Right Chirag let me start and then I'll ask Ranjiv to add on this. One is your right obviously, the auto industry has seen significant increase on account of costs, not




on account of margin expansions of the industry. I n fact , the industry has been
v

ery, very sensible in trying to absorb some of the margin hits so that the customers, the push on to the customer is minimized as much as possible. Now, in terms of the absorption, you know, it is not a sort of one simple story. Now, if you see what is happening to the premium variants, when we are launching Splendor Xtec , when we are launching Passion Xtec or Glamour, Xtec , or any of these things, these are all priced at 7 to 10 %, more than the base variant, of a base model, which is there in that same segment to the same set of buyers. And we can see far increasing demand of those variants, which are premium variants than what we had anticipated. So , really speaking, it is not about the consumer in general is hesitating to buy more expensive products, it is more about that, how do you make the consumer buy those products or the promise of the product and the consumers are willing to spend.

The second thing is, of course, financing is coming to help. As you know that finance penetration has increased over the last three years, the same period that we talked about, it used to be around 35%, if I remember, right, three years back and 35 to 40%, it is now well above 50% . That helps because in spreading off the EMIs and helping it out. Having said that, obviously there will be certain set of consumers, which do feel the pinch of that, and therefore they become hesitant, but it is not all classes in general. And like Ranjivjit has talked about even with the employment in rural and other segments, bottom of the pyramid increasing and with hospitality industry also coming back in full swing, which actually has a large scale employment in a semi -urban areas as well, that would augur well from the income perspective as well even for that strata of the of the segment. Now let me hand it over to Ranjivjit to amplify. Ranjivjit , over to you.

Ranj ivjit Singh : Yeah, thanks Niranjan. Pricing, obviously, you know, for our segments is something now it is over a time that our consumers, they know that pricing is going up, it is an inflationary market. Of course, it is understood. The financing that we're trying to do is really to help even the bottom of the pyramid to participate in personal mobility. And so there are some really interesting things which are being done in terms of direct cash collection. For those who d on't have bank accounts or not very familiar with banking, they have , you know, a more convenient way of paying their installments on a weekly basis or on a more frequent than a monthly basis also, as they earn, they can pay that off. That has created a huge new set of financial inclusion into the consuming class. And I think Hero is leading the way for that. So that is at the bottom of the pyramid. But the phenomenon of premiumization is also happening, because the o ther corollary to this is people are looking for more value. When they are making the purchase decision, they want to see a better product. They are going in for the Xtec version or the higher version. In fact, our premium versions are often 50 to 70% of the portfolio mix. And that is the trend that is coming through. It is a very interesting dynamic that, you know, you have financial inclusion at one end, and



premiumization at the other. And so, this is what the economy is currently, I guess, making people think about their purchase decisions.

Chirag Shah : Okay, thank you very much, and all the best.

Michelle : Thank you. The next question is from the line of Joseph George f rom IIFL Securities Limited. Please go ahead.

Joseph George : Hi, thank you for the opportunity. Just one question. So when we look at the commentaries coming in from different OEMs in relation to input cost pressures in 2Q, we have had a mix bag. Some companies have said that there is further QoQ input cost pressure in 2Q compared to 1Q and

there are some companies have said that 2Q will see easing of input cost pressure. What is the way you see it, which side are you on?

Niranjan Gupta : I won't pick a side. What happens Joseph , is different companies different OEMs may actually have different way of absorbing the cost. In some case you take, you know, after a quarter in some cases, you may have arrangeme nts with your suppliers where you do in quarter. Which is why you will see that disparity of, you know, few months here and there. Because underlying the impact on the trend is not very different from an OEM to OEM, it is a question of them couple of months here and there that you could have an impact. If you look at the commodity basket itself, the commodity basket, aluminum and steel have softened. Now that softening of that impact is likely to come in 2Q, maybe some part of it may come in 3Q, depending on where and what your mechanism for the settlement is. Crude continues to stay high, and therefore, that is something that , though in a trend

you can see a bit of softening, but softening from a hi gher levels. So that can be a bit of a joker in the pack and we will have to just see how it actually pans out. And that is also not because of any demand supply issues. As you know, the crude is behaving more from a geopolitical issue , where there are artificial supply constraints based on geopolitical compulsions. And then the last thing in this pack is the currency. And the currency, you know we saw Fed hikes, and the Fed hikes also led to currency depreciation in most of the emerging markets . The Rupee has behaved much better relatively, if you look at the currency, the central bank, and the government, I think they are doing a great job in actually managing inflation rates and currency in combination. If the currency stabilizes around the current level, where it is, then there is no reason why the commodity basket softening impact should come quicker than expected. That will have to just pan out, I mean, honestly, a quarter here or a quarter there does not make a big difference in the overall trend line of the economy.
But, as we said, I mean, life is uncertain. It is very dynamic, we will have to continue to navigate. Nobody has been able to forecast any of the commodities accura tely, whether in the past current or maybe in the future. And I have said so many times, but this is what the current indicators are. And as a company , as


OEMs , as industry, as economy , as country we will have to continue navigating, whatever un certainty or the surprises that come along our way.
Joseph George : To continue with that, we are already mid 2Q right, we are mid-August now. So I think guessing you have a good sense of whether you will see incremental RM and overhead pressure in 2Q compared to 1Q or we have seen worse in 1Q and we will have a good trend?
Niranjan Gupta : So Joseph, I will stay away from a very specific Q2 or a mid Q2 guidance. But I think overall, I believe that you would have got a sense from what we are saying. And let's wait and watch how it moves forward.
Joseph George : Alright, thank you.
Michelle : The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora : Hello all, thank you for taking my question. Sir, on the first thing on the replacement demand side, so can you just give us some indication? Like, what was the replacement mix for the industry, let us say pre-covid and now how it's shaping up over the last few months, is it improving or it continues to remain at lower levels?
Ranjivjit Singh : So the replacement demand is something that is coming back. We have seen that in Q1, we are also playing a role as a market leader. We recently launched the Wheels of Trust, which is basically a consumer just needs to, you know, through a QR code, go t

o the site do a self evaluation of any brand of two wheelers that they currently own. And they can get an evaluation and the you know that prompts them to exchange their product. But broadly is in the region of 15 to 18% is the replacement demand. It stays in that region, depending on the kind of segments that we are also talking about, not too much of a shift as yet. If you look at it from 2017, 18, 19 kind of time frame to now, thanks to the pandemic and a little bit of cautiousness there, but it is in the region of 15 to 18% is broadly what we look at and it is very difficult to forecast this kind of a thing on a short term basis.
But what we can do is stimulate the market and make it very interesting for them to bring in instead of, you know, going on prolonging that decision, we encourage people t o at least see what else there is in the market and what value they can get for the existing vehicles. And so we are doing that with the Wheels of Trust, we also have some new stores, which are called Hero Sure , which are into the refurbished secondhand vehicles. And we bring them, you know, to those stores or consumers to those stores, from multi brands. And I think they are having an excellent experience there. The whole message, you know, is don't pos tpone, this is a good time to buy. I think that's something that can't go wrong.
Rishi Vora : And what would be this number pre-pandemic closer to 30%?

Ranjiv jit Singh : No, it wasn't, you know, in that region, I think there is a couple of points around
20 odd. But it doesn't fluctuate that much. And what we want to do is to, you
know, take it back to about 20 to 24%.
Rishi Vora : And the second question on the spares bit. Now, we have seen our sequent ial
drop in spares revenue, it's just seasonality, or there are other factors that have
led to decline.
Niranjan Gupta : It is mostly seasonality only because if you look at you know, overall, Q4 is always
a big quarter that happe ns on the part , accessories and merchandise.
Fundamentally , we continue to the above INR 1,000 crores. So Q1 is INR 1,061
crores at 12.6% of revenue. If you remember a couple of years back, it used to be
well around 10 %, or less than 10% of revenue. So I t hink trajectory is good. In
terms of moving forward. So that's more a seasonal thing as moving forward, we
do expect our PAM business to register healthy growth in fiscal year 23. Ranjivjit
would you like to add on our PAM business?
Ranjivjit : Yeah, it's always a, pleasure to talk about this business, because there are some
fundamental and structural changes that we are bringing in and strengthening
that, you know, it's a very interesting model of distribution. So that the consumers
have the par ts available wherever they need them. It is a far more distributed
model, in terms of the number of retailers, which have now become 40,000. And
that's up from 39,000 that we had in FY 22. The past distributors also we've taken
up to 315+. Overall , you know, selling to more , selling more to each and making
sure that we also keep refreshing our portfolio. We got into the oil business, and
that is also growing well. I think we have got pretty good progress coming in from
this busi ness . So that is broadly what I wanted to say.
Rishi Vora : Thank you. Thank you so much for taking my questions.
Michelle : Thank you. The next question is from the line of Arvind Sharma from Citigroup.
Please go ahead.
Arvind Sharma : Good morning and thank you for taking my question. Just one question on the
quarters specifically, this data decline in the average realizations quarter on
quarter. Is it because the mix or anything that you would want to indicate as a
reason for this?
Niranjan Gupta : Arvind that 's because of the parts business , which is there , as you saw the parts as
you know, for two wheeler if you d

ivide it that way, then the parts sequentially Q4
to Q1 has come down.
And the second , is our other operating income that has come down. In Q4, the
other operating income was at 186 crores and in Q1 it is at 109 crores. Part of that
is a Q4 - Q1 issue and part of it is because Neemrana fiscal benefit expired in Q4
FY22. That is why it has come down , underlying if you look at excluding these , the
two wheeler ASP that has gone up by around INR 800 per vehicle from around INR




51,200 to INR 51,900 or around INR 52,000 this quarter. This is on the back of the
INR 870 increase that we took in ex-showroom price on 1st April and a bit of a
better mix impact resulting in the net and as I said last July we have taken a INR
1,250 ex-showroom price increase in Q2.
Arvind Sharma : Thank you so much. And one thing you already told about the staff perspect ive, a
little bit more on that. There is a very sharp increase quarter on quarter staff cost.
Is it the run rate that would sustain towards the year , is it a one off for the 1st
quarter and then one should expect it to probably go down a bit.
Niranjan Gupta : The increases, also an account of the increments as you know, across the industry,
the increments have been higher than previous years. And therefore you see that
impact built in, into our employee costs. Some bit of it also hap pens because of
the variable pay and the bonuses, that gets paid out. And so as we move forward,
some part of it can get moderated. But , by and large it is the increment and some
bit of headcount increases that have happened.
Arvind Sharma : Thank you so much for taking the questions. And that is all from my side.
Michelle : Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal
Financial Services. Please go ahead.
Jinesh Gandhi : Just a clarification on the other income. Can you quantify the MTM loss which
resulted in lower other income and also what could be the duration of a treasury
book now?

Niranjan Gupta : The other income had two types of MTM impact that we had. One, we carry the
FMP but we actually do mark to mark on the FMPs , which are held to maturity.
And the second is, as you know, we made strategic investment in Gogoro of $15
million a few months back and as temporarily the pric es have come off on the
stock. We have provided for that so put together that around INR 60 Crore , so 35
on account of the FMP MTM and 25 on account of the Gogoro MTM . That is what
is built in into our other income.
As you know, most of the treasuries of banks and corporate everyone have
reported the MTM losses on account of the hardening yields that have happened.
That is what ha s happened as far as the other income is concerned.
Sorry, was there another question on this?
Jinesh Gandhi : What was the duration of the book?
Niranjan Gupta : We have actually moved to the shorter duration and which is why actually our
impact is less pronounced. In fact, you know, our duration is less than one and a
half years on our bond side.
Jinesh Gandhi : Okay, okay. Got it. Thanks.


Michell e: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital
Markets Pvt Ltd. Please go ahead
Jyoti Singh : Yeah, thank you for the opportunity. And so my question is on the EV side. As we
are seeing more people on the EV trend as everyone rushing to launch EV so why
we are delaying it.
Swadesh S rivastava : Hello. Good morning. Yeah. So, you're right. There is a lot of excitement in the EV
world. And we are happy to see that consumers are becoming more aware and
more interested in EV. And coming from Hero, which is known to be the reliable
high quality product OEM, we are getting ready to launch our best offering in the
festive .
And, you know,

it is im portant that we don't rush to the market in a frenzy, and
make sure that all customer experiences and expectations are met, whether it is
from the product or the ecosystem, or anything new, which we are doing actually
from the connected side. Rest assured all of this is in place and will be coming out
soon in the festive to cater to the customers.
Jyoti Singh : Okay, thank you.
Michelle : Thank you. Our next question is from the line of Chirag Shah from Edelweiss
Securities. P lease go ahead.
Chirag Shah : Yes, thanks for the opportunity. Just a follow up on Ather , is it possible to indicate
what is the value of your investment because is there need to do any revaluation
of that investment in Ather at an annual basis or in some other form.
Niranjan Gupta : I won't be able to answer your question, but let me let me at least give to you ,
first of all, we account for these investments at book value and the value that is
invested. That is our accounting policy. Of course if there is an impairment that we
see, then we take that also, that is the conservative accounting principle that we
have been following. Now, in terms of what the market value of these
investments are, I think Chirag you and the fraternity will be in a better position to
actually assess that, given that Ather is doing pretty well. They have a large open
orders to be serviced, their brand has been receiving excellent traction, they have
launched another variant. Their customer feedback is excellent. I think most of
the indicators of the long term value creation are in the right direction. And of
course, I would say that, you know, you and the team are better placed to see
wha t should be the market valuation, but from our books point of view, we will
continue to account at the book value.
Chirag Shah : At the conso l results, there is a loss on share of associate. Would right to presume
it largely pertains to Ather or there is a split between Ather and Hero FinCorp ?
Niranjan Gupta : Yeah, it is entirely Ather , Chirag. In fact, FinCorp for the quarter has turned out
profit of around INR 100 crores. We know that last year they had losses, but they


have turned around on the profit and we do expect those profits to keep on

increasing. The loss is entirely Ather . We don't expect any losses from FinCorp
even moving forward , profit should keep on increasing but Ather as far as you
know, in EV it is cash burn for some period of time to come that will continue to
see that kind of trajectory there.
Chirag Shah : So INR 100 crore is FinCorp profit right. We will account for our share accordingly.
Niranjan Gupta : Yes, absolutely. Right. So we have got around 40% so that is what will account. I
think we are getting down to what is the exact spirit. But now you can work that
out without me telling you but you are absolutely right.
Chirag Shah : Thank you very much
Michelle : Thank you. The next question is from the line of Ronak Sarda from Systematics
group. Please go ahead.
Ronak Sarda : Hi, thanks for the opportunity. Niranjan a question on the other expenses. If I look
at the expenses in the quarter, it is one of the lowest which we have in a June
quarter. So can you help us understand? Despite the inflationary concern s, how
are we able to keep this under control?
Niranjan Gupta : So Ronak, other expenses, obviously a quarter is you know, not the right way to
actually look at it. But of course, we have been exercising all the cost tightening
measures, when we see certain inflation going up on materials or other things and
we tighten our belts on the other parts of it. But I think it is much better to look at
an annual basis , that look whatever was the annual last year and then you
account for certain inflation, certain savings that is the best way to actually look
for in terms of the other

expenses trajectory.
Ronak Sarda : Okay. Got it. And second clarificat ion are one of the comments you made that one
of the plan ts, in the Neemrana plant has the benefits have concluded there? Did I
hear that correctly?
Niranjan Gupta : Yes, the benefits included in Q4 FY '22, because it was for a period and the subsidy
period actually ended in Q4 of FY '22. Now we have incentives which are there in
Gujarat, which is our Halol plant and Chittoor which is where also, we are going to
start EV production as well.
Now as Chittoor and thes e you know the requirements the local requirement
ramp up, so then we will see the fiscal benefits of these two units, especially
Chittoor actually going up moving forward. But yeah, for now, that Neemrana
fiscal benefit have completed its turn of the ince ntive that we had
Ronak Sarda : Got it. So, we might see some production realignment now based on the fiscal
incentives


Niranjan Gupta : Naturally and logically, absolutely. And that would then logically moving forward
shou ld also help. You know why , there is one story of Neemrana fiscal benefits
going out. And obviously there is some realignment that can happen in the
manufacturing plants that can also positively actually benefit our logistics costs.
Because as incentive goes out and then you actually spread. That doesn't become
incentive doesn't remain the reason for actually mov ing it to North then as you
move to South . Then you can have some benefit on logistics costs as well.
Ronak Sarda : Thank you and all the best for the festive season and launch.
Michelle : Thank you. The next question i s from the line of Sourabh. Please go ahead.
Sourabh : Hi, sir. Most of my questions have been answered just if you could shed some
light on the Hero MotoCorp FinCorp business just some AUM numbers , gross NPA,
GNPA and net NPA numbers, that would be great. And how is the profitability
good to be expected going forward
Niranjan Gupta : Look at FinCorp is an associate entity. So I will be constrained by what I can share
in terms of the numbers. As I alre ady shared FinCorp , the asset under
management is growing, they are looking good in terms of the growth for the next
two years, they are well capitalized, their GNPA ratio that I talked about is around
7.5-7.7%, which they intend to bring it down over the next six to eight quarters. So
I think that's what I can say other than that, I can actually add a color that our
financing, as a percentage of our retail is about 50% and FinCorp share in that is
close to around 35 - 36%. I think that's the color I can provide. You can of course,
offline also connect with Umang in case he is able to provide anything else
Sourabh : Understood. And secondly, on the demand side, just want to know so that now
we've s een that COVID effect is almost subsided, schools and colleges have
reopened work from office also started. And we at Hero MotoCorp are slightly

relatively less affected by chip shortages being in the entry segment. Do we see you know the levels o f 2018 -19 in the current financial year or in the next financial year? Would that be a possibility?

Niran jan Gupta : So Sourabh you should have asked this question before Pramod asked, then I would have answered in exactly the points that you mentioned. That was a lighter note . But yes, there are a lot of positive factors. Look exactly the ones that you have spelled out. And there are, of course, the headwinds, you know, like Pramod is also talking about which is a monsoon, or so me rainfall in some pockets, you know, some rural, etc ., etc. So this is a play of the headwind versus the tailwind that we have. And that is the balance that one expects, and which is where we are expecting the festive to be good, and then we will have to take on from there. But the underlying factors of two wheeler de

mand, they remain very strong and very intact. I mean, one have to move away from months or some of the quarters, if you look at the underlying demand, I mean, whether you look a t more women in education and employment, whether you look at the aspirations of young people,



whether you look at personal mobility, whether you look at you know, the finance penetration, or our penetration overall vis -a -vis some of the Southeast Asian countries.

I think overall, if you look at it, the long term factors of demand of two wheelers remain very strong. And it is only a question of how fast they manifest back, coming out from the pandemic and the recovery, and which is that is what will determine how fast we are able to get back to the highest level that the industry has seen.

Ranjivjit Singh : Yeah, I just wanted to add, you know, just some very interesting stuff, I'm sure you' ll enjoy this when I say it. That there are a number of towns now that in premium talking about demand and you know outlook, that actually have a market share in premium to be over 10% and that big town like Bangalore, Coimbatore, Cochin, Allahabad even Az amgarh and Bareilly that our market share in premium has increased to over 10%.

Now, you are saying that, you know, things are becoming a little bit normal. So what are we doing about that, and we have just announced the biggest Hero dirt biking challenge. And that is going across 45 cities. In fact, today is when the city trials start, and in November, we'll have the nationals. And Bani , who is you know, famous for the Roadies and our Her o motorsports people, they will be the judges , the mentors. There is already 100,000 people who registered and we had to close that down. When we opened up bookings for our X -Pulse rally edition, in four days we had to close it down because we sold out all of it. So there is that positivity. And I think a lot of great questions came in the call where, you know, there may be stress at one segment but there is a lot of buoyancy also and need for that, you know, moving out and moving on. And th at way we are absolutely experiencing in our portfolio with our consumers and with our dealers. And that's a great run up to the festival season that we see.

Umang Khurana : Thanks Ashutosh, thanks everyone for coming on the call . We’ve run out of time. Thank you again for sharing your weekend with us. Happy Independence day everyone in advance. And look forward to keeping connected. Thank you.

Michelle : Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Nov 2022

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November 10, 2022

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Sub: Transcript of Earnings Conference Call for the quarter and half year ended September 30, 2022

Dear Sirs,

Pursuant to the Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of earnings conference call for the quarter and half year ended September 30, 2022.

This is for your information and further dissemination.

Thanking you,

For Hero MotoCorp Limited

(Dhiraj Kapoor)
Company Secretary & Compliance Officer


"Hero Moto Corp Limited
Q2 FY23 Earnings Conference Call "
November 04, 2022

ANALYST : RAGHUNANDHAN N. L – EMKAY GLOBAL FINANCIAL SERVICES

MANAGEMENT : NIRANJAN GUPTA – CHIEF FINANCIAL OFFICER

RANJIVJIT SINGH – CHIEF GROWTH OFFICER
SWADESH SRIVASTAVA – HEAD – EMERGING
MOBILITY BUSINESS UNIT
UMANG KHURANA – HEAD OF INVESTOR RELATIONS
AND RISK

Note: In case of any error during the audio call, the transcript has been revised with the updated informatio n for factual accuracy



Moderator: Ladies and gentlemen, welcome to the Q2 FY23 results conference call of Hero MotoCorp hosted by Emkay Global Financial Services. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conferen ce over to Raghunandhan from Emkay Global Financial Services. Thank you, and over to you.

Raghunandhan N. L.: Thank you. Good morning, everyone. On behalf of Emkay Global Financial Services, I welcome you all on the Q2 FY '23 earnings call of Hero MotoCorp . I would like to thank the management for giving us the opportunity to host this call.

Without further ado, I would like to hand the call to Mr. Umang Khurana, who is the Head of Investor Relations, to introduce the management. Over to you, Umang.

Umang Khurana: Thanks, Raghu. Thanks for having us. Hello, and welcome, everyone, to Hero MotoCorp's Q2 FY '23 post results investor call. Trust everyone had a happy and a good festive. With us on the call today, we have our CFO, Niranjan Gupta; our CGO, Ranjivj it Singh; and Head of EMBU, Swadesh Srivastava. As usual, we'll begin with opening comments from Niranjan. Over to you, Niranjan.

Niranjan Gupta: Thanks, Umang. Hi, Welcome, everyone, to Hero MotoCorp's Q 2 FY '23 earnings conference call. You would have seen our results announced yesterday evening. We delivered quarter revenue of INR 9,075 crores and net profit of INR 716 crores. The results include one -off mark - to-market loss on account of Gogoro investment of INR 44 crores.

Our first half revenues grew by a solid 25% while profits grew by 15%. Continuing our focus on both top line as well as profitability, we improved our EBITDA margin sequentially from 11.2% to 11.4% and delivered our highest ever first half gross profit per vehicle at INR 17,140 per unit of vehicles sold.

We continue to drive portfolio premiumization , and launch of XTEC variants across all the key models have met with huge success. During our 32 -day festive period, the XTEC variants comprised 20% of overall retail sa les volumes, where our total retail sales, as you know, grew by 20% over last year. This builds a strong foundation for growth both in volumes and value moving forward.

We are building a strong pipeline of premium products as well and you'll be able to see exciting model launches in this segment every year. This will help us build market share in the premium segment and boost profitability over medium term. We've been focusing on growing our PAM business in the last few quarters , I'm glad to report that PAM business revenue for first half was



at INR 2,300 crores , registering a growth of 45%. PAM business revenue now accounts for 13.7% of revenue, and we aim to increase it to 15%. Beyond the growth prospects in the pa rts, which is a traditional business, we a im to grow our access ories and merchandise, which have got huge opportunities over the next few quarters.

In order to address the affordability in the entry segment, as we all know, we have been continuously driving finance penetration, making mobility eas ier for the masses. Our finance penetration has now gone up to 60% plus. And again, this builds a strong underlying platform to translate the desire and need of people into real demand.

We are excited about the EV opportunity, and we will be starting test rides soon. Deliveries will begin as planned and from initial three cities, we plan to get to 10 -plus cities by March. As you have seen, we are establishing Vida as premium and aspirational brand with

many segment first
offerings. Beyond the immediate, we plan to cover both the mid and affordable segments as well, and our teams are working towards building a strong pipeline of products ecosystem and offering as we explained in our investor conference recently during our product launch in October.
Coming to overall macroeconomic factors, while there are headwinds linked to inflation, the consequent rate increases and impact on economic growth. However, we do believe that the inflation and rate cycle may be close to peak now. Return of growth in developed mark ets may take a while but India clearly is relatively much better placed with strong consumption base, favorable demographic profile and significant headroom for per capita consumption relative to other countries. The recent resurgence of spending across categories during the festive season is reflective of return of consumer confidence and augurs well for the industry growth moving forward.
On that note, let's open the floor for Q&A. Over to you, Umang.
Moderator: Thank you. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from question queue, you may press star and two. Participants are requeste d to use handsets while asking a question. Ladies and gentlemen , we will wait for a moment while the question queue assembles. The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: My first questio n is on the industry demand outlook. Now clearly, I mean, we're talking about some green shoots during this festive. Could you give us some more color as to what it just the pent-up demand and a lot of aggressive schemes that you had around festive that he lp? Or you're seeing some decisive change in the growth outlook and you think from here on industr y is back to growth. So some color around what you saw during the festive and how should we think about the growth? And along similar lines, if you can share the in ventory levels for Hero as well?
Niranjan Gupta: Thanks, Gunjan. Let me hand over this to Ra njivjit, Can you just take this?


Ranjivjit Singh: Yes, sure. Hi, Gunjan, and hi, everyone, and wish you all had a very good Diwali. I'd like to just talk a li ttle bit about festival and then move on to the demand and how we approached it, touching upon, therefore, how this entire result has come about. So festival was, as usual, the 32 days this time, of course, it came a little bit early from 26 September to 2 7th of October. We were close to the consumer trends , we were close to our dealers and our customers and understanding what is the sentiment, what's going on. And that's why we came up with this idea of India, let's celebrate, Phir Se, Dil Se , and created the Grand Indian Festival of Trust which is something that was very well appreciated because this is the time when consumers wanted to come out, and after two years of COVID, this was the pent -up demand, of course, like you mentioned, would come out.
So in that, it is also very important to understand what the trends and the underlying trends are. And there was a clearer sense towards premiumization. And this is what we were working on, the premium portfolio, getting that out into our dealerships, making sure, like Niranjan said, the XTEC range, that we prioritize that because this is also the range that uses the chips which have been in short supply.
And I must commend our supply chain team for having managed to bring in those supplies well and prepared f or the festival during Q2. So whether it's a Destini or Passion or Glamour or Splendor, all of them, we prioritize in terms of preparing for the modern mix because that is the key. That is critical that we are very much in tune with where the consumer is

a nd where the
consumer demand is.
It also, therefore, was incumbent on us to prepare for the entire ecosystem. The ecosystem had come out of two years of COVID. And so would we peak up to the level that we were anticipating? That required a lot of engagemen t with our ecosystem at the dealerships. And also very importantly, in the rural networks. The secondary networks where you know that Hero has a very strong position.
And so getting that alignment with the ecosystem was something that we worked on. And so those are fundamentals. And then we prepared for the go -to-market, the go -to-market from a marketing campaign perspective or a retail finance, which really picked up also during this time. The exchange program that we put in and the customer offers and a l ot of the work that we did was digital, including upper funnel as well as lead generation on this.
So, I must say, rural overall, in July and August was a little bit soft, but then was moving ahead

at a slow speed. We saw a lot of pent -up demand. So addres sing your question, that demand did come up during the first 10 days of Navratri very well and then came on the rains. The rains, which for the next 9 -10 days were incessant and they were prolonged, and they were pretty much unprecedented, and our consumer base in the rural area did need to fall back and take care of their crops, take care of what ever else they needed to do. But in the last 6 days towards D ussehra and Diwali, they came out. And that was very promising that even the whole portfolio that we have was very, very well served.



As you can imagine, we came in with a 20% growth during the festival season. So what I really wanted to say, Gunjan, is our Q2 was all about preparing for the festival. And when you get the hockey stick effect at that time, that's really what works. And that's what we had predicted, and it was good that work happened and the peak . We were able to satisfy consumer needs for the festival season with the whole portfolio of our Hero products.

So that's very much there and then th e last part of your question. The other side of the rains is it actually could be an upside going forward for the winter crop. In addition to which there are quite a few auspicious days that come up in November, December right up to April, May, etc etc.

So I think fundamentals and the underlying performance is pretty strong from what we see. And when I told you about 20%, it is end consumer retail. They're actually what consumers have bought. So it's not what the dealers have bought. And that gives you a go od sense of the underlying performance. I hope I was able to answer your question.

Gunjan Prithyani: This is very helpful. The inventory levels, if you can share that and then I'll get on to my second question.

Niranjan Gupta: Gunjan, I'll take that one. S o our inventories are at one of the lowest post -festive. As you know, we won't give a number, but we maintain, let's say, four to six weeks, so it is down to actually the lowest end, of that spectrum, Gunjan.

Gunjan Prithyani: My second question is a little bit more around your strategy. I mean you're clearly calling out more of premium, and entry has also been seeing a lot of slowdown. But 125cc segment is where you've done well in the past, and it's a segment which is now expanding, and we've seen a lot more competition from the rest of the players as well. So what is the thought process here in terms of product intervention? I understand Glamour and all you've tried to make some intervention, but it's not really worked. We are losing market share in that sub -segment. So maybe what's the broader strategy there, if I think from a next two to three year perspective?

Ranjivjit Singh: Sure. So the 125cc segment is a very interesting one. Of course, it's growth is going -- seeing growth from upgrade rs from the 100cc,

110cc as well as downgrades from the 150cc, 160cc segment, and we are well placed. Our Super Splendor, which we've now come up with a canvas, and we backed it up with a beautiful campaign has in the festival season, done very, very well in terms of the key markets that it operates in.

And when you look at Glamour XTEC, Glamour XTEC is something that initially in the earlier part of the year, we had some shortages. We were able to address that. And we have now introduced a new product, which is th e metallic nexus blue.

And then we came in with a campaign with the megastar Ram Charan. And it's created a lot of excitement, not only in Andhra Pradesh and Telangana, also in West Bengal and in other markets where in Q2 itself , it had a very strong doubl e-digit growth. So we're seeing good momentum in



the 125cc, and you'll continue to see more innovations from us and more of the portfolio coming in the 125cc as we go along.

Moderator: Thank you. Ladies and gentlemen in order to ensure that management is a ble to cover questions from all the participants in the queue we request you to please limit your questions to two per participant. The next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: My first question was ar ound the EV. So how has been the bookings so far in the first 20 days since we opened a booking for our Vida portfolio? And what's the value proposition our JV with Gogoro brings in, given that they would be targeting the market separately as well? So wher e do we stand on that front? That would be my first question.

Niranjan Gupta: Thanks, Kumar, for the question. Our plan on EV is to open the test rides very soon , and we will be starting deliveries as planned. As far as booking numbers are concerned, you w ill have to be patient for the sales to happen. And then as the sales numbers happen, then you will get the disclosure then.

In terms of the Gogoro part of it, what they have announced is an operational pilot and learning from the operational pilot will be helpful across the other entire ecosystem. And as far as the partnership and the thinking and the discussion on that is concerned, as you know, that's on swapping. And swapping is the flexibility that we have always said that we will build. And obviously, there are optionalities and flexibility that are coming along, and it will be across all the segments of B2B and B2C. Swadesh, would you like to add anything?

Swadesh Srivastava: No, I think you covered well, Niranjan. We are really gearing up for the tes t rides to start soon. And with that, obviously, getting into the sales and delivery, and we'll have those in front of you very soon. On the Gogoro piece, whatever helps creating the category and helping the EV category grow is always welcome. And there wi ll be good pilots going on this front, and we are in discussions to close out the rest of the plan with Gogoro.

Kumar Rakesh: Quite helpful. My second question was around the Hero FinCorp business. So last quarter, we had invested about INR 7 billion in that business. And we had discuss ed Niranjan last quarter that we would be targeting bringing down the credit cost in the business closer to 5 %-5.5% through this year. So where do we stand on that in the first half of September quarter, whatever you could share?

Niranjan Gupta: Yes. They're progressing well. Hero FinCorp and actually, their profits have gone up from a level of Q1 where the PAT was around INR 110 crores , they delivered INR 160 crores. They're actually profit before credit costs , they deliver ed the quarter one of the highest. Their GNPAs have come down to 6.5% in the quarter. And they are targeting the trajectory to move towards 5% over the next few quarters.

So I think they are progressing pretty well with AUM growth, which is close to double digits and given In

dia's financing penetration and the debt to GDP ratios, the opportunity in NBFC



segments are significant. And I think Hero FinCorp, we believe are on a platform, which augurs well for the takeoff from here on.

Moderator: Thank you. The next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: My first question is on Hero's quarterly model mix in 2Q. Normally, we see HF Deluxe entry - level model volumes improve in the September quarte r versus June. This time, it seems that there's been a QoQ decline, but a lot of that decline seems to have been covered by the Splendor and Passion volumes. So just trying to understand what is driving this model mix shift? Is there a conscious effort to promote a better Splendor and Passion mix? Or are there other on -ground demand factors at play?

Niranjan Gupta: Let me start, and then I'll ask Ranjivjit to add on. You're absolutely right. As far as model mix is concerned, it's been favorable in terms of portfolio in Q2 as well as in festive , where we have more of the , not only just the Splendor, but actually, if you look at the festive also, the XTEC, which actually comes at 5% to 7% premium to the core models. That has sold very well. In our overall festive as we talked about, that XTEC models comprise 20% of the fest ive retail. So Q2 also favorable mix and that has got reflected even in the average selling prices. Anyway, have been consciously moving towards premiumization as we have talked about. And therefore, there's a customer pool as well, wanting to upgrade and equally our push in terms of our efforts in the market through XTEC and through marketing, these variants drove premiumization. That's what's helping. Ranjivjit?

Ranjivjit Singh: Yes, absolutely. I mean the premiumization is a trend that we're seeing not o nly in 2 -wheelers, we are seeing it across industries. And the good thing is that consumers are really appreciating the XTEC range, Glamour already above 60 %-70%. Similarly, there are lots of other models that we have. Passion is doing extremely well with the XTEC range. There's a lot more demand for Splendor XTEC than what we can currently supply. Destini XTEC has been a big, big uptick as well in terms of growth.

So overall, I think that's what's been happening. But after the rains in the mid -part of the festival and towards the last part after the rains, we saw even HF Deluxe come back. But look, that's pretty normal. I would say that the big trend is towards premiumization, and we were able to gear up our portfolio and our model mix to meet that consumer demand.

Chandramouli Muthiah: My second question is on the post -festive demand trajectory. This year, from registration standpoint, we have seen a bit of festive month for the 2 -wheeler industry compared to the past four years. But wholesale from most 2 -wheeler OEMs in October have not necessarily followed through with that kind of momentum. So just trying to check what is holding dealers back from accepting more stock from the 2 -wheel er OEMs in general?

Niranjan Gupta: Let me jus t begin and then I'll also request Ranjivjit also to build up on that. The most fundamental thing and good thing is about the festive retail because once the retail happens on the retail with a 15% to 20% gr owth, of course, we grew by 20% , augurs extremely well and we



saw that inve ntory levels are down to one of the lowest ever post festive . So obviously, that builds a base for the wholesale moving forward.

And on the post -festive retail demand because that's what will drive the wholesale given that the inventory levels are anyway a t the lowest and that also provides that headroom. Ranjivjit already covered about the optimistic prospects, of the demand moving forward on the firs

t one. But

Ranjivjit, do you want to build a little bit more on the demand prospects moving forward?

Ranjiv jit Singh: Yes. I'll just build on also when you look at October, last year, festival was in November. So obviously, there was still a stocking up, in fact, inventory levels that dealers were going for.

Here, the, with 24th-25th being Diwali around that ti me, and then you have a few, you have a week of non -festive in a true sense not entirely comparable. But as you go forward, like I said, it's a more optimistic kind of a view that we have right now with the rains, with the rural sentiment, which has been d emonstrated during the festival that we saw and the upcoming marriage dates that we are seeing, whether it's in February or in March. I mean it's definitely looking more optimistic for us.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from MO FSL. Please go ahead.

Jinesh Gandhi: My question pertains to, first off, if you can share some data points with respect to spares revenue and operating other income for the quarter?

Niranjan Gupta: Yes, Jinesh, we can do that. As far as the parts business revenue for the quarter is concerned is INR 1,244 crores. Quarter 1 was INR 1,061 crores, and corresponding quarter last year was INR 1,141 crores. An d the other operating income for the same pe riod is INR 231 crores, INR 181 crore and INR 309 crores.

Jinesh Gandhi: Secondly, with respect to retail during festive, how retail compared to Pre-COVID, how much below FY19 levels and what we re absolute details we are sharing in the past ?

Niranjan Gupt a: Yes, Ranjivjit?

Ranjivjit Singh: Sorry, the voice is a little muffled.

Jinesh Gandhi: My question is how were retail s as compared to pre -COVID levels? And what were the absolute level of retails during 32 -days festive?

Ranjivjit Singh: Okay. So like I mentioned, we are 20% higher than last year. So that should give you a good sense of that. As far as the pre -COVID, we're not, we are still a distance away from that in terms of maybe 2018, 2019, but not that much of a distance. So I would say the rains had its impact. There was definitely pent -up demand. There was latent demand, but there was the reality. I've been visiting the markets, the dealerships and people who are more busy trying to protect the crop from the unseasonal rainfall. And I would say t hat the underlying f actors are pretty strong there. So retail, absolutes are good. I think overall the economy for that segment, which we are catering to, I think, will be positive.



Niranjan Gupta: Jinesh, just to build on what Ranjivjit has said, if you l ook at pre -COVID you can broadly talk about 95% of the pre -COVID level, during this festive -to-festive, which I think augurs extremely well given in a discretionary category, the bounce back that has happened through consumer confidence and the buildup tha t we are seeing.

Jinesh Gandhi: So we are just about 5% short of Pre-COVID, that's a very, very good outcome. And as a continuation of that, were you seeing any different signs during festive between rural versus urban and markets where monsoons were weak, how did it go in those markets?

Ranjivjit Singh: Yes, it started off again, a little bit more positive for urban. Like I said in the beginning, rural was recovering but at a slower pace and then the second part of it, when the rains came, of course, that would have and did effect overall. But in -- towards Dussehra, Diwali phase, rural bounced back and bounce back really well. So I think when people were able to put their worries aside and when they had collected the cash from the mandis, everything was in place, they came and did what they really wanted to do which was to come and buy their favorite two -wheeler. So I think that part happened. So rural came back. Urban was anyway performing b

etter. And

like Niranjan said, we were very close to our Pre-COVID days.

Overall, I think across zones, it was fine except for maybe in Andhra Pradesh, Telangana, which is undergoing some kind of industry overall, which I'm sure all of you have followed. But beyond that, I think a good performance across the board.
Jinesh Gandhi: Got it. And lastly, if you mention you can talk about how RM cost impacted margins in 2Q and our expectations for 3Q? That's my last question. Thank you.
Niranjan Gupta: So as far as RM cost is concerned, you would have seen, Jinesh, that t he cost in the quarter has come down, whether you look at the previous quarter or you look at the corresponding quarter of the last year. In terms of moving forward, look, metals, we have seen are cooling off. So therefore, some benefit of that is likely t o flow in.
Having said that, there is a bit of headwind arising out of the currency depreciation, which we have seen in the recent. So I think we continue to navigate this space like we have done in the past through a mix of pricing, through a mix of savi ngs initiatives. So we need to continue to navigate this space.
Jinesh Gandhi: So we saw some savings on commodities in Q2, right?
Niranjan Gupta: Yes, as such commodities, you can see the benefit in the material cost actually getting reflected in Q2.
Mode rator: The next question is from the line of Kapil Singh from Nomura.
Kapil Singh: Just continuing on the previous question. Is it possible to quantify how much commodity benefit you got for the quarter because we would have a benefit of positive mix also?


Niranjan Gupta: Largely you can say that if you compare with the preceding quarter because sometimes year -on-year comparisons in these cases do not make that much of sense . But if you look at our material costs have come down from 72.8% to 72% of the over all revenue. So roughly, you can say around 30 to 40 basis points of that would be on account of the commodity cost, while the rest would be the mix impact.
Kapil Singh: That's quite helpful. And going ahead, do you expect a larger benefit to come or bulk of the benefit to come in third quarter, is that the right way to think about it?
Niranjan Gupta: Kapil, I'm not going to forecast guidance on that because that leads to those guidance numbers. But I just reiterate that there is part of the commodity benef its that are yet to flow through, which will flow through in the coming quarters. The only headwind I would say is the currency and how that plays out over the quarter, over a longer period of time will determine finally is it a net benefit or a net actual ly cost-on.
Kapil Singh: Secondly, if you also just comment on even operating leverage overall because we have seen slightly higher other expenses on a quarter -on-quarter as well as on a year -on-year basis. So how will these costs evolve going ahead? And we have maintained a longe r-term margin guidance of 14% to 16% by when you see yourself getting there?
Niranjan Gupta: All right. So Kapil, if you look at the quarters, other expenses have got impacted by; A . higher marketing expenses, which we did. As Ranjivjit talked about, XTec launch that we've been doing, so there have been campaigns running. So higher marketing expense in quarter 2 and there be some bit of spend phasing. So I think the best way to look at it is look at the H1 other expenses, which are at 10.1% and that would b e a fair bit of range to actually look at in terms of building forward rather than the quarter, which was impacted by phasing as well.
In terms of moving forward, look, our long -range guidance still remains. Obviously, we've been navigating very successful ly in terms of the entire commodity inflation that has happened, trying to balance it off as to how much we can pass on to the customer, how much to be offset by our savin

gs programs and how much, therefore, we actually take it down in the margins.
So we'v e been balancing that all quite sensibly. And while doing a percentage, it's also important to recognize the rupees per vehicle, absolute delivery and which is where I said in the beginning, that percentage is one way to look at it. Of course, the guidance of the long range remains.
But in the meantime, we've delivered our highest ever gross profit per vehicle, if you look at the first half over the last few years. So, I think from an absolute perspective it augurs well, given that the volumes still on an overall basis are not at the Pre-COVID levels. Festive is at 95%, but on a full year basis the industry is well short. So as volumes build up, the unit per vehicle margins that one is delivering will then help in getting operating leverage significantly.
As far as the margin actually in the long term are concerned, let me address that as well, obviously as we talked about premiumization, which we are driving. You've seen our portfolio

mix. We are working on launching premium models over the next few quarter s and you will see every year that's coming, so that will actually improve the profi t.
And obviously, as the rate cycle and inflation cycle peaks, then we'll have the dividends of the commodities softening as well. So I think there are things that augurs well. We're not too concerned about the percentage margins at this stage, given that at least on a per vehicle basis, we are able to deliver a pretty strong bottom line on even a per vehicle basis.
Moderator: The next question is from the line of Amyn Pira ni from JP Morgan.
Amyn Pirani: Thanks for the opportunity. First just a book keeping question, any reason why the Gogoro - related mark -to-market loss is being driven directly through the other income instead of the other comprehensive income?
Niranjan Gupta: That would have been an option, but we did follow the accounting standard and actually, even in the last quarter, which is Q1, we took it through the other income itself. And therefore, we followed the consistent practice of actually following there . But there could have been a choice of actually moving through other comprehensive income as well as you are rightly saying.
Amyn Pirani: Because that just increases the volatility in your EPS. So I just thought I just ask. Secondly, I appreciate the poin t that on a per unit basis, in fact your EBITDA per vehicle is well above INR 7,000, which is close to your all -time peak. But going forward, do you think that on the other expense side, inflation could continue to remain high and is this because of market ing cost? Is it energy cost? If you could help us understand what kind of costs are going up because while commodities have come down, is there a risk of inflation in the other line items. I think that is what we would like to understand?
Niranjan Gupta: Honestly, I mean, no, we don't see inflation in the other items. As I explained, they are a bit of elevated in the quarter because of the marketing spend and the spend phasing. And if you look at the H1, which is broadly around 10.1% that we are looking at, we don't see a significantly higher inflation on that. So there's no energy inflation. Our employee cost broadly, it moves along with the industry.
And as we get the higher volumes as the industry grows and we also gain market share, the operating levera ge also should kick in. So there's no fundamental concern around inflation in the other expenses outstripping this one. Having said that, just one thing I want to highlight, and then therefore we can pick that up moving forward as well.
As we are moving f orward, obviously, as our EV is scaling up, the EMBU spends are going to be higher, but that's actually something which is building investment for the long term. And therefore, that's some

thing. But underlying ICE business, if you're asking, there's no con cern around inflation outstripping our top line growth on the other expenses.


Moderator: The next question is from the line of Chirag Shah from Nuvama . Please go ahead. Chirag Shah, your line has been unmuted, please proceed with your question.
Chirag Shah : Sir, I had two questions. So question one was, on the premium products, you have 150cc-plus product, can you just more elaborate in terms of how should we expect the product launch timelines and intervals? Why I'm asking this, we have launched the XPulse, which is doing extremely well, but it's the kind of a niche category?
Niranjan Gupta: Yes, Chirag. Thanks for asking the question. So, while we would not be in a position to indicate an exact timeline, and you're absolutely right, the XPulse has be en received extremely well, but it's in the niche segment. You will see us launching premium models in the core segment pretty soon. I mean, if I were to say over the next two year's timeframe, you will see models which are in the volume segment and the pr ofitable segment of the premium as well, including the platform that we are developing jointly with Harley.
Moderator: We move to the next question from the line of Arvind Sharma from Citigroup.
Arvind Sharma: Sir the ASP seems to be doing very well, partl y driven by mix for sure and partly because of price hikes. At what point do you think that these price hikes would start impacting demand? Especially asking because market share has been volatile in the domestic bikes and competition is intense, so do you think at some point in time, one has to take a relook at the kind of price hikes, etc? Or maybe take some pricing action in order to boost volume? Is that something that is part of the plan?
Niranjan Gupta: Right. I think the best indication of price abso rption in the market has been the festive retail and we have seen that festive retail is growing at 20% or you can say, 15% -20% for the overall industry and that means that all the price increases that have happened so far have been absorbed by the market.
And the way industry has been doing is in a very sensible way. It's not been taking very steep hikes. So it's been taking kind of a moderate hike. If you look at actually overall inflation in the economy at 7%, so versus the 7% inflation, if you look at the price hikes that have happened,

probably they would be close to maybe 5% to 6%. So equal to or below the general CPI inflation that we are talking about.
Moving forward, we do believe that a moderate level of price increases will continue, but they are likely to be below the general inflation rate and therefore, that augers very well because that gets absorbed in the economy as well. And of course, in terms of pricing action for the volume, typically, in the industry, when the commodities cool off then, of course, that allows the industry to recover the margins in terms of percentages as well.
And then it allows also headroom for more investment on the product side, feature side and providing value to the consumers from that point of view rather than ta king pricing down.


Arvind Sharma: Sir, just one last question. Your comments on the market share trends and anything that is there in the target or something which you have planned, especially in the domestic motorcycle industry?
Niranjan Gupta: Ranjivjit?
Ranjivjit Singh: Yes. So the market share trends, I think the biggest indicator that you will get is the festival growth that we got and I want to just draw your attention to the retail side of it because we've been focusing a lot on the end consumer dema nd and the end consumer retail. And there was a little bit of a blip in September, but we bounced back very strongly in October, and that's f

urther
got strengthened in November.
So we ended October in VAHAN at 34.6 %. We went to 38.5 % in November so far. S o it's -- that's one way of looking at it although VAHAN has a lag of about 2 to 3 weeks, and it's not always very stable. But if you look at it over a long period of time, you do get a good trend line of where the trends are and so far, we seem to be doing pretty okay on that.
Niranjan Gupta: Let me build on what Ranjivjit has said in terms of the overall medium term, the way we look at direction and the drivers of the market share. So as you all know, we continue to be extremely strong in our entry se gment. We continue to be very strong in our deluxe 100, 110 cc segment with Splendor plus, actually outstripping all the models and that has got fortified more with the Xtec variant. 125cc where we actually lost market share, we will be on our way to recove ry.
We have launched Xtec on Glamour as well and when we talked about the action on the 125cc.
So that will be entry and deluxe 110cc will be about maintaining the strong position that we have. 125cc will be about recovering the lost market share through the actions that we had and premium will be building the market share to the portfolio that we are launching. So those will be the drivers of the market share moving forward over the medium term from a domestic ICE perspective.
Moderator: We lost the conne ction from Mr. Chirag Shah from Nuvama. We have him back in the queue.
Chirag Shah: I couldn't hear the answer for the first question. In case you have summarized and I'll skip and I'll repeat the first question. On the premium product, I was trying to und erstand your launch pipeline and the timelines that you are looking at because after XPulse, which did very well in its niche category, we have yet to capitalize on the brand build that we have done. So, if you can share some thoughts on that?
Niranjan Gup ta: So while we had , Chirag, I'll still amplify a little bit more on that. So yes, XPulse has done well. It's not that we've not utilized that brand equity. I think we are expanding that. We are doing lots of actions on that at the dealer end, at our ralli es etc, etc.
On the product pipeline, as you know, we had signed the agreement with Harley to jointly develop the platform, which will be right in the core most profitable segment of the premium


and that is in advanced stages. So while we are unable to giv e a timeline, that's in advance stages of coming on ground.
Beyond that, we've been working also on across the CC right up to, we have talked about it earlier, Chirag, right, up to 400cc in the sports, adventure, racing segments as well. You don't see it because the work has started 2- 2.5 years back and typically, as you know, the launch take 3 to 4 years starting from the scratch. And therefore, you will see the model launches every year from here on moving forward.
Chirag Shah: The second question was o n Ather. So you, what were the dilution that undertook in Ather? And I presume your equity stake is maintained in Ather, right?
Niranjan Gupta: Chirag, there's a minor dilution, which has happened. If you look at it on a n undiluted basis, this is gone down by around 2%, close to 2% on the current holding, which was around 39% and it's

come down to probably around 37%. Now that's because they've raised up – fundraised from GIC, which is INR 400 crores at a valuation of INR 6,000 crores.

Now this is almost an extension of the previous fund round and we had already put our capital in the month of May, if I remember right. So that's the minor dilution that happened. But strategically, our direction, our intent, our position on Ather doesn't change and Ather as a company, as a portfolio is doing very well.

Chirag Shah: And if I can squeeze in one last question sir? H2 volumes versus H1, given the festive has been reas

onably strong after a lull. Can we expect a strong kind of a double -digit growth sequentially H2 ov er H1 at industry level and at Hero level?

Niranjan Gupta: Right. So Chirag, we're not be able to give a number guidance on our H2. I think overall, if you look at the industry, and again, coming back to industry, I think the fact that the festive retails are 95% of Pre-COVID. We know on a full year basis, the industry is far away from the pre - COVID, but at least the festive retail being there, that's a very encouraging sign.

On top of that, when we look at the even the crop cycle, where the crop harvesting is happening because of delayed rain now, we've looked at the other fundamental factors also the GST collections as we know are good, the crop realizations are good. Consumer confidence on spending is coming back. I think it all augurs well.

Now how fast, how quickly it translates into industry volumes moving forward, that could be a matter of a few months here and there. But I think we'll stay positive on the outlook moving forward on the back of a very strong festive performance by the industry.

Moderato r: The next question is from the line of Nishit Jalan from Axis Capital.

Nishit Jalan: Thank you for the opportunity. Sir, I have two questions. Firstly, if I look at your sales volume of models like Passion and Glamour, good to see that we have seen some pickup in the last few



months. But still, the volumes of these two models are significantly below the volumes which they used to do three, four years back. So just wanted to understand your thoughts as to what went wrong and according to you, what will be required from your side to go back to those models? Because Passion used to do 70,000 -80,000 per month. And even Glamour used to be there at some point of time. But now we are significantly below those levels? That is the first question.

And second questio n is on, sir, our receivables have gone up significantly, we do have some seasonality, I think, in the September quarter. But if I look at the receivable days have gone up to almost 43 -44 days of sales. So is it purely seasonal or have you made any changes to the credit period that you are giving to dealers because the inventory was higher, so you're giving higher credit period. I just wanted your thoughts on these two questions? Thank you so much.

Niranjan Gupta: So on the first question, let me request Ranjivjit to answer. Ranjivjit, over to you.

Ranjivjit Singh: So we've seen a good revival on Passion and Glamour. And I think the XTEC range, as we've talked about has been the primary driver. Consumers have really appreciated the first -in-segment feature s that we have, whether it's the navigation, the Bluetooth, there's LED headlamps and lot of premium features, and that's what drives this segment.

So rest assured that this is coming back. We've also invested, as you know and as I've told you on Glamour X TEC in terms of the celebrity Ram Charan as well as campaign and the new colors, etcetera, which come up very, very well. People are saying that they want that bike, which Ram Charan is riding. And they've got Passion also, which is now coming back in a bi g way.

So going forward, we see that these segments will continue to contribute and grow as we go along. The upcoming marriage seasons, we will see that, definitely will play a big role because these are the models that will be in demand. The retail financ e has played a very big role now and that will continue to drive demand for these kind of figures. These are aspirational products and that is what will be driven. So we're very confident about the growth.

Niranjan Gupta: Then just a little bit on that. Sp ecifically on Passion, while of course, we need to address and Ranjivjit talked about the actions , and we are confident of addressing it. But whatever we have lost on Passion

, actually, we have gained on Splendor Plus. So we've been able to capture that within our own portfolio at actually higher margins. Having said that, that doesn't take away from the fact that we need to get Passion back to those volumes and the actions are in place.

On the receivables, it's purely seasonal. There is, of course, a bit o f the price increases that have happened. But yes, in terms of number of days when you look at it, it's just seasonal. And in fact, as we stand today, we've already post festive, we've already had the collections bringing it down to the normal levels. Ther e hasn't been any change in the underlying credit period.

Nishit Jalan: Okay. Sir, just one follow -up.

Ranjivjit Singh: Nishit, I'll just add that both Passion and Glamour in Q2 have really performed very well. So rest assured on that, they've been very st rong double -digit growth, Passion and Glamour.
Nishit Jalan: Yes. Sir, just one follow -up on receivable days. Can you remind us what is the credit period that you give to dealers? And how much of it is free of interest? And then how much is basically charg eable on an interest basis?
Niranjan Gupta: It's 15 days free of interest.
Nishit Jalan: And then do you give a credit period with some interest also to the dealers?
Niranjan Gupta: Yes, after that interest is cha rgeable.
Moderator: Thank you. The next question is from the line of Hitesh Goel from CLSA. Please go ahead.
Hitesh Goel: Sir, I just wanted to get a sense more on the commodity cost side. So we look at steel, aluminum, precious metals, these things, right? And that have fallen quite a bit, rig ht? But you have been talking about energy costs. We are looking at the oil price also. It's not changed. Actually, it's come down from first quarter levels. So where are we seeing this inflation? Is it due to vendor seeing cost increases that they're pass ing on in terms of overhead costs or also on the semi side? And semi, I would believe would be mostly in the premium side and would be a very small proportion of revenues, right? So just can you give us more color on why we are not calling for a decent inc rease in margins in second half from the commodity side?
Niranjan Gupta: Yes. From the second half perspective, it's the currency, honestly. So as currency, you know the currency is depreciated down to INR 83 and currency impact across all the baskets beca use most of these commodities are denominated in terms of their pricing at spot parity pricing, through a dollar level. So that's what impacts. Steel, aluminum, etc, etc are low.
And as far as the semi is concerned, yes. So that kind of indicates basically the premium end part of it. So yes, I will actually put it down to second half outlook, which I talked about. It's down broadly to the currency. Yes. This could actually offset some benefits off the cost that we're getting to.
Moderator: Thank you. The n ext question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.
Jyoti Singh: Sir, my question is on the rural side. What's your outlook going forward as you did mention that rural is doing better?
And another question is on EV front. If you can tell us or guide about the expectation of EV revenue contribution .



Niranjan Gupta : So for the first question, I'll request Ranjivjit to answer and I request Swadesh to answer the second one. Ranjivjit?
Ranjiv jit Singh : Sure. So like I mentioned that rural recovered a little slower. But when it bounced back, it actually came in three points higher than even last year during the festival season. With the rains behind us, with a positive outlook, we think that things are more optimistic about rural demand coming back. I believe that will happen. The marriages in February, March, particular

ly will play a role in driving rural demand. So I believe you r question is very fair in terms of the balance that we have in our portfolio, and I think rural will augur well.
Swadesh Srivastava : Yes. On the EV side, as you see, the EV market is actually almost tripling up from the last year to this year. And if you look at it from the segment within the EV from mass to mainstream to premium, if you look at the higher price point where we are playing, it takes about almost 32% of the market in the first half, and that's where we are well positioned. In the three cities which we have already launched and soon we'll start the test rides, that takes up about 26% of the premium market. So we are playing in a very significant portion of the EV market. And as we launch another set of cities, that will cater to another 20-odd-percent of the market, right? So I think we're playing in a very significant segment of EV. We are playing in the top cities of the EVs. And as we had mentioned earlier during our launch, we are here to create the category and we are putting the right bui lding blocks, whether it's the right product, charging infrastructure or the digital platform and our touch points, customer touch points. So we want to make sure that all this is set up, doing well and customer is taking it well. We are going towards having this foundation built very well in the coming months. And we know that from there on, we will be able to garner a leadership position. So I just wanted to give you the segment and the cities we're playing in, and we are very strongly building the founda tion in the next few weeks .
Moderator: A reminder to the participants. Please limit your questions to two per participant. The next

question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh : Sir, my question has been answered. Thank you.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.
Jinesh Gandhi : First question is on the impact of RDE norms on 2-wheelers, how do you see that in terms of cost increases?
Niranjan Gupta : I didn't get your question because the line is a bit muffled, Jinesh, so I was not able to get your question.
Jinesh Gandhi : Yes. So any sense on what would be the cost increases because of RD E norms or BS VI Phase II norms of which is coming in fro m April 23?


Niranjan Gupta : Okay. You're talking about the OBD Phase I and Phase II right?
Jinesh Gandhi : Right.
Niranjan Gupta : So the impact is not significant. It's pretty marginal from a regulatory cost point of view.
Jinesh Gandhi : And secondly, with financing penetration going up to 60% plus, what is now our share of financing from HFC L?
Niranjan Gupta : HFC L continues to be hovering around 35%, plus or minus a few basis points depending on which period actually you take.
Jinesh Gandhi : So it's not -- it hasn't gone up materially with increase in penetration rates. That's great. And lastly, on the operating other income side, you've said this quarter was INR 231 crores, right?
1Q was about INR 1 09 Crores.
Niranjan Gupta : So other operating revenue, Q2 is INR 2 31 crores and Q 1 was INR 181 crores.
Jinesh Gandhi : So Q 1 was INR 181 crores.
Moderator: Due to time constraint, this was the last question for today. I now hand the conference over to the management for closing comments.
Umang Khurana : Well, that's it. Thank you so much. Thank you, everyone, for joining in. We look forward to keeping connected. If you have any follow -ups, please feel free to reach out to us. Thank you.
Niranjan Gupta : Thanks, everyone. Thanks for joining our call.
Swadesh Srivastava : Thank you, everyone.
Ranjivjit Singh : Thank you.
Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and

you may now disconnect your lines.

## Call: Feb 2023

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Sub: Transcript of Earnings Conference Call for the quarter and nine months ended
December 31, 2022
Dear Sir(s),
Pursuant to the Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of earnings conference call for the quarter and nine months ended December 31, 2022.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
Dhiraj Kapoor
Company Secretary & Compliance Officer


"Hero MotoCorp Limited
Q3 FY2023 Earnings Conference Call "

February 08 , 202 3

ANALYST : SAKSHAM KAUSHAL – PHILLIP CAPITAL INDIA PRIVATE LIMITED

MANAGEMENT : NIRANJAN GUPTA – CHIEF FINANCIAL OFFICER
RANJIVJIT SINGH – CHIEF GROWTH OFFICER
SWADESH SRIVASTAVA – HEAD – EMERGING MOBILITY BUSINESS UNIT
UMANG KHURANA – HEAD – INVESTOR RELATIONS & RISK


Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY23 Earnings Conference Call of Hero MotoCorp Limited hosted by PhillipCapital India P rivate Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Saksham Kaushal from PhillipCapital India Private Limited . Thank you and over to you Sir!
Saksham Kaushal : Thanks Tanvi . Good afternoon everyone. O n behalf of Phillip Capital I welcome you all for the Q3

FY23 earning call for Hero MotoCorp. F or management introduction and opening remarks , I hand over the call to Umang K hurana, Head -Investor Relations. Over to you Umang.
Umang Khurana: Thank you Saksham. Hello and good a fternoon everybody. Welcome to the investor call for Q3 FY23. O n the call today, we have , as usual , the Chief Financial Of ficer Niranjan Gupta, the Chief Growth Of ficer Ranjivjit Singh and the Head for Emerging Mobil ity Business Unit Swadesh Srivastava. We will begin with the CFO's opening comments. O ver to you.
Niranjan Gupta: Thank you Umang. Good afternoon, good morning and good evening depending on which part of the world you are joining from. Y ou would have seen our results which we announced yesterday evening. We delivered quarter revenue of Rs. 8,031 Crores and net profit of Rs.711 Crores. Our topline is reflective of sequential market share improvement and we expect this to continue moving forward , backed by mu ltiple launches and front end action . Our focus on increasing non product revenue is yielding ex cellent results , which are parts, accessories and merchandise business registering all time high quarter revenue of Rs. 1,259 Crores. O ur gross profit per vehicle has reached all time high of Rs. 19,800 per vehicle , which increases our operating leverage and will bene fit when higher volumes kick in, in coming quarters. T his has been made possible through a combination of judicious price i ncreases and accelerate d saving program across the supply chain. Our EBITDA margins at 11.5% is after absorbing spends on our emerging mobility business unit to the extent of 70 basis points , reflecting underlying ICE business margins of 12.2%. With overa ll inflation expected to stabilize , our margins sho uld be improving moving forward. Our profit after tax at Rs.711 Crores reflects improvement in PAT margins to 8.8% in Q3, almost an improvement of 100 basis points sequentially. D uring the quarter , we commenced deliveries of Vida and are now present in three cities . We will continue to expand in more cities in coming months and quarter . Moving forward as we have said earlier , while global headwinds are expected to continue with some countries coming out of the woods while oth ers may take a little more time, India is relatively much better place d and all key economic indicators are moving in the right direction . The recently announced union budget further solidifies the platform with its focus on capital expenditure on one hand and increasing disposable income on the other . This should help the auto sector and we expect double digit revenue growth for the next fiscal for two wheeler industry . As mentioned earlier, we are on path to market share recovery and backed by action on all fronts including multiple product

launches which are lined up in the coming quarters , we expect ourselves to grow ahead of the industry in FY24. O n that note , let us open the floor for Q&A . Over to you Umang.
Umang Khurana: Thank you. Let us take the questions now please.

Moderator: Thank you very much. We will now begin the question and answer session.
The first question is from the line of Chandramouli Muthiah from Goldman Sachs . Please go ahead.
Chandramouli Muthiah : Good afternoon and thank you for taking my questions . My first question is on the product mix this quarter . The 125 cc plus models have been 13 % to 15% of our volumes over the past couple of years , but this quarter it appears to have fallen to close to 9% of the total mix . Is there any underlying trend you are observing that could be behind this ? Any color here would be helpful , thank you .
Niranjan Gupta: Right , let me just ask Ranjivjit to take this question on the 125cc.
Ranjivjit Singh: Yes sure , thank you. On the 125 cc, we have actually made good progress with Glamour XTEC . XTEC has added to the confidence that has given in the market a tr emendous amount of acceptability. We have also had a campaign that has been running with Ram Charan and that has created a lot of excitement in the market. We are strengthening our 125 cc portfolio as we go forward , which in the Super Splendor we will be coming in with an XTEC and I think that will give a very positive fill up to the entire portfolio . Its also the time for marriages and it is a very good demand generation that will take place for the 125 cc. So we see a very positive outlook coming from the 125 cc. G oing forward , we are also strengthening our portfolio , coming in with a couple of more launches in FY24 and we will be sharing more de tails about this as we go along. Overall , premiumization has been a trend that we have really come in quite strongly in our overall portfolio . Now XTEC contributes to over 30% of our portfolio , so that is another big trend that is happening and it is helping us consolidate and further strengthen our position in our core markets . So 125 cc is work in progress , you will see some new information from us coming in towards the end of this month and th en as we develop it further , we will strengthen our position .
Niranjan Gupta: Yes also just to add to what Ranjivjit said, in the quarter we have done inventory adjustment . So if you look at that amount s almost for the 5% . So really speaking what you are seeing as I think 9 % to 10% underlying , it is still 14 % to 15%, just to call it out.
Chandramouli Muthiah: Got it , that is helpful. M y second question is on the Gogoro swappable battery electric two wheeler partnership , just trying to understand if there are any updated timelines there and just separately if Gogoro plans partnerships with other OEMs or mobility services in India , would Hero in that scenario have exclusivity in certain geographies or will you have to compete with the other Gogoro

partners ?

Niranjan Gupta: So let me just ask Swadesh to talk about our EV plans and what we have done and then I will supplement it if required. Swadesh.
Swadesh Srivastava: Thank you for that question . So see for us , right now there is a lot of focus on getting our Vida product and the Vida launches across the cities , and the expansion plan through the country are stabilized and really putting all the effort behind that . The subsequent products and projects , as we get closer to rollouts , will be shared in the due course and I think whatever is the right model for partnership or rolling out will be disclosed. At this point, I would just say that the whole focus is going on establishing ourselves with our product .
Chandra mouli Muthiah: That is helpful. T hank you very much and all the best .
Moderator: Thank you. The next question is from the line of Binay Singh from Morgan Stanley . Please go ahead .
Binay Singh: Thanks for the opportunity . In the opening remarks you added that there was a 70 basis points headwind from new mobility business . Could you elaborate a little b

it more on that ?
Niranjan Gupta: Yes, this is basically around because we did the Vida launch in this quarter and therefore we are calling out essentially a ll the spends that we have done on this unit , whether it is the manpower of the dedicated business unit or the advertising expense that we have done . So all put together , the P&L absorbs 70 basis points , which of course if you look at Q3 of the last year it was insignificant or negligible .
Binay Singh: Right , so to an extent if I adjust for that , then obviously other expenses come down . So in this quarter , is it fair to add that even the sales promotion spending would have been quite high becau se we had the Great Indian Festival running throughout October?
Niranjan Gupta: Yes that is true because this quarter actually absorbs three things . One is the EV spends that we have talked about which of course will continue moving forward , but that reflects that our underlying ICE margins are much stronger than what is reflected in the reported results , which allow us the funding of the investment in EV as we move forward. The other t wo which are there is the CSR spends which in Q3 of the p revious year was subdued. T here was hardly any spending because of phasing , while this year it has been proportionate spends as far as this quarter is concerned , so that is around Rs.20 Crores and there is a big around the festive spends as well which happ ened , because it is a quarter where the entire industry and therefore it was spent and therefore the festive retail was reflective of that . So you are absolutely right , so those are the three reasons for the elevated other expenses in this quarter.
Binay Singh: Yes, thanks for that response and just further like you said that the EV expenses will continue in the coming quarter , could you sort of share because a lot of the launch costs would have already been done right ? Now it will be mainly more reflected in lower gross margin rather than higher other expenses . Is that fair way to look at EV ramp up ?

Niranjan Gupta: Because we will continue to expand to multiple cities in the coming months and coming quarters . So as you continue to expand , so therefore we expect , and in fact I will not say those are expenses or spends I would actually say those are the investments in building a category , so to that extent those will continue .
Binay Singh: To a similar kind of a like 50 to 70 basis point of sort of a little bit of a drag on margin should continue because of electric vehicles ?
Niranjan Gupta: So I would not say drag on margin , I would say reinvestment of ICE margins behind building the EV category . So that is how my definition of that would be and of course li ke we have given commentary , we do expect the underlying ICE margins to improve moving forward which is what I have also given i n my opening commentary as well.
Binay Singh: That is pretty fair. J ust lastly on the gross margin , good to see gross margin expansion playing out . Taking into account price hikes and the cost index , do you see more ta ilwind on the gross margin side?
Niranjan Gupta: Ideally there would be because now as we move, we have seen over the last two to three years that cost inflation had been r unning ahead of price increases. N ow logically speaking , it should reverse moving forward where the cooling off or stabilizing of commodity or overall inflation allows some bit of more realization to go towards the margi n improvement . So yes directionally speaking , the significant headwinds of commodities that we had , inflation running ahead of price increase , that we do not expect it to be , but equally one can not forecast commodity prices . So we will have to navigate thi s space . What is reflective of that , even in the period of elevated commodity cost , we have been able to manage our gro

ss margins very well by delivering gross profit per vehicle which
is an all -time high level and there is actually increase in operating l everage as the volumes go up , then obviously the more quantum will flow down to the bottom line straight away. That is I think the key significan ce of the GP per vehicle going up .

Binay Singh: Great , thanks for those responses . I will get back in the queue.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura . Please go ahead.

Kapil Singh: Good afternoon Sir . My question was on margin expansion that you talked about . If you look at FY24 -25, when we are targeting to get to a target range of margins that we talk ed about , do you expect that to be driven more by operating leverage or you expect further improvement in gross margins also ? The question that is coming is mainly because there is a feeling that bikes have become exp ensive and maybe it makes sense to hold the pricing and let the operating leverage , or what volume increase , play out . So how are you thinking about it ? Do you think there is more scope to raise prices or hold the gross margins here which are probably at a good level as you said ?

Niranjan Gupta: Kapil , thanks for the question. A s a business , one will continue to see that how do you exercise various choices moving forward . So it will also depend on the growth of the industry that happens



and the competitive price positioning , so it is not a simple answer in terms of the price increases vis-à-vis inflation and also the commodity scenario , but yes moving forward the operating leverage should start contributing a bigger number on our directio n to improve our margins to wards our medium range guidance.

Kapil Singh: Okay thanks Sir and second I just wanted to understand again from a more two to three year outlook perspective , what is the strategy for driving market share and also in areas of exports as w ell as EVs and in particular on EV , just wanted to also understand whether you are thinking about a market share or certain position within that segment , let us say being in top three to four kind of players on volume front or it is still early days to think about those type of things . How you are approaching that segment ?

Niranjan Gupta: Kapil you have nicely asked three questions in one question , but we will attempt to answer all the three. F irst let me just request Ranjivjit over the medium term , what is our key actions to improve market share and then I will request Swadesh to talk a bit about the EV plans of the medium term .

Ranjivjit Singh: Sure, we have got a fabulous platform to build on and we are looking at expanding that portfolio . We have talked about this before that we will see product launches every quarter as we go along and our key focus areas is around premium , 125cc and scooters . So we are feeling good about the portfolio that we have and that will help us drive market share in the areas that I have just highligh ted. B esides that , there are going to be couple of other very strong initiatives that we are continuing to improve on and cont inue to strengthen , which i s around our channel efficiency, channel effectiveness and the whole customer experience around that . So new visual identity that will really give way and this is something that we are already piloting and consumers are feeling quite elated with the experience that they are having and the conve rsion rates are improving there. There is a whole digital footprint from consumers and that brings me to the third poin t of process. There is a fabulous improvement in terms of the scope that we see for how the consumer journey plays out with Hero and looking at that very comprehensively , whether it is in the area of looking at what the choices are, what the options are, the whole Omni channel part and

also looking at the
one app that we have recently launched , so that create s a complete gateway into Hero from a customer service, loyalty, communit y, all of that comes together . So a combination of these thre e things which is our portfolio, our channel and our processes are going to help us really strengthen the brand and our market share and the elevation of the brand and the continuing strengthening of the brand with the premium portfolio that we launched is something that you will see. I am sure you would have noticed the launch tha t we did recently which is Xoom . I believe that would be a good thing to reflect on in terms of how consumers are looking at Hero now. It is a very a sporty 110cc with industry leading features and with segment leadi ng features and that is coming out extremely well . So overall I would say , there is a lot of customer association that we are building around premium , there is a lot of experience that we have been building with the Hero Dirt Biking Challenge , all of those things are going to help us in terms of the future way forward .

Swadesh Srivastava: Thank you Kapil for that question. We have come in to really create this category as it is still nascent in the EV space and with this year , big milestones on the brand launch of Vida which has



come out as you have seen in a very d ifferentiated and a new age way. W ith the launches in the three cities - Delhi, Bengaluru and Jaipur where the customers are really taking up to the product and the o verall sales and pre sales experience. W ith this sort of stage , the setup stage , we are really ready to now multiply into many cities going into FY24 to establish ourselves wider into the market with this product and then subsequently we have an accelerated portfolio to come in the next 18 to 24 months where that will help us establish us deeper into many other segments as we have already gone wider in FY24 , right . So basically we have establish ed the brand and the positioning with the ecosystem s et up this year , going into much wider markets next year and then deepening our leadership with the accelerated portfolio over the next year . So that is what we are looking at as a plan.

Niranjan Gupta: Thanks Swadesh and Kapil , let me just address the glo bal business part also because of the third 1.3 as your question or 2.3 . As far as global business is concerned over the medium to longer term , we do want global business to be at least 10% of our overall revenue . There are actions which are in place , there have been headwinds in the last year we all know about , a lot of key markets which have faced huge headwinds on currency inflation , some of the markets even closing down like Sri Lanka , but obviously these markets will come back and therefore we will scale up . If I were to just sum it up in terms of the three legs that you talked about - on our domestic ICE business core, we are doing well in the short term , we do need to recover our 125 cc market share which the actions have been lined up already by Ranjivjit . Our opportunity lies in building premium portfolio which multiple launches are lined up , not only coming year but actually next three to five years and you will see therefore in the medium term , us building meaningful market share of the premium ba cked up by the portfolio . And on global business is medium to long term which is actually scaling up to be a certain percentage of our overall revenue , and on EV , clearly it is a geographical expansion followed by portfolio expansion . So those are broadly , if I were to sum it up , strategies for us on the medium term moving forward on how we are going to grow on our top line and market shares.

Kapil Singh: Thank you very much Sir.

Moderator: Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas . Please go ahead.

Kumar Rakesh: Good a fternoon team. Thank you for taking my question. M y first question was some clarification around the EV impact of 70 bps which you said about . Given that the revenue contribution was very small in the quarter and our geographic al footprint is also very small , it seems to be a quite large im pact which we are talking , about 70 odd b asis points . As we m ove into the coming quarters , when our geographic presence will start expanding and potentially we will e xpand our product portfolio as well , currently the product is at the premium end and possibly we will launch much more lower price products as well , do you see the risk of this impact or the way Niranjan you want to put it, the investment needs to be higher for the EV business in the coming quarters ?

Niranjan Gupta: See because there are also a lot of initial expenditures which are there , and like you said , the contribution to top line has not yet started and therefore the moment your contribution to t op line



also starts , then that starts playing out at the same basis point actually accrues larger amount in terms of what one can spend . So I think this is how we will navigate the space in terms of moving forward . As of now we feel that we are sufficientl y resourced both on capex and our P &L side to fund our investment plans as we move forward because top line also will accrue , and in fact on the cost front like you said portfolio , remember that the industry gross margins on EV are low to close to being negative and that of course with all the scale and the savings program , as an industry and us also which we will deliver , that will show a significant improvement . So therefore you will see the GM improvements coming up with the economy of scale and cost reduction plans over the next two years for industry as well as for us , which will actually act as a tailwind . So the combinat ion of these tools will reflect , we are not concerned about this , these are investments into building categories .

Kumar Rakes h: Thanks , very helpful Niranjan. My second question was around your new scooter launch which you recently did Xoom. Can you just take me through the thought process , the areas we wanted to address with this new launch and what corrective measure we are targeting with this launch and potentially other scooter segment launches ?

Ranjivjit Singh : Sure I can take that , Ranjivjit here. So we are very, very excited about the Xoom launch and I think it has been very, very well received. I think the industry first corner bending lights was quite a hit in terms of how it is played out and the demonstrations that we have done and showcase have really been taken u p very, very wel l. The fact that in 110 cc segment coming up with such a sporty scooter with bigger wider tires , with a disc brake , with the fastest acceleration in its segment , with a very aerodynamic design , with a lot of technology built in including thi ngs around the bluetooth and the storage and everything else really ticks all the boxes in terms of what consumers will want from a scooter and I think that is the level of excitement and anticipation that we are getting for this . So it really sets us up and it is a radically new design , it is a refresh in and reimagine d thinking which is why we chose to also launch it under a new brand name of Xoom, which is very youthful, very exciting, and very thrilling. It takes you from the city and into the other bu mpy roads that you might want to go or the gradients that you want to climb . So there is a lot of use cases for this very beautiful scooter and we are excited about it .

Kumar Rakesh: Great than ks a lot for that , super helpful. T hat answers my question .
Mod erator: Thank you. The next question is from the line of Raghunandhan N L from Emkay Global . Please go ahead .
Raghunandhan N L:

Firstly , on the entry level segment and rural demand , how are the demand conditions post festival and commencement of marri age season ? Are you seeing improvement in en quiries and bookings?
Ranjivjit Singh : Okay, so on the entry segment and rural , we have in fact strengthened our position in Q3 in terms of market share . You have seen that , and I believe this is really a good time for us to take it even further. The marriage season is on , in fact , the marriage season were to be there for the next six months , so the auspicious dates are there. We are looking at a further strengthening and uptake for

our entry as well as the 100cc to 110cc segment and that is where our strength is coming from . Rural has been a little bit lower in terms of the uptake compared to urban areas , in terms of where we have seen that , but we are seeing green shoots . The marriage market in UP , Bihar, West Bengal , all of these markets are coming back and it augurs well for overall demand for the entry and the commuter segment.
Raghunandhan N L: Thank you Sir. Secondly , on the share of profits from associates , have seen a strong jump . Would it mainly be because of Hero FinCorp?
Niranjan Gupta: Yes, Hero FinCorp has improved. T he profit , as last year Q3 was a loss and this year Q3 they have delivered Rs.192 Crores of profit , plus of course also there is a onetime gain coming on account of the investment done in Ather by GIC which came after the initial round and therefore based on the shareholding pattern change , there is a one-time gain as per the accounting standard. It i s a combination of both the factors that have come in into that .
Raghunandhan N L: Thank you for that Sir. L astly , if Swadesh Sir can speak about order bookings for Vida, the expected ramp up in production and Vida has been at the premium end, so would you expect a more range of products across use cases covering various prices going ahead , you spoke about next 18 month s?
Swadesh Srivastava: Yes, Hi Raghunandhan . So the response has been great in the three cities where we have launched - Delhi, Bengaluru and Jaipur. A s you might be aware , in Jaipur we started on Jan uary 22, 2023 and Delhi we started on January 25, 2023 , Bengaluru we started December 30, 2022 . So, there have been bookings quite a lot and we have already registered 25 0-300 vehicles in the three cities so far and we have a huge pipeline ahead of us to do the deliveries in the coming weeks of this quarter in these cities , and then as I mentioned , we are already going to launch a few more cities within this quarter and then a much wider nationwide expansion next year will happen with this product . In terms of the product portfolio , as I mentioned , we have an accelerated plan where we have products coming in other segments as well. The mainstream , the mass segment as well and th at will help us cater to the different segments and di fferent geographies. Overall , we have also set up multiple charging stations across these three cities and that was our promise to the customer , that when we launch we will launch as a complete ecosyste m. We have roughly 18 stations in Bengaluru and 15 each in Jaipur with multiple charges at each of these locations . So we are at a very strong position , also from the customer feedback point of view on the product and the overall presales and sales experience and we are very well placed to expand through many cities in the next financial .
Niranjan Gupta: Thanks Swadesh . Just to add Raghunandhan on a clarification on the FinCorp, the loss I was referring to was nine months last year versus a loss of Rs.260 Crores versus nine months of profit this year of Rs.461 Crores. As far as three month is concerned , it is Rs.192 Crores versus Rs.131 Crores , just to so that the numbers are understood correctly .

Raghunandhan N L: Thanks so much for the clarification s ir. Just one more clarification , when you indicated that gross margins would be lower for EVs , this is without counting the PLI benefits . By when would you start accruing them ?
Niranjan Gupta: We will start accruing it moving f orward because we have just launched it , but you are absolutely right , do not incorporate PLI benefit. T he other point I was just saying that , as we move forward , as scale moves up and cost reduction plans kick in , overall this BOM cost of the EV products as an industry also will come down because a lot of localization happening , it is not just PLI but there would be multiple things that w ill bring down hopefully the BOM cost of EV products moving forward.
Raghunandhan N L: Thank you Sir . Wishing all the b est.
Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan . Please go ahead.

Amyn Pirani: Thanks for the opportunity. M y question was actually more on the retail and the wholesale . Your retails especially in 3Q were quite strong but wholesale have been subdued for some time now . So would it be fair to say that the inventory levels are now at a healthier level compared to the last , say one to one and a half year average , and where would they be and how do you see this moving , retail versus wholesale over the next six or nine months ?
Niranjan Gupta: Let me take in general and then I will ask Ranjivjit to probably add. Y ou are absolutely right . We have been trying to keep a balance and therefore our retail in Q3 was strong . We have been keeping an eye on inventor ies, and clearly moving forward , as we see industry growing and us growing on market share , and relative to that we would say that we are quite comfortable as far as the inventory levels are concerned. Ranjivjit do you l ike to add or a mplify anything .
Ranjivjit Singh: Yes, definitely Q3 had the benefit of the festival and the retails , we led the industry in many ways in terms of the growth that we saw on retails . It is also a time for us to just make sure that the transitio ns like we talked about , we just launched the XPulse 200T which has got of f to a great start, we launched the Xtreme 160R Stealth connected 2.0 and these are important for us just to make sure that the transitions are well managed and therefore ou r inventory level is about in the region of seven weeks , which is pretty healthy in looking at the future in terms of the marriage season , which I had highlighted earlier in terms of how the demand generation and how the demand is going up . So it is looking good in terms of the overall availability and the overall health of the business in terms inventory .
Amyn Pirani: Broadly , can you help us understand where would we be like five weeks, six weeks or lower than that, broadly speaking ?
Niranjan Gupta: We have always outlined the range of four to six weeks when we take our own dealer stock levels and we will continue to be in that range moving forward . Of course the higher the growth in terms



of number of weeks , it will come down and this I am talking about the dealer stocks because that is what we usually mea sure.
Amyn Pirani: Okay great. T hank s for that. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America . Please go ahead.
Gunjan Prithyani: Thanks for taking my questions. I have one follow up question on the gross margin improvement . Could you give us some sense as to what is the benefit of price hikes that is flowing through in this quarter and I do recall that we have taken more price increases , so some color on that please ?
Niranjan Gupta: Gunjan , in terms of the overall price increases that we have taken , which we have been takin

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consistently over the last four quarters , in line also with what the industry has been taking . The last one that we took was on December 1, 2022 which was close to around Rs.930 ex-showroom as a price. O ther than that , of course there is also , and before that if you look at the quarter it would be reflective of increase that we took in August which we took around Rs. 300 and September around Rs.500. So there will be partial ones that f low in into the quarter as well. O ther than that LEAP saving s, for instance if you look at our LEAP savings over these nine months , we have delivered close to around 80 basis points of LEAP savings into that . So a combination of those two then offset by a bit of mix , it is all combination of various factors that is leading to the gross margin improvement s.
Gunjan Prithyani: Okay so the metal correction , I guess , then would be somewhere in the range of about 150 to 200 basis points . Does that sound right to you ?
Niranjan Gupta: Yes.
Gunjan Prithyani: Okay. The other question that I have , and this is going back to the strategy, I mean clearly you have spoken a lot about what we are doing on 125 cc and premium , but going back to the entry segment which is really important for us , we have been continuing to take price increases and we did see , you know October and November , which sort of did so well because of the Great India Festival that we ran or there was more intervention or excitement created by yourself , when we fundamentally think about next 12 to 18 months , I mean, it is on Hero to take the market back right , to bring the market back in the entry segment . So why are we taking these sort of price increases and not sort o f create that excitement scheme, fares and get the market back? I am just trying to understand the strategy around that segment ?
Niranjan Gupta: Gunjan clearly our strategy around entry is to expand that category and therefore convert who do not own a two w heeler today to own two w heeler s because we are the leaders in that segment and that is our strategy on that part of it . The price increases have been necessitated because of the commodity inflation s that have been there. Moving forward as we see , as we all know even the interest rate hikes probably we just saw today morning 25 b ps rate hike whic h is a softer rate hike ,

we see US fed also potentially going now slower an d inflation in the direction of cooling off . So it therefore allows now pricing to be a much softer in terms of moving forward as we go in , so I think that is the combination that w e have done and there are lots of actions which we have done on the front end and let me talk to Ranjivjit to talk through what we are doing to expand the category and how it is about the product and what we are doing there .
Ranjivjit Singh: Yes thank you for referring to the Great India Festival , of course we talked about that . In the entry level , we have done campaigns which have been extremely effective like Mileage Ka Hero, that has really hit a sweet spot because th at is a concern and people trust Hero for coming up with the fuel efficient bike , it is a key buying factor , so that really helps us to consolidate and st rengthen our market share there. When we look at the consumers in terms of first time buyers and the replacement demand , we are also seeing replacement demand coming back and we are already driving the exchange market , so we have a very scalable do -it-yourself kind of a n app that people can evaluate within seconds their current vehicle and get a price for that and then we have a sy stem through which , the Wheels of Trust, through which they can exchange their bike and then we also have Hero Sure outlets where they can buy new and refurbished bikes from there . So we are really doing market leading initiatives in terms of what the mark e

t requires for first time buyers as well as for replacement demand to further strengthen and give confidence to our consumers. In addition to that , from a customer service perspective , we are going to wherever the customer is . We are doing a lot of micro workshops , we are doing mobile workshops to take our service to the consumer wherever he or she is , even if it is in a village or wherever . So there is a lot of building of trust that Hero stands for and we continue to work on that very, very strongly.
Niranjan Gupta: In fact Gunjan , just to also since you talked about th is segment wise price increases , if you track our price increase s over the last three years , overall on the entry we have taken far less than what we have taken in the other segment . So tha t is also reflective of how we are trying to cushion the impa ct at the bottom of the pyramid. O ffline you can of course take these numbers from Umang but overall far less a s compared to the other segment. We have been conscious of that , where the combination , it is also important to note that if you look at 110, you look at 125 and look at all of these , it is also about the product and the features that you actually deliver and that is why each of these segments , the variant that is actually at th e highest price and commands the highest volume in that . So in a sense it is not a direct correlation but we have been conscious of cushioning the impact at the bottom of pyramid and that is reflective on last three years , how we have softened and taken far less price increases in the entry segment compared to the other segments .
Ranjivjit Singh: Consumers are working up to the retail finance schemes as well , so that is making it easier . So we are really again helping our consumers to fight over the inflation and acquire and bring home the Hero .
Gunjan Prithyani: This is really helpful. I will join back the queue . Just we can have the spares number for the quarter , spares revenue ?



Niranjan Gupta: Right as far as the spares revenue for the quarter is concerned , it is Rs. 1,259 Crores for this quarter, Q2 was Rs. 1,244 Crores and last year same quarter Q3 was Rs. 1,186 Crores.
Gunjan Prithyani: Thank you so much .
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services . Please go ahead.
Jinesh Gandhi: A couple of clarifications , one is did we indicate inventories that are around seven weeks now ?
Niranjan Gupta: Jinesh it is about looking at whether you are looking at the current sales or looking at the forward sales . So when we are looking at our forward plan , it is at the top end of the four to six weeks if we take just the dealer stock count which is what we measure.
Jinesh Gandhi: Got it and the second question pertains to this RM cost savings . You indicated 150 to 200 basis points , that is the saving which we have seen on the Y-o-Y basis or that is sequential saving ?
Niranjan Gupta: It would be on Y-o-Y basis .
Jinesh Gandhi: Okay and sequentially this number will be about plus 70-100 basis points , will that be correct?
Niranjan Gupta: Absolutely , probably around that , and Umang can offline also take you through more details .
Jinesh Gandhi: Sure and the third question pertains to the BSVI Phase 2 transition . So given that we are in season for the marriage season and the BSVI Phase 2 transition is required by March end 2023 , so how are preparing for that transition ?
Niranjan Gupta: Yes, so the transition is on manufacturing. I n fact , in some of the models we hav e already started manufacturing . So by March actually we will be transitioning on the manufacturing . So from April 1, 2023 onwards all our manufacturing will be on OBD II Phase 1 which is what the mandate is .
Jinesh Gandhi: Okay and we do not expect material price hike

over there , under 2% is what we have indicated ?
Niranjan Gupta: The price hike is not that material on the OBD II Phase 1. We would be , once we actually put out the product in the market you will see that , but it is expected to be probably in the range of maybe Rs.500 to Rs.800 per vehicle .
Jinesh Gandhi: Got it and can you clarify on the other income , we have seen a good spike . Is there any one off for mark to market gains from treasury , what should lead that?
Niranjan Gupta: So other income is reflective of , if you see last couple of quarters , a) we were absorbing the M TM loss on Gogoro which were one off actually and that is not there anymore in this quarter. The other thing is of course if you look at the yields , the treasury income , there again in the last two to three quarters you had the yield hikes which were there and reflecting in the M TM losses which were

not there . So broadly speaking , those ma ke up in terms of the other income. Essentially the M TM losses which were accounting in the last few quarters , those are not there and that 's what is reflective of the normalized levels in our other income.
Jinesh Gandhi: Great thanks.
Moderator: Thank you. The next question is from the line of Joseph George from IIFL Capital . Please go ahead.
Joseph George: Thank you for the opportunity. I have a couple of questions on the EV business . So when you launched the Vida V1 Plus and V1 Pro, the prices that were mentioned were Rs.145,000 and Rs.159,000 both ex-showroom D elhi and the numbers in the press release yesterday was Rs.135,000 and Rs.147,000 and that to o on-road. So is the difference entirely explained by state level subsidies or have you moderated the prices since you announced it during l aunch?
Swadesh Srivastava: No w e have not moderated the prices. It will reflect differently in different cities and s tates but the prices are same. We have not moderat ed. I will come back to you on this separately as well Joseph .
Niranjan Gupta: But yes, just to confirm , we have not done any discounting or not change d any prices since launch . So it will be taking into account the subsidies , state level, XYZ and Umang will offline share the full detail s from the ex -showroom to on -road.
Joseph George: Understood thank you. The second question that I had was in relation to the EV business . Now for instance this quarter you called out about 70 bps of impact on margins because of the EV business , is there any plan to park the EV business in a separate subsidiary ? A lot of other OEMs are doing it, makes it easier to continue to measure the profitability of the ICE business on a like to like basis rather than you having to call out this number every quarter , so any thoughts there ?
Niranjan Gupta: There are of course , that is why because of , in order to ensure and we always do , transparency of our P&L , that is why we called out both the numbers even though they are embedded in the same P&L. A s far as corporate structuring is concerned , it is much beyond just the numbers or the segmental reporting . It is about various considerations one has to take into account at what stage of launch you are, the taxation, your balance sheet, your intent behind doing that . So we continue to evaluate all options and as and when anything fructifies , obviously you will know that .
Joseph George: Understood. T hank you , that is all for me. Thank you.
Moderator: Thank you. The next question is from the line of Shashank Kanodia from ICICI Securities . Please go ahead.
Shashank Kanodia: Good afternoon Sir and thanks for the opportunity. Sir, we do take cognizan ce of the fact that there is a change in narrative. Till last quarter you used to guide us for double digit volume growth whereas this quarter you are saying double revenue growth . So does this guidance hold true

for
next fiscal as well or we are just talking for FY23?

Niranjan Gupta: This guidance is for the next fiscal which is FY24 - the double digit revenue growth for the industry .
Shashank Kanodia : Okay. Secondly if you can help us, dissect more of a rural demand because on one hand we do read about new better rate realisation for the farmers and a double digit tractor sales but on the other hand I think two wheeler as a segment is not really picking up pace. S o is that category well panned to be in rural India which is something which is being denying in the past, so how do we report it?
Niranjan Gupta: Let me request Ranjivjit to talk about the rural demand and how does he see panning out .
Ranjivjit Singh: So we are already seeing somewhat of a recovery coming in rural , we are seeing these green shoo ts which are in markets like UP, Bihar, MP, Rajasthan just we are seeing reasonably good growth there and we think that this is just the beginning , like I mentioned that there is a marr iage season that is ongoing that will continue for a few months , the crop outlook has been good , overall the re is stability in the system . So we are looking at people really com ing out being on the move, their needs for personal mobility will continue to increase and we will make it easier for them to buy with our retail finance and many other enablers that we continue to work on . So we believe this is a time when there will be positive outlook from a rural perspective specifically , and that we will of cou rse play to that .

Shashank Kanodia: Sir can we share some color on penetration levels for two wheelers in rural vs urban , if you have some ?
Ranjivjit Singh : So typically it is about 45% is the penetration and that gives a lot of headroom for growth for us in terms of when you benchmark versus other economies in other countries and that makes it a fertile ground for building out future growth. As Niranjan mentioned in his opening comments also in terms of t he India outlook , I believe that will also play an important role in terms of how the industry will perform and within that how well placed we are . So overall it seems like a reasonably good space for u s to be in.
Shashank Kanodia: Sure Sir thank you so mu ch and wish you all the best.
Moderator: Thank you. The next question is from the line of Jay Kale from Elara Capital . Please go ahead.
Jay Kale: Thanks for taking my question. Sir my first question is regarding the first time buyers and replacement buyers trend that you are seeing . In the last one or two years , have you seen a lot of replacement buyers kind of postponing their purchases and in the recent festive event recent marriages that you are s peaking of , are you seeing that coming back and also if you could throw some color on what used to be the typical replacement cycle , how has that got elongated to and how do you expect it going forward ?
Ranjivjit Singh : Overall I think the market is looking and we ar e pleased to see the recov ery coming back into the market after a hiatus of last two to three years . It was really affected by COVID , so overall volumes are coming back in the industry. The first time buyers are coming back. R eplacement is where also



people who had delayed their decision in terms of th e need to replace the vehicles , that second hand used vehicle market is also quite buoyant right now. We are driving a lot of initiatives to enable people to be able to exchange their bikes through the DIY kind of app that is available now on everyone ’s mobile phone . They can get a quote from Hero for their old bike through the broker system and it is the first t ime phygital kind of thing that anyone in the industry has come up with and it makes it really easy for someone to get an evaluation , g

o and then exch ange the bike and buy a new one. We also have Hero Sure outlets which are helping people to buy a refurbis hed bike or even a new bike and I think these are the things that will really he lp drive the replacement demand. T here is a fairly good double digit replacement buying around 20% in terms of the customers that are out there and these are good opportunities for a leader brand like Hero to be able to help consumers make their move .
Jay Kale : Understood and just on the scooter demand , it seems last few months scooter demand coming back probably because of opening up of schools and colleges . Now going forward , how do you expect this scooterization trend , do you expect it to kind of largely pan and this I am talking about ex of EVs, and ICE scooters, to kind of stabilize at that 30 % to 33% range or you expect that there is further room of increasing this contribution for the s cooter industry , ICE specifically ?
Ranjivjit Singh : Yes great question. I think we have also seen that the overall industry for the s cooter demand has been going up. We have been strengthening our position. We grew our market share from 6% to 9% already and with the launch of Xoom and the launch of the portfolio as we go forward , we will be further strengthening it. What is underlying this is obviously a multi -utility kind of a vehicle as well as very much the sporty needs and the more thrilling needs that people have to go out for that exciting ride over the weekends or even you do the night rides with better lighting systems that we have provided in our scooters . So we see the growth of the scooter industry , it show n a very resilient growth and we see no reason for it to change. We think it will continue and we are in terms of our portfolio well placed to take advantage of that .
Niranjan Gupta: Having said that , like what Ranjivjit said, overall if you look at on a very big picture perspective , over the last three to four years while quarter -on-quarter the share of scooter versus overall has shifted down and up , but it remains between 30 % to 35% range as a scooter versus overall t wo wheel ers. We do expect it to remain within that range moving forward as well .
Jay Kale: That is helpful. Thank you and all the best.
Moderator: Thank you. Ladies and gentlemen that was the last question for today . I now hand the conference over to the managemen t for closing comments.
Umang Khurana : Thank you everyon e. Thanks for coming in. H ave a lovely day ahead and look forward to speaking to you soon . Bye!
Moderator : Thank you. On behalf of PhillipCapital India Private Limited , that concludes this conference. Thank you for joining us and y ou may now disconnect your lines.

# Call: May 2023

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Scrip Code: HEROMOTOCO The Secretary,
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Sub: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2023
Dear Sir(s),
Pursuant to the Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of earnings conference call for the quarter and year ended March 31, 2023.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
Dhiraj Kapoor
Company Secretary & Compliance Officer


"Hero Moto Corp Limited
Q4 FY23 Earnings Conference Call "
May 05, 202 3

ANALYST :
MR. NISHIT JALAN – AXIS CAPITAL LIMITED





Moderator: Ladies and gentlemen, good day, and welcome to the Hero MotoCorp Limited Q4 FY23 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant will be in a listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Nishit Jala n from Axis Capital. Thank you, and over to you.
Nishit Jalan : Thank you, Aman. Good afternoon, everyone. Welcome to Q4 FY23 Post Results Conference Call of Hero MotoCorp. Firstly, I would like to thank the management for giving us this opportunity to host this call. Without further ado, I would like to hand over the call to Mr. Umang Khurana, Head . Investor Relations. He will introduce the management and take the call ahead.

Over to you, Umang.
Umang Khurana: Thank you, Nishit. Good day, everyone. Welcome to the Quarter 4 and Full Year FY23 Investor Call. We have on the call with us today, and it is my pleasure to have Niranjan Gupta, Chief Executive Officer; Ranjivjit Singh , Chief Growth Officer; Swadesh Srivastava , Head of Emerging Mobility Business Unit. We will begin the call with opening remarks from the CEO.
Over to you, Niranjan.
Niranjan Gupta: Thanks, Umang. Good afternoon, good evening, depending on which part of the world you're joining from. I hope you, your families and colleagues are staying healthy and doing well. I am privileged to participate in this call as CEO of Hero MotoCorp. I'm sure you will continue to give your support, as you always have, as we craft the next chapter in this journey of our great company. You would have seen our res ults announced yesterday evening.
Our revenues grew by 12%, EBITDA by 31%, and profit after tax by 37%. Our margins have recovered to 13% in the quarter, improving by close to 200 basis points on a year -on-year basis. Our focus on non -product revenue strea ms will continue leading to PAM business registering highest ever quarterly revenue of INR 1,271 crores at 15% of the revenue, and we registered full year revenue of close to INR 5,000 crores, growing close to 25%.
We are excited about the coming fiscal an d expect to build on our market share and margin recovery. We have a host of new launches lined up, and we will be launching new products every quarter in this fiscal. We've already announced our accelerated plans to roll out VIDA across the country with a n aim to cover 100 cities in the current calendar year. At Hero, we have the widest and deepest distribution system in the country, and we will be leveraging the same to ensure our reach on EV business.
Indian economy continues to be resilient, as you have seen and is one of the fastest -growing major economies in the world, despite concerning challenges as financial sector inflation and geopolitical issues. All the key indicators are moving in the right direction, and we expect the economy to outperform mos t other countries.


Buoyed by the economy and the other trends that we see, we do expect two -wheeler industry to clock double -digit revenue growth this year. On that note, let's open the floor for Q&A. Over to you, Umang .
Umang Khurana: Aman, let's begin wi th the Q&A, please.
Moderator: First question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Congratulations to Niranjan on your new role. So firstly, could you just talk us through what's really been happenin g in terms of underlying trends, rural versus urban, how did recent festive Navratri go versus made some color on what's really been happening on the underlying ret

ail
demand. And it does seem going by FADA comments that the channel is a bit understocked. So could you also talk or indicate as to where our channel inventory is and what's the thought process on restocking?
Niranjan Gupta: Thanks, Gunjan, and thanks for the wishes. As far as underlying trend is concerned, what we have seen is you have seen the overall double -digit growth happening in the two -wheeler sector in fiscal year '23. We expect the trend to continue. Of course, premium is growing much faster than the commuter, but we do expect commuter sector also to come back. The initial sense of the recovery is good in terms of the rural as well. And we do expect the government's pla ns on the capex spending and the actual capex is to actually come into results as far as employment and income , and accordingly, the spends are concerned on the rural sector. Let me just hand it over to Ranjivjit to elaborate on this further on the underly ing trends.
Ranjivjit Singh: Sure. So firstly, it's really good to see the industry bounce back to growth. The overall two -wheel industry has had a good growth. And in Quarter 4, we grew faster than the industry. We grew 3% market share quarter -on-quarter and over 2% year -on-year. So that was good.
Overall, our share in motorcycles was 51%. So that was an excellent recovery that we've had.
And we had also talked about in terms of segment, 125 cc, we have increased our market share in Q4 to 22%, which was earlier at around 14%. So it's a great, great bounce that we've had now.
I'll talk a little bit maybe later on in terms of the underlying reasons for that.
In entry, again, we've had a good improvement in our market shares. We saw an uptick in rural in Mar ch, thanks to the festival season. We see that continuing even now as we've got into the marriage season. Overall, it's a broad -based growth that we are seeing across Entry, Deluxe, 125cc, included in that as well as scooters and premium. So it's looking q uite positive right now.
Gunjan Prithyani: Anything on channel stock?
Niranjan Gupta: As far as channel stock is concerned, we continue to be around the same zone of 6 weeks of the future sales as the inventory.
Gunjan Prithyani: Okay. My second question i s on the VIDA. Clearly, there seems to be some change in the

strategy with the price adjustment that we have done. So could you give us the rationale as to why did we change the pricing? Are we looking to get more aggressive from scaling this business


now versus earlier indication that we are more in a test mode? So some thought process around that.

Niranjan Gupta: So Gunjan, this repricing is across the industry. Definitely, the repricing helps access to more customers in terms of the EV category, and that 's what you've highlighted that this should enable faster EV penetration in the scooter category. Swadesh, would you like to add something?

Swadesh Srivastava: Yes. Thank you, Gunjan, for that question. As Niranjan said, for the EV category, this is a good change. And as you also have seen in our announcement that we are going to 100 cities this year. And with the new pricing, we expect to grow really fast through our strength in the distribution network as well. So it's a good thing for the category is tha t's what I can say.

Gunjan Prithyani: Okay. Got it. I'll join back the queue. Thank you.

Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.

Amyn Pirani: Congratulations Niranjan on the new role. Actually, my first question is a bit related to that. I mean, I think this is the first time in Hero's history where we have an outside professional holding the role of CEO. So can you give us some broad idea as to and I think you've announced VRS at a non -worker level. I mean, I don't know if this is the right forum, maybe you want to do this at a dif

ferent forum. But is there something that you can tell us in , is there any new formation around strategy for the next 2 to 3 years? How are you thinking about it? Is there something that you would like to guide us from a medium -term point of view rather than just the quarter or the year?

Niranjan Gupta: Amyn , thanks a lot and like what you have said. It probably calls for a different forum to outline the overal l road map. However, I just want to share a couple of thoughts. Look, finally, the focus on customer is what is going to create the market cap. The very simple philosophy being that customer’s love translates to more products being bought at a higher price premium and for a longer period of time. And that with a viable business model creates a market cap. So in the end, that's going to be the focus.

Of course, the road to that will be accelerated and we'll be looking at various parts of our strategy in orde r to achieve that goal. But more about that later, and thank you for this.

Amyn Pirani: Sure. Hope to hear more of that, maybe at a later date. Secondly, on the near -term market share and volume trend, so I mean, like it was widely pointed out, is in the f ourth quarter, you did see a market share improvement. But if I look at on a full year basis, there were still losses both on an overall basis as well as motorcycle. At least April is just one month, maybe you should not extrapolate, but it has started off a slightly relatively softer note for you compared to the other players.

So what should we think about in terms of launches? Because while Splendor is a great product for us, and it continues to be a great product, it has become a very large proportion of our volumes. How should we think about launches and segments and market share as we look into the next 12 to 18 months?


Niranjan Gupta: So Amyn , let me start and then I'll ask Ranjivjit to add on. Yes, if you look at a full year basis, there is a loss of market share. But if you look at the trend , last 4 -5 months trend , not dispatch trend, but actually, if you look at Vaahan retail market share trend, the trends have been on the improvement.

Now yes, there are things to be addressed, and you rightly pointed out, we have plans to ensure that we do have products other than Splendor in that segment, and Ranjivjit will talk about that. Even beyond that, not just that, we are going to focus, as we said, in accelerated recovery in 125cc segment.

We have lau nched various Xtec variants. You will see a lot of them resulting in full year volumes and therefore, growth in the year, which is what gives us confidence. You will see a lot of launches in the premium segment in the coming year, while I can't specify the dates of those but just watch out for those. There will be big launches that have come up in this fiscal year, which will then ensure that we can build the right premium portfolio and get our market share on that. So we have, as I said in my opening comme nt, we'll have product launches every quarter of this coming fiscal year. And probably this fiscal, we'll see the maximum number of launches that Hero's ever seen in its history. So that's what. But watch out the space, I'm sure we are excited.

And when yo u come to all the details, you will be excited as well. Let me just hand it over to Ranjivjit to talk about how we are going to plan Splendor and the plans for that.
Ranjivjit Singh: Yes. So let me just start with the entry level. HF Deluxe, we continue to add value to this beautiful product. We've introduced the canvas and we've added features like tubeless tyres and the USB charger. Customers are loving it, and that's also become a brand of choice in the product of choice in rural markets as well as in ur ban, semi-urban markets. So we're seeing a lot of great traction coming back into HF.
Then if you flank further over

to the Super Splendor Xtec, again, some great features you've brought in like LED headlamps, Bluetooth, USB, digital speedometer. Customers are loving it. It's off to a really flying start in Uttar Pradesh, Bihar, West Bengal, and the marriage markets are taking it up very, very well.
If you then move to Xoom, which is our scooter, which has industry -first and segment -first features like the corner -bending lights as well as wider, bigger tyres and it has the fastest acceleration. That's something that we've been really surprised by the demand for it. We have ramped up our supplies. We are on to a better level now. We've added market share alre ady in the 110cc segment. And as we improve our supplies, which have already happened, we will see a dramatic improvement in that segment as well.
If you then look at flanking Splendor, we are working on something for a launch within this quarter and a bra nd which is really one which is most loved one of the highest selling the Passion Plus is something that we will see a lot of excitement around soon. And I'm sure everyone would get excited by the volumes that, that will get in.
And then like Niranjan said, we have a pipeline, a very, very exciting pipeline. We will have more news to share with you as we go along. But literally, FY24 is going to be a great year.


Amyn Pirani: Great. We look forward to it, and I'll come back in the queue. Thank you.
Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: Congrats Niranjan on your additional responsibilities. My first question is on pricing. We have been disciplined in passing on price hikes to consumers over the past 18 months. As you build out your EV franchise starting FY24, is it possible that price hikes on the IC E two-wheelers could help cost upsize the higher proliferation of electric two -wheelers, which maybe take longer to attain profit breakeven? Any color here would be very helpful.
Niranjan Gupta: Hi Chandramouli, thanks a lot and look forward to meeting you soon. In terms of the pricing on cross subsidy for two -wheelers, firstly, you are right, the industry , we've been very disciplined, very judicious in terms of price increases, ensuring that we accelerate our savings program so that the entire burden doesn't get passed on to the customers.
Moving forward, as far as commodities are concerned, we don't expect the escalat ions in the commodity like we have seen in the past, and that definitely provides some headroom, whether you call it further recovery in margins or whether you call it funds being available to kind of plow behind the growth engines, whether it is growth wi thin ICE or EV. So I wouldn't say so much of from a cross subsidy point of view, but it definitely provide the environment , definitely provides some headroom of recovery and boosting the P&L moving forward.
EV, as you rightly said, is going to be cash burn for a while. The important thing in EV, in our view for success is probably not to look at so much at what's happening on the cash burn. But to stay ahead of the market of the competition on the cost curve because players who can actually deliver the EV i n the most cost -efficient manner are the ones who are likely to be winner faster and which is where our teams are working on that.
And in fact, at this stage, let me just ask our Chief Procurement Officer, Ram Kuppuswamy , who is here with me to just say a couple of minutes on overall how we are focusing on the cost reduction journey on the EV part of a scheme of things. Ram?
Ram Kuppuswamy: Lovely to speak to all of you today. At Hero, we take cost reduction very, very seriously, and there is a rigorous program called LEAP and LEAD that we follow to drive this across the ecosystem. And the three aspects of it, which I'll highlight today, wh

ich drive the results that these programs deliver.
The first is across the entire ecosystem from partner through the customer service centers, all the different stakeholders in this value chain contribute ideas, which are vetted and put through a funnel based process to ensure that we are looking at efficiencies at every step of the chain. The second aspect of this is no idea is too small. We look at every aspect of cost in this overall value chain, and we attack it to ensure that we are driving the right level of efficiency.

And lastly, I think we also make a regular look at our competition. We look at similar products. We do teardowns to ensure that we are understanding what the market is doing, what the rest of the world is doing. And then we use that to inspire ourselves in terms of ideas that we should be



looking at a lot more closely. So that gives us a strong progra m that we are able to run continuously through and drive efficiencies back into the business.

Niranjan Gupta: Thanks, Ram. Back to you, Chandramouli.

Chandramouli Muthiah: Got it. Correct. That's helpful. My second question is on the rural consumer, which you have touched upon briefly earlier in the call as well. There seems to be some diverging commentary , consumer discretionary companies are talking about an emerging pickup in the rural consumer cohort, but some of your two -wheelers peers are saying it's not visible yet.

So just from your vantage point, what is the urban versus rural market footfall and then maybe dispatch momentum in your showrooms. Any color here would be very helpful. And lastly, if you could just share the spares revenue for the quarte r and the export revenue for the full year.

Niranjan Gupta: All right. Ranjivjit, if you could comment on the rural urban quickly.

Ranjivjit Singh: Yes, sure. So we've seen this a little bit of a sinusoidal kind of a curve on rural urban. What I said earlier is that in March, we saw with all the festivals, the Pongal, Ugadi, Padwa, the demand really went up in rural. And it would be a mixed bag , I can understand for the industry because people at this time a re careful with their money. They will go with brands that they trust. There are brands that have a customer service which is really deeply rooted, such as ours. We have the widest, the best dealership network that we do. And HF Deluxe, Splendor are also w orking very well.

The other thing which is there is due to inflation, there are some resistances and what we do to overcome that is the retail finance penetration, which has gone up dramatically already to about 59%. So there are steps that we have taken t o make that very simple and easy for our customers to buy. And when it comes to the uptake in terms of marriages or festivals, we definitely see an upswing there.

So the underlying growth , it was not only in March. We also see that now in April and May, an d the marriage season will continue in June with the effect of the harvesting, the rains, everything, we still think it's going to be a well -balanced growth that we will see.

Niranjan Gupta: Chandramouli, on the parts revenue of our PAM business that you t alked about for the quarter, as I mentioned, we did INR 1,271 crores, which just in the previous quarter, Quarter 3, was around INR 1,250, year-on-year basis, if you look at it, was INR 1,151 crores for the Quarter 4 FY '22. And full year was INR 4,835 cro res versus INR 3,934 crores, which is a growth of around 23%. As far as the global business revenues are concerned, we delivered INR 1,150 crores revenue for the fiscal year '23.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

Moderator : Thank you. Next question is from Kapil Singh from Nomura. Please go ahead.



Kapil Singh: Can you share some details on how many new launc

hes and refreshes we are planning this year?

And also on early launch, should we expect that this year, we saw some ve ry interesting exciting images in media. So anything you can share over there would be helpful.

Niranjan Gupta: So Kapil, in terms of the launches, while I will not specify the numbers, but a couple of comments I can make. One, every quarter, we will have a new product launch. The year will see maximum number of launches that we've ever seen in the history of our company. You can then add up the numbers and come closer to the numbers that we launch. As far as Harley is concerned, yes, the product we will la unch in this fiscal itself, it will be soon. And you will see the time line and the plans coming out. So just watch this space.

Kapil Singh: Okay. Great. Great to hear that. On the cost side, could you give us an update on how much cost decrease or increas e you saw this quarter? And what are you expecting going ahead? And also on the pricing front, what was there in March quarter and for the June quarter with OBD II norms, what has happened on pricing ?

Niranjan Gupta: So Kapil, as far as cost is concerned, you've seen that our margins have recovered by 200 basis points year -on-year basis, of which around 70 -80 basis points is coming to the leverages on the other expenses. And the rest is a combination of the commodity costs as well as LEAP savings.

Moving fo rward, while I've always said that it's very difficult to forecast commodities. But overall, if you look at the scenario, it's unlikely that the inflation in the commodities will be of

the orders that we have seen in the last 2 -3 years. So that does provid e headroom whether in
terms of containing the price at the current level or actually deploying mild price hikes and are
deploying back behind brand and marketing spend.

As far as price is concerned, overall, cumulatively, if you look at fiscal year '23, we took close
to around INR 4,000 increase. And April 23, the increase that we took amounted to close to
around INR 600 per vehicle basis.

Kapil Singh: Okay, sir. Thanks so much. I'll come back in the queue.

Moderator: The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Niranjan, congratulations. And I think another set of congratulations for the result as well. So
my first question, Niranjan, is on the 125cc side because you did say that 4Q, you have seen
some market s hare gains kind of coming back, but we are still a long way off from where we
used to be in terms of the market share like closer to 50% a couple of years back.

So if you can help us understand on 125cc and then the scooter segment as to what the kind of
numbers or targets which you would be happy with our kind of market share gains, which you'll
be happy with. So it kind of gives us visibility on the runway for these brands we can come back.
That will be the first question.

Niranjan Gupta: Thanks, Pramod. As far as 125 cc is concerned, absolutely right you are, that our path to recovery
will not stop here. We need to get back to what the market shares were. And actually, we see
that as an opportunity overlaying on where we are today, that that's the road ma p that we have



in the recovery. And you will see backed up by a lot of actions over the next couple of years to
actually get back to the share that we were.

As far as scooter is concerned, as you know, scooter, there is an EV penetration also that's
happening faster. And therefore, the way we are looking at the scooter is on a combined portfolio
basis, which is not just the scooter in the ICE, so the scooter on EV as well because that's the
best way to look at the scooter on EV.

Clearly, you've seen our plans, which we outlined that the initial 3 -4 months are more of a setup
and now more of a scale up, which is where we have said that we go to 100 cities plus

leveraging
our own distribution system. Let me now hand over to Ranjivjit to just talk a bit more about the
125cc, the actions that we have taken and how we are confident of recovering market share
moving forward over the next 2 years back to our highest ever that was.

Ranjivjit Singh: Yes. So Glamour Xtec is on an upward trend with the campaign t hat we have with Ram Charan
and the consumers are really loving the Xtec features; the LED headlamp, the styling, all of that
is working very, very well. We also have the Super Splendor Xtec, which has got off to a really
great start.

We will have more act ion in this segment as we go along, and what we see is it's going to be
broad -based across the nation, across the country that we will see the recovery is happening, and
we are looking at building up the momentum as we go along month -on-month for the 125cc. So
that's something I wanted to just put out there.

Niranjan Gupta: Absolutely. And Pramod, let me also now call upon Ms. Reema Jain, who is our Chief
Information and Digital Officer, to talk for a couple of minutes because you talked about 125cc.
Not on ly that, but we have a lot of connected features that we are bringing in our product on our
path to the entire digitization, not just the processes but of the products as well, which gives us
the confidence to ensure that our recovery path on the market sh ares and refreshment of the
products is stronger.

Over to you, Reema, to talk about how we are building all these connected things in the product
processes and digitization.

Reema Jain : So hello, everyone. Nice to talk to all of you. So as we're bringing a new set of bikes, most of
them are coming with connected features. And what we mean by connected features is there is
a new experiences, which we are creating for our users so that they can interact with the bi ke
much more effectively. And they can really use the bike, they can use that as more of a
smartphone on the wheels, and that's something which we are seeing that our customers are
loving.

We are seeing the highest number of install ed level for our app, which is our Hero app, and there
is a great amo unt of overall active users on a daily basis on our app. So that's something which
we are really seeing as a great in traction from the customer.

Niranjan Gupta: Thanks, Reema. And what happens Pramod is that we continue to talk about products, products
and products , but all these connected features that come on the products, whether it is on ICE or

of course, EV far more allows us in future to not just focus on getting revenues on the product, but act ually monetization of all these services that you overlay on these, including the one app, especially given the huge customer base of 110 million that we have. I hope that answers your question, Pramod.
Pramod Kumar: Yes, yes. And the second question, Nira njan is on your approach as a leader of the organization now. As to how do you see , when you look at the next 5 years for the organization, what are the things which are like the key priority for us, right? Because we've seen market share loss. We've seen margin erosion. We've seen some segments where Hero could have done much better as a franchise, right?
So given all that and the electrification, which is a parallel run, a pretty disruptive one, what are the priorities for you? Is it volumes or success in some segments? And how do you see margins in that context? Because EV ramp -up is definitely can't be accretive for the near term. So, how would you look at this from your vantage point on, Niranjan.
Niranjan Gupta: Interesting question, Pramod. And as I s aid to Kapil as well that it does require a separate specific forum to outline so that we can share thoughts, exchange inputs and then you can get more view on our longer -term refreshed strategy as well, which is work in progress. Ha

ving said that, let
me just again share a couple of more thoughts on this. You talked about margins. We have seen the margins are on the path to recovery. And we've been very sensible about deploying the price increases versus the margin recovery. In terms of ensuring that there is a top line, bottom line because eventually, it's about profitable growth.
It's not about one or the second, which is it will maybe be about volume or this one. I mean you've got to breathe, you've got to walk, you've got to work, you've got to sleep all of it. It's about how do you balance these factors in terms to ensure that we have profitable growth journey as you move forward.
Shares, yes, as you have said, there are citadels where we are strong, where we have maintained our strength. There were seg ments that we had lost shares some couple of years back. We have actually strongly defended those and that you have seen. There are opportunities. The way we see it is that where we are standing today, the big opportunities for us in the premium segment is a big opportunity for us in ensuring EV leadership.
Remember our scooter portfolio in the ICE segment, we have a market share of 7% to 8%. So any EV or electric penetration that happens is accretive to our overall market share. And you have seen the plans on the outline. On the geographical concentration, clearly, we have work to do on scaling up the global business.
And of course, as we have always said that we will not shy away from any kind of opportunities on the M&A front in order to increase our top line in line with the strategy. So that's a very, very brief outline. We will be obviously focusing on prioritization and choices and of course, accelerating and moving the wheels faster, so to say, as we move forward. For the time being, this is all I ca n say and more as we meet on different forums, Pramod.
Pramod Kumar: Great. I wish you all the best, sir. Thank you.




Moderator: Thank you. Next question is from Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: The first question would be on VIDA. We've seen price corrections. So is there any aspirational volumes that you have in mind? It could be breakeven, it could be or is the first milestone for VIDA? Could you comment on that, please?
Niranjan Gupta: Let me ask Swadesh to take that. Swadesh?
Swadesh Srivastava: Thanks for the question. Yes, as we announced already, the last few months have been a setup month for us, and we have done very well in the initial three cities. We are already live in eight more citi es; Pune, Ahmedabad, Nagpur, Nasik, Hyderabad, Chennai, Calicut, and Kochi. And we will be going over 100 cities in this calendar year. And with that, you'll see fast expansion as we are going to utilize our distribution strength. And I won't be giving a p rediction, but you'll see a very fast increase of our volumes as well across these cities.
Arvind Sharma: If you could just share the current production capacity that you have for the VIDA, if you could possibly share about that?
Swadesh Srivastava: So our capacity is quite fungible actually on the vehicle side, and we have enough and more capacity to flex as the demand shifts up. And we have done a similar exercise on our battery capacity as well.
Niranjan Gupta: Good thing in that, which we have outlined earlier as well, that we've got plants, I mean EV is getting manufactured in our Tirupati plant. And therefore, you have the infrastructure, you have the utilities, you have everything. You have the suppliers. And therefore, in terms of the capacity

ramp -up, it can always happen in line with the demand.
We don't have to buy a new land. We don't have to actually buy new utilities, it will not be a constraint as we grow. It's more about our strategy to move. And in that, we have pivoted already as far as dist ribution is concerned, whic

h you can see very clearly that our focus on leveraging our current distribution, which is to the nooks and corners of the country, places us in a strong advantages position.
Arvind Sharma: Sure. Second question would be on the I CE motorcycle portfolio. I understand that a lot of focus on the 125cc. I just wanted to gather your thoughts on the even higher, the Xtreme and the XPulse brand. Are there any new products or new variants coming there? Because there was a big growth and o ver the past few quarters been slightly on the more sluggish part. So is there any new product enhancement that's happening there? Or any other focus on that? I'm talking about that 150 cc and above category?
Niranjan Gupta: Yes, absolutely, Arvind. As we h ave outlined that we would be covering the premium segment across the CC or the engine capacity as well as across the product segment within premium, which is a 150cc to around 450cc that you are talking about. I did talk about some of the new launches that we will do in the upcoming years, and you will see that a few of them will be in the premium segment, which are in the higher CC.


I won't give out any more details. But clearly, it's not the 125cc is the only focus. 125cc is about recovery of market s hares. Premium is about building portfolio and which is where you will see the new launches coming up across the higher CCs, including the ones that we just talked about earlier in the call.
Ranjivjit, do you want to supplement something on this, our focus on the premium and how we are addressing that in the coming year?
Ranjivjit Singh: Sure. So firstly, XPulse is in the off-roading adventure segment is already the leader, and it's doing very well. It's become a favorite not only in niche and pockets but n ow the popularity is going across the country. And as we bring in more and more products to represent the aspirations of the premium consumer, I believe that's how we're going to really build up our position in that space. So overall, I think we're going t o be well positioned in FY24, and there's a lot of excitement that you're going to see in this space.
Arvind Sharma: Thanks so much for taking questions.
Moderator: The next question is from Rakesh Kumar from BNP Paribas. Please go ahead.
Kumar Rakesh : Hi, good afternoon. First of all, congratulations Niranjan on your promotion. I would highly appreciate you hear your medium -term plans on a separate platform. We already see change in EV ramp -up plans, looking forward to hearing more of such moves.
My first question was on the demand side. For the last 2 years, unfortunately, we have gone into festival season with a lot of optimism around demand. And post -festival season demand typically hasn't stood up to those expectations and has softened down. What are th e drivers which we are seeing this time around that gives us hope that the demand hopefully will sustain at strong levels? Or there is still some level of uncertainty on demand sustaining?
Niranjan Gupta: Thanks, Rakesh. And certainly, we will have a platform where we'll share more. And you've already seen a couple of things, which have come in the market, some of which you pointed out.
On the demand side, you're right, the post festival probably wasn't as the expectation. Having said that, if you real ly look at some of the , let's look at it on a macro basis, the capex spending of the government of INR 7 .5 lakh crores and then moving up to INR 10 lakh crores this year's a huge amount of money. Now by nature, the impact of the capex spending always comes with a lag. And therefore, that's a big factor, which we see, which will actually boost the demand moving forward.
The second factor is we're already seeing the spending in different sectors , so if you look at whether it's hospitality sector, whether you look at across the board, the consumer spend

ing is going up. Of course, post COVID, there was an adjustment in the categories where customers will open up their wallet to certain categories, first and certain categories later. But again, the consumer confi dence curve also, if you see, has been on the move.
We've seen the key indicators, whether it's a GST collection, whether it is the inflation, which is kind of fine. We have seen the Central Bank monetary policy, which is now broadly on a pause

mode. The forex has held stable. So a lot of headwinds, which other countries see, we are not seeing.
Now when you overlay these along with the underlying need of penetration in this two -wheeler category in India, that's very, very clearly an opportunity that we see will translate into demand sooner rather than later. We've already seen that demand translating in the mid and the premium segment.
If you look at in the premium segment, which is 150 cc and above, the motorcycles have grown by 28% in fiscal year '23 compar ed to the overall 14% growth of the total motorcycle. So you can already see that one part of the India started growing and started spending and being more confident about it, it's only a matter of time when the other parts start participating in this category.
Ranjivjit, a little bit more color on the drivers of the demand that we see and why we are confident about rural demand coming down.
Ranjivjit Singh: Yes. So like I said, the green shoots we've already witnessed for the full year, of course, 14% to 16% of the industry growth. Q4 was about 5% for the industry. We did better than that. And that's really was something that we are again seeing in April as well that we have had a pretty good balanced growth coming in relative to the market, relative to the industry.
When we look at May and June, the number of marriage dates that there are and that also then drives buying in this season. We see that opportunity going out. If you remember last year, during the festival season, we led the industry growth when it came to the festival demand, we grew by about 20%. So that was pretty good. And then we've had a good Q4 as well.
With this kind of a widespread sort of demand growth coming in with the macro and the other things that Niranjan spoke about, we see no rea son not to have a good sort of a balanced demand coming through for two -wheeler industry.
Kumar Rakesh : Yes. My second question was about two quarters back, managing, we had discussed about how Hero's headcount has been divergent from the production that t he company has been doing. And now I see you have announced the VRS scheme. Can you please share some detail around or how many employees you are expecting to participate in this scheme or how many employees are eligible to participate in the scheme?
I see that your headcount at least the permanent employees this fiscal year have been largely flattish Y -o-Y. So they would be around slightly above 9,000 and possibly another 19,000 on the temporary employees as well. So total headcount about 29,000. So what k ind of reduction you would be looking at?
Niranjan Gupta: So Rakesh, a couple of things. One, of course, in the journey, we do believe that VRS is a process of ensuring that you refresh the talent, refresh the people. And of course, every 4 to 5 years, there's always needs in the organization. As far as the continuous process which is there.


The second thing is that the current VRS is focused, was focused on the staff, where the headcount overall average around out of the permanent, which we talked about 9,000, it's around 4,500, the staff cadre . So this is focused on the staff cadre , not on the worker cadre and which is what we are focused on. Quantification, we will give in the upcoming quarter results and not right away, but I can safely say that whate ver

overall, we would have expected as a churn, the scheme has resulted in that.
So sufficient to say that, and therefore, we continue to focus on not just the cost aspect of the manpower. It's about the entire capability. It's about the talent, it's about succession planning, it's about diversity and inclusion. So on the manpower front, cost is just one simple item. I mean, eventually, it's about the productivity. And productivity is not just cost as a percentage of revenue.
Currently it's about the compos ition of the manpower, the right org (organization) structure, the right people in the right places, capabilities that you have, the org (organization) structures that you have, the multiple things that go into that, and we are focused on all those drivers to ensure our people productivity at the highest level.
Kumar Rakesh : Thanks a lot in answering that. I'll fall back.
Moderator: The next question is from the line of Nitij Mangal from Jefferies. Please go ahead.
Nitij Mangal : Okay. Firstly, congratulatio ns to you, Niranjan, my best wishes. I would like to hear your thoughts on the competitive intensity in two -wheelers. On one side, we see companies supporting the highest ever profitability per vehicle , but then on the other hand instances of companies bri nging down their brands over CC categories, like the in launch in 100cc category by a competition. How do you see this evolving and especially on the 100cc category side? And also, do you think there is a risk of a price discipline breaking at some stage if this continues.

Niranjan Gupta: Thanks, Nitij. Looking forward to more discussions. As far as price discipline, profitability like you rightly highlighted, that's been pretty good. We actually delivered , if I am right, the highest EBITDA per vehicle in t his quarter, probably I should have highlighted in my opening comments, but thanks for picking that up.
In terms of the competitive intensity, I would say, look, it's not like it's a departure or a new feature. I think wherever any player finds a space or an opportunity to improve or to grow as a growth driver. This will continue to happen. We have seen that in entry segment over the last 4 - 5 years, and I'm not going to explain, we all know that. And therefore, it plays out that every and it's fine. I think eventually, competition, what I see is extremely good for the customers.
It's also good for the industry because it challenges the industry to do more innovations to do better, to deliver more value to the customer. And eventually, it's about more , it's n ot about just taking the slice of the cake from each other. I think the focus of the industry has to be on expanding the size of the pie rather than picking cake from one another. And I think to that extent, the more competition, the more competitive inten sity, drives innovation and more value.


Price discipline breaking down. I don't see that because more and more we have seen at least the last 6 years that I have been even enough instances that in the two -wheeler in this industry to win. You have to compet e on the product and not on the price.
Nitij Mangal : Understood. And also, if I understand this, it also suggests you don't necessarily think you need to do anything specific in the 100cc category for this new product that has come in.
Niranjan Gupta: So this is , while we'll not lay out the plan, but these are always continuous actions that we take, where we look at mapping out what's happening on that space, competition space and how do we flank our products. So it's never about that you've got to take one product and say that on that product launch, how do we counter that? It's about our own strategy of actually segment -wise, that there's a customer need, which is there, how do we fulfill the customer needs better than anyone else can. And that focus will continue, and th

at's where we will continue.
But it's never a product against a product because it's not about one product getting launched and then we react to that, but it's about a continuous process of, as I said, to win in the segment. And Ranjivjit h as already talked about the Passion Plus, which is one such thing again, it's been on the pipeline , so it's not a reaction or a response to any of the new launches. This is an example that we continue to look at all of these spaces, Nitij.
Nitij Mangal : Okay. Got it. Thank you very and all the best.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: May I say, congratulations on the new role. Sir, my question on the gross margin improve ment which we saw this quarter. Can you talk about the factors driving that margin and quantify the impact of the price hike and the better mix. And also, sir, was there any impact of gain in this quarter, sir?
Niranjan Gupta: So Mumuk sh, I'll probably com ment more on the EBITDA margins like what I did earlier. And we see around close to 200 basis point improvement year -on-year basis, of which around 80 basis points, you can see the leverage coming from other expenses as a percentage of revenue. And of cour se, when you look at the rest of the part, there is a mix which is PAM is contributing. There's commodity cost savings, commodity cost reduction, which is there and there's LEAP savings as well, which is forming part of that.
So we are the combinations are of course, I'm sure off -line, if you connect with Umang, he'll be able to share more details. But on a high -level picture, there are the key drivers, which are there in the numbers. Sure, sir.
Mumuksh Mandlesha: And also, can you talk about some of the sa les promotion or incentives plan for to grow the volume and Executive, Premiums , Scooter segments, how you plan to support those segments, sir?
Niranjan Gupta: So as far as that is concerned, look, we have our continuous programs on our marketing and sales side, which is based on the launches. And clearly, the new launches like every year are the focus that we'll get in terms of the go -to-market strategy and the spending. But we won't be able


to outline the details of the schemes. But rest assured that we w ill leave no stone unturned to back these launches to their success path.
Mumuksh Mandlesha: Thank you so much for the opportunity.
Moderator: Next question is from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh : So first questi on, mine was on VRS, which are already answered. And second question on the margin and revenue front. Sir, I just want your guidance going forward, what we are expecting?
Niranjan Gupta: Jyoti, thanks for the question. As you know, we do not provide any sh ort-term guidance. Our longer -term guidance of being in the tramline of between 14% to 16% on the margin, that tramline still remains, and we've reiterated that tramline even when we got down to 11% margin, and you see it's getting recovered to get into th at tramline once again. So that remains.
From a portfolio perspective, our portfolio moving forward, if you look at medium term, one shouldn't look at one quarter or two quarters. Clearly, as we move forward on more premium, underlying the portfolio should be more margin accretive. And other than that, of course, the scale as it continues to play out in terms of volume growth and the savings that we do should provide the tailwinds to offset any of the headwinds that we present themselves in the future.
Jyoti Singh : Okay. And sir, currently, how many days inventory we are maintaining?
Niranjan Gupta: We continue to maintain around 6 weeks of inventory of the future sales forecast that we have.
Jyoti Singh : Okay. And sir, on the VRS front, the one curiosity I have, because of t

he VRS initiative, did we
gain any growth going forward on the revenue trend? Or is just the initiative?
Niranjan Gupta: So Jyoti, as I outlined earlier, that it's a part of the continuous process of refreshing talent. Of course, part of the outcomes of that is a reduction , an immediate reduction in the manpower , and therefore, the manpower cost that comes down. We will be quantifying that in the upcoming quarter in terms of the impact. But overall, if one has to look at the overall people side, refreshing the talent like what I talked about earlier in detail.
Jyoti Singh : Okay. Thanks a lot.
Moderator: The next question is from the line of Arvind Sharma: from Citi. Please go ahead.
Arvind Sharma: It's on the industry guidance that you gave double -digit revenue, if I may just ask what is the breakup between your ab solute volume expectation and the pricing? Because I believe there would be a fair bit of pricing as well. So is it possible to elaborate on that?
Niranjan Gupta: Arvind, look, let me just give an overall answer for that. We won't be able to quantify in te rms of the numbers. We won't be able to give the numbers in terms of what is the underlying volume and underlying price that's built into this. But having said, it's always again a combination.
So one sees that how to balance that off, and that depends on several factors. It depends actually on how the commodity costs play out, how the competition scenario plays out. But our judgment


overall and then how the mix plays out. But overall, if you look at the real GDP growth forecast of 6% to 7%, which is what v arious analysts and economists have been talking about. And if you overlay an inflation of around country inflation of around even 5%, that means that the nominal GDP itself would grow in double digits, in fact, probably around 11% to 12% of the nominal GD P growth.
Given the pent -up that we have in the two -wheel category, as we have seen, there's no reason to believe that the two -wheeler revenue growth would not be upwards of 10%. So that's the overall high-level answer. Between the combination of volume an d price, it's always a dynamic thing that plays out.
Moderator: The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.
Basudeb Banerjee : Thanks for taking my question and congrats to Mr. Gupta. Sir, if I look at the business details now, where one is expecting inclusive growth beyond just the premium bike, but also rural inclusive growth. Exports bottoming out, margin drivers coming back in place, EV scaling up.
So amidst all these things where capex is under control. We can see that the valuations of Hero have been stagnating or, in fact, lower than where it was exactly 12 months back, whereas all the other two -wheelers who might also be suffering from rural t wo wheeler weakness have moved up either through buybacks or whatever is possible. So looking at your balance sheet here, are you thinking of enhancing payout ratio further or doing buybacks like your peers in order to look at the valuation aspect down the line?
Niranjan Gupta: Thanks, Basudeb. I nteresting question. So and good to hear from you, Basu. And we don't usually see you asking questions and would like to meet and maybe we can set -up that meeting.
On the capital allocation, you've seen that our payout ratio has been one of the highest in the industry. And we've been very disciplined about the way we pay out on the dividend, which is , I think we've paid out between 60% to 70% of the profits in the last 4, 5 years. Clearly, we also keep an eye on the per share dividend. And overall, the div idend per share for this year is INR 100, including interim and final, which plays out around 70% of the profit.
Like you rightly said that we have a very disciplined capex model. We have the scale up that's happening on th

e EV, the growth drivers on vario us things. And yes, I mean, in terms of all of
that, and we have negative working capital as well. So the more business that we do, it generates more cash.
So in terms of capital allocation, we continue to, you have seen in the past, you've also invested or deployed capital behind the right opportunities. For instance, we invested in Ather . We continue to participate in Ather, we hold close to around 35% shareholding, which is doing well. We invested in Zero motorcycles, which is from a future perspective, we've invested in the NBFC, which is Hero FinCo rp, which is doing well.
So we continue to do this capital allocation , it's a continuous evaluation by the Board where the money is required. And of course, all the other options, like you mentioned, are alway s on the table, but they are part of the continuous evaluation. I would say that once we do the right things




and get the right results, the market cap would take care of itself. So really, I wouldn't talk more about market cap.
But yes, take your inputs an d your suggestions very clearly. And as I said, rest assured, we continue to evaluate all the options of capital allocation in the interest of the shareholders and the long -term business.
Basudeb Banerjee : Simply, sir, to summarize like broader way, one of your key peers who suffered massively from export deterioration. In fact, it is 10% higher than the levels it was a year back. And you also suffered from exports but that is a very small part of your business. In fact, your domestic volume grew. An d despite that, you are almost, what, 15% lower than the level.
So from that disparity aspect, valuations are like from a dividend yield perspective, people look at. So I just to look forward to some steps from the management to enhance valuation, what wil l be possible just beyond earnings and revenue and EBITDA?
Niranjan Gupta: Sure, Basudeb. We take your inputs. And accordingly, we will incorporate that and feed that back into our stakeholder relationship committee and our Board discussions. Thank you.
Basudeb Banerjee : Thanks.
Moderator: The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Sir, just one aspect, if you could cover on exports as well. What really is happening there? And more from Hero's aspect because we have a lot of ground available to cover even if the market conditions are tougher. So what are the plans for next 3, 4 years. And we've not seen much success in last 2 years. So just if you can give some color as to what really didn't work, what are you trying to change?
Niranjan Gupta: Kapil, thanks for the question. Look, I'll just address this again from an opportunity point of view. And rightly also but evaluating based on performance on the numbers for the last 5 years, probably would not be the ri ght thing to do because setting up businesses in each of these countries itself requires huge efforts. And as I always said, we are in now 40 -plus countries.
Here is an opportunity. Overall industry, if you look at it, like you rightly said, 25% of the volumes come from global business. As far as we are concerned, probably we are more closer to around 5%. We got to scale it up to around 10% to 15% of our revenue in the medium term coming from global business.
We are putting actions in place, some of the act ions which are there, which are put in place, will take time to actually fructify. But rest assured, we are focused on this part of the geographical diversification to get to our rightful share in our portfolio of revenue.
Kapil Singh: Okay. Thank you and wish you all the best.
Niranjan Gupta: Thanks Kapil.




Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to the

management for their closing remarks. Thank you, and over to you.
Umang Khurana: Thank you, everyone. Thank you for coming in. It's been a pleasure. Happy to connect individually as well. Have a good day.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of Axis Capital Limited, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines.

# Call: Jul 2023

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Sub: Transcript of Analyst/Investor Meet – Harley Davidson X-440 launch
Dear Sir(s),
Pursuant to the Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of Analyst/Investor meet held on July 04, 2023 for the launch of Harley Davidson X440.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
Dhiraj Kapoor
Company Secretary & Compliance Officer


“Hero Moto Corp Limited
Harley -Davidson X440 Launch Conference Call ”
July 04, 202 3

MANAGEMENT : NIRANJAN GUPTA – CHIEF EXECUTIVE OFFICER
DR. ARUN JAURA – CHIEF TECHNOLO GY OFFICER
RAVI AVALUR – HEAD, HARLEY -DAVIDSON BUSINESS UNIT
UMANG KHURANA – HEAD, INVESTOR RELATIONS & RISK



Moderator: Ladies and gentlemen, good morning and welcome to the Conference Call of Harley -Davidson X440 launch by Hero MotoCorp. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an oper ator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Umang Khurana, Head - Investor Relations. Thank you and over to you, Umang.

Umang Khurana: Thank you, Ryan . Thank you, everyone. Good morning and it is a beautiful morning. We just launched the Harley -Davidson H -D X440 yesterday. This is a short call today to talk to you about and respond to all the questions you may have on the product and our strategy arou nd it.

Today on the call , we have with us our CEO, Niranjan Gupta, our Head of R&D, Dr. Arun Jaura, and the Head of Harley -Davidson Business Unit, Ravi Avalur .

We'll start with some questions from the gr oup that we have in person here and then take questi ons from the online participants as well. Ryan, I'll keep pinging you as we go by. I'm requesting the groups here to please speak up on the mics and we'll respond to the questions accordingly . Thank you for coming in and we'll open it up for questions. Fir st, from the group here.

Vivek Kumar : Good morning, sir. This is Vivek from JM Financial. Could you please walk us through the royalty or the technical arrangement that we have with Harley -Davidson on this product, licensing fee, all those sorts of detail s, please.

Niranjan Gupta: I think what's important is you've seen the launch, the model that we launched yesterday. It's 440cc. It has got features that you saw yesterday, which are best -in-class , some are next in class features. We have landed this at a very attractive introductory price. The bookings will open today , which will be pan-India. The booking amount will be INR 5,000 only. And you can already see the excitement that it has created yesterday. I think that's enough for this, n ot what the royalty , commercial arrangements are. We are here to win in premium, whatever it takes. And I talked about it in the investor day as well. And clearly, you can see that we are taking actions which are in line with the strategy that we laid out.

Vivek Kumar : Thank you very much. My second question is pertaining to exports. So yesterday, you know, we heard that it is an India -only product. But as we can see in the industry, that exports in the premium segment ha ve also been doing very well. Certain other companies are also doing well in this segment. What is your view on exports of this particular product and by when?

Niranjan Gupta: So as of now, it’s based on India. And we are focused because India is a huge market for this segment and all of us know that. The focus is to get the India market right. And as it progresses, both the companies will continue to explore opportunities for future collaboration, whether it is geographies or portfolio.

Vivek Kumar : All right. Thank you.



Jinesh Gandhi : Yes. Hi. This is Jinesh from Motilal Oswal. Continuing on that question, with respect to the product pipeline for Harley collaboration, so we start with one product only, or there are more products which are under development which w ill be launched at a later date?

Niranjan Gupta: Right now it is the one product, I think, with three variants , that was launched yesterday. And this itself has a big opportunity. And as I mentioned, both the parties are continuing to explore, whether it's geographies or portfolios. As far as our lineup is concerned, it’s important to again reiterate that we would be launching a model whi

ch is based on a similar platform but of a different style and a little different customer profile which will co me before the end of this fiscal. So you will have that another product that's coming out.

Beyond that, also, you will see more premium products this year itself. I'm not going to reveal the names o f others, but you will see. If you look at it, Jinesh, we tal ked about, if I remember Umang, three years back, on the portfolio strategy . If you go back to my investor calls, and we talked about that we will saddle across all the engine capacities right up to 440 -450, if you go back to those calls, and different segments. And this is what you see.

We have had Xtreme 160R 4V, we had XPulse , we have now this. And you will see us launching, which are actually straddling in between as well , on the engine capacity. You will see more an d more action. It is not just about a variant on this platform, but you will see the entire lineup and range coming .

Jinesh Gandhi : Got it. And secondly, given that we'll also be having our own product on the same platform , how do we differentiate and how do we not co -compete with Harley, given that we sold through the same network? So what are your thoughts on that? Thanks.

Niranjan Gupta: They are not the similar looking model s. Like, you know, in auto, it's not very uncommon to actually have a platform approach, where you have a platform and on that platform, you can spin different model types. That is what this is going to be. We are not going to cannibalize each other. The look of the bikes will be very different . They will leverage on the same platform that we have. So it will be meant, so it's like in every segment, you have different types of customers and the idea is to address them. It is not going to be cannibalizing each other.

Jinesh Gandhi : Thank you.
Hitesh Goel : Hi, sir, this is Hitesh from CLSA . I have two questions. First is, you know, I could not make out the differences between the first entry -level model and the second level , because the features that we got, there was only a difference is the alloy wheel . Any other features which you can talk to us about between these two models, between entry -level and t he second variant?
Niranjan Gupta: I think let me ask Ravi to talk about that. What they're asking is the difference between the first, which is a n INR 2,29,000 ex -showroom and INR 2,49,000 ex -showroom. If you could just talk and maybe, Arun, you can suppl ement just in brief.
Ravi Avalur : Well, one was the machined alloy wheels and the spoke wheels that we have. We have different paint finishes. We also have a different badge - we've put a very intricately designed 3D badge


on the tank, as opposed to a painted surface and a decal. And the other aesthetic differences, pin - striping on the tank to the treatment of the side cover and battery box.
Hitesh Goel : Just a follow up on that, could we have gone with alloy wheels in the starting model itself? What was the thinking , it's a premium product right . I mean, alloy wheels don't come too expensive. Just for my understanding of the thought process there, because we are going with a good aggressive price point. So we're going to start it with alloy wheel at the entry price only. What do you think?
Niranjan Gu pta: Let me answer that question. There is a strategy behind pricing. When we launched yesterday, people were expecting the price to be INR 3,29,000. Now at INR 2,29,000, you can't package everything. There is a strategy behind pricing of the varian ts to what you do at what price. And that's exactly what we have followed.
Hitesh Goel : Okay. My second question is on distribution . Can you talk about how many, because you are going with a premium distribution, so how many dealers will we have, say, in one year, two years’ time ? Also, all the premium produ

ct that you're talking about will be available on the premium ou tlets, or it will be in normal Hero outlets also?
Niranjan Gupta: First, let's go to the bookings. The bookings which open today at 4.40 p.m., 4th of July, the date has been chosen, the time has been chosen with a purpose in mind and you can understand t he significance of that. The bookings will be pan-India . So the customers from anywhere can book our product . The second then comes to delivery. We will be delivering through different modes. The delivery will happen through Harley outlets, delivery happens through select Hero outlets , how many number of outlets that we're not going to talk at this point in time, that's not important. Delivery would also happen from wherever they book through other means , it could be home deliveries, test rides would be available at multiple places. So these are models now which are very, I would say , it's a combined model of delivery . And one need to segregate between creating customer interest, which is what we have done yesterday and more and more media that will do , to the bookings where the customer express the actual demand on that , to the delivery - test ride and the delivery. So all of these, we have plans in place . We are going to ensure that, majority of customers who want this, are going to be catered to. And also, the advantage being that, we have a distribution network , which is deep -rooted.
Most of the brands, if you see, and there was a question yesterday from the media houses, most of the brands, American brands , that exited India, if you ask my view, they exited because of the lack of service network - that's one single reason , there could be many other reasons. We have that advantage of servicing through so many points. So therefore, those are the advantages that we will leverage, and which is what, we talk about in “Win in Premium ” strategy, which is that, we will leverage our synergy, but we will move with sp eed and scale. And that's what we are going to do, which I talked about yesterday in my speech.
Deep Shah : This is Deep from Yes Securities. So in terms of production capacities, what run rate we are looking at to begin with, and how it will be ramped up, going forward?
Niranjan Gupta : We will ramp up as for the demand that comes from the customers.


Deep Shah : Sir, is there any number in mind in terms of production capacity?
Niranjan Gupta: We have a number in mind, but we are not going to speak about that. All I can say is that, we do see huge interest after yesterday's launch. And all I can say is that, I have assurance from our supply chain teams that we will be catering to every single cust omer who expresses their desire to own this exciting b ike.
Deep Shah : Thank you.

Amyn Pirani: Hi, good morning. This is Amyn from JPMorgan. So some clarifications on the distribution strategy. So right now we have a few Harley outlets , you will have a premium outlet separately which will have Hero premium products as well as the X440. Is that a correct understanding? And also the service thing you mentioned, obviously your strength on the distribution and the service network itself. But then, if you are planning to do the servicing of the Harleys also , I am guessing, there will be a requirement for up grada tion of the service . So any thought process there and any understanding there ?
Niranjan Gupta: As we go in right now, it will be obviously the Harley stores, which are limited in number. But the numbers will come from select Hero stores. We have already launched program for Hero 2.0. I spoke about that in my interview sometime back. That is progres sing very rapidly. These products will be housed in the Hero 2.0 stores, which is what we are talking about - select Hero outlet. So that provides you the physical availability. That still does not constra

in the product
being available.
As we said, we wi ll make the product available, wherever the customer wants. And there are those mini models that one can create. So this is the strategy. Now, what is the role of the premium outlets that I spoke about - the 100 premium outlets which I spoke about in M arch they're going to come. They will serve multiple purposes. Because remember, we talked about , that Hero coming from its strength in the segment that it is, which is Entry, Deluxe - which it has protected and defended and increased the market share so well.
Now, to have that premium imagery, we need ed a portfolio. Now you're seeing that, righ t - clearly that's a tick. We also needed to ensure your brand association , and you see that , and yesterday you've seen that. We also need to ensure that we have a high street visibility, in terms of, so the premium stores are going to act not as an outlet store. They will, of course, sell. But more often than not, these high street outlets, they actually serv e as more visibility and creating that premium imagery, enhancing that premium imagery further. So that's what the role of this 100 premium outlets is going to be, much like some of the four -wheeler players who've done that. So you will see that. So it's not a disconnect . It's like, you have stores for delivery, which need to have a certain environment, retail experience.
By the way, each of these stores, which house this Harley -Davidson X440, will have dedicated salesperson and dedicated store -in-store concept, which will be there. So it will ensure that the retail experience is there . But the visibility of the high street comes for all our premium brands. You can say that, this is more for enhancing Hero's Premium imagery, just like the b rand association that this premium outlet will serve.


The service experience you are absolutely right. When we service these products, the relevant service networks will be also upgraded, in terms of either providing a separate lane or separate by-lane. By the way, for 15 days, I've travel led to six or seven states . In June, covering a lot of dealers, networks, service centers, it was like a complete "Bharat B hraman" (India tour ) that I did. And I was excited to see that there are many such dealers and service networks which are actually very good. It's not like, you need to upgrade all of them, we already have many which are fantastic. You guys are in Jaipur, if you want to visit one of the Hero 2.0 stores, you can j ust go to Jaipur city and Umang will tell you where it is , and you can see a 2.0 store, what it is. I'm talking about Bharat ji dealership , give them address , they can just visit and they can see that. So there are many such stores, which are there.
In principle, you are right, that we'll be looking at , because the experience to the customer doesn't stop at sales points. The sales point - the customer will come once , but the service point - the customer will come multiple ti mes. So more experience has to be there at the service point , and we're completely mindful of that. That is where, you guys also talked about in what way this collaboration works. So this collaboration works in this way as well. Because Harley being Harley, they would have a certain sense of how to cater in service centers , and then we know how to reach masses. And therefore, you combine that know -how as well, which is not tangible, but they're all intangible know -how. You know, they 've created that know -how with 120 years - they're celebrating 120th anniversary. We've created know -how of the Indian customer and the market and the scale over the last 40 years. It is the combination of that, which is extremely powerful, rather than , I would say just a tangible asset.
Amyn Pirani: Actually, it's good to know that it's not just like a product licensing

thing. So basically it's almost
like a partnership without the equity space ?
Niranjan Gupta: Absolutely, and the interests are alig ned. Of course, I've not given out a royalty number, but you talked about that. Yes, not only is the income accrued, but that's only one portion, actually if you

look at Jochen yesterday's message . Finally , okay as finance people, we look more at royalty and what comes to P&L. But that's not the business objective. That's only a mean s.
The objective is to create value for both shareholders - for shareholders, who are Hero shareholders, for sh areholders, who are Harley shareholders. And the value gets created, when you actually serve the customer need, in a way that others have not been able to. And therefore, you expand the market and get the market share. And then the value follows. So that' s the end goal, that's the objective. Royalty is only a means to that.
Amyn Pirani: Thank you.
Umang Khurana: We'll take question s online. Raghu, could you put Raghu on, please?
Moderator: Sure, the question is from Raghunandhan from Nuvama Research. Please go ahead.
Raghunandhan NL: Thank you for the opportunity . Congratulations on the stellar launch. A couple of questions. Firstly, this category of customers, they thrive when there is a rider ecosystem. So if you can talk about, what are the efforts in creating a rider community and ecosystem , that would be helpful. Secondly, introductory pricing has been aggressive. How do you see the gross margin


for the product in comp arison to 30% - 35% for mass market model ? Can the margin be higher at 40% - 45%, similar to peers like Royal Enfield? Thank you, sir.
Niranjan Gupta: I'll let the first part of the question be answered by Ravi Avalur. The way he's dressed today , looks like he is coming straight from ride test track and the community , which he is . So Ravi, answer the first part , the next one on the margin, I'll take on.
Ravi Avalur: The first part was a very good question. And we've designed this bike in mind for the f reedom seeker and the engaged dreamer - someone who wants to use the bike to go on rides and do more than just commute. We have the Harley Owners Group - this is a proprietary Harley community group. And it's very, very active in India. And we will be offering , at a cost, Harley Owner Group membership to buyers of the H -D X440, as we do other motorcycles - and that organizes rides, community gatherings, product experiences . So I'd say, Harley is the leader , then that's very much part of our strategy.
Niranjan Gupta: And taking on to the margin question, if you ask me what's the big game here , the big game here is to ‘Win in Premium ’. And ‘Win in Premium ’, why - simple two reasons. That so far, we haven't been present in this premium segment. I say, haven't been present , because I don't consider a 3% or 4% market share as present. So we need to get our fair market share.
Second, this is a segment which is growing at a super speed. We hav e seen the growth last year. We are seeing the growth, not just the premium segment, but we are seeing the growth in premiumization story itself. Even at the entry level, the model that sells the most is the model of the highest price. Now that's somet hing that, and I keep explaining that, but that's a reflect ion of the aspiration s of India.
Whichever book pyramid you are in - bottom, middle, top - doesn't matter. Everybody's aspiration al in their class , and that's the aspiration that you can capitalize on. So this growth story is real, and therefore you have a pie which is expanding, and a pie in which we need a fair market share. So that's the game. And obviously with scale , margins w ill follow.
Raghunandhan NL : Thank you very much, sir. Jus t a quick question, when are the deliveries expected to commence and this introductory pricing till when is it expected to last?
Niranjan Gupta: So it's an introductory pricing, we are not currently talking about how long it will last. And the second th ing is , delivery , is also watch the space. We will talk about it soon.
Raghunandhan NL: Thank you so much, sir. Very helpful. Wishing all the best.
Umang Khurana: We will have Basudeb . Basu , you want to introduce yourself.
Basudeb Banerjee : Yes, this is Basudeb here from ICICI Sec. Just to continue with the last question, the first half was timeline of promotional pricing, you are not saying, but some other companies who disclosed that post the promotional pricing how much will be the hike . Can you share that?
Niranjan Gupta: No.


Basudeb Banerjee : Because that will be quite motivating for the customers to book at this current promotional pricing.
Niranjan Gupta: The indication that the customers can take is to just analyze , in the last three years , all the premium brands when they've introduced the introductory price, how much hike they have taken post the introduction.
Basudeb Banerjee : Understood. The second question is like I was also discussing yesterday, like from the

ecosys tem, developing a single cylinder model from indigenization perspective , made for India pricing. So, overall from a holistic perspective, what has been the contribution from Harley's R&D side for developing the product, if you can explain sir?

Niranjan Gu pta: I won't get into who's contributed what. And I think like, we spoke about, it's a very holistic collaboration. And the end game for both is to create shareholder value by catering to the customer need, in the way that no one has done before. That's the end game. And therefore, XYZ, it's even beyond the agreement. There are many things, honestly speaking, when you are collaborating, you can't talk about anything and everything . The know -how I talked about , is intangible. Actually, that's far more im portant than actually the tangible. So I won't get into who's contributed what. Both of us have collaborated to ensure that this bike comes on the road, and you have seen it yesterday. And I hope you are excited about it.

Basudeb Banerjee : Yes. And last is, what will be the target market for the product initially, top 10 cities, or even to the mass market as well from the very beginning? How will be the target market positioning?

Niranjan Gupta: Okay. So firstly, I am a great f an of India story, by the way. And I've been talking about it not just now, but for many years. There is, first of all, as I keep saying, the aspiration is not limited to the metros or the top 10 cities, and we know it very well. The aspiration is also n ot limited to those who are seemingly wealthy or rich. There are people who aspire to actually buy the bike, much beyond what their means optically would suggest.

What we are doing is we are going to ensure that the bookings are open pan-India. And then we will find a way to deliver it. Some of which I spoke about in terms of the physicality of the stores. There are other ways to actually deliver those as well. So this is what we are going to do , for the majority of the customers.

Basudeb Banerjee : Thanks.

Moderator: Thank you. Our next question comes from the line of Kapil Singh with Nomura. Please go ahead.

Kapil Singh: Sir, congratulations on the launch. Very exciting. Most of the questions are answered. Just if you can talk a little bit about h ow the driving characteristics of this bike would be different from competition. What do you think customers, when they ride it, will be excited about? And also, what kind of effort Hero has made on the quality metrics? If some color can be talked about there as well.

Niranjan Gupta: So let me just ask Dr. Arun Jaura, who h eads the CIT, to answer the question. Arun, please go ahead.



Arun Jaura: Thank you for the question. In terms of the differentiation of this bike versus the others, this particular bike, first of all, I mean, you look at the low -end torque - it's very flat , it's very steady. So the ride that you get on this bike you don't feel a sluggishness, number one. Number two , the handling, the ride and handling is also very , I would say , comfortable because of the upside down fork suspension that we use on the front. That is the other characteristic. The stance is very good. It also has, you know, at low torque, if you talk about at low RP M, 4,000 RPM, you get over 38 newton meter. That's a fantastic torque as far as the vehicle is concerned.

The Dual ABS that you have on this, that's another big feature that we have in terms of comfort, in terms of breaking distance as well. So these are some of the highlights of the bike that are certainly putting it next in class, I would say. And the load carrying capacity, typically although, you specify something, what is used in the marketplace is much different from what it is. So there as well we are far ahead of what is needed in the market. These are some of the highlights. You would like to add anything?

Ravi Avalur : I thin k the balance between straight line stability, which is an essential part of a roadster designed for touring is extremely good. And there's no compromise on maneuverability , as anyone who rode it on the test t rack had said to m e this morning.

Niranjan Gupta: I think, if I may just add, I don't think we even need to get into those nitty -gritties of the specs. If I'm a customer, for me, the first differentiation is Harley -Davidson. Do we have another Harley -Davidson at this price in Indian market? The answer is no.

Second, it's 440 cc engine. There's much higher power to compete in the class that we want to compete. I'm choosing my words very carefully. I think these two should be enough. And added with the price combination which is there, you don't need a fourth element. But I would advise Ravi, we just stick to these three. That's it.

Ravi Avalur: Yes. We'll stick to these.

Niranjan Gupta: All right.

Umang Khurana: If you have a last question, we'll just take two more questions. Kapil, allow us to get back here in the room. Hitesh has another question. We will just take both the questions and respond to them together.

Hitesh Goel : Yes, sir. Thanks a lot. You do not w ant to give license, agreements and all that, but can you just

tell us, is it, or you can give us the product development cost on this product, both Harley and Hero. How much have you spent on this?
Umang Khurana: Let's also take Vivek's question and maybe you can respond to both of them.
Vivek Kumar : It's a question and a feedback. In the past, we have seen that good premium product has been introduced . Bookings rise and delivery period is endless. And in that the customer excitement fizzles out. So how have you made sure that the supply chain is agile and the deliveries will be fast till the time excitement is there? Thanks.


Niranjan Gupta : I'll answer both. As far as the investment is concerned, our R&D, we provide sufficient capital allocation. And you've seen that our spending in R&D, not just now, over the last five - six years - we continue to invest in R&D. Our overall capex, and I have talked about that, because of the scale that we have, the size is already significant. All it requires is re-deploy that capital more - and more towards EV and premium, which is what we are goin g to do . Unless if you are a small company, then you'll deploy additional capital. Here, I just have to re -deploy the capital, and which is what we are doing.
As far as booking is concerned, you are absolutely right that if you keep it prolonged, then it fizzles out. But again,

that's where the advantage of our scale and synergy comes. We, for instance, have Ram here, who's Chief Procurement Officer, handling the entire scale. We have the entire manufacturing capacities that we have.
So it's very modular, and therefore, our supply chain, given the scale and the establishment infrastructure that we have, is extremely agile to be able to cater to that.
Vivek Kumar : Thank you and all the best.
Niranjan Gupta : Thank you.
Moderator: Thank you. On behalf of Hero MotoCorp, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Umang Khurana: Thank you so much. Thank you everyone. Lovely. Thanks for coming.

# Call: Aug 2023

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Sub: Transcript of Earnings Conference Call for the quarter ended June 30, 2023
Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations 2015, please find attached the transcript of earnings
conference call for the quarter ended June 30, 2023.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
Dhiraj Kapoor
Company Secretary & Compliance Officer
Encl: as above


"Hero MotoCorp Limited
Q1 FY202 4 Earnings Conference Call "

August 11 , 202 3


Moderator: Ladies and gentlemen, good day and welcome to the Hero MotoCorp Limited Q1 FY202 4 earnings conference call hosted by Anand Rathi Share & Stock Brokers . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mumuksh Mandlesha from Anand Rathi Share and Stock Brokers . Thank you and over to you Sir!
Mumuksh Mandlesha : Thank you Aman . On behalf of Anand Rathi Share and Stock Brokers , I welcome you all to the Hero MotoCorp Q1 FY2024 conference call . I thank the management for giving us the opportunity to host this call. I would like to hand over the call to Mr . Umang K hurana , Head Investor Relations and Risk. He will introduce the management and take this call ahead. Over to you Umang .
Umang Khurana : Thank you Mumuksh , thank you Aman. Good morning and hello everyone to the Q1 FY2024 investor call of Hero MotoCo rp. On the call with us today , we have our Chief Executive Officer, Niranjan Gupta, the Chief Business Officer of the India Business Unit , Ranjivjit Singh , Chief Business Officer Emerging Mobility Business Unit , Swadesh Srivastava. As usual we will begin with opening comments from Niranjan and then we will open it up for questions and answers. Over to you Niranjan .
Niranjan Gupta: Thank s Umang. Good morning , good afternoon, good evening depending on which part of the world you are joining from. I am sure all of you would have seen our results by now. We have declared a top line income of close to ■9,000 Crores for Q1 with our overall EBITDA going up by 28% and our profit after tax up by 32% after the exceptional item of VRS which is ■160 Crores. Our EBITDA margins reported 13.8% , and as we talked about in our press release, the underlying ICE business margins are now 14 .5%. Effectively it means that we are back to Pre-COVID levels

which were around 14%. Therefore, moving forward, having covered the margins back to Pre-COVID levels, our singular focus is going to be growth and market share on the back of lots of launches that we have done and the launches that are in the offing in the next few quarters. Our journey of premium , as you would have seen , has begun extremely well . Harley -Davidson X440, we have been overwhelmed with the response 25,000 + bookings. In fact, we have closed the online bookings and now the focus is on ensuring that each of our 25,000 customers who have booked actually b ecome o ur brand ambassadors and they get an experience which is world class . We got to ramp up capacity and demand fulfilment as we move forward. As far as EV is concerned , again our ramp up into the number of cities is on track. We talked about 100 cities by December, glad to report that we have already cross ed 36 cities as we speak and we will be covering 100 cities well before December end . And then of course we will be bui lding the portfolio , which will be the next year, on our way to EV leadership which is our goal. Within our current portfolio on 125 cc as well, we have been doing lots of action there with Super Splendor XTEC which has started doing well , and as we speak the Glamour 125 cc revamp is going into the market. All of this augurs well for recovery on our co re market share as well . Overall the focus on premium , the EV rollout and of course recovering the shares as well on track as we speak. As for t he demand side for the industr y is concerned, we know that the last couple of years , the government has been spending a lot of



capital expenditure almost to the tune o

f ■10 la khs crores a year and capex has a time lag and time has come when this capex will translate into income demand and employment as you move forward and therefore that augurs well. We also know that the rate hike has peaked. RBI has paused the rate for the last two or three times and clearly that means that the cycle of increase d inflatio n is going to pause and that again will mean more income in the hands of consumers to be able to spend . And the third factor of course is monsoon which so far has been pretty decent. All these factors combined , they augur well for a double digit growth as you move forward to the festive season. And of course , on the back of the launches as we talked about , that we have done and we are going to do, we are quite confident of increasing market share as we move forward. Just to repeat again , margins back to Pre-COVID levels now, the focus moving forward singularly will be on growth and market share. Thanks.

Umang Khurana : We will begin with the questions and answers now, please.

Moderator : Thank you very much. We will now begin the question and answer session. T he first question is from the line of Kapil Singh from Nomura . Please go ahead.

Kapil Singh : Good morning sir. Can you hear me ?

Niranjan Gupta: Yes, Kapil. Go ahead.

Kapil Singh : So first question is on Harley. We have seen very strong bookings clearly. Can you just talk about what is the expected supply and why the bookings have been stopped currently ? Also, what will be the milestones that you are looking for based on which you will decide on working on further models in this lineup ?

Niranjan Gupta: Kapil, so the booking stop page is part of the plan, the whole marketing sales strategy around it and it’s all part of that plan in terms of online booking having stopped for that. We will open the window very soon because we do want the first set of this 25,000 customers to experience the motorcycle , to experience the test ride , for them to become our brand ambassadors and of course we know that a lot of customers have been demanding f or bookings to be reopened , we will soon reopen the bookings as well . As far as supplies are concerned , in fact on the launch itself , we had started ramping up our capacities looking at the response that we ha d received on the launch date itself and the te ams are working on that because we are going to ensure that each of these customers, their demands are fulfilled . But we are very glad that now demand is chasing supplies and we want to ensure world class experience to each of our customers as we move forw ard, Kapil.

Kapil Singh : Okay s ir, thanks. And anything on the milestones for deciding further models under Harley Hero partnership?

Niranjan Gupta: So Kapil , as you know that the model that we have launched and the segment that we have launched is one of the biggest segments in the premium , both from the revenue point of view as well as profit pool point of view . So we are focusing fully on this model as of now . But obviously there is a



thinking in future to exte nd the portfolio and also to look at geographies, but those are discussions that we will have with our partner Harley -Davidson at an appropriate point in time.

Kapil Singh : Okay sir. The second question was on margins. Can you just talk about what will be the margin trajectory you expect from here because I believe we have taken some more price hikes but at the same time EV mix may also rise going ahead. So in light of both of these factors , how to think

about margins from here on?
Niranjan Gupta: So Kapil , we stick to our guidance on the ICE margins that we talked about even long time back and we have always stuck to the tram line of 14 % to 16% which we have been saying . Of course during the COVID period an d with the cost inflation, the margins had got down to around 11 .5% an

d we are happy that with all the efforts around , whether it is price, whether it is mix , premiumisation, the savings programme , of course helped also by the commo dity tailwinds - the margins are back to Pre-COVID levels. So our tram line on that will continue which is 14 to 16% and we have just said , given that the margins have been repaired, the focus will be moving forward on growth and market share and obviously it allows us headroom to invest more behind EV as well.
Kapil Singh : Okay, but I mean , what I was trying to understand is that your EV volumes will also rise, right? So the losses that we are seeing as the volumes go up, the losses will come down, but the EV mix will rise. So, is there a breakeven level of EV volumes that we have , at which this drag will start to reduce ?
Niranjan Gupta: Kapil broadly, while it is very difficult to predict, but broadly we had talked about that in the range of 100 basis points on the EV business, as a dent or the investment I would call it not a dent, which goes behind that . As volumes go up, of course there wi ll be economies as well , in terms of the scale economies we w ill get , and then a cost reduction , there is localiz ation happening , both the factors will come into play and therefore cash burn per unit actually is going to come down in the industry if you take two, three quarters away from now. So that is what industr y is working on. So it is not going to be like propo rtionate to that the cash burn amounts and all that will go up.
Kapil Singh : Okay Sir. Thanks. I will come back in the queue.
Niranjan Gupta: Yes, Kapil. Thank s.
Moderator : Thank you. The next question is on the line of Gunjan Prithyani from Bank of America . Please go ahead.
Gunjan Prithyani : Yes, hi. Thanks for taking my question. You know good to hear so much focus coming back on growth. I just needed a little bit clarification and your thoughts on a number that you have put in annual report where you call out 6.5 million units production for F Y24. You know what will , you mean , how are we looking at this 20% + growth . If you can share your thoughts , what comes from

Premium , what are we doing to sort of rebound the entry segment which will be depressed ? So some colour on how should I read th is 6.5 million number that is there in annual report?
Niranjan Gupta: So Gunjan , while I will not comment on the numbers part of it in terms of production , but what we are aiming is as we talked about , we are talking about a double digit revenue growth in the two wheeler industry and then we are looking at market share gain . I will ask Ranji vjit to talk about what are the actions that we have taken and are taking to ensure growth and mar ket share across these segments. Ranji vjit over to you.
Ranjivjit Singh : Thank you for the question and let me just build on that in terms of the whole demand and then the projections that are coming in with the recent launches that we have done . For example , Xoom 110cc that we launched , it has already added up market share there in the scooter segment. We very recently now dispatched Destin i Prime that is another beautiful product, bang on the key buying factors of the segment that is really at t he bulk and the belly of the market and is getting a very good reception . So overall in scooters , across 110 cc and 125 cc, we are seeing very positive movements from volume perspective. If I then go to Super Splendor XTEC , we have launched that in March and we have been able to see increasing volumes in the 125 cc motorcycle segment coming very, very well building up . We have just started dispatches of Glamour, the classic Glamour , and you know markets like AP , Telangana or West Bengal or Assam , north -east, these are the ones that are really looking forward to that classic style updated with all the latest features, with t

he digi-analogue speedometer and the whole styling, the comfort of the Glamour that is something that the market is really looking forwar d to. If I then go deeper into Passion Plus, that is another one which recently has helped to bring it in the top ten motorcycles in June and July . It was the fastest to cross 10,000 units within 15 days and is doing very well. It is very well received, particularly in the South and the West and now it is going across to the other zones and the regions as well. And as we launch our new premium product, we also see great momentum coming back whether it is Xtreme 160R 4V or the 200 S that we have also recently launched and the upcoming launches which are Karizma and many others. So when you look at the whole pipeline, never before has Hero brought in so many products in within a year and so you are going to see a lot of action coming in this year and so the num bers that you are refer ring to, basically I think we are on a very positive sort of ramp up that we are seeing from a market perspective.
Gunjan Prithyani : Okay. And that is good to hear . The second question I had was on this the consol and the standalone

difference . The losses seem to have gone up in this quarter , almost about ■120 Crores or so. If you can give us some colour on what subsid iary losses these are an d how should we think about it through the course of the year ? Is this the trendline that we s ee, just go ing to be ■100 - ■120 Crores each quarter loss on the sub ?

Niranjan Gupta: Gunjan , there is a one -off item there which is on Ather, which is one of our associate companies which had to take a hit because of the regulatory issues - the charger refund that was around ■175 Crores in one quarter that they had to take , and obviously our share of that based on 35% comes to what it is. I think that is the one -off. So I think we should take that one -off out . Then the rest is -





Ather is stable and then FinCorp will continue to increase the profits and improve , therefore that is what is going to be the trajectory going forward. Yes.

Gunjan Prithyani : Okay. Just last question if I can pitch in on the Hero 2.0. Where are we on that in terms o f the roll out plan ? What is th e sort of investment that the dealer has to do in terms of refreshing the look of the dealership and what is the a cceptance from the dealer while rolling it out, just some thoughts around it and I will join back the queue .

Ranjivjit Singh : So Gunjan currently, firstly we shared the new VI, we did a couple of pilots, we tested out the consumer response and overall it is worked on many, many dimensions. The whole experience that it provides , the customer really feels a very el evated experience in that whole, not just buying , buying of course the conversions are much better, the premium portfolio becomes better, the scooter conversions are better , but coming to a Hero showroom, the kind of experience that the customer gets from that kind of an experience is really good and so we have been able to roll out the pilots to around 38 which are live as of today across the country and we have a very strong pipeline where the designs, the architectural design , the interiors, all of that have been worked out and in fact our dealers are very, very keen and enthusiastic to get many, many more up and ready and running by the festival season. So we have got a very strong pipeline, I would say between 200 to 300 dealers, depending on the way the rains and everything goes on, but we have a really good pipeline and that augurs well for the entire portfolio that we are bringing in. The platform that we are creating for experience, customer experience , is really solid and I believe it's truly differ entiated versus anything else that is out there in the market. So the brand trust just becomes even stronger with this entire

experience .

Niranjan Gupta: Just to add Ranjivjit to your point and Gunjan , again just like we talked about the number of new launches that we are doing this year is unparalleled as far as our history is concerned, probably unparalleled in the industry as well. I do not recall any player launching so many products in such a short period of time, equally the Hero 2.0 which you picked up is of a scale which is also unparalleled. When we go back to in terms of the lifting the VI , absolutely the fastest ramp up in the industry number of stores and what is helping this is also because what we are saying is you get to store VIDA only if you are Hero 2.0, you have a chance to sell Harley only if you are Hero 2.0. So all of these things are also exciting the dealers and of course they are extremely excited and they are coming up much faster in terms of building up the stores .

Ranjivjit Singh : And everything that goes with a really premium experience of where ’s planogram, less clutter - it is not only the hardware, its the software , its how we treat our customers, the training of our people - everything gets elevated.

Gunjan Prithyani : Thank you so much.

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.





Jinesh Gandhi : Hi sir. Can you talk about th e spare sales in the quarter and any reason why realisation should have dropped on Q -o-Q bas is in this quarter by reasonable margin ?

Niranjan Gupta: I could not get the question , really ?

Jinesh Gandhi : So question is , one is, can you kindly talk about the spare sales in the quarter, what level it was and secondly why did realization.. .

Ranjivjit Singh : We got the question. We have been able to clock a net revenue of ■1,210 Crores which is a growth of 14% and of course it contributes to about 14% of the revenue. What I just wanted to say is , this is a r eally a very good strategy and execution of the pivot that we have taken towards expansion o f availability, because really what you need is in the aftermarket availability at arms length and we were able to get that. The second thing that we are doing is also adding new lines of business. So whether it is tyres or oil, there is a lot of new business that is coming in an d our parts distributors and our super stockist s are embracing this new way. It is a very CPG or FMCG kind of approach that we have of orde r fulfilment, demand pull, all of those kind of things that are helping us. As we do this, there is also part s, but there is also accessories and then there is merchandise and each of these three is getting an individual focus from the team here and we are able to pull that through in terms of the range and the way we display at our dealerships and how that gets integrated into the product planning itself. When we think about a premium product, we start thinking also about the accessory and the merchandise that goes with it. So all of this is really not only a topline grow th, but also bottom line in terms of contributor. So we are quite happy with the way this is trending out.

Moderator : Jinesh , is that question answer ed.

Umang Khurana : We could move on. Maybe we can get Jinesh back later.

Moderator : Thank you. The next question is from the line of Amyn Pirani from JP Morgan . Please go ahead.

Amyn Pirani : Hi. Thanks for the opportunity. My question was on the volume trends. Now obviously on the wholesale side, your growth YT D has been below market. I think part of that has to do with inventory correction but even on the retail side , it has not been as good as what we would have hoped for. So can you help us understand what is happening on the retail side right now and given that you have been correcting inventory , wholesales have been lower than retails , where we would be currently on a retail inve

ntory point of view?

Ranjivjit Singh : Yes, sure. So there is a bit of a back story that is important for me to just preamble here. You know Q4 we started and all of you will remember , the OBD -2 transition and that is where dispatch market share was higher than our retail shares and we were first off the blocks . We were able to position our OBD -2 products into the market as we were closing out on Q4 . When it came to Q1, it was extremely important for us to do the FIFO to make sure that we transitioned well and we manage whatever the calculated risks there were in the market in terms of the transition of the two different



things and I must say credit to the team that that has been managed very well . And therefore you see a higher retail market share , we managed to keep the 36% market share in terms of retail and that is on Vahan and lead that over the dispatch so that in Q1 we actually reduced inventory while the industry collectively added to inventory in Q1 and that is part of transition planning and depends who you know takes what kind of a strategy we decided to go with the market first, retail first strategy and that positions us well now as we build up towards the festival season. Now this festival season versus last year is also a little bit later , we know that . So 15th October is when the demand start picking up, it goes beyond Q2 , and therefore as we build up the inventory , we will look at between Q2 and the beginning of Q3 to prepare for festival season. What also helps is the range of new products both at the mass level which is the high volume products. We talked about whether it is Passion or it is Glamour or a Super Splendor XTEC or the more premium portfolio that were coming up, whether it is the Xtreme or the Karizma or even in the scooter portfolio. So I believe we are very well positioned and we continue to work on that to make sure that we are aiming towards the retail off takes and then of course dispatch will naturally follow that. I hope that is helpful.

Amyn Pirani : That context is helpful. So would it be fair to say that the inventory levels are lower than where they were say 6 months back , like what is the kind of inventory levels that we are looking at right now, if you can help us quantify that numbe r?

Ranjivjit Singh: Typically , and that is we have always given that in terms of how we look at in terms of the future . Well currently , we manage it between 6-7 weeks that's range that we are at. We are at 6 weeks currently and that is something that is very well positioned for the festival season as we start building it up.

Amyn Pirani : Okay. Thank you. Lastly one thing on the EV side, I mean based on the press release and even your commentary, you mentioned that ex of EV margins are already above 14%, w hich means that around 70 to 80 basis points of a drag from EV. So is there a part of it which is also because of the FAME subsidy removal or is it just a normal general investment on the EV side and where does this costs sit, if you can help us understand , like is it because the other expenses have gone up earlier are come down now. So if you can help us understand where are you , where this cost related to EV sit?

Niranjan Gupta: It is more o n the gross margin side because we did not have a past sale, so w e did not have any one-off like the other players on the subsidy withdrawal . But of course the subsidiary w ithdrawal has impact on the unit gross margin which is overall underlying , some price increase and some margin hit which is there . As we have guided already that around 100 bps is the investment that goes into the combination of all the cash burn that happens. Let me ask Swadesh to pitch in and talk a little more about this and also in general about the plans for EV as well.

Swadesh Srivastava: Yes, so thanks for the question. As Niranjan

said, we are obviously investing heavily on building the infrastructure for EV. When it comes to subsidy, we are also preparing ourselves to be profitable without the scenario of subsidy. Obviously subsidy has been helpful to the industry, but

as a business we need to make sure that we are geared for that and we have products which will be coming up in the near future where we will be more geared even without the subsidy. Having said that, obviously everybody has go tten a bit of a hit because of this. Thankfully for us it was much lower , but it is also let us all to a ccelerate our product portfolio which will be geared for subsidy free environment .

Amyn Pirani : Okay. That context is helpful. I will come back in queue .

Swadesh Srivastava : Thank you.

Moderator: Thank you. The next question is follow -up question from the line of Jinesh Gandhi from M otilal Oswal . Please go ahead Jinesh.

Jinesh Gandhi : So question was also on the gross margin reduction or RM cost increase which we have seen on Q-o-Q basis. Is that just the mix impact as economic segment has seen a good recovery on Q-o-Q basis or there is something else also? Are we seeing any cost inflations there?

Niranjan Gupta: Yes Jinesh , it is a combinati on of a bit of time lag on the cost and also m ix, but overall if you look at it on the trend basis which is year-on-year basis in terms of our gross margin , that remains healthy . But you are right , it is the combination of those two which moves between qua rter to quarter . Overall it is something which is in a position year on year basis at a reasonably steady level.

Jinesh Gandhi : Got it and the second question was for the EV side. So I mean given we enter ed with VIDA in December and now we are in scale up mode , so how do we see scale up of VIDA over FY24 ? What kind of volumes are we looking at and then subsequently when do we launch our next product because that I believe will be contingent upon ho w VIDA will also ramp up. So any thoughts on that?

Swadesh S rivastava: Yes, hi Jinesh I will take this up. So yes, as you heard we had announced that starting with the three cities from last year, we will be going to 100 cities this year . We are already at 36 cities and we will , well before the end of the calendar year, we will be reaching 100 cities and you all aware that we are coming out with 3 formats - we started with experience centres, now we are doing VIDA pods which are shop -in-shop and you will also see some of our dealers putting EV , specific dealerships over the course of this year. So we are really building that platform very strongly. We are also expanding our charging infrastructure, to have convenience to the customer and not have the range anxiety. I also want to share that we have also partnered wit h Ather, where we have made the investment and we have also partnered with them for a common connector and you will see interoperable charging network coming out very soon so that our customers will have much expanded charging network available . Coming to the product , we are focusing heavily on the product we have launched right now to get it to each and every corner of the country but we also are working on a strong portfolio for the entry and the mid segment as well and we will announce those launches in the due course of time.

Jinesh Gandhi : Got it, Got it. Thanks and all the best.

Swadesh Srivastava : Thank you.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi . Please go ahead.

Mumuksh Mandlesha : Congratulations on the good EBITDA margin performance sir. Sir, continuing on the VIDA , sir any market share target we have over next few years , any aspiration numbers we are looking at for this product sir and can you update on th

e PLI scheme benefits for the EV sir ?

Swadesh Srivastava: So on the VIDA side, thank s for the question Mumuksh , we definitely put , as I also explained in the last question , we are really putting all the building blocks to get to the EV leadership with in short est amount of time and you can assume within few years , we want to take that top position across the segments . We also are taking EV as our s tarting point in lot of global markets as well. So we will see a lot of focus on whether it is through our GTM, whether it is through our product or whether it is through our digitally enabled services , we want to get to the leadership position very, very fast. I think your second question was around PLI incentive . So we are also working very heavily on making sure that we cater to all the criteria for the PL I and we will sort of announce when we are closer to those qualifications, but it is an important aspect for us and we are doing all which is required to make sure that we are ready to qualify for those requirement s.

Niranjan Gupta: So Mumuksh , the focus right now is to go to 100 cities plus thereafter like we talked about fiscal year 2025 is about portfolio building and as we do all of these , clearly our aim obviously is to take leadership in this EV s egment as we move forward .

Mumuksh Mandlesha : Thank you so much . Sir coming to Harley -Davidson , what are our plans to ramp up its standalone stores over the next one to two years, sir?
Niranjan Gupta: One, we will be servicing through definitely our current Harley -Davidson stores plus also select Hero stores. So going in itself , it will be starting with almost 100 + stores to begin with and then thereafter the gradual ramp up will happen based on that , but let me also at this point ask Ravi Avalur , who heads the Harley -Davidson business unit , to provide a little more colour on what we are doi ng as plans for this product moving forward, not just the stores but overall. Ravi .
Ravi Avalu r: Well to first address your question regarding the stores , of course we have the H arley legacy stores in 26 l ocations across the country. That number is quite sufficient to provide a Harley -Davidson experience in India. Also as Niranjan said open ing Hero Premia stores, Hero 2. 0 Stores and perhaps even directly serving customers in certain mar kets, so it is a very exciting time ahead. Our current focus will remain on the X440 and providing an exponential experience and in rapidly expanding over the next few months , test rides to c ustomers who book the motorcycle and then after that as a means to serve the market - that is an overview of what we will be doing .

Niranjan Gupta: And also remember that the way we have gone about this is that, it is not going to be a push based model, it is go ing to be a pull based model. So you do not need to have the product in advance to create the demand. So the demand is actually going to cha se the supplies and then s erving and fulfilling the supplies will be through various modes that happen. So, it is the change in the order in which we used to operate our two wheelers so fa r.
Mumuksh Mandlesha : Thank you so much everyone.
Moderator : Thank you. The next question is from the line of Raghu nandhan from Nuvama Institutional Equities . Please go ahead.
Raghu nandhan NL: Congratulations sir on strong margin performance and Harley booking s. My first question on the objective of growth and market share gain in premium segment - Harley, Karizma, Xtreme 125 and other products within the next 18 months - should strengthen position , can you indicate any volume potential that you are targeting ? I mean 125cc model itself has a potential of 30,000 + units per month and Harley can have a 5 ,000+ units kind of monthly potential assuming supply follows the strong demand ?
Niranjan Gupta: So I will lea

ve the volume estimates and calculations and model ling to you, so we will not be giving any guidance on the volume . But again reiterating w hat Ranjivjit talked about , that the 125 cc clearly , Glamour which we have done just going in , Super Splendor XTEC which has been received well , are going to be big volume drivers. Harley -Davidson X440 is in a segment which is really big and our bookings indicate that really this can become a very big mo del for us moving forward with getting so many book ing in one month itself . And then we have fol low on launches , like you talked about , Karizma which is coming back which is a n iconic brand coming back in a different avatar very soon and then of course Quarter 4 we w ill have on the same 440 platform , another cross badged product as well . So there is lots, lots that are coming our way, and coming to the market and clearly these are each one of them are volume - I would not say volume, let's call it revenue and profitability drivers, market share drivers, and more importantly all of these what they are doing, going to do is to b uild our strong credibility in the premium segment , which so far we have been known in the commuter segment, but clearly strong credibility building in the premium segment. Remember when we met on the Investors Day which happen ed couple of months back, we did talk about 'Changing Gears' and you can see it already happening and more and more you will see it happen ing. Of course numbers are something that w ill follow once we do the right thing , now we know that the revenue and the profitability and everything will follow.
Raghu nandhan NL: Thank you sir. Wish you all the best. My second question is if you can share some thoughts on how you are seeing the urban versus rural demand in the recent month and what is the expectation for the festive season?
Ranjivjit Singh : Urban continues to be a strong driver and we see good momentum out there. As far as rural is concerned, I think there are some very good in dications that we have got, already Niranjan has covered that - whether it is the capex that drives the income in the hands of the people, the rains

that h ave been spread across the country and therefore how coming forward as we look to the festival season. We have seen some green shoots , as we see Super Splendor movin g in, as we see Passion coming in, these are product s that have a very good balance across the country . So I think overall , good monsoon, the election , the f estival , all of these things are all pointing towards a good festival season that is coming up and we are preparing for that.
Raghu nandhan NL: Thank you so much. Just a last q uestion on the raw material cost side, any benefits of commodity

deflation o n precious metal which could a ccrue in the coming quarter and for Q1 on other expenses
side, it has been on the lower side . So any specific reason or it is just seasonality?
Niranjan Gupta : On the other expense , just a seasonality a nd therefore, I think more importantly to look at a full
year basis, w hat has been th e trend , as our r evenues go up this year, o bviously there will be
operating leverage that will come in . As far as the commodity is concerned now moving forward,
we expect the commodity to have a stable operation. So I think from here on , unlikely that we will
see big movements on either side on the commodities . Of course nobody can predict and as and
when it happ ens obviously as we have show n in the past , we will be geared to take our dynamic
action on all the fronts .
Raghu nandhan NL: Thank you very much, Sir. That is all from my side.
Moderator : Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas . Please go
ahead.
Kumar Rakesh : Good afternoon. Thank you for taking my question. My first question was on understanding your
commenta

ry from the near term and medium term perspec tive. In the monthly release , you had
talked about that there are some crop damages and that is something which is impacting the demand
whereas you have also talked about with the earnings release that you expecting demand to recover
and specially in the second -half you are expecting better demand . So what would translate from
the near term weakness which we a re seeing right now, to a better demand in the second half?
Niranjan Gupta : Two reasons that we talked about , one is the more under lying which has been progressively, if you
spend 15 lakhs, 17 lakhs of capex over a two year period , obviously that is going to translate
gradually in to demand because capex takes the time lag and there fore there is a belief , so it is not
about one month or two months, it is like an uptrend that should start happening on the back of the
capital expenditure, the government expenditure that we are talking about . The second part is the
more recent part which is as you have seen the progress of monsoon across the board , which is
earlier when we saw that somewhere it was deficit, somewhere it was too much excess, now it
seems to be evening out as we move forward and therefore that is more of a short term nature that
we are talking about and therefore these are r easons to say that as we move forward as a build up
to festive , then the demand in rural side also should start recovering.

Kumar Rakesh : Thanks for that. My second question was more of clarification. So if you can just give some sense
in the VR S scheme, how many employees have subscribed for that across staff and worker cadre
and there is a small investment you have done in Netherland s subsidiary , so what is that meant for?
Niranjan Gupta : So as far as VRS is concerned ■160 Crores is t he charge th at you see in the P& L and broadly
around 10% of our staff level opted for the voluntary retirement scheme. The small investment that
you looking at s ubsidiary , it is an investment in Col ombia.
Kumar Rakesh : Got it . Thank s a lot.
Moderator : Thank you. The next question is from the line of Chirag Shah from White Pine . Please go ahead.
Chirag Shah : Thanks for the opportunity sir. Sir a broader question on the demand side . If we look at over last
12 months or so, without going into a longer history because we know BS and emission norm
transition etc. so even over last 12 months, while the industry is hopeful of demand recovery ,
somehow it is becoming elusive and getting postpone d by quarter or two and which is a general
industry comment rather than company specific comment . So what are the parameters that you are
tracking closely internally to gain the confidence that from now on or second or third quarter , we
should be back ? Festive season , generally a seasonal every year it comes right , so that momentum
will be sequential but I am now looking on a Y -o-Y basis .
Niranjan Gupta : So Chirag , again the way to look at it is you look at demand by se gment and by cities and by states
and by region, so it is not like overall as a c ountry the demand has not be recovering. For instance,
we know that the last year premium segment grew by almost 25%, 30% in terms o f the overall
growth, so that segment is registering growth. If you look at any of the models that are launch ed at
a higher features and higher this thing it grow s. You have seen the bookin gs indications that our
booking numbers that have come for an X440 at that price and some of the other players also
having launch ed in that price segment, so really speaking India is becoming obviously a story of
many India 's so there is a part of India which is recovered much faster from w hatever it was and
actually really g rowing very well . Of course th ere is a bottom of pyramid which is taking more
time. There is only a question of ti

me , it is not the entire sector is not recove ring, it is a b y part it
already started recovering some part is strongly growing , some part has reco vered and some part
is yet to recover so that is how I would put and that gives a confidence and also there are und erlying
indication, economic indications are there of course which we all know, b ut you will have to be
patient sometimes that you pr edict that this quarter, next quarter will happen may get shifted, but
the underlying fact ors are there which can drive dem and and can drive growth.

Chirag Shah : So on the commuter segment which has been sour point for the industry in general
Niranjan Gupta : Right.

Chirag Shah : If you can closely indicate th e trigger point where do I watching up, which will really give the confidence and you will be ahead of time, building up the inventory . So how should one look at that because that has been a sour point for the industry I think?
Niranjan Gupta : Chirag very simple. Some of these things do take time. One has to rely on the underlying factors and underlying factors w hat drive and we all know the economic theory is that you need to do huge capital expenditure which then percolates down . Now how fast and how far that takes time. There has been inflationary pressures, the inflation is c oming down, I am not just talking in flation in terms of two wheeler, I mean overall general inflation. Of course we do know some vegetable prices , but overall when we are saying the rate cycle peak, inflation coming down that is. Third indic ation is replacement demand is coming back as we see , in small measures , but it started coming back and the people who are postponing and therefore looking at holding on to their vehicles for longer period of time now, that is actually which is a replacement demand is coming back from what it used to be a round, it had gone down almost to around 4, 5, 6 % and the latest month , we see that almo st 10% o f the buying is coming from the replacement demand. So lot of these indicators , lead indicators which are there , that is going to come up and that gives the confidence that segment also should see growth coming back. I mean just to talk about it even 125cc, Ranjivjit , with of course some of the new launches and launches by players others , that segment started growing as well. So it is a question that , Ranjivjit you want to add anything on colour on the com muter segment and bottom.
Ranjivjit Singh : Yes I think broadly the question is on the industry and you are absolutely right there are di fferent segments and they behave differently but again coming back to where we are as Niranjan talked about 125 cc not only we talk about Super Splendor XTEC and Glamour revamp but also we are preparing for another one which is coming up soon . So we will continue to proliferate with very different iated portfolio to drive market upwards and drive our market share upward as well so whether it is premium, which you ha ve heard a lot about, it is also 125 cc, scooters also you see n those and anywhere you are see ing the market share getting strengthened with Passion Plus for the commuter segment , so recently we also look at our brand scores and brand strength and I have to say that we are very pleased with the way the market continues to give confidence to our bra nds whether it is across the portfolio so it is really something that we are preparing well for this festival season seeing that the industry volumes. You are right over the last two to three years there was a bit of a lag in terms of the industry growth etc. Now we assume that turnaround coming and you seen how Q1 has happened. You have seen positive moments as we go along with good monsoons with inflation under control with people coming back whether it is for the occasions o r marriages or festival s, there is far mo

re economic activity and more participation in that economic activity that will drive our entire industry . I think overall it bears well for the two wheeler industry.
Umang Khurana : Chirag good to hear from you from the other side as well.
Chir ag Shah : Yeah thanks. So just one comment on commodity side , if you have anything , so any benefits expected going ahead or how should one look at that side ? If you give make a brief comment on that.

Niranjan Gupta : I think Chirag moving forward I would say that we do not expect , as we said , significant up or down on the commodity. So the way we are building our models is for commodity to s tay st able and no more benefits to be coming through on a more stable regime . But yes if there is any benefit that come , so it will help us actually help again further in vest behind growth, market share like we talked about .
Chirag Shah : Thank you and I will get back to the queue.
Niranjan Gupta : Thank you.
Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS Securities . Please go ahead .
Pramod Kumar : Thank you for the opportunity and I just wanted to bridge the disconnect between what I hear from you guys on the call in terms of all the product launches what you had and the great response what you are getting , and open ma rket share because the data suggest that start o f the fiscal till now we lost some 400 bps market share and market share for all those trending below 27.5 so I am just trying to and I am talking about Y -o-Y market shares just li ke to like seasonality . I am just trying to understand what are we doing here despite all the launches, if we are continu ing to see market share slip , what explains that because in the core segment we have not lost market share as you

alluded to. Just h elp us understand this g ap between we are seeing at your end and we are seeing on the retail database.

Niranjan Gupta : So Pramod I will answer. I remember a couple of years back we had the call and we were having a very good dispatch market share and you did pick up the Vahan and the retail mar ket share which were bad at that point in time and I will revert back to your logic this time, which is a right logic to look the retail market share. So if you look at the retail market share , retail market share 36.6% for the quarter so there is no loss as far as the retail market share is concerned . In fact on a sequential basis, the retail market share up by 300 basis point so that is one number that we need to look at, the second is more fundamental is that when we are putting this launches, remember these launches doing well, is what we say is an indication that is coming from how well customers have received . Now no launch will translate into a full potential market share at the point of launch, so, therefore that we know, that it takes four to eight quarters to actually get to the fullness o f the potential. Now that you know you got a Xoom which has been launched when Ranjivjit talks about , received very well in the pocket, the early customers fantastic feedback that means the potential for this to rise over the next eight quarters is big. Similarly , Passion which has come back in terms of the Passion Classic avatar which again a lot of customers picking up. They are all lead indicators . Then you have Glamour 125 cc revamp which is coming in the market , Harley Davidson X440. If you are to ask me this reflect in my market share, no , but will it reflect in our market share in the next eight quarters, answer is solidly yes because that is the indication. Similarly , Karizma will come, similarly that will come. So actually these launches Pramod , is very important that once you launch how customers are receiving it, what is the market feedback which is that and therefore this is



something that will translate into market s hare over period of time. What is very important to the right thing, which are in the market and it will translate. Hope this answers your questions Pramod.

Pramod Kumar : Yes Niranjan that explains because you need to feed this brand and make the marketing investment.

Niranjan Gupta : Absolutely.

Pramod Kumar : I also have a second follow up. How should we look at the marketing budget because you are talking about never seen before kind of a launch pipeline right ? So definitely would require enough marketing support so that you do not kind of, investment and not even marketing cost it is investment right behind the brand . So how should one look at this and the ambition to get back to growth because to begin with for the first four months , we are down 5% on retail and 5% on wholesale, so we got a lot to cover on in terms of ground, in terms of volumes, right. So how should one look at the balance between volume come b ack and marketing investment and the profitability?

Niranjan Gupta : Again Pramod as I talked about it , if you carefully again see what we are talking about is , there from the margin which had gone to 11.5% we are back to the Pre-COVID levels of 14 %, 14%+. Remember we had this conversation as well. There are 12, 12.5% are you still going to maintain the 14%, 14.5% whether it wi ll be possible at all and we have proven that , yes we can get to that level of margin on the tram line. I think that job done and this time we have been very categorical that moving forward , we know so many launches coming that now focus will be on growth and market share. Remember the portfolio is so big , that the investment allows us to reallocate and reprioritize , which is what we do and that is what we have explained earlier as well. Of course there were increase in the spend because there will be whatever benefit that we get out of our savings programme, out of this , incrementally moving forward will be ploughed back as far as our investments are con cerned . And you are right to pickup , we do not call them a marketing cost actually , behind these new launches these are the investments . But none of these will be starved at all. We will do whatever it takes to ensure that all launches are backed completely and we have a strong P &L to back it and therefore given that the P &L is comfortable and we know how to navigate that and we have proven that time and again then obviously the comfortable position on the margin allows us to ensure higher level of investment while actually maintaining margin because that repaired already.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi . Please go ahead.

Arvind Sharma : Hello. Good afternoon sir and tha nk you for taking my question. Wh ile you did allude to the spare parts revenue being strong , if you could just thr ow more light on the overall pricing environment especially given the pure realisation when we talk, revenue by volume falle n, so what are the reasons for that ASP decline and you have alluded to it but just more of detail?

Niranjan Gupta : I do not think the ASP has declined. I mean if you really look at it year -on-year basis, our ASP are up, even sequentially our ASP are up and I would suggest that may be on offline basis Umang will be able to provide. It maybe that when you are looking at sequentially , then the per unit of the parts revenue that comes , that shows a little lower and therefore you may see a blended ASP being seen lower, but if you look at two wheeler ASP, that ASP has gone up. If you look at the part , as the part growth , it is about the part as a percentage of revenue , that of course quarter on quarter you got some seasonality goes up and down . But fu ndamentally each of them independently grows . But Umang

will share more offline numbers to you so that it helps clarify the split on the three.

Arvind Sharma : Sure. Thank you so much. Just one more question on the EV part . You have already reached the target level in terms of ICE margins. I thi nk you again talked about it , but what has been a learning from Ather ? At what level do you see that VIDA , where the pricing or the cost part is, where do you think it starts becoming at least EV neutral . Not talking about the units per s e but there may be this year or next year because either the ICE margin s are very strong , so when can we see that the impact of VIDA is not that high 70, 80 bps, what is the timeline that one could see?

Niranjan Gupta : Look I will tell you in a bit broader way . First of all , each of us in the EV industry are learning from each other because it is a nascent industry . So you learn from each other's experience and therefore it is not just about Ather learning from us or us learning from Ather , I think each of us learn from what somebody is doing well , where somebody is not doing well and you start learning and building that part, I think that is about the industry per se . It is about focus. It is about putting the right focu s at the right point in time . Right now this year , the focus is that go to 100 cities , the focus is on building portfolio which you will see next year and then thereafter obviously as you gain scale and there is a focus on cost reduction as well and theref ore the unit cost and the margins will follow . So it is important to actually prioritize and focus on one thing at a time and this is the sequence in which we are prioritized . Swadesh , you want to add anything overall on this .

Swadesh Srivastava: No Niranjan , you clarified how we need to make sure that we do not start focusing on three four things at the same time . As you know , we came out with a very strong product which customers have loved , whether it is removable battery , whether it is a look and feel, whether it is the drivability , customers are really loving it . Right now our focus is how do we take this product to every corner of the country, which is where we come with the 100 cities . Very strong work is happening behind the scenes on reducing the cost , where we have strong work happening with our suppliers , with our R&D teams and bringing that cost down very strongly and with the product portfolio coming in the mid and entry segment and the costs coming down , you will see that we will move towa rds profitability very fast . So we need to make sure that we are laying the foundation very strongly , while behind the scenes we are working towards profitability .

Niranjan Gupta : But clearly , look, given our scale and that is the advantage I think as Hero we have , that we have a scale of portfolio , a portfolio that where the margins are now back to strong which is generating cash and then therefore you can invest behind portfolio which we are building whether it is EV or the premium segment that we are talking about and including of course the global business as well .

Arvind Sharma : Got it sir. Thank you so much for taking the question sir .



Moderator: Thank you. The next question is from the line of Pramod Amthe from Incred Capital . Please go ahead.

Pram od Amthe : Thanks for taking my question . So the first question with regard to the aggressive product launches you are planning considering the amount of effort which goes in the product development and planning , how are you planning the system gearing up s o that the full justification is made for these products to reach the potential , especially at the dealer end to give a time gap and to give a proper attention to these products otherwise they usually go out of these things . Can you do some color on that ?

Niranjan Gupta : Good question and it is not that the l

aunches are coming , while to the market it seems like it is all coming now , but this has been in the preparation for the last three to four years because if you remember , any new model takes 3 to 4 year s' time. So the marketing team, the sales team, ha ve all structured and planned very well. In terms of making sure that each of these launches receive adequate resources , the attention to detail at the sales, at the marketing level, at the planning level , operation level , so all that is planned but your point is little valid given that the number of launches that we have , extremely important for us to make sure each of these launches receive the necessary support and the paraphernalia that is required. Ranjivjit , if you want to just add your bit of colour on this.

Ranjivjit Singh : I just want to say the whole organization comes together to bring these to market. So whether it is at our R&D side or the plant in operation, and just making sure that the pro ducts are really well received in the market , the sales and marketing gu ys, making sure that . For example , when Niranjan and I travelled a cross the country , we set the sales capability of being able to explain , because our customers know lot about not only our products but also other products , and so being able to bring that value proposition alive at the store , making sure our online journeys are well

crafted and they are frictionless , building all this out with t he new visual identity of the store s, bringing in the right kind and attitude of the dealers was so enthusiastic about the growth opportunities that this present. I believe this is the kind of preparation that you are alluding to is not a trivial thing , it is something that the whole o rganization supports and builds out together.
Pramod Amthe : So the second question is with regard to the prolonged government agency inquir ies which are happening . As shareholders , do we need to know you have to make any provisions or impact for the taxes or any of those matter ? Second , whatever policy corrective actions you plan to take so that such things do not repeat?
Niranjan Gupta : So as far as we are concerned , we have given the commentary in the accounts as well , that we do not see a need for making any provision and whatever the information that is required by various authorities, the company contin ues to provide and cooperate with the authorities on this matter.
Moderator: Ladies and gentlemen, that would be a last question for today. I now hand the conference over to Mr. Umang Khurana , Head Investor Relations and Risk for closing comments. Thank you and over to you.

Umang Khurana Thank you everyone. Thanks for coming in and we look forward to keep ing engaged, lot of products coming , lot of l aunches coming and let us talk offline as well. Have a good rest of the day.
Niranjan Gupta : Good weekend.
Niranjan Gupta : Happy Inde pendence Day everyone
Umang Khurana Happy Independence Day everyone
Moderator: Thank you. Ladies and gentlemen, on behalf of An and Rathi Share & Stock Brokers, that concludes this conference . Thank you for joining us and you may now disconnect your lines .

# Call: Nov 2023

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Sub: Transcript of Earnings Conference Call for the quarter ended September 30, 2023
Dear Sir(s),
Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations 2015, please find attached the transcript of earnings
conference call for the quarter ended September 30, 2023.
This is for your information and further dissemination.
Thanking you,
For Hero MotoCorp Limited
Dhiraj Kapoor
Company Secretary & Compliance Officer
Encl: as above



"Hero MotoCorp Limited
Q2 FY2024 Earnings Conference Call "

November 02 , 2023


Moderator : Ladies and gentlemen, good day and welcome to the Hero MotoCorp Limited Q2 FY2024 earnings conference call hosted by Antique Stock Broking . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference over to Mr. Varun Ba xi from Antique Stock Broking. Thank you and over to you, Mr. Ba xi.
Umang Khurana : Let me take it up. Thank s so much Varun for hosting us , Antique for hosting us . Hello and welcome everyone to the Hero MotoCorop investor call. It is a lovely season , the festive an d those of us who also follow cricket , it is just the right time to be. To talk about the quarter and the festive , we have with us the management today Niranjan Gupta, Chief Executive Officer ; Ranjivjit Singh, Chief Business Officer - India Business ; and Swadesh , Chief Business Officer - EMBU. As usual , we will begin with opening comments from Niranjan. Niranjan , over to you .
Niranjan Gupta : Thanks Umang. Welcome everyone to Hero Moto Corp's Q2 Earning Conference Call. Good afternoon, good evening depending on which part of the world you are joining from and greetings for the festive as it is a festive season across India. You would have seen our results announced yesterday . Happy to report we delivered a revenue of ■9,445 Crores with our margins of 14.1% , which w as up 260 basis point year -on-year basis. We delivered net profit of ■1,054 Crores with a growth of 47%.
The results , they reflect continued financial discipline which we have been known for and of course the judicious capital allocation along with continued investment behind growth

priorities. Of course , the current margin shape provides even more head room to deploy behind our strategic priorities that w e have outlined earlier as well. Our 'Win in Premium ' journey has st arted off very well . We have been talkin g about this , our strateg y to address this on all fronts - product, portfolio, place, price and promotion. As you would have seen on 15th October , we started the Harley -Davidson X440 deliveries across 100 stores all over India. We have delivered more than 2 ,000 so far. We are seeing good trends in th e bookings on the second window, w e already seen more than 2 ,000 bookings. So it still leaves our order book at 25 ,000+ as earlier. The supplies ar e getting augmented as we speak. We expect to service the current orders over th e next around four months or so, and of course as the supplies get augmented , we will be able to fulfill these orders even faster as we move forward. Karizma again , we delight ed to note the booking at 14 ,000. We did close the booking window and as the supplies augment , we will open the b ooking second window again soon. That i s about the product, we are addressing the place , the stores part of it , very rapidly as well. We launc hed our first ever Premia store, premium store for Hero, just a few days back, and we are going to scale up rapidly . Over the next six months , we will get to 100 + stores. Similarly ,



the facelift of our current stores is on a very rapid path , from 20 in March we are now at 200 + Hero 2.0 stores just in 7 months - almost upgrading a t the rate of one store per day, and we plan to ge t to 500 in the next six months. It is a huge upgrade and a rapid scale up. Not just physically brick -and-mortar structures but we are address ing the digital journey as well because the premium customer , the experience you provide is more a complete all -round phygital journey and not just a physical part.

So we have done a complet e revamp of our product website, our cus tomer journey , one app, etc. There is a lot of work happening on the digital front as well and of course last but not the least , the full revamp of service also is on the cards on the premium part of it. There will be more models along the way , as you sa id, part of a portfolio strategy. Already we have got four to five models in market, there will be more over the next four to six quarters as part of our strategy to have full portfolio , very very confident, we are very confident on our premium journey. On the EV front , we continue to expand the number of cities and dealers along with the charging infrastructure gearing towards a volume scale up ove r the next four to six quarters.

That i s on the business front broadly picking up couple of highlights on that where we are focusing on. As far as economy is concerned, we know about the global geopolitical issues that are going on, however Indian economy continues to be resilient and is one of the fastest growi ng major economies in the world. All the indicators ar e in the positive direction and in fact very strong consumer confidence index and of course while the monsoon has been patch y in parts, but if you see the Rabi crops have been prett y good as compared to last year. The festive season has started off very w ell and overall we do see momentum building on demand side as we move forward. On that festive cheer note , let us open the floor for Q&A. Over to you Umang.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah : Hi, good morning and than k you for taking my questions. My first question is on the electric two-whee ler business . Looks like in the month of October , we ha ve now sort of reached into close to 2 ,000 units a month sort of run rate there. Just trying to understand going forward where do you see the further inflection points in terms of your electric two -whee ler business build out and any color th ere in terms of number of cities for the current product as well as any color on supply chain commentary as well , as you sort of try to scal e that up would be very helpful.

Niranjan Gupta : I will start off and then I wil l hand it over to Swadesh who i s our Chief Business Officer for EMBU. We had outlined a plan to cover 100 + cities, and we are on track to move towards that. You are right in registering that we have breached a mark of 2 ,000 but that is just a start . From the production side , we are now clocking more than 1,000 per week in the last three



four weeks and we a re going to scale it up continuously as we move forward. More importantly the infrastructure building is happening at the rapid scale whether it is dealers, whether it is cities, whethe r it is charging, and therefore all of that are getting ready for the takeoff a nd the scale build up in future. For more color on that , Swades h over to you.

Swadesh Srivastava : Thank you Niranjan. Thanks for the question. As Niranjan said, we have been expanding quite fast to increase our footprint and we will be rea ching those 100 cities very soon. We are also expanding in terms of the way we serve th e customers, s tarting with our experience centers and now being in VI 2.0 as VIDA Corner a nd also bringing our EV exclusive VIDA dealership starting from Pune. You will see us b eing present in various formats. In terms of getting our products in the hands of the customers , you saw that in October the numbers are going up and we just see that th is is going to go up and up from here onwards as we are present in all these cities. Everything else in terms of our ecosystem, in te rms of our production, and the product acceptance, it is on the right track

for us to get to leadership in
the coming quart ers.
Chandramouli Muthiah : Got it that is helpful. My second question is just on how we are mana ging the margin in the business. It appears that the industry is in a slightly more favorable raw material environment, but Hero has been able to take more price hikes than maybe competition has been able to take and it appears that some of those benefits are being reinvested into the business , which is potentially why the margin is slightly more flattish versus maybe some of the p eers over the past few quart ers. Just trying to understand thought process aro und the various gives and takes, and also your thought process on further price hikes potentially going forward.
Niranjan Gupta : As far as our margins are concerned, while we say the industry has been on a favorable mode, actually if you take it back to three years or four years back , the industry has been hit by the commodity cost rise and sensibly enough in order to ensure that the customers are not ge tting adversely impacted hugely, what happened was the industry actually absorbed part of that in the margins and we ha ve been talking about that and that recovery has happened . So that is where the margins have come back to the platform which it was , as our guidance has always been to be in the tram line of 14% to 16%. Price hikes , no, actually we have not been taking price hikes higher than industry . All our product positioning, all our price positioning have been broadly in line with where it was and therefore that ha s been again a very sensible pricing plan that we have had. What this now allows , of course , the margin shape and of course as we move forward the operatin g leverage will further kick in, but this will allow this to be deployed even more towards the big launches that we have been doing and are going to scale up, whether it a premium or the EV business or digital , any other growth priorities that we have. We want to double down on thos e and deploy money behind those , so this is how we are going to leverage this to actually fuel our growth.
Chandramouli Muthiah : Got it that is very helpful. Thank you very much and all the best.

Moderator : Thank you. The next question is from the line of Jinesh Gandhi from M OFSL. Please go ahead.
Jinesh Gandhi : Congrats on good numbers. Quickly on the festive season, how it has started, what has been the industry growth, how Hero has grown during this initial part of the festive season ? Can you throw some light on that ?
Ranjivjit Singh : Quarter 2 is all about pr eparing for the festival season, and we have prepared well. We anticipated a good bounce back of demand, and we have actually worked on our strategies across the portfolio . So Niranjan already spoke to you in the last quarter about ‘Grow the core’ and grow the core for us really means growing the market and we put our best foot forward to inspire and invite the Entry-level consumers to come into the market and that is working very well for us. At the entr y level HF Deluxe is doing well, that is itself in do uble digit growth. We are also seeing that the rural demand has picked up quite well, and that i s always a good news for this in dustry when rural also kicks in . So we have seen that in th e first 17 days of the festival .
Then you move into some of the ne w product introductions that we have done like Passion, which is a very loved million units a year kind of a brand , that form factor, that styling has definitely hit a home run , so it is doing very, very well in terms of the growth - it is at 2 .5x in terms of the retail from a Passion family co mpared to what it was last year , so that i s also expanding the market and inviting more and more people to participate. In addition to that , we have also brought in the 125cc and strengthened our portfolio with Glamou r Class

ic , that
has also taken out very well and this is significant because markets like AP , Telangana and East where Glamour has been very, very popular in the past and that form factor is coming back, and coming back very well again. We are seeing the g rowth to be very sort of spread out for example Rajasthan is leading the growth, central zone is doing really well , we have also got North kicking in very well, and South doing extremely well, East back on the growth path. Portfolio is what i s one part of it, then all the other enablers that we put into the market really , the consumer demand fulfilling that, the sales training, even the retail finance that we put in , all of that is helping us to get to a double digit growth that we are seeing in th e first 1 7 days of the festival. So we are looking forward to a good festival season.
Jinesh Gandhi : When we see double digit growth that is for Hero's portfolio , not the industry ?
Ranjivjit Singh : Well , I am speaking for the Hero portfolio definitely.

Jinesh Gandh i: Industry also would be similar growth or would it be fair to say ?

Ranjivjit Singh : I believe the industry is also doing quite well , although I would say that there i s a lot more that we are doing in expanding the market and therefore I think we are on a strong wicket here.
Niranjan Gupta : In think Ranjivjit , overall so far we ha ve grown by 15% on the retail. Just in case you do not take double digit at 99% growth .
Jinesh Gandhi : In that context , even the 100c c portfolio which was the worst imp acted for last three, four years , that is also showing signs of recovery that is quite encouraging . Great .
Second question pertains to the margin expansion which we have seen in this quarter. Would it be fair to say there was some residual benefit of comm odity price correction which got reflected in 2Q and from year on , there should be stabil ity on the commodity price side.
Niranjan Gupta : Yes, we would expect, I mean, as you know and I just mentioned earlier as well that I would not call it a windfall gai n or something for the industry . It is just a recovery of margins bec ause industry had not passed on the cost escalation inflation that had happened and now we are back to a regime where the recovery of the price versus the cost have done a catch up game, and therefore they are matching. So you a re back to the even which you were earlier. Moving forward nobody can forecast the commodities, I mean, I have been saying this earlier as well . We have just got to navigate the path and of course world continues to surprise us . But, right now as you said the catch up game has happened , we are in a good space from a P& L shape point of view to depl oy behind our growth priorities.
Jinesh Gandhi : Got it, and the last question on the EV side : What kind of order book do w e have for E V given that we are already producing 1,000 units a month? Do we have order book number for that?
Niranjan Gupta : EV, we are more focusing on , as I said I would not give a volume guidance right now, but the point is that we are steadily on the path to create the right infrastructure where there is a number of cities , if yo u remember we a re in three cities by March and we are aiming to complete 100 citi es by end of this calendar year. We are well on ou r track, the number of dealers that we are opening may be 100 +, soon all of them will have stocks as well and the production is getting ramped up, charging infrastructure is getting built. So I think on all fronts there i s a lot of work happening in actual ly making sure that the buildup happens an d of course numbers will follow.
Jinesh Gandhi : Got it, great . All the best, I wi ll come back in queue.
Moderator : Thank you very much. The next question is from the line of Kapil Singh from Nomura. Please go ahead .

Kapil Singh : Good m orning sir and festive greetings to you and the team. I just wanted your thoughts on the evolutio n of industry in the 100cc and 125 cc segments. Are you thinking structurally the growth for 125 cc will continue to remain higher, and how are you planning for your pr oduct cycle or do you think 100 cc segment which is shrunk quite a bit could make a strong comeback, and we can talk about next two to three -year kind of outlook here.
Niranjan Gupta : See again , I go back to what we have said , it was three to four years back Umang , when we were talking about this, t hat India is always a story of many Indias . So therefore it i s not like one segment is eating into another segment . There i s a class of customers which want affordable product at a cert ain price that is the entry segment , there i s a class of product which want more upgraded product and then there are customers who are more aspirational and wanting premium product in terms of that. So it is not one segm ent eating into another, it i s just that the different customer segments have taken a different period of time Post-COVID to come back to growth and if you look at this across the categories , the premium segment has come back to growth much faster, which has been followed now by the m iddle segment and of course the affordable which is th e bottom of pyramid will follow soon given a lot of Capex, infrastructure program, the development, all that is happening.
Therefore , the income level, employment level as they rise, that class of cus tomers will also start participating more and more. It is not about one s egment at the cost of the other, it i s just a recovery in different segments have been happeni ng at different periods of time. It is heartening to see that middle and the upper segmen t recovering already recovered and at the entry segment which will recover soon. Over to you Ranjivjit for any more colors on this.
Ranjivjit Singh : The 100cc segment , the entry segment , when you look at it, it is really about inviting first - time buyers and the two -whee ler penetration in the country still has huge headroom for growth - it is under 50% and personal mobility continues to be a very basic need , a big requirement and that is something that as leaders a nd as a brand like Hero we take it upon

ourselves to see how do we help the consumer with the kind of value propositions that we put into the market , with the kind of value that they find in our products and be able to build that segment . So that i s seeing a bounce back and I believe that consumers will at times like this trust brands , which have been around , that have a service orientation, that have the facility widespread across the country, all of those things will work towards our favor, and we will continue to work to strengthen that. As far as the 125 cc is concerned , it draws from both sides, from the 100 cc as well as from the 150 , 160cc, it is source of business and we are seeing that there is a power there that is coming in and we are very well gear ed towards even the launches that we have done which I talked about and the future launches that we a re going to be doing will further str engthen our position in the 125 cc and premium we have already looked at in terms of our portfolio and the launches you have already been witnessed to. Across the board , we are seeing strengthening of our portfolio and also taking o n the role to expand the market.



Kapil Singh : Sure, thanks for the detailed answer. Second , I just wanted to check on margins. Now last quarter , we mentio ned that there was kind of 70 b ps drag and ICE margins were higher at about 14.5%. I just wanted color if you c ould you give us an update where are the ICE margins right now and what I am trying to understand is as we move forward and we ramp

up EVs,
how would the margin evolution look like . Do you think that can cause some drag on the margins or you have enough levers in terms of operating lev erage and cost reduction for EVs where this drag will not be there ? Just some direct ion over there would be helpful.

Niranjan Gupta : Right now, as far as Q2 is concerned, the ICE margins are close to around 15% and around 90 bps is what is deployed behind EV. As we move forward what will happen is that , and you are right , so the commodity cost or the BOM cost, now let us talk the commodity cost, the BOM cost reduction journey is well on th e way as far as EV is concerned . So that i s going to help as we scale up and as we reduce the BOM cost in terms of intrinsically improving that and while deploying tha t back in building up the scale. I would say broadly around 100 basis point is s omething that one can factor in, in terms o f moving and Q2 was 90 basis p oints anyway which was deployed.

Kapil Singh : Just to clarify the EVs are still on the Gross Profit basis , are we profitable at this point ?

Niranjan Gupta : No, not really, but as all of the entire industry is working on the BOM cost reductions on products w hich are engineered differently , so we move forward to that . Right now it is a nasce nt stage , I think the more focus is ho nestly on building the category, building the right product portfolio across in terms of putting that right cost structure s. Margins will follow, but right now we wo uld not be too worried about the margin structure on the industry basis.

Kapil Singh : Thank you so much sir and best wishes.

Moderator : Thank you. The next question is from the line of Gunjan Prit hyani from Bank of America. Please go ahead .

Gunjan Prit hyani: Thanks team for taking my question. My first question is on thi s Ather investment that we made during the quarter . Anything that you can share with respect to where we are on the stake now and also incrementally how should we sort of think about this investment , any strategic synergies to be drawn with the way now we are starting to scale up our EV business , so some color around Ather investment.

Niranjan Gupta : The Ather stake right now what we have is 37.5% and of course as you already have seen there are synergies that we are working on , maybe , I will ask Swadesh to talk about what we have done on the charging plan , also on the standardization of the charge rs - couple of points that you can mention.



Swadesh Srivastava : Hi, we are definitely leveraging the partnership we have with Ather for example this two-wheeler fast charger connector which we jointly have between Ather and VIDA - that has become the standard in the industry and we expect that more and more OEM s wil l adopt that . So that will n ot only help build the category, it also bring s customer ease across th e board. We definitely continue to look for other opportunities , whether it is supply chain or other areas, so that we can help together build the EV category in India.

Gunjan Prit hyani: Is there a thought process to have a similar front end as well , maybe there are experience centers that Ather have and your distribution is of course very sizable in their respect .I Is that something which is also part of the strategic decision making while you look at leveraging the portfolio ?

Niranjan Gupta : I would say one step at a time , I think Ather continues to build excellent products, they are buildi ng excellent experience centers, the company is doing well, the product portfolio is well known for it s premium aspirational image , so whenever we see that it i s the common synergies that both companies can leverage, and therefore benefits the shareholders , both the

companies continue to discuss on those fronts.
Gunjan Prit hyani: My second question is on the product lineup . I mean, of course you have be

en speaking a lot
about so many launches coming through. Can you give us little bit more color on
incrementally next 6 to 12 months , where should we expect launches and I am more keenly
focused on this 125 cc segment, I mean, clearly Glamour and Passion have seen som e uptick
over the last 3 months. How should this segment sort of scale up for Hero because it has been
historically pretty sizable right, I mean you mentioned about a million ea ch of these models
used to have , so a little bit more color in terms of model intervention and how do we see these
two models scaling up over the next 12-18 months ?
Niranjan Gupta : As far as 125 cc is concerned, already there are so me actions that have been taken , as you
know Super Sp lendor XTEC which wa s launched at the beginning of this calendar year and
then Glamour which has got revamped , so all of these will translate into higher volumes as
we move forward over the next few quarters. Of course , we are looking at further augmenting
this segment with another model timelines , we cannot talk about right now, but that i s
something that will come up by probably in quarter four, and the other launches which we
have been talking about mo re and more on t he premium side, you will see the launches ove r
the next four to six quarters.
The focus is on the 125cc, on the premium to some of the new launches and of course some
actio n on scooters also you will see . So you will see the lineup coming up . We will ke ep
everyone excited every q uarter , that much we can promise.
Gunjan Prit hyani: Okay. Lastly , if you can share the channel stock number and I will join back the que ue.

Ranjivjit Singh : Yes, this is like I said we prepared really well for the festival to make sure that in our widest
distribution of 6 ,000 touch points they have the adequate demand fulfillment possibilities and
so when we come to the end of the festival , we wi ll be back to 4 to 6 weeks of inventory.
Gunjan Prit hyani: Okay, got it. Thank you so much.
Moderator : Thank you. The next question is from the line of Raghunandhan from Nuvama Institutional
Equit ies. Please go ahead.
Raghunandhan : Thank you for the opportunity, congratulations on good set of num bers. Firstly , given the
stron g response f or Harley and Kariz ma brands, how are you looking at the production ramp
up for these models in coming quarters? Secondly , in terms of 125 cc, just following up again
there , within 125 cc the premium category has been doing very well that is price point of about
■90,000 ex-showroom and we have XTE C which is benefit ting in that category, but should
we expect more launches like Xtreme 125 cc in coming quarters and there have been lot of
spy shots also in the media.
Niranjan Gupta : As far as Harley is concerned, yes glad to note that we are very happy to see the response to
H-D X440 as well as Karizma. As I mentioned in my opening note, the current book ings
probably , we wi ll be able to serve ov er the next four months. Our supply ch ain is already in
fact 3 - 4 months back , they started ramping up the capacity. So we will be ramping up
capacity. At this stage I would not be giving out any number, but we wi ll be ramping up
capacity because we see very high level of bookings and then we sort to closing the bookings
at different points in time.
On the 125cc , I will ask Ranjivjit to talk about the XTEC and how these have been doing and
of course they have more exc itement in this segment as well.
Ranjivjit Singh : Super Splendor XTE C was introduced in the beginning of the calendar and really helped, I
mean, when you look at the up take that it had not only its core markets of UP and West
Bengal etc., but also acr oss the country. So it really got a national footprint thanks to the tech
upgrade which that segment of c onsumers really looking for. The LED headlamps, the USB,
all

the other functionalities in terms of connect, all of that has helped, then when we look a t
Glamour XTEC that continues to be there, but as we are going forward we are also working
on something which N iranjan talked about and so as we coming into the quarter four , we
should see some excitement here coming from Hero to address the segment needs of that
power packed and tech advanced kind of portfolio. We are very excited about what we are
going to be introducing.
Raghunandhan : Thank you Ranjivjit. Just a clarificati on, how would be the XTEC share within Super
Splendor and Glamour ?

Ranjivjit Singh : XTEC is 2 2%, around 2 0%, overall it i s for the XTEC family is 1/3rd around that much, and
it goes across Glamour , Splendor, Super Splendor, Passion, Destin i, Pleasure, Xoom, all of

them have XTEC. These are the ones that a little bit more tech advanced they have what have a clear competitive differentiation and just for a little bit more , which the consumer is happy to pay the premium , then they get all these extra functionalities like I said about B luetooth connectivity, the USB charger, low fuel indicator, etc. All of these things are very much for the younger generation , are very preferred.

Niranjan Gupta : In fact , like you picked up rightly , what this is doing the XTEC is a ctually just along with premium; our journey on premiumization also has been equal focus as far as the rest of the categories are concerned.

Raghunandhan : Thank you very much. Lastly can you share the spares number , if you have it handy?

Ranjivjit Singh : Yes, so we had a really good quarter in terms of the parts , accessories and merchandise business . Over ■1,300 Crores , ■1,354 Crores to be exact which is a double digit growth over last year. The growt h is coming across all parts, it i s coming from the parts business from oil , some of the new additions in terms of t yres, all of that is working well . We are working on our strategy to cont inue to expand at distribution , so that continues well in terms of numbe r of re tailers that we cater to, the number of parts distributors and through our super stockiest channel. We also are getting more and more extracti on from each of these retailers , so that continues to be a key growth driver for us and overall it i s a business t hat is coming in a really strong and good growth. It continues to do well.

Raghunandhan : Thank you so much, all the best. I will get back to the queue.

Niranjan Gupta : In fact , just to add Ranjivjit on that, it will be good to let people also kn ow that October month , which we have just finished, w e have clocked ■500 Cr ores revenue from PAM business for the month - it is highest ever.

Ranjivjit Singh : That's true.

Raghunandhan : Thank you.

Moderator : Thank y ou. The next question is from the line of Praveen Motwani from BOI Mutual Funds. Please go ahead, sir.

I think he ha s got disconnected.

Umang Khurana : Why don't we take up Binay next and the moment Praveen comes in, let us take him in.



Moderator : Sure. Mr. Binay Singh , go ahead.

I think even Binay has dropped. I will take the next question. The next question is from the line of Mr. Pramod Amthe from Incred. Please go ahead, sir.

Pramod Amthe : Thanks for the opportunity. The first questio n is with regard to the Passion. The way it ha s bounced back l ooks impressive. Would you give us some color in terms of , within that sub - segment , what market share it has been able to achieve and what has been the cannibalization for some other brands of your own ?

Ranjivjit Singh : It is an overall growth story that w e have got on Passion. I think the market was really looking forward to this fo rm factor , this brand to come in. There was a lot of belief and love for this brand and so it bounced back extremely we

ll and the growth is over 2x in terms of that, and that really helps the overall 100cc segment to grow, and no it is not come at the cost of any other brand at least within our po rtfolio and that i s because a lo t of the extra coverage that we have got in markets , where for example I was talking about south or east , Passion was at one time a big contributor to the overall volumes and revenues of our dealers and coming back it has only augmented and increased the amount of business that it has generated for it. Splendor continues to do extremely well , always we a re delighted with this power brand that we have and of course HF , like I mentioned to you , has also grown in d ouble digits thanks to the very strong rural uptick that we are seeing during this Festival seas on, and I must say this that our focus is on expanding the market here, and so in a way we are really bucking the trend . We are doing very interesting rural activations that are inviting our consumers to participate during this time, and I think that i s some something that probably no other industry player is doing , so we are quite happy with the way the teams are executing on this strategy.

Pramod Amthe : It is also the existing customers of Hero long back, they are upgrading towards Passion or these are th e new customers who are ?

Ranjivjit Singh : You are absolutely right . There are a lot of customers who are holding on , last many years they were holding on , to their Passion because they were just, so it is a question of love that is why our campaign was also about first love and they have come back, but not only that I think there are many first time buyers as we see as well. It is coming back exchanging and we have a very robust and good exchange business that i s also showing treme ndous growth , so we are also stimulating that and we have done that with passion, we have done that with Glamour , there i s a pretty good installed base that we have that our customers come back to us, they get the exchange bonus they ar e able to do all tha t, we have got Hero Sure outlets, we have got the Wheels of Trust, Do It Yourself app that from wherever you are you can get an evaluation of your current two -whee ler and in seconds you get that , you literally walk into a Hero showroom , a dealership and yo u also get brokers to participate and give you the best

possible deal for your previous older veh icle and exchange for a new one. It is a very comp rehensive strategy that we ha ve got to expand the market and that is what we are working on.

Pramod Amthe : Second question is with regard to the scooter exports, which also seems to be again coming back in a big way . So which markets are these which are driving this and also what is the runway , any thoughts ? Is it more driven by the new products you introduced those markets or can you give some color and some medium -term targets there for specifically scooters .

Niranjan Gupta : I guess we will address this in overall global business volume , not in terms of sco oter or the other parts of it . Quarter 2 we had 5 2,500 volumes which sequentially is a very good growth because quarter 1 was only 35 ,000. So, yes the markets are coming back in part and we are looking at further scaling up of these volume s in second half.

Pramod Amthe : Sure thanks and all the best.

Moderator : Thank you, the next question is from the line of Praveen Motwani from BOI Mutual Funds. Please go ahead.

Praveen Motwani : Hi Team , thanks for the opportunit y. My first question is what is our production capacity for Harley -Davidson X440 and how do we see the ramp up over the next couple of quarters.

Niranjan Gupta : As I mentioned earlier that our current number of bookings that we have, we aim to serve them over the next four months and the supply capacities are getting augmented for both Harley and Ka

rizma and we will see that coming up higher capaciti es in Quarter 4 of this year.

Praveen Motwani : Any indication that what would be the production capacity number , to understand our stand to address the demand that we will get for this product ?

Niranjan Gupta : Partway between Harley and K arizma, we are looking at to ramp up in the stage one to around 10,000 per month and probably we could look at augmenting that e ven further as we move forward.

Praveen Motwani : 10,000 per month, okay and can you just also elaborate on the profitability front specific to the Harl ey-Davidson , that would be really helpful.

Niranjan Gupta : The profitability in this segment is quite good and it builds us with the scale. Right now our focus is on ensuring that we win in this premium journey and scale up and get to meaningful market share in every segment of the premium category .

As we build premium portfolio , it allows us to further expand our PAM business more specifically on the merchandis e part of it and therefore that i s something that in future we will see as an additional revenue stream coming through.

Praveen Motwani : When you talk about the better profita bility in this specific thing , can I assume that it would be better than the blended marg ins that we are doing right now.

Niranjan Gupta : I would not get into more specifics here, but I think the portfolio shape will improve from a margin perspective as we move forward. Right now , our singular focus is building the share in the premium segment across e ach of these segment s within premium itself.

Praveen Motwani : Understood , thanks a lot and all the best.

Moderator : Thank you. The next question is from the line of Shree Kirloskar from BOB Capital Market Limited. Go ahead.

Shree Kirloskar : Thank you for the opportunity. My first question is on the balance sheet . The receivables have gone up sharply to around ■4,300 Crores. So, any color on that, what’s driving the growth?

Umang Khurana : We couldn’t hear you well. Could you repeat yourself , please.

Shree Kirloskar : My first question is on the balance sheet part our r eceivables have gone up sharply , so any color on that on w hat is driving the growth there ?

Niranjan Gupta : Well , that i s the usual bit that happens during Festive season because as the s tock builds up and t hat happens across the industry. We do provide extended credit to our dealers which gets then wind down by the end of the festival. Nothing unusual on the trade receivables part.

Shree Kirloskar : My second question is on the volumes . You have been doing pretty well on the volume parts for, espec ially on the motorcycle segment , is this something we are seeing as part of a pent up demand which is going on or the normal streamlin e one?

Ranjivjit Singh : Yes, I think there i s a little bit of seasonality here as well. When you look at the way we are shaping our portfolio , bringing in of course the volumes are going up and the trend that we are seeing is pretty positive for the festival season as we get into Q4 then also and pretty much from No vember onwards we will see the marriage season kicking in , so there also the demand is going to be positive . So we see that the trend for at least our portfolio is continu ing to be robust and strong.

Shree Kirloskar : Okay understood, thank you so much.

Mod erator : Thank you. The next question is from the line of Hitesh Goel from CLSA. Please go ahead.
Hitesh Goel : Thanks for taking my question . My question is on the Gross Margin . If I look at on Q-o-Q basis , you ha ve taken a 1.5% price increase, but the gross ma rgin expanded by 80 basis point. There is also precious me tals have gone down quite a lot, right I do not know what is t he proportion in your portfolio, can you specify that because most

of the companies are ha ve got some RM benefits as well . Can you just break it down on the Gross Margin side for us ?
Niranjan Gupta : We look at overall shape of the margi ns rather than the by elements, and I would broadly cover without getting into each component , that the benefits have accrued from obviously the catch up between price and the commodities , there is part of the leap savings that we continue to drive , there i s also the mix impact because as we have seen the 125 cc, the dealers whose growth have been higher than the entry s egment ove rall is a composition, and therefore t here is a mix benefit as well. There is a combination of all of that, that has actually helped in terms of getting the margin, and of course when you look at some bit of operating lever age as well. So it is a combination of all that which has resulted into the EBITDA margin. I would not get into each component wise , honestly which contribut es.
Hitesh Goel : Just a follow up on the other expens es, we have seen strong increase . Is it because of the launches Harley launch or something that the expenses have been higher or this is the recurrin g kind of rate we should assume ?
Niranjan Gupta : As I have been saying other expenses we should always look at a roll ing four quarter basis and that i s the best way to look at because quarter wise based on the launches we will always have an uptick and of course the margin shape that we have , which is why I keep going back to the overall margin shape , it allows then us to deploy more and more behind the launches whether it i s a Harley launch or whether it is Karizma launch and there will be more launches to follow. We will have that trajectory behind those which i s the right investment for growth.
Hitesh Goel : Great thanks.
Moderator : Thank you. The next question is from the line of Mr. Pramod Kumar from UBS. Please go ahead, sir.
Pramod Kumar : Thanks a lot for the opportunity. Two questions, one is a c larification on the receivables. Normally , these kind of receivables also ge nerate interest income right , it is not like you a re going to be funding or extending credit for a limited p eriod without any interest cost, interest for the dealer is that understanding right ?

Niranjan Gupta : It is part of the entire extension of credit that we do and the interest is only i f it becomes overdue so that i s the usual bit that happens . It is just that we allow extended credits during this period of time.
Pramod Kumar : Where do you recognize if there i s overdue and there i s interest which is kind of you receive from the dealer . Where exactly that, does it come in the other income ?
Niranjan Gupta : Yes, beyond the due period w hich again it gets into the other income you are right. That is not a big portion of the other in come which you see.
Pramod Kumar : Yes, that is good to hear. On the EV side , because what you are seeing is the demand continues to be pretty resilien t even in the festive season EVs are holding a 5% volume share which is pretty encouraging , which probably points to increasing adoption of EV s even in the rural and the festive mar kets and given the fact that you have a really differentiated product , because if you look at all the other ma jor players they have a handicap where the battery is a fixed one and you are the only one amongst all the leading players who have a differentiat ed product approach and honestly which should gi ve you a very good right to win, but I a m just trying to understand what is kind of , is it supply chain which is constraining you because otherwise with this kind of a product the proposition where you a re really taking charging out of the equation altogether practically , the constraints around charging . So why are we not seeing a much sharper surge in volumes or what am I missing here because this is something re

ally differentiated ver sus everyone else in the market.
Niranjan Gupta : You are absolutely right . I am glad that you picked this up that t he product is differentiated, it is being marketed as a very differentiated marketing proposition as you would have seen , the creatives , on the place part of it also we have advantage given that we can leverage the Hero distribution network which we have started leveraging plus of course exclusive stores which actually are now coming more and more on ground, which is the VIDA Hub that we talk about which wi ll bring the imagery part of it. All of these are right ingredients in place.

It is only a question of time when we actually put out the scale as we said that , as of the last two weeks we already started producing at 1,000 per week and of course as we move forward , we will continue to ramp it up. It is important to get t he ingredients right which you ar e rightly saying , and then there after the scale up is only just a function of time. Swadesh , you w ant to add just couple of points on that ?

Swadesh Srivastava : No, Pramod you have picked up the right USPs and in fact that i s where the answer lies as well that we are very confident about this product an d the customer feedback is very, very positive. It is our responsibility to make sure tha t we set up the right ecosystem, the foundation for growth and all the support structure which the customer needs once they own the product. We are building all of that , we know that we have a well differentiated product we have the



best range, removable bat tery, charging infrastructure, differentiated connected features, so we know that we are going to be ramping up volumes very fast.

Niranjan Gupta : It is very important that at the initial stage one does not get too perturbed about how much volume you a re selling 1,000 - 2,000 it i s important to build the right infrastructure in place plus in fiscal year 2025 we got to expand por tfolio in terms of price points . So they wi ll be made and t hen more affordable price point, affordable but not cheap product , the product will still be a class in itself that i s where the focus will be and with all this we will obviously see a scale up h appening , not worried about that.

Pramod Kumar : Great thanks a lot, seasons greeting, and best of luck. Thank you.

Niranjan Gupta : Well thanks , seasons greeti ngs to you as well and everyone.

Moderator : Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rat hi. Please go ahead.

Mumuksh Mandlesha : Thank you for the opportunity sir and happy f estive season to the management. Can you provide update on the export volumes expectations ahead as the demand is gradually improving and can you indicate which are the major countries contributing to export volumes and how you seeing the c urrency availabi lity in those market s?

Niranjan Gupta : For us obviously the top few markets , whether it is Bangladesh, whether it is Colombia and then of course in the prospec tive markets we have Nigeria, we have Mexico, we have got Turkey , of course in Nepal we have had some disturbances on volume. So these are the markets where we will see volumes in terms of moving forward. Our quarter 2 sequentially has been good, second half we expect th e volumes to also pick up. Having said that we know that world is also go ing throu gh geopolitical issues, so we need to watch this space, but we will be building u p the global business gradually , so we are more looking at medium to long - term point o f view.

Mumuksh Mandlesha : Got it sir and as you mentioned earlier that the entry buyers are coming back to the market and the earlier used to be like a 75% of the Hero demand used to become entry buyers that have fallen to 60% , so how was that change, if you can indicate sir?

Ranjivjit Singh : Yes, so entry is definitely has a

good uptake , I am not sure about the 75 %-60% that you are referring to, but typically the urban rural split has been a little bit more in favor of ur ban in the last couple of years. Now during this time when we look at the source of business of the festival season , it is evened out and that i s really a very good trend for us to see that rural is also participating and I believe that they have confidence in HF Deluxe and the proposition that we have there with the financing schemes, with the activations that we have done in the



rural markets , so I think it is seeing a good uptick and it augers well for the overall festival demand and the re sults that we are seeing so far.

Mumuksh Mandlesha : Thank you so much.

Moderator : Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Market Limite d. Please go ahead.

Jyoti Singh : Thank you for the opportunity. My question is on the Cap ex side. Are we still adherin g to the previously guided Cap ex that is 1,000 Crores or have there been any changes in that regard ?

Niranjan Gupta : Yes, we are sticking to the same guidance and as we had mention ed earlier while we continue to, the point is that the shaping of the capital allocation is moving more to wards Premium , EV, premiumization, but the overall capital guid ance remains the same.

Jyoti Singh : Okay, great sir. My second question on that voluntary retirement side , like we incurred approximately ■160 C rores last quarter. Can you please provide an update for this quarter?

Niranjan Gupta : That is closed. That was closed and done with and the numbers were factored in quarter 1.

Jyoti Singh : Okay , thank you so much.

Moderator : Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh : Just one follow -up. On the battery technology that we are going to use going ahead , do you

think that this swappable battery is the way forward given the conviction you have or the feedback you have or going ahead we will be investing in fixed battery kind of solutions also ? If you c ould you just compare and contrast the advantages and disadvantages and where you would invest more energy going ahead.
Niranjan Gupta : What you mean is removable battery versus fixed battery , right ?
Kapil Singh : That is right.
Swadesh Srivastava : Yes, as we hear d earlier on the call itself , that our removable battery is the major US P and the highly differentiated from other players and products in the market. We continue to see that our customers are heavily using that feature. We see that we will continue to rely on this aspect of our battery, but having said that , I do not think one can tie up to one type of fulfilling the need of range anxiety just by saying i t will always be removable. We have to see for each segm ent what the cu stomer needs are, what the use cases are and we will have to have the right battery for that .

If a certain segment does not require a removable battery and I can give a much simpler product , it depends . So I do not think I would s ay that one would assume removable battery for all products, but wherever we are present we see the benefit of it in t erms of the customer experience.
Kapil Singh : Could you just explain us , like in which use cases do you think the fixed battery works better and is there a h igher cost in case of removable, just to help us understand the variable basis which you have taken ?
Swadesh Srivastava : There are use cases where the customers have the opportunity to charge very easily the scooter itself or once the fast charging network is available and the speed of charging is to an extent that you do not really need, you can quickly top up 50 %-60% of the range required. In those use cases , you do not really need to be avai

lable with removable battery . Also when there is a very captive use between point A to point B, very r eliable sort of predictable use. We can sort of take this up, it is a longer debate, but as I said there are use cases where you probably do not need the removable battery but as we continue to bring down the cost of the vehicle and the battery and continue to provide the three ways of charging which is the scooter , the battery and the fast charging , we see that it will cover majority o f the segments as we go forward . But I do want to say that this is needed to be for 100% of the products.
Kapil Singh : Thank you. That is all from my side.
Moderator : Thank you. We will take the last question from the line of Ab hishek from Dolat Capital. Please go ahead.
Abhishek : Thanks for the opportunity. What was the retail number in last festive season for Hero and what is your target for this festive season and how much peak festive season volume for Hero ? Do you expect this , you would be able to surpass in this season that numbers?
Niranjan Gupta : Our last y ear festive season we were around close to 1.2 million for the festive period and as we call that finally the end customer retail, I would not give a target right now we have said that we expect industry to grow double digit and we have already talked abou t the festive so far we have grown 15 %.
Abhishek : Okay and my last question on the scooter segment , we are much behind versus our peers , so what is your plan to regain the market s hare in scooter segm ent?
Ranjivjit Singh : Thank you for the question. In the two segments , the 110 cc segment was in fact gaining market share thanks to Xoom, Xoom is doing very well. In a number of markets , it ha s become the number two brand and that is really, really incredible for such a short period of time for the brand to be become so accepted in the market with many industry first like the

corner bending lights which has got wider tires ; it is really got a zippy acce leration so all of that is good. As far as the 1 25cc segment is concerned, we a re in a period of transiti on as we phase out a couple of products from our Maestro Edge etc., and we bring in some new , we have already brought in Destiny Prime in the 125cc and this is again transitioning into a really good path as we go forward. So 125cc we will continue to stren gthen as we go forward, 110cc we ha ve already done some int erventions there and overall we wi ll see us growing in this overall scooter market.
Niranjan Gupta : Thank you an d happy festive season to everyone.
Umang Khurana : Yes sure. Thank you everyone, thank you for listening to us. We look forward to keeping in touch and enjoy the rest of the year. See you soon.
Moderator : Thank you. On behalf of Anti que St ock Broking that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Feb 2024

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February 15, 2024

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Sub: Transcript of Earning s Conference Call for the quarter ended on
December 31, 2023

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find attached the transcript of the earnings conference call held on February 10, 2024 , for the qu arter ended on December 31 , 2023.

This is for your info rmation and further dissemination.

Thanking you,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

Encl: as above



"Hero MotoCorp Limited
Q3 FY2024 Earnings Conference Call"

February 10, 2024


Moderator: Ladies and gentleman , good day and welcome to Q3 and 9 months FY24 Earnings Conference Call of Hero MotoCorp Limited hosted by Prabhudas Lilladher Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Himanshu Singh fro m Prabhudas Lilladher. Thank you and over to you.

Himanshu Singh: Thank you, everyone. Thank you, Yash. Good morning, everyone. Welcome to Q3 FY24 post result conference
call of Hero MotoCorp. I would like to thank the management for giving us this op portunity to host this call. Now, I hand over the call to Mr. Umang Khurana, Head - Investor Relation s and Risk. He will introduce the management and take the call ahead. Over to you. Thank you.

Umang Khurana: Thank you, Himanshu. Thank you for hosti ng us. Good day everyone. Welcome to the quarterly call post results
investor call at Hero MotoCorp. Thank you for sharing your Saturday morning with us. As usual, what we have today is we'll start with our CEO, Niranjan Gupta sharing an update. We al so have with us today Swadesh Srivastava, our Head of EMBU business and then fronting for Ranjiv is Ashutosh Varma, our Head of Sales Nationally as well. We'll open with Niranjan with his opening comments and we'll take it from there. Niranjan, over to you.

Niranjan Gupta: Thanks Umang and welcome again and good morning. It's a Saturday we know, but I'm sure that you will be excited
seeing - you would have been excited seeing our results and we're more pleased as we go through your questions and our ex planations on those. As you would have seen the results, we delivered a top line growth of 20% and a PAT growth , profit growth of 50%. This allows, as I've been saying earlier, our profit shape now allows to deploy more aggressively behind ou r growth priorities. We also declared interim dividend of ■100 per share, which include ■75 which is normal and ■25 as a special dividend. Coming to the actions that we have been taking and you've been seeing us , a lot of action s in the premium segment. Our early success that we have seen on Harley X440 and Karizma continues. We've launched 2 more products , as you saw in Hero World , and thank you to those who were able to come to Hero World. I'm sure that you looked at our entire portfolio and liked it. We launched Mavrick 440, which as we said, bookings will commence in this month and deliveries will start in April. That will be boosting further our premium portfolio which is already looking very, very formidable.

We also launched Xtreme 125 in the 125 cc segment to s trengthen our 125 cc portfolio and you will see deliveries starting on that as well. In terms of EV, we've been creating all the right infrastructure. We've collaborated with Ather , creating one of the widest charging infrastructure in the country. We've been expanding our presence to cities, to dealers , apart from creating dedicated VIDA Hubs as well and you will see a lot of action on the EV portfolio very soon in the coming, coming quarters. While we've being driving premium and our EV and of course strengthening our 125 cc portfolio as well, we've been focusing on the non -product revenue streams as well as part of that. You've seen the growth that we have seen in the Parts, Accessories and Merchandise (PAM) business over the last 3 -4 years, it's got an annualized revenue of ■5,500 crores and therefore we decided to put an investment of ■600 crores behind this, which will be spent over the next two years, which will take the capacity of the PA M business , as we call it , to

■10,000 crores +. So, that's the news on the busi ness front. There is more, but I would like to leave more time for the questions from you all.



Just wrapping up on the economy front. It was heartening to see that even though it was vote on account , the government continuing to be there on the path of the long -term growth and therefore the capex provision of ■11 lakh crores is fantastic in terms of the numbers and on the back of the 2 -3 years of ■8-■10 lakh crore s of capex which means that this will trigger the job creation, employment, income opportunities at the bottom of pyramid. Overall, and that of course , the government has also ensured the fiscal prudence. Therefore, that means that inflation will continue to be in control. Therefore, we are very optimistic and confident about the economy in general and, of course, the prosp ects of auto sector in particular. Let me now hand over to the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session.
We'll take our first question from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Yeah, hi, good morning team, thanks for taking my question. My first question is on just trying to understand the
demand better. I'm really keen to hear from you on the, what is the confidence around the sustainability of demand for the two -wheeler space going forward and what are we seeing i n on the ground rural -urban , pent up demand , and the reason I asked this is because if I go through what's been coming as commentary from the other consumer companies or financials seem to be suggesting there is lot of weakness in the lower end of th e market while two -wheeler certainly seems to be in the bright spot. So, just trying to understand , you know , what is the divergence, what are you picking up on the ground, and how confident are we of this sustaining over the course of next 6 -9 months. I'll stop here.

Niranjan Gupta: Gunjan, thanks for the question. As far as the demand is concerned, as we have been saying, we do expect the
industry to grow double digit on revenue in the coming year at the least , and you've seen also similar commenta ry coming from other players in the two -wheeler space. Fundamentally, as far as , and premium has been outstripping

the growth because India is the story of many India s and gradually you see upper premium, middle premium, you see even in 125 cc, if you segment it into two - which is the upper premium 125 cc and let's say a non -premium 125cc, then that's also growing. So, you've seen every segment , you kind of see premiumization and that's growing. So, it's not just about the top end of India which is growing , you can see aspirations of people growing. At the bottom of pyramid , as I just said earlier, the heavy capex spend that's been happening, the digital inclusion that's been happening , the hospitality industry that you can see clearl y which is lifted up, it's actually lifting the sentiment of the consumers of the bottom end. So, that will get manifested as consumption in different categories at different points in time and which is why you see this divergence . But we clearly se e the positive signals which are emanating from the rural sector as well and we will see in the coming quarters growth picking up from that segment.

Gunjan Prithyani: And anything that you can share in terms of how the growth rates are varying between rur al versus urban for your portfolio?

Niranjan Gupta: Not specifics Gunjan, but if you look at it in the festive for instance, we had a higher contribution coming from rural versus urban if you compare to the preceding few months , and even if you look at the latest, the enquiries which we track - for instance, overall the mix of the enquiries if you see, the y were like in the last, let's say quart

er

two, quarter three, quarter four of FY23, it would be around like 40% enquiries co ming from rural and 60% from



urban. Now that seems to be going up to 50% - 55% enquiries coming from rural. Now, therefore as the enquiries are starting to pick up , that will manifest in the consumption moving forward.

Gunjan Prithyani: Okay. The othe r question , Niranjan that I had , was that this financing which seems to have certainly gone up a lot on the two -wheeler side and that's something which is you know very specific to two -wheelers within autos . It was much less penetrated couple of years bac k. Is that something which is really, is a pretty strong lever in terms of reviving the market, any thoughts around that?

Niranjan Gupta: Absolutely, Gunjan. If you go back to our earnings call, I've been, we have been calling this for many years now that financing is going to be the big driver. If you remember , even when it was 40% - 45%, 50% penetration and that definitely is a big driver not just now but moving forward. I would even say that next three years, the single biggest driver from industry point of view will be the finance penetration down to the lowest strata, while from the economic point of view it is a capital expense, but from the industry point of view it is the finance penetration and finance penetration in terms of the enti re ease of financing, the convenience of financing, and the cost of financing and the width of financing, the entire way and that we've been working with all the finance players.

In fact, we have piloted our e -Fin platform very recently that will be sc aled up moving forward in the FY25. Now, what that does is aggregating all the finance rs on one platform and make the processing of loans much faster and very convenient for the customers. So, it's just got piloted, it will be scaled up very soon, but clearly finance is the big driver for the next three years because that's where , it's not the ticket price which plays a big role , it is about the ease of financing and the cost of financing.

Gunjan Prithyani : Okay. What is the financing pen etration, if you can share that and I'll join back the queue .

Niranjan Gupta : Sure. The financing preparation as far as the overall is concerned is close to around 60% to 65% and Fincorp is close to around 30% of that .

Gunjan Prithyani: Okay. Got it. Thank you so much.

Moderator: Thank you. We have our next question from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: Hi, good morning and thank you for taking my questions. My first question is on the pric ing environment. We seem to be heading into a slightly more benign commodity price environment, but I think Hero has been very proactive and taking opportunities to raise price , maybe a little more than peers in the industry over the past couple of quarte rs. So, just trying to understand, have we sort of covered for most of the commodity inflation we faced over the past couple of years in terms of passing on price hikes or is there a little more to go? And also, just related to that, have we been able to take any price hike so far in January and February? Thank you.

Niranjan Gupta : Hi. I will just correct you. We have not been taking pri ces more than overall what is justified ; as an industry because of our product and price positioning, we have ensured that we maintain and we keep evaluating this every quarter



in terms of the product positioning in the market and we keep adjusting it for the feature rich enrichment that we are doing. So, like-for-like if you see , it is very similar.

On th e second question on the inflation cover, yes, all the inflation that you saw and therefore , and that time also we said , that we got to be sensible and theref

ore we took partial hit and partial pass-on and now that's all got covered
and yes, the commodity environment currently is benign.

Chandramouli Muthiah: Got it. That's helpful. My second question is on the electric motorcycle plan that we recently shared in Jaipur at the
Hero World event. It appears that we are going to start , maybe with performance motorcycles then premium and
then slowly go on to Mid over time. So, just trying to understand the thinking behind that , given that you have
historically been pretty strong at the entry level and with electric motorcycles , we seem to be looking to start with
performance and premium?

Niranjan Gupta : Yeah. The thinking behind that is very simple, which is that if you look at the cost of putting EV in a commuter
and lower segment, it will become hugely unaffordable because for a motorcycle , the distan ces that you need to
cover and the power that you need means that you need twice the battery capacity or a like-for-like at least compared
to the scooter. Already the scooter TCO's are still not at a level where it is viable and therefore you see OEM s
having cash burn or cash investment you may call it. Therefore , it makes sense to start at the performance
motorcycle where the customers can afford that price and gradually as the technology evolves and changes and
you'll continue to learn and gear up, but clearly the EV next few years is going to be about scooters until the
technology for battery changes.

Let me ask Swadesh, who's our Chief Business Officer for Emerging Mobility Business Unit , to talk more about
the Zero collaboration and our thi nking behind starting from the performance EV motorcycles. Swadesh, over to
you.

Swadesh Srivastava : Yeah. Thank you Chandramouli for the questions. Niranjan clearly covered why it's going to be a little while before
you see EV s coming in the commuter motorcycle segment. I think the industry is moving from high performance
scooters to now affordable scooters, that's the story we need to make sure that we're leading that. On the Zero
collaboration part, we are aggressively working on getting the high performance and also working on the higher
end of any new technology , and a new product allows you to then make sure when you come in the affordable ,
you're much more prepared from technology and cost point of view. So, that's another reason to start from the top.

Chandramouli Muthiah: Got it. That's helpful. Thank you very much and all the best.

Moderator: Thank you. We have our next question from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Yeah, hi. Niranjan you talked about rural markets, you hav e seen some positive signals from the rural market. So,
can you elaborate further on that , what are those signals and also more importantly post festive , how has been the
retail trends and enquiry tren ds in the rural market on the entry level side?

Umang Khurana : Jinesh, you're a little, your voice is a little muffled. Maybe you want to try again?



Moderator: Mr. Gandhi, please use your handset mode.

Jinesh Gandhi: Yeah. Is it better now?

Umang Khurana : This is better, Jinesh.

Jinesh Gandhi : Yeah. So, my question was on the rural markets , if you can elaborate on that and secondly with respect to the retail
trends post festiv e in the rural markets, are they holding up and growing on low base of last year, is that being
visible on the ground?

Niranjan Gupta : Alright Jinesh , firstly congratulations on your move to Ambit Capital and hope you've settled well and Ambit
Capital will get the benefit of your years of experience that you've had at Motilal. Jinesh, on the rural side as we
said, see I think we make too much out of the rural demand signals. So, if you look at the structure of the industry,
if you look at even within rural, you have more aspirational,

more urbanized class. It's not two -wheelers, it's topping
to be only about rural . So, I think that's the part of it and I just said that we take our cue more from the enquiries
that are going up , from around 40% - 45% of the enquiries coming from rural, now the percentage of enquiries
have moved to 50% - 55%. Now, clearly therefore, people are willing to buy , coming forward , that coupled with
as the income level expands with all these capex going in and the finance penetration . This is just the start , and
therefore , because the appetite or the under penetration is very , very clearly there , in terms of demand to be
translated .

And on the festive, po st festive, ye s the season in December typically is soft, but it has started picking up already,
post to January 14th and you will see it going up. Actually, we're not worried about the month to month or a few
days here, few days there, but the fundamen tals of demand actually continue to be there. In fact, in the festive
season , the rural contribution to retail actually increased by 300 bps as we have said earlier and therefore it will
continue moving forward.

Jinesh Gandhi : Got it and second quest ion pertains to the commodity cost influence in 3Q . We had seen the further increase in
gross margin. So, are we seeing this trend to continue or now stability in commodity prices is there , is large part of
the benefit fully reflected in numbers?

Niranjan Gupta : I think broadly I would say that the commodity is stabilized and it's , the margin improvement is not just reflectively commodity cost. If you see , we've done a lot of premiumization across our portfolio. So, it has a mixed element to it and it's got leap savings benefit into it , and of course, it's got partially the commodity benefits as well. In fact, our ICE margins are now close to 16% and this quarter, festive quarter , we did pump in a lot of money behind EV marketing to create our brand awareness. I will ask Swadesh to talk about the VIDA brand awareness very soon and we invested around 200 basis points in our EV business taking the margins overall to 14%. So, I think we had a good space where we are able to invest more behind ou r growth priorities. Swadesh, would you like to talk about how we have used this to increase the brand awareness of VIDA in this quarter?

Swadesh Srivastava : Yes. Thank you Niranjan. So, VIDA coming from the House of Hero, obviously, th ere's already a strong backing,
but for a new brand, we have to make sure that people are aware that V IDA EVs are coming from the House of



Hero and we have partnered with the key cricket properties, we have partnered with key TV properties, we have been very aggressively going on social media and local print ads, and we have really seen the jump up in the last 3-4 months on what our awareness courses are. It is still early times , India is a large country and many India s, as Niranjan always talks ab out, so we will continue to build on it, but we are on a good trajectory.

Jinesh Gandhi : Got it. Continuing on the EV side, so how have we seen our expansion in our touch points on the sales side and
how do we plan to expand it further?

Swadesh Srivastava : Thanks for that question. Yeah, this year has been incredibly good for us in terms of expansion. Once we start
putting our expansion action in place, we have been growing almost a city a day. Now, we are 100 + cities, 150 + dealers across 3 -4 formats. We started with experience centers, then we are at present in Hero 2.0 stores across these 100 cities. We have close to 18 hubs already , VIDA hubs which are exclusive, small format exclusive dealership, and we p lan to really take it up to 100 hubs next year and we will be present in maximum Hero 2.0 as that is also scaling very fast for the next year , and at the same time we are also present in Premia . So, you'll se

e
these multistore formats, which will be present across and with our increasing portfolio and accessibility at every point, we definitely will see a huge scale up in FY25.

Jinesh Gandhi : Got it. Thanks, and all the best.

Swadesh Srivastava : Yeah. Thank you.

Moderator: Thank you . We have our next question from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh : Hi, good morning sir. My first question is on, you talked about the fact that we will now be using the margin shape
to fuel our growth in future . So, if you could just elaborate how you are thinking about this, what is going to be the strategy ? Should we expect 100 to 200 basis points kind of investments to fuel growth and particularly for EVs, what we noticed is that there has been some discounting in the industry recently , so just to industry specific comment , is that you are noticing that demand for EVs have softened or is it that the profitability with these discounting is coming under pressure ? So, just some color on that.

Swadesh Sr ivastava : Yeah. So, on the EV market side, as we have mentioned earlier, EV is in a huge transition right now. I think it's
moving from the early adopters to early majority and the early majority is definitely going to look for upfront pric e parity between EV and ICE products. They don't want to compromise on their charging requirements, they don't want to compromise on their service requirements. So, any serious player is going to make sure that they are playing at the right price points, at affordability of these scooters, and making sure their charging infrastructure and service network is up to the best level.

Now, your observation about these price wars or discounting, I think that's just a reflection of when some of the players a re not ready with the right products there , they might be trying to play a price discounting game . But as we have always said that we are here for a long run, EV is a marathon, we don't want to get caught up in a short - term price war . We want to mak e sure we have the right products at the right price points and closer to the customers and we know that with that strategy in place and our heavy cost reduction road map internally which we have, we



will ensure that we have the rest the right product in t he hands of the customers. So, we are not too worried about it, but your observation is right . The industry is going through a price war.

Niranjan Gupta : And Swadesh you know , talk abo ut are we launching in quarter one?

Swadesh Srivastava: Yes, yes, yes. Thanks for adding that Niranjan. So, as we have said that we are coming at, we're going to be playing
in three price points within the quarter one of FY25, which includes our afforda ble and the mid segment with a very competitive offering in the market. With that in place, we definitely see that we'll have the right positioning to scale up fast in FY25.

Niranjan Gupta : So, Kapil , in short you will see our price action combined wi th the product action and not as a standalone ,

and
expansion of the portfolio. Coming back to your first question, which you talked about the re -investment . See i t's
a dynamic margin management , you deploy behind growth priorities , and we've been saying this, the tramline for
ICE margin is 14% - 16% and I've consistently been saying we have been on that path, we've ensured that we put
the savings in premiumization , in the premium products and you will see that investment, the deployment , your
capex or opex, more and more going towards premium, going towards EV, going towards the digital priorities
which have been talking about at various times. It is the rejig resource allocation which is key to growth and good
thing is that we have cash earned which we can fund with this, so we don't nee d to be in a cash burn scenario.
Moderator: Tha

nk you. We'll take our next question from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: Thanks much for the opportunity and congratulation s on the continuing seeing good gross margin improvement
despite the festive during the quarter. Sir, we had partly talked about earlier on the demand side, but can you share
more thoughts on how do you see the gr owth in sub-segments of the motorcycle and scooters for next 1-year
perspective? I mean in the context of that , premium and scooters have largely recovered in comparison with FY19 ,
so how do you see next one year for the growth between the sub -segme nts?
Niranjan Gupta : So, let me ask Ashutosh who's our National Sales Head to throw some more light on growth moving forward,
without of course Ashutosh giving that exact number, right .
Ashutosh Varma: Hi, good morning. I think from the sub -segment level, we would see the 125 cc motorcycles continue to drive the
overall motorcycle growth portfolio. That's the thing that's been doing very well this year and we expect that to
continue for next year as well. Also, from a premium perspective, we 've been seeing that , segment greater than
200cc is the one that's driving the growth , we expect good double -digit growth there to happen as well. Of course,
it's being fueled by a lot of new launches , we've been a part of it too with our launches in X440, Karizma, and be
it the upcoming Mavrick. So, this is where we feel that there will be a lot of traction. Of course, on the scooters
125cc that's another segment that has done well this year and we expect the growth momentum to continu e and
overall lead the industry to the growth number that largely everyone has been predicting for.
Mumuksh Mandlesha: Got it, Sir. Sir, lastly you are making large investments in the parts center . So, how do you see the piece of the
growth in the part s and accessor ies revenue ahead?

Niranjan Gupta : So, you are already seeing that our growth in the parts and accessories and merchandise business and that is led by
the micro distribution strategy which is going more retail on the similar li nes of the FMCG that we talked about.
Overall if you see from a time around , we used to have a business of around close to ■3,000 crores revenue and
that's now clocking ■5,500 crores as an annualized revenue. This has happened over the last 3 – 4 years , the growth
that has happened and therefore we are putting this further investment there. This investment will take up our
capacity to ■10,000 crores annual revenue equivalent and the capacity we have been putting up in our Tirupati
plant, which is already there, so land is there , the capacity will be coming up there. Within the parts, accessories
and merchandi se, so we continue to see that do uble-digit growth for the next few years.
In fact, within this segment, there is a focus that we are also going to provide disproportionately on the accessories
and merchandise part, because we do see a lot of potential on the accessories , as customers are becoming more
aspirational and when they buy a product at that time itself, they want to fit some of the premium accessories, every
product starts looking more premium and that's the aspirational India that we are talking about . And then the
merchandis e, which now is the right time for us given that we now have a robust premium portfolio. On the back
of that, where it's the Harley -Davidson X440 or Mavrick 440 or Karizma, we're going to launch our range of
merchandise moving forward and therefore cre ating this as a business itself and this will be dropping off on each
other. So, on the back of the premium portfolio, we'll be building our merchandise business and the merchandise
business will then rub off further on the premium imagery of our portfolio , and therefore in terms of our, it becomes
more like an

adjacent business and there are Premia dealerships as well which are there , and therefore all of this
comes together to then power our merchandise business and providing the premium, more premium imagery to our
entire portfolio. So, that's the entire plan for the parts, accessories and merchandi se business.
Mumuksh Mandlesha: Thank you so much for the answer sir. Just only , what could be revenue for the parts in this quarter? Thank you.
Niranjan Gupta : Revenu e for the part in the quarter that just finished, ■1,426 crores in the quarter that finished and the corresponding
period last year was ■1,259 crores and just the preceding quarter was ■1,354 c rores.
Mumuksh Mandlesha: Thank you so much sir.
Moderator: Thank you. We have our next question from the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar: Yeah. Thanks a lot for the opportunity. Niranjan, just wanted to understand, the launches what we've done over the
last 2 -3 years, if you can jus t help us understand what kind of brand action what we've done. The reason why I

asked this is, despite multiple launches in segment, the market share numbers was not kind of adding up. I understand the efforts all put in, in the premium side and the scooter side, but individual category market share and even the overall VAHAN retail share does not reflect that efforts what we are trying to put in and all that. So I'm just trying to understand what is, how long will you, do you expect these kin d of things to play out and probably if you can just help us understand number of brands what the compa ny has put in over the last 2 - 2½ years because I understand some of the launches take time to play out and the investments needs to be done on the grou nd. So, if you can just help us understand the brand action taken so far in the last 2 - 2½ years and what is the kind of brand action one can expect over the next 1 year, Sir?



Niran jan Gupta : So lots of action Pramod on this front and you know very well that when you launch a new model, a new brand,
you have to invest behind those to build a market share , they don't come overnight and which is what we've been doing and if you look at the launches that you've done , Xtreme in the premium segment earlier, now that is going to get bolstered by the stores because we didn't have the , at that point in time , the upgraded stores . It is now upgraded - 300 stores in 300 days , by March end we'll have 400 , and next year we'll cross 500 , 2.0 stores along with 100 Premia stores.

All of this Pramod, then provide s the necessary arsenal for the premium portfolio to grow . And the next thing is , which I have been saying always is , that when you create a portfolio, when you create a "Win in Premium " you need a full portfolio because you always had the commuter portfolio , which is where now with Karizma coming in, with X440 coming in , with Mavrick 440 coming in , the portfolio is becoming very robust and this will have a rub off on our previous launches as well and therefore you will see the market share moving forward. We are bit optimistic, we are a bit more positive, and you can see the early successes in th e recent period - whether it is bookings of the X440, bookings of Karizma, and then we're going to , in fact the Harley bookings have crossed 30,000 and our order book is almost now 3-4 months. The capacity we are ramping up to 10,000 of the 440 and the Karizma that I talked about earlier by March and the more work is in the play. So, I think you've got to have confidence in our strategy, most people have that. We do have, we are very confident playing it out. Each of these brands are new brands, power brands being built and our profitability, our fund position allows us to deploy and accelerate that moving forward.

Pramod Kumar: And if you just can help us understand the current lev

el, how much of the volumes for you o r the revenue split is
coming from say , premium scooters and exports, assuming that exports will revive and it's a high growth category. So, this high growth category and focus areas for you, how much is the revenue contribution currently set for this quarter?

Niranjan Gupta : That's irrelevant, Pramod right now. As I've said that we will build this portfolio moving forward. So, therefore the contribution to talk about at this point of revenue is completely irrelevant. I think businesse s are built on the long-term strategy and not on the short term , looking at that, yeah.

Pramod Kumar: Yeah , can you give ambition , what do you have the 3-year, 5-year view , so where would you like to take this part
of the business because that will give you the due share of the industry?

Niranjan Gupta : Pramod, that's the right question, that where you would want to take it in 3-5 year's time. Clearly, we want to "Win
in Premium " and you can see that with the players that we are having in the next 5 years , we would like to have a meaningful market share of the premium segment.

Pramod Kumar: Fair enough. Did I hear the 10% growth kind of a forecast for next year at the start of the Q&A , or its the revenue
growth you're are asking for FY25?

Niranjan Gupta : Yeah, Pramod, so that was the industry growth that we have said , is that we expect double digit revenue growth for
the industry moving forward for FY25 and obviously on the back of all our launches that we have done and more



launches to follow and investing behind those, we would expect therefore our growth to be higher and that means the market share gains.

Moderator: Thank you. We have our next question from the line of Pramod Amthe from InCred Equities. Please go ahead.

Pramod Amthe: Yeah, Hi. Thanks for taking my question. Considering the Government of India's push for alternative fuel and one
of the competitor talked about CNG variant and you also had it in fact , that EVs may take a longer time to enter this, what have been your R&D for here and what's the outlook you have in that space, especially for motorcycle, CNG or any alternative?

Niranjan Gupta : Yes, so our R&D center has been working - first of all, we've been continuously investing behind research and

development. In fact, our investments in our R&D is almost twice that of our nearest competitor if you look at the last five years , because we do believe in investing behind technology, investing behind brand, and that's what exactly we have been doing. So, our R&D is working on the flex fuel , as well as not just that, but also from the point of view of even within EV on the technologies, on the battery technologies , so there's a lot of work that's happening on the technology side. In fact, if you look on the ICE side with the BS6, which is also a big change, the C02 and NOx emissions have come down by almost 90% and then of course we are improving our mileage w hich also means that less fuel consumption and that goes absolutely aligned to the Government ’s focus on less dependent on the fuel power and flex fuels are also on the works. Swadesh, would you like to just talk a bit about in terms of the technology side, what we are doing on the battery technology, the R&D side - just a flavor on that.
Swadesh Srivastava: Thanks for the question, Pramod. As Niranjan said, we have been pumping a lot of money in R&D and across the
flex f uels and the battery side, we're looking at various chemistries, various form factors to make sure that whatever the need of that segment of mobility is, whether it's battery driven or flex fuel driven, we are ahead of the game and we are not going to slow down on either of the two because both these sides are very, very important and with our expertise at CIT in Jaipur and also our Tech

center in Germany, we are looking and in fact working very closely
with some of the external partners on keeping a tab and experimenting around new battery technologies as well. So, for us both are important and we will continue to make sure we are leading the way.
Niranjan Gupta: In fact , if you had come to Hero World , you would have been able to see the entire CIT and what we are doing on
Flex Fuels. I think y our associate Ravi would have seen in what we are doing on the flex fuel technology.
Pramod Amthe: Thanks. Sir, extending the same, when we will see the commercialization for these , because that's where I put the
question - competition talking about it, will it make commercial terms for you guys to adapt it or when you expect it, not next year maybe 2 years down the line, any thoughts on that?
Niranjan Gupta : It will come in a phased manner because you will see over all different kinds of fuel, different kinds of power trains
operating in the next 5-7 years. So, it's not about transitioning portfolio from A to B, but it's about providing this alternative and the options and always remind ing the customer is the king. Customer will make a choice in terms of what type of vehicle and what kind of fuel makes commercial sense from customer point of view, but we are ready.

Pramod Amthe: Sure. Thanks, and all the best.
Moderator: Thank you. We have our ne xt question from the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL : Thank you, Sir. Congratulations on strong numbers. Sir, firstly on the upgraded 2. 0 outlets, how has been the
experience so far, the response from cu stomers, how is it supporting bookings of premium vehicles and VIDA? Also, if you can share some thoughts on the initial response for Xtreme 125, any bookings numbers you can share?
Niranjan Gupta : Yeah, absolutely Raghu and thanks for complimenting on our strong results. Let me ask Ashutosh to throw some
light on the Hero 2.0 and the Xtreme 125 early indications.
Ashutosh Varma: Yeah, thanks Raghu. One, the number of Hero 2 .0 stores, the pace at which we are putting it in place is phenomenal .
I guess this is the fastest ramp up in the industry. It's also delivering a very unique customer experience if you compare typical NPS scores what industry has versus what , let's say the stores are developing, these are far higher and we know that the customer service is top notch, customers are appreciating that quite a lot , leading to higher conversions as compared to our normal outlets and also as compared to the industry. This of course is just one part. I mean we are also settin g up Premia stores, which are even higher and better NPS stores. We are getting good traction around, of course , in these Premia stores we have all the new 160cc and above models that we are selling from here and we are getting good traction there in terms of overall bookings that we are servicing for the models that we had launched in the previous quarter.
Niranjan Gupta : And on Xtreme 125, the early indication Ashutosh .
Ashutosh Varma: Oh yes. On the Xtreme 125 since the launch , we have been getting a lot of enquiries. In fact , the booking numbers
are little earlier to share, but just to tell you the overall search query volumes is much higher than the leader brands in the 125 cc sporty segment and we are confident that as soon as it gets in the market, it will get that response that we are seeing in the initial enquiry traction.
Raghunandhan NL : Thank you Sir and wishing all the best on Xtreme 125. The product r ide was amazing at Hero World. My second
question was on other expenses, 200 bps of EV marketing, brand building expenses, and there was also Cricket World Cup. Going ahead, given that the World Cup is behind, so the investments or marketing ef forts, should that kind of reduce on

a quarter -on-quarter, trying to understand how much would have been the additional expense in
Q3 and by how much it would kind of reduce in Q4 . And also trying to understand the triggers for margins further
scaling up given that the company always has the target of 14% - 16% margin band .
Niranjan Gupta : Right. So, in terms of, yes, Q3 was a festive season, so clearly the A& P spent get elevated and then they come
down in Q4. I think it , for indication while I won't give out a number, but what you can look at is the nine months
of the other expenses for a trend line because that absorbs the highs and the lows of the quarter. In terms of the
margins, I would just talk about the shape of the margins . So the 14% - 16% tram line, the ICE margins are at 16%
allowing us to invest even more behind the growth priorities. Our shape of the portfolio in the next 5 years is
changing. Clearly, if you project from today to 5 years down the line, you would s ee more of premium there in the



portfolio , whether it is scooters premium, whether an EV premium, whether it is the normal ICE premium. So,
clearly structurally , the margin shape will be moving upwards, but of course it will follow with the scale that we
achieve in these segments moving forward.
Raghunandhan NL : Got it, Sir. Just the last question, on the EV production ramp up, given that the product is being made available in
most cities and Q1 we should see more l aunches, should we expect that 10,000 pe r month mark to be achieved by
then? Thank you.
Niranjan Gupta : Well, let me ask Swadesh to answer that .
Swadesh Srivastava: Yeah, we have been ramping up our capacity quite aggressively not just in our Tirupati plant, but also across the
supply c hain and we are well placed to how we need to sort of ramp up from FY24 to FY25 onto the sales numbers ,
and yes, across all the three segments and across the total capacity required for battery, we will be very well placed
to scale up fast in FY25.
Raghunandhan NL : Thank you, Sir. Wishing all the best.
Swadesh S rivastava : Thank you.
Moderator: Thank you. We have our next question from the line of Prateek from Nippon AMC. Please go ahead.
Prateek: Yeah, Hi. Just one question , you called out 2% of your sales being invested in the EV division, which if I annualize
is close to ■800 crores . Could you just talk a bit about this into how much of it is going into product development,
how much of it is discounts, marketing, network expansion, supply chain management, etc.?
Niranjan Gupta : Sorry, I didn't get the question. What is ■800 crores?
Prateek: No. So, you said 200 basis point was a drag right , of the EV portfolio?
Niranjan Gupta : That is for the quarter .
Prateek: Yeah, if I annualize , that's close to ■800 crores.
Niranjan Gupta : Overall, for the year, if you look at it, it's close to between 125 to 150 basis point , where the quarter 3 is elevated
because of the A& P spend of the festival. So, if you look at it , while we will not give out a split of this, but it is
going behind , obviously there's a product because the unit cost, unit margins in the industry are low , being negative
and then thereafter there is obviously marketing spends being done to build VIDA as an aspirational brand. Of
course, on the capex side also , we are investing behind EV on the R&D side in those technology. There's a lot of
action happening on achieving cost leadership , on reducing costs of how we make, but that's what we determine.
Swadesh, would you like to talk about the effort that we are doing on reductio n in the cost of the product.



Swadesh Srivastava: Yeah, I mean quickly coming into the cost field, but obviously one other area where we are putting our investment
is building the very strong charging infrast

ructure , because we want to make sure that for t he long run, we have all
the building blocks for faster adoption and with us being the leader in those ecosystem pillars being there, more
and more customers will adopt VIDA as their choice. On the cost side, we are definitely looking at everything from
design, localization, simplification of the product, and obviously economies of scale. All of these are being
aggressively worked between the product team, the R&D team, and the supply chain and production team, and we
are looking at a significant reductio n in the coming year and that will place us to play even more aggressive in
some of the segments .
Prateek: Got it . The second question was Niranjan, look the ball is well played, right. Next year will be very strong for you
in terms of premium, you yourself had called out premium is outperforming the industry growth , in sub-segments
or overall. In terms of execution, what are you really doing so that you don't get , don't lose this opportunity, I mean
I understand in terms of upgrading network, but apart from that just from an execution perspective , because within
the industry if I see , you're the only player which has had such a strong model lineup and filling of white spaces.
How should I think about, let's say execution of this, so that you don't lose this big opportunity?
Niranjan Gupta : I think this is a good question and let me just elaborate on this. So, you're absolutely right. I think in the industry ,

now with our launches which are there, we have the strongest model lineup in the two -wheeler segment. What we are doing you can see, it's not just being about product . So, there are product launches which have happened in the model - First is, we are ensuring that each of our models have some first -in-class and some best -in-class features. So, that's the one part of it. So, it is not just launching product which are just ‘Me-too’ or exactly the same , one part.

The second part is the marketing investments behind these , where we are going a combination of the digital and traditional marketing and you can see actually when you go to our digital mar keting , our social media, what the efforts that we are doing, there's a very dedicated effort behind that to make the customer journey very different. That's the second part of the execution.

The third part of the execution is the stores, and that's why we've been harping on that a lot . If you were to launch these models with the same store profile that we had, then we would not meet with the success and that's why you see in parallel. So, these are not like different activities. These are execut ion activities because execution means finally we have to realize and extract , like you said , the potential of these models and that's where the stores come into play, Ashutosh explained. Within the stores, what we are doing is dedicated sales executives , because that's part of the execution. So, for all these premium model lineup , we talked about premium, we talked about EV, both these will have a completely dedicated sales executives who are trained for that and therefore that's the another executi on part of it which is there and then on the marketing side, apart from what we talked about the traditional marketing, digital marketing, what we are doing and you would have seen is the rides - the entire X drags, it’s all of these, the test rides that is getting ramped up big time, the test rides and there are of course the rallies on the rise that we have.

So, from entire perspective if you look at execution, all parts of what you require to execute on these models, they are in place. So, that's why we are confident and essentially if you look at the product, the positioning, the



placement, the pricing, the marketing, all of that is and it's part of the entire game plan, so that it's not just that by launching models that we will get succes s and which is what we call it, it's a complete all -round strategy and execution in place for that.

Prateek: Sure Sir, thanks. Thanks, and best wishes for the future.

Moderator: Thank you. We have our next question from the line of Mihir Jhaveri from ASK. Please go ahead.

Mihir Jhaveri: Yeah. Thank you for the opportunity. Just one quick question , sorry if I missed it. What is the inventory situation right now, if you can share? And also overall, are we seeing some moderation in retail demand or the retail trend continues to remain buoyant ? These are just my two questions. Thank you.

Niranjan Gupta: See, as far as the inventory is concerned , that our range of inventory is 4 - 6 weeks and it continues to be in that range and the retail demand, I talked about is picking up. I mean in a sense they went down, the festive saw the demand picking up, post festiv e is usually a bit sluggish. Now, post middle of January, it's picking up. So, the underlying tone of the demand is strong and therefore we will see that momentum buildin g as we move forward.

Mihir Jhaveri: Thank you. Thank you. That’s it from my side.

Niranjan Gupta : In fact, just on the inventory, overall for the year, if you look at it, we have reduced our inventory. So, from a beginning inventory to an ending inv entory, we have reduced the inventory in terms of the absolute levels and that's something - that's why our retail market shares are higher than our wholesale market shares.

Mihir Jhaveri: Thank you.

Moderator: Thank you. We have a next question from the line of Abhishek from D olat Capital. Please go ahead.

Abhishek: Thanks for opportunity. Sir, what is your plan for gaining market share in ICE scooter segment and export?

Niranjan Gupta : I will talk about the global business and then I'll ask Ashu tosh to talk about the plan for increasing market shar e in scooters. There is a lot of excitement with the new products that are coming. On the global business part of it , what we are doing is, we will be disproportionately investing behind the top 1 0 markets, which include the markets like Mexico, markets like Nigeria, like Colombia, like Bangladesh. So, while we have the footprint across almost 50 markets, the focus will be on accelerating growth in these markets. There's been a change of distribu tors that we've announced already for Nigeria and Nepal and there are launches which are planned i n the global business as well. Ashutosh can you talk about these scooters, the excitement that's going to come?

Ashutosh Varma: Hi, Abhishek. Thank you for that question. In fact, if you look at this year's performance, we ar e the only OEM to have gained in the 100 cc scooter market space. We've done well there and with that sorted out, I think the job for us is the 125 cc and there we have a lot of exciting projects lined up for next year, we are augmenting our p ortfolio which will improve the market share there. Already, in this category, we have launched the Destini Prime this year,



later part of the year , and that has met with some phenomenal response, it's a great value proposition story and we expect t o build on to all these next year.

Niranjan Gupta: In fact, just to add, I think we should be able to launch the 125 and 160 cc in the first half of the FY25.
Abhishek: Okay. So, what is your growth target for the scooter and export segment f or the next two years?
Niranjan Gupta : As you know, I would never give up a number, but the efforts which are there are very concentrated and therefore
you see like scooter , Xoom which was launched 110 has received big traction and then the 125 -160cc again are differentiated products with lots of first-in-class and best -in-class features, the larger wheels, so you will see that, some of you who came to Hero W

orld would have seen these pr oducts and as these products come in, the scooter growth will rebound for us as well.
Abhishek: Sir, ICE margin is around 16%, as you mentioned, it means that we have lost around 200 bps because of the EV segment. So, how these losses will reduc e in the coming quarter?
Niranjan Gupta : So, we've not lost, I will just correct a bit, we've invested 200 bps behind EV, because of festive the investments
are obviously elevated, and these margins allow us to inve st. So, we're going to build premium, we're going to build EV, and while building that , we've delivered a profit growth of 50%.
Abhishek: Okay, Sir.
Moderator: Thank you. We have our next question from the line of Kapil Singh from Nomura. Please go ah ead.
Kapil Singh : Yeah, hi Sir. Just a follow up. You had talked about launching products in the affordable and mid segments, just curious to understand how do you define these segments in terms of price points?
Niranjan Gupta : Right, Kapil. Let me as k Swadesh to talk about that.
Swadesh Srivastava: Yeah. Thank you Kapil for the question. So, right now if you see , the market is sort of divided between products
being upwards of ■1.4 - ■1.5 lakhs , there are few products between ■1.25 - ■1.5 lakhs , and then a fewer between ■1 - ■1.25 lakhs right , and then some products are going to come under ■1 lakh as well. So, we believe that affordable is going to b e closer to ■1 lakh, like ■1 lakh or below right , mid is going to be another ■20k - ■25k on top of it. I think the idea is that if people need to be able to buy these products very close to an equivalent ICE product right , and we need to make sure that the right value proposition on those pricing are available, but overall, ■1 lakh or slightly below ■1 lakh and then another ■25k - ■30k on top.
Kapil Singh : Actually, the operating prices for some of the premium scooters have come down more in the mid -range, right, would that be a right observation?
Niranjan Gupta : Kapil, see this is all short -term. So, what we are talking about is in a stable scenario. There will be months here and
there, there are some offers and come down, but like what Swade sh has said, if you're very broadly look at the three

price points , not just from our perspective, but from customer perspective, it's ■1 lakh, ■1.25 lakhs and ■1.5 lakhs . Give or take a few thousands here and there, that doesn't matter, but broadly, the three differentiated price points and importantly, what's going to happen is, it's not just the price point, eventually, it's the cost leadership that will determine the winners , because there will be a limit to what a player can bleed or get the hit on the unit cost and that's why we are focusing apart from portfolio.
Swadesh Srivastava: And also the whole package, ultimatel y EV is still not just the product game, right. So, with our charging infrastructure, which our expanded service network, which is already on top of how EV needs to be serviced, I think you have to look at the whole package. Yeah.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, Sir.
Niranjan Gupta: Thank you for attending the call and as we said , the quarter has been good with 20% top line growth and 50% profit
growth. Our models are there. We have the strongest model lineup in the two -wheeler industry. We have all the wherewithal and the ammunition, and the fuel for powering growth as we move forward. Thank you.
Moderator: Thank you, Sir. On behalf of Prabhudas Lilladher Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: May 2024

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May 13 , 2024

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Sub: Transcript of Earnings Conference Call for the quarter and financial year ended March 31, 2024

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on May 8, 2024, for the quarter and financial year ended on March 31, 2024 .

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

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ot Hero
Hero IIFL SECURITIES US.CA LL
r


"Hero MotoCorp Limited
Q4 & FY20 24 Earnings Conference Call"

May 08, 2024

Management :
And Umang Khurana, Head -Investor Relations & Risk
Mr. Niranjan Gupta
Chief Executive OfficerMr. Vivek Anand
Chief Financial OfficerMr. Swadesh Srivastava
Chief Business Officer -Emerging
Mobility BUMr. Ranjivjit Singh
Chief Business Officer –India BU
Analyst:
Mr. Joseph George –IIFL Securities Limited


Moderator: Ladies and gentlemen, good day and welcome to Hero MotoCorp 4Q FY 24 Results Conference Call hosted by IIFL Securities Limited.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Joseph George from I IFL Securities Limited. Thank you and over to you sir.
Joseph George: Thank you, Michelle. Good afternoon eve ryone. On behalf of IIFL Securities, I welcome you all to the Fourth Quarter FY24 R esults Conference Call of Hero MotoCorp. I also welcome the senior management of Hero MotoCorp to this call.
Now , I hand over the call to Mr. Umang Khurana – Head, Investor Relations & Risk to take the call forward . Over to you Umang .
Umang Khurana: Thank you, Joseph. Thanks so much for hosting us , thanks Michelle. Hello everyone and welcome to the Quarter 4 and Full Year '24 Call for Hero MotoCorp .
We have on the call with us today our CEO - Niranjan Gupta ; we have our CFO - Vivek Anand; we have our Head of India Business Unit - Ranjivjit Singh and we have Swadesh, who is our Head of EMBU , as well .
As usual, we will start the call with opening comment s from Niranjan . Niranjan , over to you.
Niranjan Gupta: Thanks Umang and thanks everyone. Good afternoon , good evening , good morning, depending on where you are joining from , welcome to our Earnings Call.
These are exciting times. We know India is in the middle of the biggest exercise in democracy with elections halfway through . The GS T, as we just saw , for the April month has crossed ■2 lakh crore mark indicating that consumption is back. And of course, the forecast for monsoon appears t o be normal as of now. And coming to our sector, April month just saw a 30% growth in the two -wheeler sector . Very exciting time , even globally rates have peak ed, inflation is tapering , so lots of positives to take for the coming year and years moving forward.
These are exciting times at Hero MotoCorp as well. They are reflected in the results that we declared just a while back. The year has been the year of maximum number of launches while making big strides in the premium segment. On the customer experience as you already know, we have ramped up to more than 400 Hero 2.0 stores at the speed of more than one store per day. This is going to completely revamp the customer experience , not just for us but for the industry as a whole.

Our Parts Accessories Merchandise business continues to roar and grew double digits . In the last 3 - 4 years , we have actually doubled the whole revenue size of the PAM business. Our global business came back in the Quarter 4 where we got to a market share of 7.2% with a 230bps improvement . Our EV, where we continue to build the infrastructure , which is 180+ dealers we have expanded to and 120+ cities that we have expanded to . And our margin shape continues to

be healthy , in fact in Quarter 4 , it's improved to 14.3 % with 130 bps up which actually allows now disproportionat ely more investment behind the new launches, the brands and the growth priorities . All of this resulted in the highest -ever revenue and the PAT for our Company .
As we move forward , the excitement will continue. There are more launches in the offing , as you would have read, we are going to launch X oom 125 , Xoom 160 - the scooter launches in the first half, you will see more , some more forays into premium segment as well. And we can confidently say that we are poised for accelerated growth moving forward for the FY25

and
beyond.
At this point, let me hand over to our CFO – Mr. Vivek Anand to introduce himself, as well as to talk a bit about the numbers and the margins and whatever you want to , Vivek, over to you.
Vivek Anand: Thank you Niranjan . Good afternoon , good morning , good evening depending on which part of the world you are joining from. I hope your families and colleagues are staying healthy and doing well.
A bit about myself , as Niranjan said, I joined Hero MotoCorp on 1st of March that is just two months back and going through my 90-day induction as we speak . I am privileged to participate in this call as CFO of Hero MotoCorp , and I look forward to working closely with you and connecting with all of you in the coming year .
I am pleased to report strong financial results for Hero MotoCorp for the period Quarter 4 and Financial Year 2024 .
Starting with Quarter 4 FY24 Results , we clocked revenue of ■9,519 crores, reflecting growth of 15% , EBITDA margin at 14.3% improved by 130bps over the same period last year and PAT at ■1,016 crore which is 18% growth over last year.
I will move on to the full year Financial Year '24 Results . We reported our highest -ever revenue and PAT. T he revenue amounted to ■37,456 crores reflecting growth of 11% . EBITDA margin at 14% improved by 220 bps over the last year and PAT of ■3,968 crores which is 36% growth over last year. PAT before exceptional item is ■4,089 crores a growth of 40% over last year .
The ICE margin improved to 15.3% , this improvement was driven by operating leverage, mix improvement, cost savings and pricing action. We continue to invest behind brand building and new products and segments. This quarter , the impact of spend on EV business on our margin was 130 bps, thereby taking the overall EBITDA margin down to 14%.

Going forward, we will consistently grow volumes thereby improving operating leverage, aggressively grow our premium portfo lio, continue to grow PAM business in double digits , intensify cost saving initiatives across the value chain. While we do all this, we will continue to invest behind new products and segments including EV and premium, going digital to enhance customer buying experience and new product development.
With this , I will move to the dividend . Earlier today, the Board recommended a final dividend of ■40 per share. Therefore the total dividend for the year , includes special dividend , amounting to ■140 per share, which reflects strong payout ratio of approximately 70% of profit.
On that note, let 's open the floor for Q&A. Over to you Umang. Thank you.
Umang Khurana : Michelle , let's now take questions please.
Moderator: Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Amyn Pirani from JP Morgan . Please go ahead.
Amyn Pirani: Hi, thanks for the opportunity and congrats on a good set of margin performance in a seasonally weak quarter. My first question is on , how do you see Hero's market share segmentally as well as on an overall basis moving in FY25, because FY24 as you rightly mentioned , was the year of a lot of launches, many more than what we have seen Hero do in a single year. So, how should we think of market share on an overall basis and segmentally because , while overall growth and margins have been strong, market share is stil l something which where , I think, even you would expect a better print ?
Niranjan Gupta: Amyn , thanks for the question . I will start off and then I will hand it over to Ranjivjit to talk about . Clearly the two segments where we can see an increase in the market share in a good quantum , and I would not lay out the number Amyn , but one is premium - because we have launched 3 big brands, Harley -Davidson X440, Mavrick 440 and before that Karizma . We just launched them in the la

st year , and this year, as you heard us , that we are going to put investment behind scaling them up and brand building. So, that's one, of course there are other things going on in the premium segment , of our Premia store, the 2.0 upgrade , the digital journey, the customer experience - so it is a full 360-degree approach to 'Winning in Premium ' – in the segment . This other segment that where everybody would see and we will see an increase in market share is 125cc , where the Xtreme 125cc , which has been launched very recently , has been received extremely well. On that note, let me just pass on , so the se are two things while we continue to fortify our core, and continue to build our glob al business . Ranjivjit , talking with more elaboration on these two .

Ranjivjit Singh: Namaskar e veryone . This is Ranjivjit here . So, yes absolutely Niranjan , I agree, what you have already covered extremely well is the premium. We have launched the products , now it 's about building them into power brands. We are also , as Niranjan said, opening up new distribution. So, there are Premia stores that have come up already , about 9 opened up by end of March and already we have another three, four , and we are going to be opened and about 100 -150 by the





end of the year. It is pretty good in terms of the whole customer experience that we will be able to provide for premium. In addition to that, the 125cc segment will see marke t share improvement from us , not only from Xtreme 125, which of course is very well received, but also Super Splendor , which is w here we have strengthened the value proposition . And Glamour , the classic one which we call the Glamour Magnetic is doing ve ry well in the South, in AP, Telangana , also in the East.

So, overall the 125cc motorcycle segment is also do ing well. Scooters , also we have a couple of nice things planned in terms of the launches, which you have seen in EICMA , you have seen for Xoom 125, and a couple of refreshes that will come through. There again, we will see improvement and of course we will keep the moat around our Deluxe 100 and Entry to make sure that the customers continue to shower their love on these brands and these segments . So, overall, we are well positioned for FY 25.

Amyn Pirani: Thanks for that. Just a follow up , could you also mention what percentage of your existing traditional stores have moved on to Hero 2.0 and if there are any early trends , after you had this new kind of a lineup and the Hero 2.0 stores have grown ? Any kind of change that you are seeing in the kind of customers who are walking in and the kind of interest which is generating , if you have done any study on that .

Niranjan Gupta: We broadly operate with around 1 ,000 primary stores and then of course secondary networks we have got almost 6,000 touch points. But your main dealer network consists of around 1 ,000 touch points . There are already 400+, by the end of the year we would be covering 60 % - 70% of those. And then probably we will look at upgrading some part of the secondary network .

The early read of all of these , the scores that you talk about , clearly there are a couple of metrics that we measure , Ranjivjit will talk about that , but clearly those measures are showing that they are much better in the new stores, as compared to the earlier stores and Ranjivjit, why don 't you also talk about what 's special about the new store , just in couple of minutes.

Ranjivjit Singh: Yes, so when you enter the store now, it gives a very premium, a very differentiated look, it 's totally uncluttered. The products really that are on display, you get invited to them and we are not only talking a bout the hardware here, we are talking about the skill-set of the people who are attending to it and they have gone through a lot of capability building in terms o

f training . All of this really results into a better conversion rate. And also , we measure happiness and customer satisfaction and the overall experience. And in the industry, we also track the NPS.

We have significantly improved from the previous version of stores. The client ele is also facing a whole lot of premiumization g oing on, because the whole experience is so much better. And with the XTEC versions that we do have, they become very compelling in that kind of an environment . So, it's very positive in terms of the way the customers are taking to the new format s, over 40 0 already done and well on the way for even covering many, many more.





Moderator: Thank you . The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Two questions from my side. Firstly, on the market - April , like you flagged , it did seem like a very strong month for the industry as well as Hero, so any change in market sentiment that you have observed, the little bit of festivity , marriage season on the rural or the bottom of the pyramid. So to say , anything that you can share around the market at the lower end of the segment or entry segment ?

Ranjivjit Singh : I think what we have seen Gunjan is definitely a heightened , a m uch better consumer sentiment overall that drives positivity . Also, there were good marriage dates in April, there were festivals in April, all of this drove the whole industry up. And we did quite well, we did better as well .

And then coming into May , May and June also, although the marriage d ates are not as much as they were previously , but there is a sentiment definitely , particularly I would say across even rural and urban spread across both. So, when we see the impact of that on our portfolio, it 's very

well balanced, very well spread in terms of how it goes. It seems like a positive time with the consumer sentiment being quite positive.
Gunjan Prithyani: So, if you were to hazard a guess, let 's say for the industry, would you think a double di git volume growth is still feasible this year given that we still got more to do from a cycle recovery perspective sentiment is positive. Do you see that , is a possibility in FY25 - double digit volume growth ?
Niranjan Gupta : Gunjan , we won 't go as far as to call out the numbers on the volume guidance . We are fairly confident about our double -digit revenue growth. Now what shape and mix of volume and price and mix and all that happens , that one we will see how the industry navigates through.
Gunjan Prithyani: Okay, got it. The second question is on the new launches - Harley , Karizma, Mavrick - All three of these put together we had a certain volume expectation, roughly 10,000 is what we were earlier talking about between Karizma and Harley so, with Mavrick coming through, how do we see that shaping up because at least the recent month numbers have been a little bit lower than expectations. Anything th at you can call out from demand, order book , capacity that gives us comfort on the scale up of these models .
Niranjan Gupta: Gunjan , I will start off and I will ask Ravi to elaborate on the Harley -Davidson X440 and Ranjivjit on the Mavrick and Karizma . We did say that we want to increase the capacity to 10,000 per month of these three - which is the 440 platform and Karizma put together. So, that capacity increase work has happened. We are at that , another one or two months down the line we will have 10,000 per month capacity from a supply point of view .
Individually , as we know Karizma started , Ranjivjit will talk about it, it's a good response , it is building up , Mavrick sales have just started. I am sure you will have seen the ad that we are running in the IPL and hope you like it. And the Harley -Davidson X440 i s actually moving up

as we are expanding to more stores . And more on the H -D X440, how it is doing, Ravi , couple of words from you.
Ravi Avalur : Gunjan, w e have established the Harley -Davidson at about 10% market share in the markets in which we are present. Customers have reacted very positively to the motorcycle. The look , sound , feel of the motorcycle is very much in line with what customers expect ed.
Niranjan Gupta: Absolutely. And Ranjivjit on Mavrick and Karizma?
Ranjivjit Singh: The biggest thing that 's happening right now on Mavrick is people are really very, very keen to test ride to understand more , experience about it, engage with it. That 's currently what 's happening. We are also making it available in more and more of our premium dealerships , talked about some of the new dealerships that we have, and how we are placing it there . Just inviting people to come and try it and that 's what 's building out. So, it's something which is working quite well for us, this entire process and like Niranjan said, we are also quite visible on IPL .
Karizma is living up to it, the nostalgia, the legend, the very loved brand that it is . And we are seeing that kind of momentum building up , even the Xtreme 160 R 4V , which we had launched last year in the previous quarter that 's also coming in a strong way because it 's really the fastest in its segment. It 's very, very maneuverable and it's something that people are liking. We have got the portfolio, we are doing the right things, customers are coming into our new look showrooms, and they are being greeted by people who have been trained on these products and are able to provide them th e kind of experience that is expected of them. So , we are on the right track here.
Gunjan Prithyani: And these are all only on the 400 stores which are Hero 2.0 right, just to be clear , the reach will also increase for these models ?
Ranjivjit Singh: Absol utely. So, we will keep increasing the reach and obviously that will have a much bigger impact as we go along through the year.
Niranjan Gupta: And Gunjan not just the reach as you heard me and Vivek also talking earlier in the call , that we are going to invest behind building these brands , because we have launched now the brand awareness, the building of the brand , investments that also will happen. So, across the Board, you can see that acceleration in the action s, very confident ab out our premium journey now.
Moderator: Thank you. We will take the next question from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Just wanted to confirm the reach for Harley, Karizma and Mavrick , what is it currently in terms of number of stores and where will it get to?
Niranjan Gupta: Harley is present , Ravi , in approximately 200 stores ?
Ravi Avalur : 205 stores to be precise .

Niranjan Gupta: Very recently added, absolutely. Actually, it was only around 100 stores , recently we have added another 100 stores. So, that will again start helping in terms of , as we build and scale up . Mavrick sales have just started and 2.0 stores which is currently ramped up to 400 stores, which will then go up further. And remember as we put in the stores, as the stores are also picking up and the number of units that you take in per store, the test ride per store , that also keeps ramping up and therefore all that helps.

Kapil Singh: So, Karizma and Mavrick are being sold through Hero 2.0 and Harley is being sold through Premia and exclusive Harley dealerships , is that correct?

Niranjan Gupta: Plus select 2.0. So, Harley -Davidson X440 is not sold through all 2.0. What happens is within the 2. 0, that we then shortlist and we select a few where only H -D X440 is placed .

Kapil Singh: Understood. And now the supply constraints are resolved. So, we should sta

rt to get into the ramp -up phase?

Niranjan Gupta: The supply constraint s are resolved.

Kapil Singh: Okay, understood. Just one questions sir on financials as well . We saw a good improvement in gross margins this quarter , so if you could just call out both movement in terms of commodity cost, pricing increases in Q4, and thereafter and also, spares revenue for the quarter ?

Niranjan Gupta: So, Kapil as you know that we don 't give the detail ed waterfall of the margins. But broadly speaking, Vivek has talked about it earlier, the key drivers of those , and Vivek you can touch upon the parts revenue for the quarter in the previous year.

Vivek Anand: So, building on what Niranjan said, I think very clearly the margins are driven by improvement in mix and price. And of course, the correction in commodity certainly helped us both in the quarter and also on a full year basis.

Niranjan Gupta: And on the parts revenue , the quarter revenues were ■1,397 crores, and the full year was ■5,387 crores. And the corresponding quarter last year was ■1,271 crores, that's again a double -digit growth.

Kapil Singh: Sure, sir. Sir c an we at least give the price increases we have taken on average in Q4 and in Q1?

Niranjan Gupta: Price increases overall for th e full year that we can talk about , those numbers around ■1,300 - ■1,400 per vehicle (at company level ) which were taken up for the full year. And then offline, you can pi ck it up with Umang if you need any more details on that.

Moderator: Thank you. The next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: My first question is on the electric two-wheeler business , just trying to understand when we expect to be qualified on our products in the market for the PL I scheme ?



Swadesh Srivastava : Thanks Chandramouli for that question. We are really on our way to be, as an entity we are already have the cert ificate for PLI. Now the upcoming products, which we have mentioned last time we will be launching very soon in the H1 of this year , you will see those getting the PLI benefits very soon.

Chandramouli Muthiah: Got it . So, just to clarify , our VIDA product is already eligible for PLI scheme incentives , is that the correct understanding?

Swadesh Srivastava : No. There are two parts to it . One is, as an entity we qualify all the other criteria to be qualified for PLI , where there are the criteria around localization and DV A (Domest ic Value Added ) and other pieces . Of that, the current product s which are being sold in the market are not PLI ready, but the ones which will be coming very soon , as I mentioned the new launches , will be.

Niranjan Gupta : In sum and substance , because even the current product s will undergo a metamorphosis in terms of new products, and the entire lineup that will be changed in the first half. And therefore, quarter two, you can assume that will be PLI compliant on the p roducts in the market.

Chandramouli Muthiah: Got it, that's helpful. M y second question is on the ICE scooter business, we had X oom 110 in the market for more than a year now , was off to a pretty good start. Post the festive season seems to be normalizing a little bit in terms of run rate. Just trying to understand , is there any sort of supply related issue the re or is there something conscious that we are doing ahead of the Xoom 125 and 160 launches?

Ranjivjit Singh : Sure. Xoom 110 actually is pacing itself very well compared to the market. In fact, the 110 cc, that segment declined a little bit ; while Xoom 110 is a brand that has grown and gained market share. Probably the only one to do so . People love it s ergonomic design, it s corner bending lights, the zippiness , the way it is built out and the ride that it provides. So, it's doing well and as I mentioned

also that soon enough, we will have company for Xoom 110 which will be Xoom 125 and that will also play its own role in taking up the market shares overall in the scooter market. Coming with that , we are bringing in a refresh also for a color option in Xoom 110 and also in 125 cc we will have a refresh there as well. So, we are pretty good in terms of the overall

lineup and the performance and the customer appreciation , can't help but mentioning that just in its inaugural year Xoom 110 got six scooter of the year awards - that was really fantastic.
Niranjan Gupta: And these are the products and the brand that actually build up. So, that was just the first year. And as it will have the full lineup of Xoom 125 , Xoom 160 , the whole marketing investment, t o leverage all of that , the building of that, the word of mouth . It has been a good start and we will keep building up , few months here and there , sometimes they will be up , sometimes they will be a bit soft but that doesn 't matter , underlying the brand has been received very well.
Chandramouli Muthiah: Got it. That's helpful and just lastly housekeeping question , if you can share the export revenues for the full year please .
Umang Khurana : I will come back on that Chandr u.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: My question is on , how are the growth trends we are seeing when we talk about very positive consumer sentiment in March till now, and it is for May, June, April. So, with very broad based now, unlike in the past , is rural also doing equally well as urban or that is not yet the case ?
Ranjivjit Singh : So, we have seen March was definitely positive, April was positive. The momentum is somewhat on even now in April, we are also seeing positive momentum. And in May, like I mentioned, the marriage dates are not there. But there is a bit of a jump in the first-time buyers, there is something happening in terms of c onsumer sentiment that people are prioritizing their personal mobility. And I think overall, therefore we see it as positive momentum and it 's quite broad based across the regions that we are seeing.
Jinesh Gandhi: Okay . So, you are seeing some signs of coming back of first-time buyers , particularly in the 100cc motorcycle segment as well?
Ranjivjit Singh : Yes, for sure we are seeing that , we are seeing it in the entry level , we are seeing it in the 110cc, and people are also prioritizing . You know what the other thing that happened Jinesh is, financing is playing a big role in this entire thing. And we have seen penetration increase and so people are taking the leap also towards maybe a better configuration of the motorcycle , of the two-wheeler and they are choosing to take a long term investment, they have been holding off for some time, those who are holding off are now probably saying, I might as well now that I am getting into it, get a better brand, get a better configuration so that I am good for the future. So, obviously, that combined with the retail experience when they come into our dealership, all of this is working well. We are definitely seeing positive consumer sentiment.
Jinesh Gandhi: Yes, good to know . Our second questio n is on our product portfolio - we have seen a substantial addition in the last 12 months and in first half after launch of Xoom 125 and 160 . Will it be fair to say that we would be broadly covering 100% of the ICE two-wheeler market post the upcoming two scooter launches?
Niranjan Gupta: Sorry, w hat's the question, can you repeat ?
Jinesh Gandhi: In terms of the product launches of the whitespaces in our product portfolio today, and post the Xoom 125, 160 launch , would we be largely plugging all the gaps , or you see more gap and more opportunity to launch one on the IC E t

wo-wheeler side?
Niranjan Gupta: Yeah, largely yes. You are right, in terms of the broad spectrum largely the big whitespaces would have been covered . There would be a couple of more that will come in, which will come in probably in the FY25 itself. So, if you ask me this question, let 's say in the end of March '25, I would have been completely covered. Which of those launches I will not talk about, will be there. But largely covered , you are right.

Jinesh Gandhi: Sure. And lastly, on the finance penetration , so what it is now for Hero and what is the contribution from Hero Fincorp , that's my last question. Thank you.
Vivek Anand: Yes, so overall finance penetration will be close to 60% and the second part of HFCL is around 30%.
Moderator: Thank you. The next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: Xtreme 125 has seen very good reviews and acceptance. Currently, the monthly volume is around 10 ,000 - 12,000 per month. How do you see the production sales ramp up, b y when do you expect volumes to increase to 20,000 or higher?
Ranjivjit Singh: Raghunandhan, Ranjivjit here. S o, it's just an observation when I visit the dealerships during the Dhanteras time , during Diwali , at that time observe how customers are flocking around the trucks when the vehicles arrive and they literally throw their hankies and stuff on the vehicle

saying this is my vehicle, this is my color, generally they try and book that. We are seeing a very similar kind of thing with Xtreme 125, and people are very excited about making sure that they get the delivery as soon as possible.
That's something that is very heartening, and you absolutely hit the nail on the head, that currently the demand is outstripping our supply . We are constantly working on this, and we are increasing our supply. So, while we are doing this, just to broad base this conversation in the 125cc and just to be clear, it 's not just about the Xtreme 125 R, there is also Super Splendor where we have sharpened the value proposition. We tried out something last year and it worked well, we are extending it to more markets. And we are actually working on a campaign also , because Super Splendor has a phenomenal key buying factor advantage which is its mileage, which is 69 kilometers per liter, and people are loving that. And , Glamour is also doing well. So, it's really all this three that will contribute to the earlier question that was asked in terms of increasing the market share. Overall, we are seeing a very good momentum. Also, when the demand for Xtreme 125 , it's also then the whole power brand thing starts playing out where Xtreme 160 also gets the pull for people wanting to try it out and discover that that 's something that maybe they can stretch themselves to o and enjoy a much different kind of an experience. So, overall, this strategy is working well for us.
Niranjan Gupta: The capacity we are ramping up, you spoke about to 1,000 per day by almost June , July, so in the next two, three months, what you talked about 10,00 0 per month you are selling right now, capacity will get to 1 ,000 per day, so which will almost be like 20 ,000-25,000 per month capacity on Xtreme 1 25.
Raghunandhan NL: Thank you sir, that's very helpful. Sir second question on VIDA . Given that H1 is likely to see more launches, and especially in the affordable and mid -size category and you are also expanding the presence in number of cities. Can you talk about expectations of how you would



see the two-wheeler electric volume, production sales ramp up FY25-26, how do you see the industry acceptance and ramp up market share for your company ?
Swadesh Srivastava : Hi Raghunandhan. Yeah, so you are absolutely right, we are expandin

g our portfolio in the first
half of this year, very soon you will hear about it , into the mid and the mass segment as well. And last year was really our year to build the foundation of going to cities and dealers and se tting up the charging infrastructure, our own and also interoperability with Ather through which we are present in 200 cities and 2 ,500 charging points . This year with these product additions, we are going to really be able to play in each of the three seg ments of premium, mid and mass. With this, we are looking at a significant growth within this year. And we are also , as I mentioned earlier, we will also be improving our cost structures.
On the basis of these two, we definitely see that this year and the next year is going to be our huge year of growth. You will see more launches coming up , I am not setting any expectation on the market share as such, but I can tell you that we are looking at steep growth this year and next year, based on the portfolio and the geographical expansion.
Raghunandhan NL: Thank you sir. Just a last question , export s have seen good improvement s in recent months , any thoughts on ho w do you see the outlook for FY 25?
Niranjan Gupta: Yes, as far as exports is concerned , Quarter 4 has been a good comeba ck of the sorts . We have changed distributors in couple of markets , like you saw in Nepal . We expect Mexico to move up, recent there was a change in the distribut or in Nigeria as well. So, all of this augurs well for the FY25. However, I refrain from giving any guidance on next year volume. In fact, there are more market entries you would have seen from our announcement today, which is that we have approved forming a subsidiary in Brazil, we have already talked about earlier on Philippines. So, there will be some of these bigger markets , so we are getting into some big markets where we are changing the distributors which we have changed , and even o n the product portfolio part of it there is a bit of change that is happening in terms of putting these in the market. Moving forward the quarters and the years , our international business will be building up.
Moderator: Thank you. The next question is from the line of Arvind Sharma from Citi Group. Please go ahead.
Arvind Sharma: First question would be on the margins part; you made a comment on the impact of EV margin. So, given the 14.3% blended margin, it 's a 130bps impact. So, ICE margin was 15.6% , is that understanding correct?
Niranjan Gupta: That's right.
Arvind Sharma: Okay , great thank you sir. Sir, secondly, stake on the margins. Given that you have got quite a few EV launches and are working on the cost consideration , what blended margins would be sustainable . I know you don't give forward guidance , but should EV start being at least neutral if not massively negative on the margins front going forward with the new products coming in?

Niranjan Gupta: Your answer was there in your question itself. So, we don 't give any guidance on a margin number. The long-term tramline remains at 14% - 16%. And you can very well see over the past few years , we navigate our path around that , that allows us to deploy investment behind priorities as we deem fit from year-to-year.
As far as EV is concerned, look the whole thing is getting the BOM cost down , and the industry is working on it, we are also working on it in terms of getting it dow n faster, but the margins on EV are dependent not just on the BOM cost it's also dependent on regulatory , or the FAME subsidy , on the pricing scenario in the market, on how different players feel about that. So, this is a field where I would say that the game has started , let's watch how this progress es. More importantly therefore, instead of margin , the focus is on getting the right cost structure and reducing the cost.
Second is , hav

e a portfolio which is a mix of premium, mid and affordable. And third is actually to have all the infrastructure, including the dealer, the cities and the charging point, make it accessible. So, that's the plank on which we work on. And obviously, we will not shy away from making investments , whether it 's in Opex or Capex , as may deem fit for scaling up our EV business .
Arvind Sharma: Thank you so much sir and just one more thing if possible , can you please share the bookings for Xtreme 125, is it possible to share the unit bookings ?
Niranjan Gupta: Xtreme 125 is not operating on a booking model , because this operates on a traditional model where the sales are happening. Of course, there are lots of inquiries, which are in the pipeline but as we tal ked about, we started selling more than 10,000 and the capacity will be ramped up to 1,000 per day, which is almost 25,000 per month. That's the journey on Xtreme 125.
Moderator: Thank you. The next question is from the line of Pramod Amthe from Incred Capital. Please go ahead.
Pramod Amthe: First thing is with regard to the EV launches . When you are planning to launch two new products , how are you looking at the subsidies arena , do you feel the lower subsidies is the norm of the day and hence you have to launch much lower battery size to fit into that cost or you feel product expectations are still high in the customer level and headwinds will be there?
Swadesh Srivastava: Hi Pramod, this is Swadesh . As you have already seen with the EMPS coming in , the subsidies are lower and FAME III we will see what it really shapes up. But, we are prepared on reduced subsidy as well and obviously as Niranjan mentioned aggressively working on our cost reduction roadmap. So, we will become even more stronger and independent, but at the same time the se subsidies are helping the industry and even in the current shape and form it is helpful for the industry, as you a lready see in the market, people are launching products with the smaller battery, and obviously in our portfolio that also exists and will come out in the due course of time. At the same time, it is important for us as a serious player to make sure that we are providing products which are going to be desirable by the customer, the value proposition is it

right for that use case. And as we will not compromise on the competitiveness of the product, while we obviously continue to navigate the category with the ri ght cost reduction and pricing.
Niranjan Gupta: And as we do that, we feel that EV is not the category which has matured , by any stretch of imagination. And of course , the government has been helping through PLI and through FAME . And we believe that subsidies will be required for a bit longer period of time to support the industry. And once it scales up to a certain level and a level which is more margin viable and cost viable , when it takes off and actually then it invites inves tment from the players as well, then those can be tapered down in gradual course.
Pramod Amthe: Sure. And the second question is with regard to the consolidation which is happening within the EV space . Considering your experience in Ather investment, do you see any opportunity in terms of doing the investments in keeping the startups still, especially to get any of the product technologies or you feel it 's more of a supply chain game and hence for incumbent like you there is no more scope of participating in M&A, just a thought on that .
Niranjan Gupta: I think the sco pe for M&A is always there. So our balance sheet is strong , we are always open for acquisitions , for M&A where it makes strategic sense. And obviously in EV, t here may be players, there may be parts of th is eco-chain, whether it 's the technology or a capability that is up for grabs or up there which can accelerate our o

wn journey , we are always open for that .
There are teams which keep exploring, keep evaluating.
But, as you know we always ensure that whatever we strike the deal, it has to be also at the right

price which delivers returns to our stakeholders, and not at any cost. But yes, open to M&A and that's what team keeps working towards while continuing to build organically as well.
Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar: This is related to the Xtreme 125 launch. Because given the traction what you are seeing on the product and all the other new launches, ideally we should have seen some market share gains reflecting in the Vahan database. But what we are seeing is that we continue to see market share erosion on a Y-o-Y basis, even on a sequ ential basis. I am just trying to understand , while the products are really good and is a big change from what we have done in the past, but are we losing out a lot because of cannibalization within the portfolio or what is happening which explains th e market share erosion . And the related question to that is in terms of marketing spent, because at least me personally, I haven 't seen much of ad campaigns from Hero on the new products except for the Mavrick . So, what is the game plan on the marketing investment side going forward?
Niranjan Gupta: Let me start and then I will ask Ranjivjit to add , of course your questions should not lead Ranjivjit to now raise a fresh proposal for increasing marketing investment to Vivek . But , Pramod the Xtreme 125 has just been launched. So , I don 't think we should start measuring market share movement from the first month of launch. It 's the product has been received great across the board. And which has led to us actually looking at increasing the capacity , because it

brands are not build overnight, but here you see an overnight exuberance on Xtreme 125. But broadly speaking, Ranjivjit why don't you again touch upon you had explained how do we plan to increase the 125 cc market share and obviously the way we are going to build the brand, through marketing as well, in the coming year .
Ranjivjit Singh: Let me break this up into two areas Pramod, one is the market share part and the other one is the marketing part. The way the market share is building out already in April and you will see that it goes along , there's a significant improvement that we are seeing , thanks to all the efforts and I've said this before also, it 's about all three brands it's the portfolio that is working, not only the Xtreme 125 R. So Xtreme 125 R just launched, taken up very well and Super Splendor and Glamour, also contributing to the growth, you will definitely see the results as we go along.
As far as the marketing is concerned, it really just shows that we have targeted right and I just wanted to say this about the Xtreme 125 R - the whole approach when we launched it, we had tie ups with the gamers, BG MI and others , and they have been really into it in terms of the younger cohort of customers because that 's the lifestyle that we want ed to tap into. That 's the opportunity that we wanted to unlock, we did not want to convert our existing customers into Xtreme 125, we wanted to invite a new set of customers , a younger set , and it's been very, very successful in that, in fact the level of brand KPIs of Xtreme 125 from an awareness consideration preference have really shot up thanks to the marketing initiatives that were done. So, not the traditional stuff, not television ads, not too much of out of home, not too much of print ads. So, if you haven 't seen it, I am just saying that that 's one strategy. And therefore , the younger set are the ones that travel s much, much more in terms of word of mouth. Of course, when it gets into much larger volumes and later on

in its stage of adoption, then the more traditional ways of communicating may be employed. But for now, it 's truly become a pull brand in that sense.
On the other hand, Super Splendor is really working on its key buying factor of mileage and that wherever you go in the market, whether it 's out of home or print, or at retail point of sale, you will see the 69 kilometers per liter as a very strong message . And the Magnetic attraction of Glamour, it 's unmistakable and unmissable , in East India and as well as in South. So, it 's a very clear strategy that we have got, and I just request your patience a little bit, you will see the results in the market share as they com e up. And we have a really good opportunity of doing focused marketing not carpet bombing .
Niranjan Gupta: And just to add on one more Ranjivjit with your point. So, Pramod what we also do is , see some of these would not be on the national media, because there is no point , it's good to invest in marketing but not waste in marketing. You will see some of these brands where we do locali zed media , where we do state based , where we do regional marketing, and some which we feel is national which we do national, some which will overweight on digital. It is a combination of overall marketing mix modeling that it follows our scientific tools, rest assured.
Pramod Kumar: Thanks, Niranjan. And Niranjan , spare parts contribution how should we look at it next year ? Should the proportion be stable at around 14 .5% or thereabout or you expect there 's more runway in terms of the penetration , in terms of overall revenue , is it growing higher for FY 25?
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Niranjan Gupta: Pramod good question , there is a bigger runway is what I believe in. In fact, if you remember a few years back , 3-4 years back , it used to be around 10 % - 11% of the revenue and we have talked about that there is a runway and therefore we went into micro distribution, the HGPDs that we call it, so a lot of stuff done out of it in a granular way which actually led to this one. But there is a scope in even expanding this further, which is w hat the teams are working on. And accessories and merchandise building up , Ranjivjit , if you want to expand couple of minutes on this because this is a business that , in fact we have approved the GPC 2.0 expansion as well. So , why don't you talk about this business and the potential moving forward.
Ranjivjit Singh: Thank you Niranjan for approving the GPC investments as well, because the parts business is actually showing double digit growth, we are supplementing that in terms of the oil business, that's also going quite well. We have also introduced new products in tyres and bike care products that 's also contributing and also growing the kitty. And then, like Niranjan said, the focus on accessories and designing accessories at the point of conceptualizing the bikes , at that time and then bringing them in, as you will see in Mavrick , whenever it 's displayed in the dealership, it will be with the accessories. And that changes the way the customer really looks at, how their own, the pride of ownership goes up so much. And when you look at the merchandise, again we are doing a complete reimagining of what that merchandise can look like and the spread of that. So overall, you hit the nail on the head , there is a runway for growth and we are on that runway.
Niranjan Gupta: Absolutely and it is a profitable business as we know and as we are launching more premium brand, as we are offering a portfolio, the whole scope in the merchandise , more premium par ts of it. Yes, this business is up there setup for even more growth in future.
Pramod Kumar: And then the final one on capex, cash posit ion and investment plans for FY 25. Sorry if I missed it earlier, but it you can just refresh on that ?
Niranjan Gupta: The Capex , the

cash position you know, from the balance sheet point of view, it continues to be strong . From the Capex our guidance remains between ■1,000 - ■1,500 crores for the upcoming year which includes , of course, the G PC 2.0 expansion that we have approved, which will be spent over the next two years . We continue to manage by the way, just to add , the team continues to manage the working capital extremely well. So, not only there are cash from operations which are coming through profit, but our working capital management has led to reduction in our receivable days and inventory days, which has resulted also in increasing cash flow through the negative working capital. So, very tight working capital managem ent which is actually allowing the cash position to be even stronger.
Moderator: Thank you sir. The next question is from the line of Amyn Pirani from JP Morgan . Please go ahead.
Amyn Pirani: I just wanted to ask about this announcement of Brazil capacity that you have talked about. It 's quite interesting because , the mix in Brazil is very different from the traditional export markets for Indian two-wheeler s is what we understand, the mix is more premium. And, so should we
it Hero 


expect more export driven launches on the premium side for you, or you will be using the existing portfolio to try and capture volumes in the Brazil market ?
Niranjan Gupta: In some countries export driven, product launches as well. W e know about the Nigeria, we are doing some thing for Philippine s. Now, what we are saying is that as a strategy pivot we are saying that 80% of our resources are going to be focused on the top 10 big markets. And for those markets, if it requires our products specifically to be launched , then we will actually develop those products and launch in those markets . As far as Brazil is concerned , we have te sted our current product range, through consumer clinics there with statistically valid sample, and actually lot of products are out with very positive response. So, right now, we will be going in with those . And as you know we will be going in with E27, which is through this ethanol fuel route. But we have the products ready from our current portfolio. Eventually, after that if there is some modification required , some new development required we'll take that on, because Brazil is a big market so as they said, for the big markets, as the customer may require a new product which specifically develop, we would do so.
Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to Mr. Umang Khuran a for closing comments . Over to you, sir.
Umang Khurana: Thank you everyone for coming on the call. It 's always a pleasure. Pleas e feel free to get in touch one -on-one. And we will speak to you soon. Bye, bye.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of I IFL Securities Limited , that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you .

## Call: Aug 2024

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August 21 , 2024

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Sub: Transcript of Earnings Conference Call for the quarter ended June 30 , 2024

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on August 14 , 2024, for the quarter ended on June 30 , 2024 .

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

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t Hero MOTILAL OSWAL
FINANCIAL SERVICES C HO Ft U SIII•C A
Mr. Niranjan Gupta The ManagementTeam will be represented by:
Mr. Vivek Anand
Chief Executive Officer Chief Financial Officer Mr. Ranjivjit Singh Mr. Swadesh Srivastava
Chief Business Officer— India 3U
And Umang Khurana, Head - Investor Relations & Risk Chief BusineSs Officer- Emerging Mobility BU
Analyst:
Mr. Aniket Mhatre- Motilal Oswal Financial Services Limited

Moderator: Ladies and gentlemen, good day and welcome to the Hero MotoCorp Limited Q1 FY25 Earnings Conference Call, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should yo u need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniket Mhatre from Motilal Oswal Financial Services Limited. Thank you. And over to you, sir.
Aniket Mhatre: Thank you . Good morning, everyone. Welcome to the post-results conference call of Hero MotoCorp. At the outset, I would like to thank the management of Hero MotoCorp for giving us an opportunity to host this call.
I now hand over the call to Umang Khurana, Head, Investor Relations and Risk, to take the call forward. Over to you, Umang.
Umang Khurana: Thank you, Aniket . Good day, everyone. It's that time of the year when the rains lift the mood and the sentiment across the country. Welcome to our post-results conference call. To discuss on the call today, we have our Chief Executive Officer, Niranjan Gupta; Vivek Anand , the Chief Financial Officer; Ranjivjit Singh , Chief Business Officer - India Business Unit; and Swadesh Srivastava , Chief Business Officer - Emerging Mobility Business Unit. As usual, we'll begin with short opening comments, followed by question and answers.
Let me hand it over to Niranjan.
Niranjan Gupta: Thanks, Umang. Hello and good morning and a very Happy 78th Independence Day, in advance . Our results yesterday which you saw , reflects an accelerated momentum in our journey to drive profitable growth. We saw ■10,000 crores revenue being crossed for the first time, registering our highest -ever profit after tax with 36% growth.
We've seen a sharp sequential recovery in many of our segments, especially if I were to call out Entry in the last three quarters and in 125cc this quarter, while we continued to maintain a very formidable market share in the Deluxe 100cc and 110cc t hrough our mega brands like Splendor and Passion. Our strong cash flow margin profile which we see will allow us to double down on building brands, especially Premium , as we move forward. The good, happy news is that Vida has also started scaling up ; and our portfolio expansion will happen within this fiscal itself.
Coming to global business. It registered both volume and market share growth on a year -on-year basis. Bangladesh is a bit of a setback, but we are focused there on keeping our employees safe, in line with our philosophy of being a caring organization. The story of India is looking better than ever. The Union Budget is supportive of employment and economic growth; and benefits, as we are very hopeful, will percolate down to auto sector as well.
We have some exciting launches, as well in Premium segment, other than the Vida range expansion, so the calendar moving forward till the end of the coming fiscal looks really, really exciting. We'll continue to augment our retail experience , we actually crossed 500 Hero 2.0


stores. And Premia stores crossed 40, which will cross 100 plus by end of this fiscal. All in all, happy to report a great set of results both on top line and bottom line. We are gearing up for a big festive season. And with that, once again, Happy 78th Independence Day, in advance.
And let me now hand over to Vivek Anand , our CFO, fo r further amplifying the comments on financials. Vivek
Vivek Anand: Yes, thank you, Niranjan. Good morning. And thank you all for joining the call. And wish you all a very Happy 78th Independence Day

, in advance.
I am pleased to report strong financial results for Hero MotoCorp for the period quarter 1 of financial year '25. The company clocked its highest -ever quarterly revenue of ■10,144 crores, growth of 16% year -on-year. EBITDA stood at ■1,460 crores, growth of 21%. And highest -ever PAT of ■1,123 crores, growth of 36%. PAT, normalized PAT, growth of approximately 20% adjusted for exceptional item.
The ICE margins improved further to 16.4%. This improvement is driven by operating l everage, mix improvement, cost savings and pricing. During the quarter, the impact of spends on EV

business on our margins is 198 basis points, which is a negative contribution of ■181 crores and
thereby taking the overall EBITDA margin down to 14.4%.
Going forward, we'll consistently grow volumes, thereby improving operating leverage;
aggressively grow our Premium portfolio; continue to grow PAM business in double digits;
intensify cost -saving initiatives across the value chain. While we do all this, we'll continue to
invest behind new products and segments, including EV and Premium ; going digital to enhance
customer buying experience; and new product developments.
To sum up , we are optimistic about the growth prospects of two -wheele r industry. And with
faster recovery expected in rural segment, ramp -up of 125cc portfolio and strong investment
behind building power brands, we expect to grow ahead of industry.
On that note, let's open the floor for Q&A. Over to you, Umang. Thank you.
Moderator: The first question is from the line of from Mumuksh Mandlesha from Anand Rathi Institutional
Equities.
Mumuksh Mandlesha: Sir, firstly, you mentioned about the rural market pickup. How are you seeing demand trends in
urban and rural markets for your volumes, sir? And is that, going ahead, the rural spend do better
than urban market also?
Niranjan Gupta: Thanks for the question. Ranjivjit
Ranjivjit Singh: This is Ranjivjit here. Happy Independence Day to all of you, in advance. Yes, indeed, we are
seeing an uptick in rural. It's definitely a more balanced growth that we have seen overall of the
12% that we saw, led by rural. Our brands are really strong , our network is really strong. And I
think the customers really trust the Hero brand as we ll as the service and the entire portfolio that
we have available there.


With the kind of the economic movements that the government has made, with the kind of
rainfall that we are seeing even as we get into the festival season, we see a better outlook fro m
rural, so the sentiment is stronger, continues to be so. And we can see that the progress is pretty
strong and good as we're going along, both across rural and urban. Of course, it's a stronger
uptick on rural.
Mumuksh Mandlesha: Got it, sir. Sir, on the CNG vehicles we have seen in the markets now, how do you see this kind
of product potential in the market? And any plans for us in the medium term, sir?
Niranjan Gupta: So the market will continue to see alternative powertrain technologies. As you already know,
we have ICE which is there. There's EV, where industry is doubling down; and we are doubling
down as well on that. We are working on flex fuels, ethanol -based fuels technology. In the long
term, the hybrid technology is also being worked on. Plus, a part from that, of course, we are
working on the improving fuel efficiency , because everything is around making the operating
costs , being more e fficient and more greener fuel.
That's around the entire powertrain technologies. There are mu ltiple powertrain technologies
being worked on. Eventually, in the end state, it could be mix of few powertrains that may work
in the long, long, long term. So we continue to work. Our R&D continue to work and invest
behind it, behind different technolog ies as I spoke about. So not commenting specifica

lly on a
particular powertrain technology.
Mumuksh Mandlesha: Got it, sir. Sir, this is to Swadesh, sir, on the EV outlook side, sir. And will the growth be better
ahead for the industry? And also want to understand how the costs of manufacturing for EVs are
coming down, whether related to batteries, motors, controllers; and how much reduction benefit
you are seeing further in terms of costs side, sir.
Swadesh Srivastava: Thanks for the question. Yes, the EV two -wheeler market in India is definitely growing. There
was a dip in April because of the change to EMPS, but after that, recovery has been very
promising. And very clearly, it will end up being a 1 million -plus market, we believe. And , with
our products and our network, we are pretty strongly placed to take benefit of the growth in the
E-Two Wheeler industry.
On the costs part, yes, we are working very aggressively, and on the powertrain side, to bring
the costs down by techn ological improvements; by localization; obviously, by bringing scale.
And you will see that benefit coming out into our further launches as well. As we spoke, you'll
see affordable products coming out later this year; and they will be at the backdrop of th ese cost
reductions.
Moderator: The next question is from the line of Gunjan from Bank of America.
Gunjan Prithyani: Two questions from my side. Firstly, on the ASP and the gross margin performance for this
quarter, could you just help us understand what drives this 3% Q -on-Q decline? Because from
my understanding, there was also some pricing action taken during the quarter, right? So what
explains that Q -on-Q decline? And how in the current commodity setup, the margins, gross
margins, have also come off. Any thoughts around that?

Niranjan Gupta: So Gunjan, what we moni tor is the EBITDA margins, as we ha ve always said. And our EBITDA margin is 14.4% for the quarter compared to 14.3% for just the previous quarter. And of course, when you look at the quarter last year, same quarter was 13.8%. So the EBITDA margins h ave improved and obviously, as you heard Vivek talking about it, that the ICE margins within that have improved to 16.4%. And if the incremental investments behind EV of almost 200 basis point, that takes it to 14.4%. Even at that level, it is an improvement both sequentially and year -on-year basis.
Gunjan Prithyani: But anything to call out from a commodity or a mix perspective, particularly at gross margin level like that, something that we should be aware of? I mean, of course, it's imp rovement quarter -on-quarter but just that the gross margin performance seems a little inferior, so just trying to get a handle on is there any change in outlook to commodities or mix that we should bear in mind.
Niranjan Gupta: Gunjan, not really. The only thing I would probably call out is the parts mix which in this quarter has been low, as compared to the previous quarters. So that has an impact when you come to the gross margin weighted average, which is more a phasing and seasonality impact. And let me just ask Vivek to give out the numbers in terms of the spares revenue and growth and the percentage of it. Vivek, over to you.
Vivek Anand: Yes, thanks Niranjan. So a couple of points from my side. So let me start with commodity. I think commodity is likely to be range bound. During the quarter, we have seen the metal softening , oil price is steady. However, we've seen INR weakening . So quarte r 1 in particular, we've seen a modest inflation of 340 per vehicle, which is almost insignificant, right . So that's one.
On the revenue realization, I think Niranjan talked about, on a quarter -on-quarter basis, we've seen that the revenue coming from th e parts business is lower . And therefore, the contribution during the quarter is 12.5% versus 14.7% in quarter 4. That's largely because of phasing and se

asonality impact.
Gunjan Prithyani: Okay, got it.
Niranjan Gupta: And if you forward into the next few quarters, this will get evened out, Gunjan .
Gunjan Prithyani: Okay, got it. That's pretty useful. And then the second question, on the Xtreme 125. Congratulations on the response there. In terms of the ramp -up, cle arly the feedback from the dealers has been there is still limited supply, so if we were to think about how could be the volume run rate of this, monthly run rate of this? And how do we see the production ramping up through the course of the year? Some color on the numbers there. And alongside, while Xtreme 125 has seen a good offtake, the numbers on Glamour and Passion have still been very, very range bound, so is there anything to call out from on -the-ground feedback how should that -- both of these mo dels pan out?
Niranjan Gupta: Sure, Gunjan. Let me just request Ranjivjit on the good story of the 125cc and then overall.


Ranjivjit Singh: Gunjan, thanks for the question. On the 125cc, as Niranjan did mention in his opening remarks, the 125cc has seen th e sharpest increase from a 13% market share in Q4 to 20% in Q1, so it's been a very dramatic story of increase that's come across all 3 brands that we have. Glamour has increased market share, so has Super Splendor. And of course, Xtreme 125R has been able to bring in incremental customers into our dealerships.
The demand is definitely there for Xtreme 125R, not only in dealerships but also in our networks. And so far, we have been still filling in the pipeline on Xtreme 125R. And as we increase our capacit y, we will be able to fulfil the demand. And we get a lot of customer queries that want to drive this lovely bike that's out there for them. Happy also to say that we were probably the only brand that gained market share in quarter 1 in the 125cc. So that went really, really well.
Lots of actions happening. Super Splendor, I think it will be unmistakable, the campaign that's there, which is “Thaat Unhattar Ke” which is the 69 kilometres per liter, which has been running across the country and really resonating because that is a key buying factor.
Mileage becomes a key buying factor. When you get that in such a comfortable and a fantastic motorcycle and a brand like Super Splendor, then i t makes a huge difference. And we are seeing that positivity there.
On Glamour, a lot of positive advocacy is coming back as we reintroduced the Glamour magnetic. And Andhra Pradesh, Telangana East, where Glamour is strong, we're seeing a strong

comeback. And lots more actions are coming in, including some new refresh products that will also come in to further fortify our position in 125cc. So , some of you will fondly remember that the kind of position that Hero has had in the past in 125cc. We a re working on that relentlessly. The whole team is working on that, and our customers are rewarding us for that.

Niranjan Gupta: And just to add on your question on the capacity part of it, the Xtreme 125R. We are increasing capacity. Already it's, I think, gone up to almost around 25,000 per month. We are taking it up to almost 40,000 per month in the next couple of months itself, so the capacity is on the ramp - up as the product has received excellent response.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just on the good volume trajectory we've seen in wholesales in 1Q. I think we were the only company to grow wholesales double digits in 1Q quarter -on-quarter. I th ink rest of industry was more sub -3%, sub -4% wholesale growth quarter -on-quarter. So just trying to understand, heading into festive season, where we are on channel inventory at this point and how we are thinking about managing that heading into the spike in industry demand seasonalit

y.

Niranjan Gupta: Yes. So , as you will have seen in my commentary as well and Ranjivjit talked about at the beginning of the call, about the positive sentiment that we are seeing in rural of late and that's getting r eflected in more categories as well so the signs are extremely positive about a strong festive, and we are gearing up for that.

And as we always do, our target is to, pre festive, move towards a number which can allow us to do a growth year -on-year on f estive. And at the end of the festive season, we always target to



be within the 4 to 6 week s range, so we are managing our inventories accordingly in terms of moving up. So there's no abnormality in the festive buildup that we are doing.

Chandramouli Muthiah: All right. And just related to that, a follow -up. For the quarter, how would you say our retails were versus our wholesales just in terms of growth?

Niranjan Gupta: We can talk about our retail market share. So Ranjivjit, what has been our Vahan r etail market share

Ranjivjit Singh: The best way to measure this is really , on the Vahan portal. And we had a sequential growth of 0.4% in Vahan market share. And as Niranjan was saying, the festival buildup and also with the less number of marriag e dates in Q1 but therefore, there's a lot of anticipation and pent -up demand that does get built up. And we are available across the country, when you look at Tier 2, Tier 3; and also our channels, over 6,000 channels.

So there's a lot of excitement an d, I will say, optimism on the way this festival will be. And therefore, getting the right model mix, the right kind of inventory and the brands that we have, all of that coming in is going to be , is a task always. Quarter 2 is the time when we really start building out towards the festival. And then after the festival, of course, it comes back to business as usual in terms of the inventory and the stocks.

The rains have been good. The marriage sea son, we saw the effect in Q1, but we know there are going to be some more marriage dates coming even in November, so there is definitely that outlook that guides us in terms of how we manage our stock movement over there.

Niranjan Gupta: So, just building on that, what Ranjivjit was saying. So our dispatch market share moved up sequentially from 30.2 % to 30.3 %, while our Vahan market shares have moved up from 30.7 % to 31.1 %, so our retail market share remain ahead of our wholesale mark et shares.

Chandramouli Muthiah: Got it. That's helpful. And my second question is just related to how you're thinking about the product pipeline going forward. I think we've had a strong set of product launches in terms of number of products over the past 18 months. You had the Karizma. You had Harley. You had Mavrick and the Xtreme 125. So just trying to think about the market share stats that you gave post all of these launches; and going forward, how we are planning to recover some of our lost market share over the past few years with potential new products. Just trying to understand how you're thinking about that.

Niranjan Gupta: Yes. So let me take segment by segment. So when we look at, let's say, the Entry and 100cc and 110cc, we've already seen last year the Passion refresh that we did, which has done very well, which has resulted in maintaining our formidable market share in the Deluxe 100cc, 110cc segment almost at 90%. 125cc, we launched Xtreme 125R, whi ch has been received well, so now we have 3 strong brands: Glamour, which is getting revived back; Super Splendor, which is getting anchored on mileage.

And then we have Xtreme 125 which is appealing to the youth and actually between the Premium and the 125cc segment. It's like a Premium model within the 125cc segment. And there our task is increasing capacity,

so I will say that the 125cc segment portfolio now is pretty strong. And
the action there is to ramp up and keep increasing the mark et shares every quarter.
Coming to Premium . You're right. Last year, we've had a slew of launches. The portfolio
building will continue, as I have said it earlier, so you will see some action on the Premium end
within this fiscal, where we will have a couple of more models coming in within this fiscal. And
then the other thing will be the action on the scooters, and the scooter action will be big on both
ICE side and EV side.
On ICE side, Ranjivjit talked about Destini full -body change. It's a full -refreshed, new product.
It will be unveiled very soon, probably as soon as maybe next month itself. And then it will be
followed by models in Xoom, where we already have a 110cc , followed by 125cc and 160cc as
well. So big action on the sc ooters which will happen within this fiscal.
And then coming to EV, where we have been talking about the range expansion, you will see
portfolio expansion into mid and affordable segment within this fiscal. So, I will say, huge action
on both scooters IC E and scooters EV as well as continuing to build the portfolio on Premium .
Moderator: The next question is from the line of Ajox from Sundaram Mutual Funds.
Ajox : Sir, if adjust for the spares also , sequential ASP seems to be down despite Vida and Xtreme
picking up very strong. And Xtreme has a higher ASP relative to the other 125ccs, so what am
I missing here, sir?
Niranjan Gupta: I think what you should focus on is essentially there is a mix impact there. There would also be
the impact when you look at sequentially as I said, on the part revenue on the mix. The best way
to look at is how is our EBITDA margi ns moving. And our EBITDA margins are moving in
terms of, sequentially and year -on-year, both are up. And ICE margins are strongly up and that's
allowing us to invest behind EV. For any further details, if there's more understanding you need,
you can actua lly chat with Umang to take some of these and details .
Ajox : And sir, the 190 bps impact, is this a onetime impact during the quarter, sir?
Niranjan Gupta: I mean, as we've said, we'll continue to invest behind EV, but obviously, when your volumes are
lower, your percentage impact seems higher. And as EV volumes will continue to ramp up in
quarter 2, quarter 3 and quarter 4 and as Swadesh talked about our material costs in EV, with
BOM restructuring coming down. Then one would expect a lower bps impact on the ICE
margins, as we have seen compared to the quarter 1. Because that's the trajectory over the next
3-4 quarters. One should expect to see a lower impact just purely guided by the overall volumes
and the BOM costs coming down with the new range of products.
Ajox : Got it. I'm assuming similar it will have been in 4Q also, right, sir, because we are investing at
that point as well.
Niranjan Gupta: Yes. It was around 170 basis points. It's slightly up this quarter, but as we move forward, it will
start evening out.




Moderator: The next question is from the line of Amyn Pirani from JP Morgan.
Amyn Pirani: I just wanted to check one thing. And while maybe it's still early days. On a Y -o-Y basis,
adjusting for seasonality, the market share on an industry -level basis for you is still coming a bit
low and is still declining, so two part question. A ) is that something that you focus on? Or is it
more segmental market shares that you're concerned about? And overall market share is not
something that you're targeting.
And B) if you are looking at overall market share, how should we think about and w hat could be
the driver of overall market share also probably starting to move up on a Y -o-Y basis?
Niranjan Gupta: Thanks for your question. We'll always look for the overall market share as well, but obvious

ly
the route t o deliver overall market share is through segments. And that's why then you start
focusing on each of the segments and how the recovery is.
And the drivers are very clear. Drivers are at the Entry segment and dealers where we have very
strong, formidable market share. Our actions are focused on expanding the category itself. How
do we drive the growth in that category . Whether it's through finance penetration, whether it's
some affordabl e pricing, some micro actions. So how do we drive the category expansion at the
bottom end of the pyramid .
On 125cc, I've already outlined the actions are to recover market share. We had a steep recovery
which we have done. We'll continue to do that movi ng forward. And that will add substantially
to the recovery of the market shares, even the first part, which is we're expanding the category,
because one of the reasons for the overall two -wheeler market share looking the way it looks is

because of the seg mental mix in the industry, where the Entry segment was impacted by the incomes at the bottom of pyramid.
And therefore, the proportion of that segment went down over the last 2 -3 years. And that's where we hold strong market shares. So as that seg ment gets expanded, one, through the rural uptick that we just spoke about; and second, through our action, automatically the mix impact of the market shares will start playing out.
And the third bit is the Premium portfolio building, which is a medium term, which is where we are very focused and very determined to win in this segment, which is where we continue to build with new launches. Our retail experience continues to get elevated. We've crossed 40 Premia stores. We'll cross 100 by end of March within this fiscal.
And there are actions on brand building. You already heard even Vivek and Ranjivjit talking about where we will double down on investment behind building these brands. So that will be the action on the Premium , where on the medium term we'll be gaining. Those are the actions on 125cc segmental recovery and expansion of the category, which will play in the category mix.
And of course, last but not the least and very important is the scooters, where our new launches will be coming up to reenergize this segment for us. So that will be our paths to increasing market shares, I hope that's clear.


Amyn Pirani: Yes. So just one data point: What is the share of financing in the current quarter?
Vivek Anand : It’s 60%.
Amyn Pirani: 60%, okay . And just one last thing since you mentioned that you want to revive the Entry category. There, should we expect like new launches, a little more like refreshes and some other actions that you would take to revive that?
Niranjan Gupta: Amyn, it will be more like refreshes and probably a little more innovative financing. As you would have heard , I don't know whether I've talked about this we have launched what is called Hero Digi Finance, Digi Fin, which is actually an aggregation platform for financing which is all automatic or internet -based, where our response time or sanction rates are going up , the approval time is coming down very sharply. So as the adoption happens on Digi Fin, what it will do, Amyn , is to make financing more accessible to wider set of people who are right now probably not able to acces s it. And most of our financers are onboard on this. And this has huge potential because it will improve the accessibility. It will also improve the affordability because, as it becomes all digital -based, the entire cost of the chain actually comes down.
And third, it will also reduce, in a sense, those delinquencies that happens because we'll be relying more on the digital footprint of the customers. So actually a huge potential at the bottom end of the pyramid in terms of the financing. And eventually it could even lead to lowe

r interest
rates on financing. So this is a huge initiative that we have taken on with Digi Fin. Obviously, as we ramp it up, the results will start showing.
Moderator: The next question is from the line of Kapil Si ngh from Nomura.
Kapil Singh: Sir, my question is on Xtreme 125R and Vida. What is the reach? And how much will it get to? And we have started to see some ramp -up in volumes of Vida, so if you could elaborate, what are the actions that the company has take n that is helping this ramp -up in volumes?
Niranjan Gupta: Sure, Kapil. I'll request Ranjivjit to address 125. And then Swadesh, you can comment.
Ranjivjit Singh: Yes. So while I said that most of the dealers have already got Xtreme 125, but about 38% -40% of our networks, so far, have received the Xtreme 125. And obviously there's a lot of demand.
And still our customers are very eager to get their Xtreme 125 and start riding it and enjoying it, so there is a pipeline. There is booking. I think the capacity expansion that we have really signed up on and making happen will result in customer delight as we go along. So this is very timely because we believe, before the festival s eason, this will be a key point of demand in the 125cc.
And I think this expansion is going to help reach across the country. So that's on Xtreme 125.
I'll pass it on to Swadesh now.
Swadesh Srivastava: Thanks, Kapil, for that question. As you know, for the last few quarters, we have been really building out the foundation for Vida, Vida being the new brand for us entering into the EV category. So across the board, whether it was brand building, whether it was expanding the network, now w e are present in 175 cities. Close to 300 dealers are working with us, obviously different formats. We are present in Hero 2.0 , we have Vida Hubs, which are dedicated dealerships , we are present in Premia. We have our 2 experience centers and building out the

service network and all the training because we want to make sure that we cover each and every customer whenever we have any query or any trouble.

I think you are seeing the be nefit of all this building which we have done. And yes, the charging infrastructure: Now we have close to 2,500 charging stations in collaboration with Ather. And all of this is really showing the benefits now. As you see, the numbers are going up. And we are very positive that you will see the steady growth through the months in this year. And with the addition of new products, it will just go up more and more. So you're just seeing the benefit of what all we have been doing last few quarters.

Kapil Singh: Okay, that's great to hear. And how should we think about the evolution of Vida or EV business profitability from here on? Because you've talked about cost reductions. So by when can we see that benefit of? Can you give us an update on where are we in the PLI journey? And overall, sir, if you could talk about the fact that if we go from, let's say, 5,000 to, let's say, 10,000 units per month, then should we expect the drag that we are getting from EV business, that will start coming down?

Swades h Srivastava: Yes. So as I said, we crossed 5,000 in July. And you will see that we will only be growing further and further within this year. And portfolio expansion will improve that further, so both in the volume and market share, you will definitely se e further growth coming in. As I mentioned earlier also on the call, we have very strong action happening on cost reduction in the BOM costs, in manufacturing costs; and plus, architectural changes which we are bringing, improvements which we are bringing in our portfolio. And sum total of all of that, you will see that we'll start moving closer and closer to profitability. So I will say that we have all the actions lined up within our R&D, with our supply chain base and in our product

and tech teams, tryin g to bring architectural improvements. All of this, you'll see in the coming quarters. We'll be able to share with you how we are doing on profitability, but I just want to give you the assurance that all these actions are in place and they look very posit ive.

Niranjan Gupta: Also just talking, building about, Kapil, on the PLI. Our new range of products which are going to be launched as I talked about, we are expecting all of them to be PLI compliant.

Moderator: The next question is from the line of Abhina v Ganeshan from SBI Pension Funds.

Abhinav Ganeshan: Yes. Congratulations on a decent set of numbers. I have just 2 questions. So do you feel that the EV will become profitable by the next 6 to 8 quarters? That is first. And second, if you can give some trajectory on how we're going to expand our export presence. We've been talking about it for the last couple of years, seeing some steady progress. So if you can give some glide path on the same. And also, if you can break out, how much is Bangladesh as a part of our exports?

Niranjan Gupta: Right. Thanks. As far as EV is concerned, look. We will not be able to give a guidance on when profitable, but clearly there is a path. There is a path of, A) as the volumes ramp up, then the fixed cost gets absorbed over a larger, bigger scale so you get th e operating leverage from that. And the second part is the entire BOM cost architecture that Swadesh talked about. And third, of course, is the PLI compliance on the new. So I think, with the combination of these three, it will move towards the path of profi tability, but honestly speaking, right now the focus on EV is



building leadership and expanding the category and building up scale and volume. And therefore, I wouldn't call the 200 bps, 198 bps that Vivek talked about , as a drag but more as an investment to build scale for future.

As far as exports is concerned, as you rightly said, there's been a steady progress, obviously not as much as we would have loved to. And quarter 1, we have seen growth. Year -on-year, we've also seen market share increasing. We recently announced our entry into Southeast Asia, so Philippines; and Brazil these are big markets. As we start entering and launching into these markets, that will also help scaling up. And the other thing is, as Nigeria comes back , as you know, Nig eria is having its own trouble in the currency and the economy. As it comes back on track, that should help ramping up our volumes. Our Colombia unit has started doing better in the last quarter, as we saw, and therefore, we expect ramp -up up there as well.

Yes, Bangladesh is a setback, but right now the focus on Bangladesh is around people, taking care of the people. But overall, if you were to get a sense, our GB revenue is 4% of the overall company and Bangladesh is 13% of the GB r evenue, so overall, Bangladesh forms around probably 0.3%, 0.4% of the overall revenues, but the operations will be coming back. The new government has come into place. The plants have opened up, so it's not something which is a medium or a long -term sto ppage. It's a short -term disruption.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My first question is around the rural demand. Obviously you have kind of mentioned that things are looking quite good there. Just trying to understand: Could you give a sense of replacement

versus, say, new buyers within rural markets itself so that we can kind of understand how this could kind of continue going forward?
Ranjivjit Singh: Yes. We continue to see first -time buyers actually coming in quite well even in rural, I think, and that's not surprising. It's quite a movement. And you do get to see, like, our brands HF Deluxe and Splendor getting the bulk of the interest and therefore the conversi

on there just
because of the brand equity, the trust and th e service network that we have.
So that is playing out, but the other very interesting phenomenon that we've seen is that even the 125cc has done well in rural markets as well. So it's definitely progressive in terms of what people are thinking in terms of what personal mobility can bring for them. And Hero continues to be top choice.
Mukesh Saraf: Right. And so the 125cc demand, is that also, I mean, largely first -time buyers? Or there you're seeing more of replacemen t.
Ranjivjit Singh: So it's just a couple of points probably lower than just the Entry level, but it's still very comparable in terms of first -time buyers when you look at the 125cc because, like Niranjan was explaining, with finance options coming o ut and the ease of financing that's available with Digi Fin that we have, the customers, their ability to take those leaps are happening. And they are looking at it a little bit more from the long term. I think there was a time post COVID and during COVID when there was a slowdown. We are seeing a little bit of an uptick out there, and yes, it is in 125cc as well.


Mukesh Saraf: Got that, got that. And secondly, on your 2.0 stores, I don't know if I missed it. So last quarter, you'd mentioned 40 0 outlets. Where do we stand now? And any kind of early feedback that we are getting from those stores in terms of customer perceptions? The feedback from there.
Ranjivjit Singh: Sure. So the Hero 2.0 stores that we've got, these are really prime estates. We can imagine that they're in the auto hubs. And then when the makeover is done and you don't clutter the store so much, the entire ambi ence really changes. And there is a sense of awe when the customer walks in. There's that feeling of space.
There's a feeling of the brands , their value propositions come through. People are able , without crowding amongst each other, to review them, see them, experience them, do the test drives, all of that. It makes a big difference. In terms of numbers, we've already crossed over 520, so we're over half of the number of dealers that are already converted to Hero 2.0 and upgraded to Hero 2.0. We're seeing a remarkable jump in terms of the happiness scores, in terms of custo mer satisfaction, the sales experience.
In addition to that, we are also upgrading our service centers. About 190 customer service centers have been upgraded. And you will see a completely new customer lounge, so when the customer is waiting out there for their vehicle to be serviced, there's a very nice experience that they will have. And also we've also expanded further to green dealerships, so a lot of green elements have been put into place in our sustainability efforts.
So all of these together creat e a remarkable impression and a new perception of Hero, and it's actually industry leading. So Hero 2.0, in that sense, brings in not only people who think about Hero for the first time, but also there are new customers who are coming in just attrac ted by the newness and the freshness of the way the Hero experience is. So that's on the one side.
And if you would like, I can also expand a little bit more on Premia because that's another very interesting project that we've taken on. And we very recent ly inaugurated the 42nd Premia store, which is the first in Delhi our Executive Chairman did the inauguration. And it's a beautiful store. And just like that, across the country, we've got these stores which have the range of our Premium vehicles, including Vida, Harley, Mavri ck, Karizma, Xpulse and Xtreme.
The ranging is done in a certain way. The way the ambi ence is created is really reminiscing about the mountain lifestyle and bringing them into a space where they love the pow er of biking.
And the effect that it's having overall in the city sales on Premium is

also very positive, so I
would say, if any of you can visit some of these Premia and Umang will help you with where they are.
It's also available on our website, but we would love you to actually go out there and visit and experience because these stores are getting like a 4.9 on an aggregate level on the Google My Business. And also the Naraina store got a 5; and the dealer was so proud to talk about that, that we've got a 5 rating there. So definitely would want you to see how we are shaping the change and the industry benchmarks as we go along.
Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: First que stion is on PLI for Vida V1. Can you clarify whether we have applied for this and by when we will be getting certification for that?

Niranjan Gupta: So Jinesh, PLI , we'll be replacing the current range with a new range of products that will be coming in. And for those, the PLI process is on. And as I said, we are pretty confident that, when we're launching those ranges, which will start from October onwards, and we wi ll have the PLI compliance October, November onwards.

Jinesh Gandhi: Got it, got it. And second question is on realization versus margin performance. On one side, we have seen weaker mix due to lower spare sales and about 50 basis point impact of commodity cost inflation, but our ICE margins have gone up by about 110 basis points on Q -o-Q basis. How do we bridge this dichotomy of weaker mix, higher RM costs but better ICE margin performance?

Niranjan Gupta: It's through the LEAP savings program that we're c ontinuing to run. And that's what is helping us to improve the margins and, of course, the operating leverage.

Jinesh Gandhi: Okay, okay, got it, got it. And lastly, can you clarify, what would be our capex and investment in R&D this year?

Niranjan Gupta: Overall, R&D spend we continue to be around I think, last year, we spent around 2.2% of the revenue. And we've been continuing on this uptrend on the R&D expenses, so you can assume that our investment behind R&D and investment behind brands will c ontinue to have the uptick as we build technology and build brands.

Jinesh Gandhi: Okay. And capex ?

Vivek Anand: Capex guidance is between ■1,000 crores to ■1,200 crores per annum.

Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas.

Kumar Rakesh: My first question was on the profitability of the EV business. So we talked about operating leverage to be one of the key drivers for improving the profitability. Now sequentially from fourth quarter to first quarter, the v olume almost doubled in the EV business, although we haven't seen material improvement in profitability, so possibly it may take much higher volume to drive profitability.

So can you give some sense on at what level of volume we'll start seeing the operat ing leverage to start kicking in? And as part of that, is there any step function improvement as well in profitability, through either new technology which you are working on, the platform or the supply side, which we would see in the coming quarters? Or i t would be a gradual improvement in profitability.

Niranjan Gupta: In terms of the operating leverage, obviously, while you're right in saying that the volumes have doubled, but they're not meaningful as yet. So for them to have a meaningful impact thro ugh the operating leverage, they'll need to reach a certain scale. I don't have exact number, but at least they need to be twice of the current monthly run rate to have an im pact on the operating leverage.



The second part is on the cost structures, yes, t he BOM architecture being worked on. It will be combination of both step and gradual, so you will see a step change the moment

a new product line is launched, where they will come with a different architecture, and thereafter gradual movement from there on . As I already said, that we'll have the expanded range of products available within this fiscal. And they will be coming up with a step change in their architecture, and thereafter, the continuous improvement will be there.

Kumar Rakesh: Got it. And just a clarification on that side. So you had earlier spoken about that the expansion of portfolio in EV will be happening in the mid and affordable section, where the pricing could be a little more challenging. So that will not have a profitability impact ?

Niranjan Gupta: No, that's getting geared with the cost structuring as well, so we're not adopting that, getting into affordable through price drop, but we are getting into affordable through cost structuring .

Kumar Rakesh: Got it. My second question was on the EV market share. I understand market is really small today, so it wouldn't make a lot of sense to look at the today's market share, but from medium - term perspective, how would you see your EV market share eventually trending towards because your scooter market share has largely been in single digit, mid to high single digit sort of a number.

And electrification, at least in the first stage, would be largely driven by scooters, so does that not create a bottleneck for you to expand your market share? Or how you are going to come around that.

Niranjan Gupta: Not really. Because, if you see first of all, you're right in saying that when you look at the current market size itself, it's not representative because it's li ke early stage of the category, where the category is just 14%, 15% of the scooters; and only 5% of the overall two -wheel er. So the game has just begun.

The second thing is that, the proxy of market share here vis -à-vis the scooters, ICE scooters, that doesn't hold true because, all the players who are holding the market share in EV scooter as of now, at least at the top end, all had zero market share in ICE because they were not in ICE at all. So this is disruption which is hap pening in the scooter cate gory.

And actually our low market shares in scooter ICE benefits us here because, when the category gets disrupted, that's when one has actually a better chance in terms of gaining share. So we have everything to gain here. The game has just begun. Yes, we are at 5%, but as Swadesh talked about, we will continue to ramp this up. Swadesh, do you want to add anything on this?

Swadesh Srivastava: No. I think, Niranjan, you covered that the EV category is just building up. And it allows us to play a different game. And even the customers who are gett ing into EV buying are looking at it in a fresh way, right . And in the industry, we have 5% market share in certain cities, we are doing even better, but we'll continue to build from here.

Moderator: The next question is from the line of Pramod Amthe from Incred Equities.



Pramod Amthe: First question, to Niranjan. So if I can look at your ICE margins, which is at 16 -odd percent, and look through the history of margin profile, you are almost near to the peak margins of around 16%, 17%, so how do you lo ok at market share versus margins at this juncture? And do you see that market share being under pressure, is it worthwhile to deploy it to get better market share?

Niranjan Gupta: Well, you're absolutely right. We've always guided to 14% -16%. And our ICE margins are at the top end of the guided range, and as Vivek also talked about, from here onwards and as you started, we'll be doubling down on the investments. And from here onwards, obviously, having the margin shape corrected, it is allowing us to invest behind EV, as you saw.

And of course, what it also means is that doubling down on investment on our growth priorities, like Pr

emium or the new models that we are launching. So clearly, moving forward, the growth on the market share becomes the number one priority given that the margins are pretty much in the range that we wanted to be.

Pramod Amthe: And related to that also, considering the buoyancy in rural, do you see more product interventions will be a good w ay to look at to get the maximum out of it?

Niranjan Gupta: I mean, honestly, I feel that we have a pretty strong portfolio of the products and the varian ts, whether you look at Entry or 110cc, 125cc Or Premium , of course, we'll launch more and scooter, I already talked about, and EV, but I think, the rural, it's more about the business model. It's more about the finance penetration.

And of course, our R&D keeps working on really low -cost models, so that is, in the medium term, looking at that, how low we can get there, but essentially it's so much about expanding the product portfolio there. It's about reaching out to the nook s and corners, through more affordable finan cing.

I mean they're looking at more down payments and affordable financing. That's the cash issue.

And of course, as the economy moves up and there's a buoyancy that comes back, that also helps in the growth at that end, yes.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan : Just one question. Can you share the EV revenue for the quarter?

Vivek Anand: So we've sold 10,000 -plus units. And the revenue in terms of absolute is around ■125 crores.

Raghunandhan : Got it, sir. And at the gross margin level, what might be the loss, sir?

Niranjan Gupta: We measure only at the EBITDA level, which Vivek has already spoken about the 198 basis points. So that's the best way because there will be investments across the line into A&P and the other costs .

Vivek Anand: Yes, that's right. And I talked about at the EBITDA level, that translates to ■181 crores.

Moderator: Thank you.



Umang Khurana : Thank you, yes. If there are no more questions: Thank you so much, everyone, for joining in. We look forward to connecting in person. Have a good day. And connect with you soon.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Nov 2024

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November 21, 2024

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Sub: Transcript of Earnings Conference Call for the quarter ended September 30, 2024

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on November 15, 2024, for the quarter ended on September 30, 2024 .

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

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"Hero Moto Corp Limited
Q2 FY'25 Earnings Conference Call "
November 15, 202 4

The Management Team will be represented by:
Mr. Niranjan Gupta
Chief Executive OfficerMr. Vivek Anand
Chief Financial OfficerMr. Swadesh Srivastava
Chief Business Officer -Emerging
Mobility BU
And Umang Khurana, Chief Risk Officer and Head -Investor RelationsMr. Ranjivjit Singh
Chief Business Officer –India BU
Analyst:
Mr. Rahul Arora –Nirmal Bang Equities Private Limited


Moderator: Ladies and gentlemen, good day and welcome to the Hero MotoCorp Limited Q2 FY'25 Earnings Conference Call, hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch tone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Mr. Rahul Arora , CEO from Nirmal Bang Equities. Thank you and over to you, sir.
Rahul Arora: Thank you, Steve. On behalf of Nirmal Bang Institutional Equities, I would like to welcome everyone on this call for hosting the Q2 FY'25 results call of Hero MotoCorp. At the outset, I would like to wish everyone a very Happy Gurpurab, a very auspicious day to be holding this call. And I would like to thank the management of Hero MotoCorp for giving us the opportunity to host them for this quarter's earnings call. I would like to hand the call over to Mr. Umang Khurana, who is the Chief Risk Officer and the Head of Investor Relations at Hero MotoCorp , for the management introduction and to take the call forward from here. Umang, thank you a nd over to you.
Umang Khurana: Thank you, Rahul. Hello everyone and Happy Gurpurab. For the quarter call, we have our Chief Executive Officer, Niranjan Gupta on the call; we have Vivek Anand , Chief Financial Officer; we have Ranjivjit Singh , he is the Chief Business Officer - India Business Unit; and Swadesh Srivastava , who is the Chief Business Officer for Emerging Mobility Business Unit. The call is for an hour. We will begin with opening comments from Niranjan and Vivek and then take your questions. Over to you, Niranjan.
Niranjan Gupta: Thanks Umang. Good morning friends. A lot has been happening in the world. And it seems like 78 is the new 58. And it also means that nothing is impossible in this world, as we have seen with the U.S.

election s. Closer home , of course, the election fever resumes after the festive cheer that we have seen.
And we have our own reasons to cheer, as you saw, with another quarter of highest -ever revenue and highest ever bottom line , and many of the firsts that you saw in ou r yesterday's results. I'll, of course, leave Vivek later on to talk in detail more about the results. More importantly, the results are testimony to our strategy playing out very well in terms of execution, and we'll continue to stay true to that strategy . Our P&L shape is stronger than ever before. Our balance sheet is stronger than ever before. The cash flows are stronger than ever before. And that allows us the flexibility to , and the headroom , to invest even more aggressively behind our growth prioriti es, which we have talked about earlier, namely EV and Premium specifically.
So we'll be investing behind brand building. We have already talked about the new model launches we're going to come up with. There's a lot of excitement in the , further excitemen t in the premium segment as well as scooter segment over the next 6 months, as you will see.


The economy, I think, is on a more positive trajectory than earlier, clearly, and we are very optimistic about the outlook of economy in general and auto sector, in particular. So overall, I would say the festive cheer will continue even beyond festive. With that, let me just hand over to Vivek to take you through the details of the results.

Vivek Anand: Thank you, Niranjan. Good morning to all of you. Thank you al l for joining the call and warm greetings for the festive season to everyone. I'm pleased to report strong financial results for Hero MotoCorp for the Second Quarter Financial Year '25 and Half-1 Financial Year '25.

The company recorded its highest ever quarterly revenue of ■10,463 crores, reflecting year -on-year growth of 11%. Highest EBITDA, which stood at ■1,516 crores, a growth of 14% and highest ever quarterly PAT of ■1,204 crores, growth of 14%.

The company als o reported its highest ever quarterly revenue from parts, accessories and merchandise business at ■1,456 crores, year -on-year growth of 7.5%. Moving on to the Half Year Financial Year '25 results, the revenue amounted to ■20,607 crores, year -on-year growth of 13%. Highest ever EBITDA at ■2,976 crores, a growth of 17.4% and the highest ever PAT of ■2,326 crores, year -on-year growth of 24%.

Our continued strong focus on cash management resulted in delivering cash from operations during Half-1 ■2,817 crores, which is up by 160% over last year, strengthening our financial position even further. The EBITDA margin during the quarter for ICE business improved by 160 basis points to 16.5%, driven by mix improvement, lower material costs and LEAP savings, while we c ontinue to invest behind brand building and new business.

During the quarter, after taking into account the investment behind EV business ■175 crores, the overall EBITDA margin improved by 40 basis points to 14.5%. Our continued efforts in the EV business has started to show encouraging results as we further scale our volumes and improve market share in the segment to now double at 5,000 units per month during the quarter.

We further scaled up to 11,600 units during the festive and gained 20% market share in 5 cities and 10% in 10 cities during the festive period. We will continue to improve the product contribution as we scale up volumes and drive value efficiency with the launch of new products, covering all price points later in the year and in early ne xt year.

We clocked the highest -ever festival sales of 1.6 million units this festive season, 16% revenue growth in the festive period of 32 days, reiterating the confidence customers have with Hero. During the period of 32 days, our Vahan market share im proved to 31.6%. Moving

ahead, we'll
continue our investments behind new products and segments, including premium, EV portfolio and improved customer experience in store with Hero 2.0, Premia and online , with investments behind digital and technology.

I'm delighted to share with you that we have been recognized for our contribution towards sustainability by the Dow Jones Sustainability Index for 2024. We are the top -rated two -wheeler company globally and the fourth in the world in the auto sector on the DJ SI.



We are optimistic about the growth prospects of two -wheeler industry and with the continuity of demand and recovery in the broader two -wheeler market for us, both rural and urban, ramp - up of 125cc portfolio, new product launches and strong investment behind building power brands, we expect to grow ahead of the industry. On that note of festive cheer, let us open the floor for Q&A. Over to you, Umang.

Umang Khurana: Thank you. We'll take the questions now.

Moderator: Thank you very much. The first question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Congratulations on a strong performance and also the rankings for Dow Jones Sustainability Index. My first question is on the demand environment itself. I saw that company has grown around 13% in the festive season. How does it compare to the industry growth, if you have any data around that? And are you seeing , after the festive season , also demand sustaining? That would be my first question.

Ranjivjit Singh: Good morning Kapil, Ranjivjit here. Happy Gurpurab and festival greetings again. The festival was indeed very very positive for us as we saw. We prepared very well. The preparation for something like this that goes into a result like 1.6 million with a 13% growth , obviously, all the channel partners - inspiring them, motivating them, getting onto the same page, getting the production and the inventory geared up and the model mix geared up for that takes a lot - building that connect with the customers, with our prospect s. And therefore, the theme that we brought in was ‘Shubh Muhurat Aaya, Hero Saath Laya ’ and that really resonated very very well, I must say, across. In addition to that, the work that we did around our power brands, the Xtreme film, I'm sure you couldn't have missed seeing the Virat Kohli film that we did with Xtreme 125 as well as Xtreme 160, the film that we did with Megastar Ram Charan for Glamour , as well as the excellent campaign that we did for Super Splendor around mileage, all of that resonated ve ry well.

We saw the upswing coming in from rural as well as from urban, getting a result like this obviously has to be a Pan-India effort and that landed very well. It resulted in a Vahan share increase in October as well as in November, we see that conti nuing in terms of the trend and the outlook that we currently have, which is the auspicious days of marriages continuing, et cetera, is still quite positive, I would say.
So overall, it's helped us to reduce our inventories incredibly. And so overall, I w ould say, we are very, very happy about the way Dhanteras happened, it was the highest ever for us. The overall festival results are good. We believe overall, it's been an excellent performance by HMCL.
Niranjan Gupta : And if I may just ask Swadesh to talk about the EV festive as well.
Swadesh Srivastava: Thank you, Kapil. It's been a great festive on Vida front as well. We clocked 11.6 k units in retail. And we have gone to a market share of 5.4% overall. And each of the zones have fired up on this, and we see a very uniform growth happening across the country. Obviously, the top markets continue to grow fast, but we see all the regions contributing to this.


Niranjan Gupta: Yes. And also, Kapil, in terms of

the question th at you asked around how do you look moving forward, like Ranjivjit said, the positivity is continuing. You also see the cheer around a lot of people getting united, and I mean wedding days. And therefore - and of course, a lot of positive from the monsoon are yet to come in into the incomes at the bottom of pyramid. So which is where , like initially Vivek said , that we are very positive about the outlook.
Kapil Singh: That's great to hear. Sir, second question is on margins. We saw very good improvement on a quarter -on-quarter basis. Probably the other players may not have seen this when I look at the data. So it's a 2 -part question. First, if you could just let us know, is it just the parts mix or any other factors are here? And second, we can also see -- particularly, I was talking about gro ss margin , and the second is, we can also see investments going on as well from your side, and you have talked about it for some time to drive growth. So how should we see the investments for growth continuing? EVs, in particular, you're still investing cl ose to between 150 to 2 00 basis points. Do you see a visibility that localization and PLI benefits - by when could they be available? And as they come, should we expect margins to improve? Or should we expect that you would invest more for growth as you ha ve been talking about?
Niranjan Gupta: So Kapil, let me take that. In terms of our margin, it's been a continuous improvement. So it's not just 1 quarter's improvement, if you see this is continuously improving. And it's on the back of, of course, some benefit from the commodities, whether it's LEAP savings and the third big element also is the mix improvement.
We have been premiumizing our entire portfolio over the last 8 quarters, as you have seen through Xtec series and each one of them starts adding to the margin. So it's been a continuous improvement. Investment behind EV, of course, 200 basis points and as the cost curve keeps coming down through external factors on the sale s price as well as internal actions that we are taking.
In terms of scale and the bps, it may actually not require as much. But that's something to be seen. We will, of course, continue to invest to get the growth. And as far as our margin is concerned, we always maintain the overall tramline of 14% to 16%. And of course, our fi nancials allowing flexibility. Vivek, do you want to add anything, more color to this?
Vivek Anand: Yes. Just one point, Kapil. I think as far as the overall business is concerned, we will continue to invest behind growth, right . So our priorities are ver y, very clearly defined. And we'll make sure while we are investing behind growth, we will continue to really deliver on profitability in line with the guided path, we've given to you.
Kapil Singh: Sure, sir. And just on the PLI part as well, if you could comment by when can , are you expecting to be eligible?
Swadesh Srivastava: Kapil, this is Swadesh. So in FY'26, you'll see our products getting compliant with PLI, and those benefits will start to accrue .
Moderator: The next question is from the line of Amyn Pirani from JP Morgan.


Amyn Pirani: Congratulations on a strong performance. So obviously, this question has been addressed partially with Kapil's question. We are hearing all different kinds of news flow on automotive growth moderating, slowing down. W e have heard from some financiers also, especially on the two-wheeler side that asset quality is starting to become a problem. So obviously, we are getting into marriage days that helps you on a sequential basis, but generally, over the next 6 to 9 months, are you seeing any signs that the momentum that we have seen in domestic two -wheelers of the last 1.5 years , is that moderating, slowing down or things are going as they were in the last 6 to 9 months? Some

color there would be quite helpful from the fina ncing side , as well as from a consumer enquiry , sentiment side as well.

Niranjan Gupta: In fact, Amyn, I would say that a good part of the bottom of pyramid, as we call it, is yet to fully participate in the India's growth story and they are coming back. We've seen them in parts in festive. So , and of course, as we know over the last 3 - 4 years, there's a huge government capex spending, which has happened. These things have a long -term positive impact. And of course, the crop and monsoon are all short ter m. But if you look at even the initiatives which have been taken by the government during this union budget and continued focus on creating long -term investment and employment , I would actually say as we move forward the next 4 to 6 to 8 quarters, as the b ottom of pyramid starts participating more, this would actually benefit the economy, of course, and the -- but auto sector, in particular, and especially whichever is arising out of the rural. So don't see negative, in fact, see only the positive side ther e. The rest, of course, whether it's the marriage days or these are all short -term factors. But over the medium term, that's what we see that growth still doesn't have the full dividends of the bottom of pyramid, which is yet to participate.

Amyn Pirani: That's helpful. So if I can just maybe ask for some data points. What was the financing share in the current festive period? And how much of that was done by Hero FinCorp? And also, how is the -- did you see any extra discounting or schemes in the market by competition, this festive vis-a-vis last festive?

Vivek Anand: So on the finance penetration during the festive period, the number was close to 66%, of which, HFCL was around 26%. That's almost in line with the last festive, as I said.

Amyn Pirani: Okay. So you're saying 26% of the 66 %. So 74% is done by external parties.

Vivek Anand: Yes.

Amyn Pirani: Is that -- okay. Okay, wow. Okay. And anything on the schemes in the market this festive? Did you see more competitive activity there vis-a-vis last festive?

Niranjan Gupta: No, I think as far as the schemes are concerned, every year, the festive season has those schemes. It not that this festive as a percentage of revenues were anything disproportionate or out of the way.

Moderator: The next question is from the line of Gunjan from Bank of America.

Gunjan Prithyani : Thank you for sharing that highlights release, it sort of answers a lot of questions. I just had 2 follow -ups. One was on the demand, continuing with what Kapil and Amyn als o asked. How is



-- how divergent is it between rural and urban? And the reason I ask this is because a lot of companies are talking about urban moderation. So in your book, you actually see both very clearly. So if you can sort of give us some comments on how did that 13% festive growth look between rural and urban and general color on both. That will be the first question.

Niranjan Gupta: I will ask Ranjivjit is to talk about that. But before that, let me just talk about -- see, stats can be looked at in m uch different ways. So when the rural percentage goes up, you can say urban moderation. The other way to look at it, you can say now rural has started participating more. Over to you, Ranjivjit.

Ranjivjit Singh: It's a very interesting phenomenon. And I th ink these 32 days of the festival give us a good insight in terms of how consumers behave also in different zones and regions of the country.

Umang Khurana: There's some background noise , maybe we want to mute. We all want to celebrate, but maybe we'll do that after the call.

Niranjan Gupta: Yes. That's cool. I didn't mind that music. But it's fine. Yes, Ranjivjit over to you. That's for Guru Nanak's celebrations.

Ranjivjit Singh: So the first part of the festival, I think

everyone participated. There was obviously some pent -up demand after the sharp days, less marriages in H1, et cetera. So there was a lot of enthusiasm. But in the second part of the festival, with the -- I'm sure everyone is aware about the rainfall, the unseasonal rainfall, some of the c yclone effect, et cetera.

What was really good and heartening was that their inquiries kept going up, and that gave us a very strong indication that there is demand right out there. So the demand was there. And then obviously, in the last part when Dhante ras comes in, it went up literally like a rocket. So that, again, tells you a very balanced demand trend that goes out across urban and rural. In our case, particularly, we obviously benefited with strong rural demand in addition to the urban flow that happened.

I think the fact that there was pent -up demand before the festival and the oncoming wedding
season, which people also use this as an auspicious time, the festival season to buy, I think both
sides, it worked well for us. So to give you a sort of a thing in the festival what really came
through was a very strong consumer buying behavior that we see continuing even as we go
forward as we've shared before. So overall, between rural and urban, I think it was a very, very
balanced and good demand trend t hat we saw.
Gunjan Prithyani : Okay. So it's fair to assume that both were double digits for you guys, I mean, 2 percentage
points here and there, but both were similarly positive in the festive season, both urban as well
as rural -- urban was in single dig its?
Ranjivjit Singh : Yes, yes. It is in the broad -- this thing, of course, the rural came in a little higher, but I wouldn't
make too much out of that. I think it's very balanced, like I said.
Niranjan Gupta : Both are double digits, yes.


Gunjan Prithyani : Okay. Got it. And the second question I had on this EV market share that you speak about 20%
share in 4 towns and 10% in 10 towns. I mean, what is it that we are getting right in these towns?
Is it the brand Hero? Is it EV? I mean if you can just share s ome color on how we are progressing
in terms of scaling this business up because 20% market share does look quite intensive in 4
towns. So which towns are these? And what drives higher market share in these towns versus
lower in some other towns?
Swadesh S rivastava: Hi Gunjan, this is Swadesh. So in festive, we saw huge growth in markets like Kolkata, Mysore,
Cuttack, Bhilwara - and these were some of the markets where we saw a 20% market share.
While others also participated quite heavily like Delhi, Bhubaneswar, Patna and all where we
saw more than 10%.
I think what is working for us in these is that we have a very strong sales network in these areas.
And the demand for EV, especially for the customers who are looking for reliable EV from likes
of the house of Hero is definitely there. We have definitely strengthened our dealer density also
in these markets. And a combination of that is really helping us grow fast in these markets.
Niranjan Gupta: And also just to add, Gunjan, apart from what Swadesh just talked about, it's also our footprint
of expansion as to how we are pulling out. For instance, as we keep expanding the Premia stores
footprint, wherever these stores are coming up, there obviously, there's more traction and easier
to convert the cust omers to the Premia stores. Similarly, the Hero 2.0 -- Hero 1.0, Hero 2.0 and
which is where we're putting. So it goes simultaneously also with our expansion of our upgraded
2.0 and the Premia store apart from, of course, the network and the disproportiona te focus that
we are putting out in these cities.
Swadesh Srivastava: In the top 30 cities.
Niranjan Gupta: Absolutely. Yes.
Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.
Chandramouli M

uthiah: My first question i s on the premium portfolio. We are making efforts in expanding the product
portfolio as well as the network. At this stage, it appears that in volume terms, about 18% to
19% of our volumes are EVs plus scooters, plus 125cc and above. So just trying to unde rstand
from a margin perspective, what's the sort of scale we need to achieve here to get that portfolio
closer to corporate average margins?
Niranjan Gupta: So in terms of the scale that we are talking about, given that we leverage our existing scale of
manufacturing, of distribution, of sourcing, we don't require to scale too much up to get to the
normalized margin of those segments. I won't give a number, but I would say that anything
upwards wherever you are able to get around 8% to 10% market share, we are able to get to the
normalized margin of that segment because of the power of existing scale that we have, Chandra.
I hope that answers your question.
Chandramouli Muthiah: Sure. That's helpful. Second question is on electric motorcycles. So I think you did make a very
interesting presentation in January this year at the time of the Xtreme and the Mavrick launches.
I think that you mentioned that you start with performance, t hen premium and over time go to


mid-premium and mid -segment on motorcycles from FY '26 and beyond. So I just want to
understand how we are thinking about that plan and also on timelines for execution on that?
Niranjan Gupta: Timelines, sorry, you asked abo ut the electric motorcycles?
Chandramouli Muthiah: That's right. That's right. The move from performance to mid and what is the timeline for
execution on that product plan?

Niranjan Gupta: Got it. Got it, Chandra. So basically, as far as EV motorcycles, as we have talked about, that we are developing in partnership with Zero Motorcycles. And that's something that while we have not given out the timeline, but the work is in progress. And it w ill be coming in the middle weight segment. I would say it's in the advanced stage. We haven't announced the timeline as yet, but we would be looking at something which would not be too far off.
But that's what we are working on and it will come in the pe rformance motorcycle segment. On the scooters part of it on the EV, of course, we are expanding our portfolio. I'll ask Swadesh to talk about that. It's happening in 2 stages. So Swadesh, why don't you talk about how we're expanding the Vida scooter portfo lio.
Swadesh Srivastava: Hi, this is Swadesh. On the scooter side, while we are selling the 2 models right now, you will see addition happening and expansion to other price segments happening by the -- within -- before the en d of this year, calendar year. And within 6 months of that, you'll see even further expansion going into other user segments. So we'll have a very robust portfolio within 6 months.
Niranjan Gupta: So basically, by -- within 6 months, you would have covered most of the price and the cust omer segment as far as EV scooters is concerned, Chandra. I hope that answers your question, Chandra.
Chandramouli Muthiah: Got it. That's helpful. And lastly, just a quick follow -up. I think a few quarters back, Niranjan you shared that roughly 55% to 60% of your inquiries were coming from rural versus the prior period of 40% of inquiries coming from rural towards the end of COVID. So I just want to understand, at this stage, if you could give us an update on what percentage of your inquiries are coming fr om rural?
Niranjan Gupta: Yes, that trend continues, Chandra and that you have seen in the festive as well. And like Ranjivjit talked about, that resulted in overall 13% growth and within 13%, it was really higher on the rural side and a little less on the urban side. So that trend continues in terms of the participation, the positive momentum on more participation from rural.

Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas.
Kumar Rakesh: My first question was on the financing side, which you partly addressed earlier. But how has been the delinquency , especially in the two -wheeler order book , which you have in Hero FinCorp over the last quarter or two?
Niranjan Gupta: We do not comment on segment -wise delinquencies. But what I' ll ask Vivek is to maybe spend just 1 minute on the Hero FinCorp overall, what we see as the performance.


Vivek Anand: Yes, very briefly. I think in the first half of this financial year, we've seen the delinquencies and the collections slowing down. And s o as a result of that, that has really impacted the profitability of HFCL, right . And so the company is really taking steps in terms of really improving the collection efforts. Hopefully, we'll see collections coming back in the second half of the year.
Niranjan Gupta: And their loan book overall, just to supplement Vivek, has grown 16% in Quarter 2 over Quarter 2 and they're on a very strong trajectory of their AUM and the growth, which is there. And of course, the short -term phenomena, which is the incr ease in some of the GNPAs, but it's well managed and moving forward, and they're well on their path to IPO.
Vivek Anand: Yes. And also just to add, I think -- what we see in the result of HFCL is something which we are seeing across the industry as well. T he delinquency rates, right, and the cost of credit actually has gone up impacting the overall profitability of the NBFCs.
Kumar Rakesh: Yes, that is something which I'm noticing is happening. My question was more specifically that your credit cost in the second quarter has gone up. So is that across the segments which you are seeing or two -wheeler would be an outlier or within the two -wheeler also we would have seen deterioration to happen.
Niranjan Gupta: I would say that, that's more related to the FinCo rp corporates to answer. So we will not get into that in terms of answering their credit costs, yes.
Kumar Rakesh: Fair enough. Okay. My second question was on the Premia store strategy which we have. So we are targeting to open about 100 stores by the end of this year. I would assume that you would further expand beyond that. So based on the strategy which you have on the Premia store side, what kind of monthly premium volume you would need to make that sustainable? And I would be assuming that you would h ave about 20-30% monthly volume right now. Is that enough to sustain the expansion strategy that we have on the Premia store side?
Niranjan Gupta: What we expect is that any of the Premia store that's opened up to be sustainable within 12 to 18 months' tim e frame. So that's roughly the time frame that one is looking at. And we continue to have a lot of interest from our dealers in terms of opening up. We already activated 58. And there is a path forward to even accelerate that. Ranjivjit, why don't you talk about the traction on the Premia store and the type of customers that are coming in and what the dealers are saying, the NPS scores and your accelerated path for expansion.

Ranjivjit Singh: Yes. So this is something I really wanted to share with you all. During the festival, I traveled a lot. I went to Baroda, I went to Alleppey, Cochin , even Bulandshahr, Mysore, Bangalore, I traveled to a lot of -- I think I must have -- out of the 58 that Niranjan mentioned, I must have traveled to at least 13 of the Pre mia stores and the dealers are very, very excited. The dealerships, the Premia stores are looking, if I can use the word gorgeous.
They are fantastic in terms of the welcoming atmosphere and the way the customers are taken into a different realm of imagination. And I would encourage and invite you all when you do visit the market, have a look at it. It's a nice experience --

very, very nice experience. Similarly,
Hero 2.0 are also -- and this time, when the customers came in, they were -- all had a f antastic experience in this new avatar of Hero coming into Premia and coming into H ero 2.0.


That has lifted a lot of the conversions that we've seen. So we've seen a lift in the conversions. The Hero happiness score, the Net Promoter Scores that we are se eing, again, there's a lift in that, that is coming through.
The customer service upgrades that we've done, I mean, the bigger ramps, the training, the software, all of that is adding to the overall experience that we've put into place. So these are thing s like Niranjan says will take 1 year, 1.5 years for it to reach the level that we have anticipated, but I'm sensing that there's a lot of excitement around this and also our dealers are participating very well.
Niranjan Gupta: Let me add to this that unli ke, let's say, if you were to be only in this segment, the viability that you will require to be sustainability expanding will have a lot more pressure compared to us, where we have the power of scale. So most of our dealers who are putting up the Premia s tores are our existing dealers.
And therefore, there are profit from the existing stores, which is from our core, which is coming in, and therefore, one doesn't have to look at a stand -alone viability for the sustainability of expansion. So that will neve r come in question. But equally, we are mindful that we should look at getting breakeven points of these stores within 18 months to 2 years' time.
Ranjivjit Singh: Niranjan, I'll just add one more thing, which is when I visit, I see a different set of cust omers coming to Premia stores. So that, again, is an incremental kind of new customers that are coming in that again adds a lot.
Niranjan Gupta: So our expansion will continue in short.
Moderator: The next question is from the line of Pramod Amthe from Incred Research.
Pramod Amthe: First question is regard to export markets, you have entered Philippine s, you are retailing and also gradually planning for the coming months , What's the volume outlook if you look at a 2 - to 5-year perspective, what these markets can bring into you because they seem to be pretty decent size?
Niranjan Gupta: So why, again, it's not our policy to give a volume outlook. But if you look at the firs t half, we did grow 30% versus the industry growth of 16% as far as the global business is concerned. And therefore that led to an increase in the market share to 6.1% in Quarter 2, which you compare sequentially is up by almost 60 basis points.
And secon d half, we have the plans to ramp this up even further. We are seeing a good traction coming from markets like Colombia. In fact, Colombia, I must say, delivered their first quarter of a bottom line turnaround. They are cash and EBITDA positive for the fir st time. And of course, then we see traction coming from Mexico and from some of the other countries as well.
There are countries that need to fire more, and that's because of their geopolitical, the economic situation, which is Bangladesh, Turkey, Nigeria . But as it gets sorted out in terms of their economic scenario, that should also aid growth of our global business. I think our focus there -- disproportionate focus on growing the top 10 countries while nurturing the rest of the countries and making sele ctive entries into some of the markets , is starting to play out well.


Pramod Amthe: And the second question is with regard to the quick commerce and usually the way that segment is shaping up, where the entry -level two -wheelers might be used. How are you s eeing that? Is there a steady or any grip on what's the size of that market? What Hero product suits there? What's the opportunity for

your products, both in the ICE and EV space? Any thoughts in the short and medium term?

Niranjan Gupta: So as far as quic k commerce is concerned, you see -- I mean the -- a different parts of this use different types of vehicles, some of them use the entry -level motorcycles, some of them use -- a lot of them use, nowadays, the EV scooters, but some of them use low end, some medium end -- so that, in terms of the shape of the market is developing in terms of vehicle usage. Of course, we have our own institutional business segment, which works on this.

And in terms of product format also, the Vida team is working on a customiz ed B2B format, of course early days there, but that's also in the offing. So therefore, there's institutional business segment in the company which actually works on that. And in fact, to these segments in this festive, we would have probably sold close to around 30,000 vehicles with big buyers being the usual ones who do quick commerce and food deliveries.

Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar: Congratulations on the very good festive sales what you have seen. Sir, my first question is really related to the buyer behavior because what we've seen, it's probably not only in two -wheelers, but also in other categories that demand going into the season was not strong, and demand really came up very strongly during t he festive season because of various marketing efforts and some categories seeing good discounts.

So -- and just trying to understand, is it like are we seeing that the customers like on the ground getting smarter and waiting his purchase for the festive season so that he gets better deals and of course, there's a festive cheer and all of that. Because the reason why I ask this is, like, for example, last year, we had a counter retail of 1.4 million in 32 days. But the entire October, November, December, V ahan retails were a much weaker number in context of 32 -day retails of 1.4 million.

So I'm just trying to understand, are we seeing massive bunching up of demand which is happening on the festive season, especially in the rural markets because we are not seeing that momentum in Vahan registration data beyond the festive season as such. And I'm talking about last year as a specific example, because you had a very strong retail last month last year as well. So if you can just help us understand the buyer beh avior here.

Niranjan Gupta: Yes. Thanks, Pramod. Good question. And we should meet at some time. It's been quite some time. Let me come to this. First of all, on your question of are the customers getting smarter, we do believe that the customers are the s martest lot. And customers are the king. They are the smartest lot, and we always need to learn something or the other from our customers and equally our -- we respect our competitors as well.

In terms of the buyer, the behavior, I won't say it's anything unusual. In fact, it's not that we were taken by surprise. So we actually built up. If we were taken by surprise, we would not have been



able to sell. So our homework that the teams did, did indicate that this kind of demand may come up, and that's how we planned our production. And that's how we've ensured that the sale happens, and we ended up with the inventory that we would love to, which is 4 weeks at the dealer end.

So I would say it's all planned out. There's a lot of research that goes around. Yes , of course, sometimes people wait. But I won't say that any extra or disproportionate bunching in terms of this festive vis -a-vis any other festive that we talk about. What is different in this festive though is the participation of rural, which has been more given the trend that was.

So I think once you read into that, as the positive aspect that in the run -up to that and the last few quarter

s, we know that, that there have been stresses on the bottom of pyramid. And that's something that is coming up, w hich gives positivity, as we said in the beginning of the call , that the rural participation is going up.

Of course, as far as Vahan is concerned, we all know there is a lag and stuff that happens. Key indicators are, which are the states, which are the geographies which have started participating versus earlier. And I think that gives positive indications, Pramod, apart from, of course, the macro fundamentals, which should pay dividend, which I just talked about earlier in the call.

Pramod Kumar: Okay. N o, sorry, I understand that Niranjan. The reason why I ask that, that as per the math, you had like 43,000 -odd retails every day on the counter last year. But if I look at the entire December quarter data for Vahan is 1.7 million, just short of 1.7 million , even if I add January, the average retails after the festive drop out like really badly. So I'm just trying to understand that. But nonetheless, I think thanks for the input.

And on the rural, if you can just provide color because what you've seen is, t hat a lot of dealer feedback is that you've seen traction for EVs gaining in the rural markets -- semi -urban markets, let me put it that way. And even scooters and premium categories taken off in semi -urban markets. So how are you seeing the trend at your end? Because you've got the deepest network by far and a pretty solid portfolio in form of Xtreme now in the 125cc and Vida as well. So if you can just help us understand the changing buyer behavior on the semi -urban market, particularly?

Niranjan Gupta: Thanks, Pramod. Absolutely on your first one, just to say that I would always think that better follows good rather than bad follows good. So that's been the philosophy that we work on, which is working out well. Portfolio, like what you have said rightly, we've got a very strong portfolio of brands. We do see semi -urban participation coming up.

And like you pointed out, the Xtreme 125 has received a great traction and huge demand. It's been a huge success in our 125cc segment and which plays out both in ur ban and semi -urban as well. Let me just ask Ranjivjit to just talk about the Xtreme 125cc in particular, how it's doing and you see traction from the various pockets of semi -urban, like Pramod asked .

Ranjivjit Singh: So the Xtreme 125 R, as you've also pick ed up, has received extremely good traction in the market - the ABS features, the sporty looks and the whole proposition that is there. Firstly, of course, we give it more to the urban markets. But as we saw the demand picking up and we



increased the capac ity to 40,000 a month, now it's also gone to the secondary network - It's gone there. And in the festival, it's been one of those products which customers have been demanding and wanting to lay their hands on. So it's done extremely well. Our market share continues to grow in the 125cc segment. And in fact, going forward also, we're going to be touching new highs in October, et cetera as we are seeing the traction and uptake of Xtreme 125. Having said that, there's also Super Splendor that's done well and G lamour, which is also contributing well in its -- in their own regional market. The Xtreme 125 has been now a Pan-India phenomenon.

Moderator: The next question is from the line of Vansh Modi from Svan Investments.

Vansh Modi: Yes. So my question is, sir, on the realization. This quarter, your realization was highest ever. And going forward, do we expect this to be sustained at this level? Or do we see an improvement?

Niranjan Gupta: Vivek?

Vivek Anand: You're right, our realization during this quarter compared to Quarter 1 has improved by almost ■2,700, right . That's two -wheelers actually contributing ■1,400 out of which and the balance coming fr

om the parts business. So I think going forward, we also ex pect that our mix will continue to improve, our spare parts business will continue to improve, and therefore, the realization per unit will continue to improve.

Vansh Modi: And another question is on EBITDA per vehicle. This year -- this quarter, there was almost a 5% improvement compared to the previous quarter. So could you just throw some light on what was the reason for that? And how does it shape going forward?

Vivek Anand: See, I talked about the EBITDA improvement during the quarter, right . And it's largely driven by mix improvement, lower material cost and lea p savings . So we had a significant improvement coming from there. And a part of it got invested behind brand building and new businesses.

And going forward, we -- as I talked about earlier -- we've given a certain guidance on margins, which is range bound between 14% to 16%. And we are confident that despite our investment strategy, we'll continue to maintain that range.

Moderator: The next question is from the line of Nitij Mangal from Jefferie s.

Nitij Mangal: Can you talk a little bit more about what do you mean when you're saying you're planning to now aggressively invest more into brand building? What are the opportunities? What are the gaps that you're trying to do in terms of brand building?

Niranjan Gupta: What I mean, what we mean there is that, look, over the last couple of years, we have expanded our portfolio. So that job, I would say, in terms of -- now we have 5 brands in the premium segment, which is very important for us to create traction around that.

We talk about Xpulse, Xtreme, Mavrick, Karizma and HD X440. Of course, and we have also announced more variants to be coming up into that. So the portfolio keeps getting stronger and stronger. That's the part. The second thing that we are addressing is the place part of it, which is



where the Premia stores come into play. And you have seen and we have talked about how we are expanding that.

Now the third important element is the power brand, which is, of course we have the portfolio, but obviously, creating power brands out of these brands that we have launched takes time, and that requires marketing investment, awareness creation.

It's more around the media, the communication that should increase the awareness. So there's

always a cycle of these because you cannot be doing that at the upfront, the moment the models come out. So all of that, which is what we said is that as we move forward, we will -- we've done the portfolio. It will keep getting stronger. We are well on the w ay to Premia and now is the time to actually ramp up the brand building, the brand awareness and the communication around these brands, which is what we meant by allocation and investing accordingly.
Nitij Mangal: Do you have any spend in mind in terms of how you want to take the spend here?
Niranjan Gupta: I won't like to give a spend guidance. But like Vivek said earlier, we have huge scale. And therefore, last couple of years, we did heavy investment behind EV, EV costs will be coming down. The scale wil l be going up. The PLI benefits, Swadesh talked about FY '26, will keep getting accrued. So we have a way of generating resources to be able to deploy behind different growth priorities.
And of course, we'll be mindful there in terms of margin guidance. B ut we do believe that our scale allows us to invest aggressively behind premium beyond this.
Nitij Mangal: Okay. And the second question is you do seem to have a lot of product launches in the next 6 months. We're talking about 3 new ICE scooters, 3 premiu m motorcycles. There was some plan for 3 - 4 EV models as well, and an expansion of that portfolio. Can you talk a little bit more about, let's say, especially when you're thinking of ICE portfolio, what are you

trying to do
differently with these products ? What are you -- like other gaps you have identified, especially, let's say, on the scooter and the premium motorcycle side?
Niranjan Gupta: Yes. So let me take that. For instance, let's take the premium first. So I just talked about that brand. So it's n ot that next 6 months, we will be launching a new brand in premium. So what we're going to do is we're going to come out with Xpulse 210, which is liquid cooled, and you talked about EICMA, we unveiled there. So you have the details there.
Xtreme, as I sa id, power brand keeps getting bolstered where Xtreme 160, we then launched 125R, which has done very well. And we want to launch Xtreme 250R. So you can see that the brand gets siblings from across the spectrum and create that. So that's what we are trying to do with that. And similarly, Karizma get it's win again, which is XMR 250 on top of -- so that's the strategy that within the same brands that we have talked about 5 - Now you actually move them with a full portfolio within the brand itself. So that's the strategy there on to premium. So it's clearly in line with what we would have wanted to do and on the timelines.



On the ICE scooter, obviously, the scooter needed a refresh in terms of our portfolio and which is where we've talked about Des tini - Full Body Change , and X oom again, it's again you see the same brand. So how do you create power brand out of Xoom because X oom is 110. We're going to put X oom 125, Xoom 160. And again, that's the strategy there that the brand gets traction with 3 mo dels within the brand family.
So that's going to be in the ICE scooter, again within the next 6 months, in fact, probably well before March as we have talked about. And then we've talked about the EV, where we have talked earlier as well where we always s aid that in EV, we started at the top end. And obviously, the market has moved a lot to a price segment, which is our more affordable range. We've taken a bit of our time. We've been conscious about that in balancing and now we will be expanding to cover t he price range there. So there, the strategy is to cover the price ranges, which is on the EV side. So you can clearly see the 3 different strategies playing out in terms of expansion of the portfolio and launching of these products.
Nitij Mangal: And just one more follow -up on this. On the EV scooters, is there a revised timeline for launches?
Niranjan Gupta: On the EV scooter, yes, I mean there's -- Swadesh, I don't think we've revised, but can you just comment on that?
Swadesh Srivastava: We had mentione d that we'll be launching within this calendar year, and we are well geared for that. And we had also mentioned that we will bring -- expanding the portfolio beyond just a price point to new user segments, which is also lined up for next year. We're on to it.
Moderator: The next question is from the line of Joseph George from IIFL.
Joseph George: This is Joseph. Just one question. When you look at the incentives situation this festive compared to last festive, have you seen a big swing? I know you have seen several news flow of -- one is discounting. But unlike last year, we have seen some of the OEMs come and cut list prices, which is quite un usual. So your comments there?
Niranjan Gupta: Yes. I think we covered it in the -- Joseph, in the earlier part of t he call as well that it's not hugely disproportionate compared to any other festive when you compare the spend as a percentage of the revenue.
Umang Khurana : I'll just open it up for a moment if there are any final comments before we leave?

Niranjan Gupta: Yes. Let me take that in terms of that. So all in all, I would say that again, repeating once again, good things must be repeated so that they become repeatable and they become scalable in terms of what happens in th

e future and therefore, the highest eve r top line, bottom line, cash and products firing, again, is a testimony to our focus on all the key parameters of a sustainable growth from a future point of view.

We are also excited about all the launches that are upcoming in the -- whether it's in the ICE scooter or the EV scooter portfolio. We are very much focused on cost leadership in EV segment,



which we will see panning out over the next few quarters, which will again allow us in terms of even more investment behind that.

We are also excited abou t our premium journey where we are expanding the premium or the Premia stores and the portfolio. And as I talked about, that we will be investing behind -- aggressively behind brand awareness and communication to create power brands out of these brands. An d of course, our global business has done a good recovery in the first half, second half, we plan to ramp it up more leading into Fiscal Year '26.

And then with impending recovery in some of the countries, that should augur well in terms of our revenue st reams which are going to get diversified and scaled up. And of course, our parts business continue s to roar. They also registered their highest ever quarter revenue. Our focus in the medium term, beyond continuing to develop our parts business, will be aro und scaling up accessories and merchandise beyond where it is today. Over to you, Umang. That's what I had to say at the end.

Umang Khurana: Thank you so much. I think a very -- thank you for coming in. I'm conscious it's a holiday for most of you. So than k you for sharing your time and have a lovely day and talk to you soon.

Niranjan Gupta: Thank you, all.

Umang Khurana: Thank you Nirmal Bang . Thank you Rahul, for hosting us.

Moderator: Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2025

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February 12, 2025

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Sub: Transcript of Earnings Conference Call for the quarter ended December 31 , 2024

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on February 07, 2025 , for the quarter ended on Decembe r 31, 2024 .

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

Encl.: As ab ove
It Hero
hero 0 Investec CHORUS•CA LL°

“Hero MotoCorp Q3 FY'25 Earnings Conference Call”

February 07 , 2025

Analyst:
Mr. Aditya Jhawar -Investec Capital Services (India) Private Limited
The Management Team represented by:
Mr. Niranjan Gupta
Chief Executive OfficerMr. Vivek Anand
Chief Financial OfficerMr. Swadesh Srivastava
Chief Business Officer -Emerging
Mobility BUMr. Ranjivjit Singh
Chief Business Officer –India BU
And Umang Khurana, Chief Risk Officer and Head -Investor Relations


Moderator: Ladies and gentlemen, good day and welcome to Q3 F Y25 Earnings Conference Call of Hero MotoCorp hosted by Investec Capital Services (India ) Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Aditya Jha war from Invest ec Capital Services. Thank you.
And over to you, sir.
Aditya Jhawar: Yes, t hank you, Steve. On behalf of Invest ec Capita l, I would like to welcome everyone on H ero MotoCorp 's Q3 F Y25 Earnings Call.
I would like to thank the Management of Hero MotoCorp for giving us this opportunity to host the call. I would like to hand the call to Mr. Umang Khurana – Head of Investor Relat ions & Risk .
Umang, o ver to you. Thank you.
Umang Khurana: Thank you so much for hosting us , Aditya and Investec. Hello and good day everyone. Welcome t o Post Q3 FY25 Results Investor Call .
On the call with us today, we have Niranjan Gupta – CEO, Vivek A nand – CFO, Ranjivjit Singh – Chief Business Officer, India Business, Swadesh S rivastava – Chief Business Officer, Emerging Mobility Business Unit.
As you know , there have been changes in the company leadership. Consequently, we will also introduce you to t he new Management members. We will begin the call as usual , Business Update from Niranjan, followed by Financial Update by Vivek . Niranjan , over to you.
Niranjan Gupta : Thank you, Umang . Greetings and welcome , everyone to our Earnings Call .
Our quarterly results , as you have seen, have once again displayed execution on our strategic priorities . In Q3 , we gained market share in 95% of our portfolio with 125 cc, EV and G B leading the pack. Our bottom -line profits were up 12% and the YTD nine months recorded highest ever revenue and profits once again . Our EBITDA per unit remarkably has cro

ssed now ■10,000 per unit , driven
by premiumization , mix and judicious pricing, which aug urs well as we expand our v olume given the operating leverage it will generate.
Our strategy for 2030 with four growth pillars – ‘Grow the Core’, ‘Win in Premium ’, ‘Build EV Leadership ’ and ‘Diversify Revenue Streams ’ and two operating pillars, ‘Future Fit Organization ’ and ‘Lead ESG ’ is in place now , powered by 4S mantra of Speed, Scale, S ynergy and Simplification.


Our reshaping o f portfolio, which started a couple of years back , continues with four launches at Bharat Mobility , setting the platform for future growth . The strong financial shape that we have achieved will allow us to aggressively invest behind these priorities as we scale our business through relentless execution.
Finally, I would like to thank all of you who have given me your trust, support and confi dence over the last eight years and 32 earning calls and Vikram now will be taking over from me from 1st of May and I am sure you will provide same support to him moving forward . Vikram is going to take over from 1st of May. He has got a wealth of experien ce, as you would have seen from our release , almost 48 years in the auto industry across different segments and specially with Hero MotoCorp over two decades of experience covering Operations, Research & Development, Supply Chain,

Global Product Planning and Engineering. He has been leading sustainable manufacturing effort as well, and he has actually been instrumental in being part and parcel of steering the journey of this company over the last two decades . I wish Mr. Vikram Kas bekar the best to steer this role going forward with his leadership and vision .

Over to you, Vikram, for a few words from you.

Vikram Kasbekar: Yes. Thanks Niranjan . I would like to thank the board and the chairman for this opportunity. As you know from Niranjan , our strategy is very well laid out and to ‘Grow the Core’, ‘Win in Premium ’ and ‘Leadership in EV ’. All strategies are as good as the execution and our focus now is going to be purely on execute and accelerate the execution strategy.

Product launche s in premium , scooters and EV will support our growth. Thank y ou Niranjan for your leadership.

Niranjan Gupta : Thank you, Vikram. With that, let me just ask Vivek for his opening remarks . Our CFO , Vivek, over to you.

Vivek Anand : Yes thank you, Niranjan . Good morning and thank you all for joining the call today and wish you all a very Happy New Year .

I am pleased to report strong financial results for Hero MotoCorp for the 3rd Quarter FY'25. The company recorded quarterly revenue of ■10,211 crores , growth of 5%. This is the third consecutive quarter the company has recorded quarterly revenue of ■10,000 crore s+. EBITDA stood at ■1,476 crore s, which is a growth of 8% and PAT at ■1,203 crores, which is a growth of 12%.

The Company also reported its highest -ever quarterly revenue from parts , accessories and merchandise business at ■1,555 crores , year-on-year growth of 9%. Our continued focus on cash management resulted in delivering strong Cash from Operations , strengthening our financial performance .



The EBITDA margins during the quarter for ICE business stood at 16%, driven by mix improvement, lower material cost and LEAP savings, while we continue to invest behind brand building and new businesses. During the quarter, after taking into account the investments behind EV business, ■137 crores, the overall EBITDA margin improved by 50 basis to 14.5% year -on-year.

I am happy to share that the Company has declared an interim dividend of ■100 per share.

Let me now talk about our Market Share performance and New Product Launches :

As per Vahan, our market share for the quarter expanded by 520 basis point s quar

ter -on-quarter to 32.8%. We achieved our highest ever retail in the quarter of more than 2 million units. In motorcycles, we gain ed market share both on year -on-year and sequential basis. This was led by strong performance in the Deluxe 125 segment, where both Splendor and Xtreme 125 R gained market share.

During the quarter, we launched multiple products across segments . Starting with the Premium portfolio , Xtream 250R launched at Bharat Mobility is the fastest 250 cc motorcycle in its class , priced very attractively. The new Xpulse 210 with liquid -cooled engine is designed to enhance the comfort during daily commutes as well as off -road adventures .

Coming to EV, we launched the VIDA V2 Series, upgrading the V1 platform. We also launched VIDA V2 Lite, which is a sub -1 lakh product marking our entry into the fast growing mass EV scooters .

In Scooters , Destin i Full Body change was launched in January, placing it well for the urban commute rs. Hero 's differential scooter ran ge led by popular Xoom 110 will get two additional scooters , Xoom 125 - which is a large 14 -inch wheel base will be the fastest scooter in the category , a liquid cooled engine will drive the 16 0cc Xoom scooter .

Moving ahead , we will continue our investments behind new products and segments . We remain consistent in our commitment towards investing behind the premium and EV portfolio and improved customer service in store with Hero 2.0 and Premia and online with investments behind digital an d technology . We are positive about the growth prospects of two -wheeler industry , and with the continuity of demand and recovery in the broader two-wheeler markets for us b oth rural and urban ramp up of 125 cc portfolio, new product launches and strong investment behind building power brands , we expect to grow ahead of the industry.

On that note, let me open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer sessi on. Anyone who wishes to ask a question may Press “*” and “1” on their touch tone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2” . Participants are requested to use handset s while

asking the question s. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Am yn Pirani from J .P. Morgan. Please g o ahead.
Amyn Pirani: Hi, thanks for the opportunity and also want to take the opportunity t o wish Niranjan and the other senior management who are moving on to the different roles, all the best , and also to Mr. Ka sbekar and the team who are taking on new role, all the best a s well . Just on the qu arter, two qu estion s from my side . This quarter we have seen the parts revenues have a very strong growth and I think from a trend basis also it seems that the growth has been much stronger. So , is there a seasonality here because I think first half the growth was much weak er, 3rd Quarter we have seen an acceleration and that has also helped the margins, I am assuming . So, how should we think about this going forward?
Ranjivjit Singh: Good morning. This is Ranji vjit here. Hi , Amyn . I will address your question in a minute . Let me just, as this is going to be my last interaction in this forum with you all, I just wanted to firstly thank you all for the engagement, the interaction, and I've had the privilege to lead the India business for almost four years in this iconic company . And in this time, we have developed and worked on the House of Strategy, the first pillar being 'Grow the Core' and we strengthen ed our position in the 100cc and the 125 cc motorcycles , our new launches in scooters will further solidify our position. 'Win in Premium ', we have developed our power brand strategy, we filled up our product portfolio with new launc

hes and we have expanded our channel to Premia and also upgraded our Hero 2 .0 -
both the sales as well as the service team . And the question you asked on 'Diversified Revenue Streams ', we have really grown our parts business profitably . And I will soon introduce you to Ashutosh Varma, who takes over the CBO mantle from me on 1st of May and he has been with the company for 15 years and we have a fantastic team and our channel partners are very, very excited to execute and take forward the House of Strategy and bring it to the kind of peak that we are expecting.
So, on the parts business, yes, we have had a sort of a banner kind of a seasonality here. It's part of the Q3 seasonality . We had talked about it in the previous quarter call also and Niranjan had in fact mentioned that it's just a question of seasonality. There are some additional lines of bu siness that are coming in quite well, whether it's t yres, the battery, the oils business, all of that is contributing and there's a consistency i n terms of how we execute , how we expand our distribution, how we extract more from there and also expand into rural . So, more and more, I believe , this is a seasonality and a strong business process that's taking it forward.
Niranjan Gupta: Yes, as far as the profitability in the pa rts business has always continued to be strong as we know . So, we continue to be on a very strong wicket on the margins on the parts business .
Amyn Pirani: Thanks for that. And just on one of the launches, I think the Xoom 160, I think obviously it's an interesting launch , I think it can expand, or create a category because there's nob ody there, but there could be a demand given how we have seen 110 to 125 transition o ver the last four to five years and


the next step could be 160 cc scooters . But it appear to me and I could be wrong that the pricing , it seems to be priced for profitability than category creation and market share gains. So , if you could just help us understand the pricing strategy for the Xoom 160 because, it's a new category and you are I guess the first big player who is getting into it?
Ranjivjit Singh: This is Ranji vjit here again, and I will ask Ashutosh to address this. Ashutosh, over to you.
Ashutosh Varma: Thank you, Ranj ivjit. Good morning to all. I am really excited to take up this role and I look forward to interacting more and more with all of you. Thank you for that question. I mean just to point that out, if you look at the other players in this category , there is Yamaha, there is Apri lia that plays in this category. Yes, indeed, the category is not very big, but our goal is to price it competitively, and just because we offer so many features, the liquid cooled engine , 14-inch wheels , is the largest scooter in the category - we expect to grow the category substantially.
Amyn Pirani: Okay. Thanks for that . I will come back in the queue .
Moderator: Thank you. The next question is from the line of J inesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Hi. My question pertains to the recent changes in the budget with respect to income tax savings. How does that influence our customers and any sense on what would be income profile of our customers , what would be the median income of our customers as such ?
Vivek Anand: So, if you really look at our entry segment, right, especially 100 and 110 cc segment two-wheeler s, I think that the income levels typically range between 6 - 12 lakhs per annum , right. I think if I really talk about the budget, I think one of the things wh ich the budget has done is to really provide tax relief to this middle segment of customers, which means that their disposable cash in hand will actually go up as we get into next year. And what we believe is that , that's almost to the tune of anybody who' s earning close to 10 - 12

lakhs will have a positive cash impact of around ■40,000 to
■50,000 which will possibly take care of the EMI, which today he or she is paying for the two-wheeler . So, this should really help drive consumption for the two-wheeler sector.
Jinesh Gandhi: Got it. So, a broader range of ■ 6-12 lakh s. Okay. Got it. And secondly, if I look at on the P &L side in 3rd Quarter , we have seen good savings in our cost of internal gross margin improvement on sequential basis . Is this largely because of lower investments on the EV business or there is something else to that?
Vivek Anand: So, can you just repeat your question?
Jinesh Gandhi: Sequentially, our R M cost has reduced by about 90 basis point s in 3Q. Is it just a reflect ion of lower investments on the EV business? I think that is reduced by about 50 -odd crores on sequential basis or is there anything else to this that from the slight imp rovement in mix on the spare s side?


Vivek Anand: Okay. No, so you are right, absolutely. On a quarter -on-quarter basis, the material cost is almost flat , you are right. In the EV business, I talked about that during the quarter , we made an investment of ■137 crores, which compared to the previous quarter is lower by 50 basis points . And the reason for that is it's because during the quarter the dispatches in Q3 were lower than in Q2 because of the transition we went through, right? But in terms of the investments we are making per unit, it remains the same.
Jinesh Gandhi: Okay. Okay. Got it . Got it. And lastly, similarly, if I look at the other expenses, again there has been a good increase, I believe part of it is due to seasonality , is there one -off in this?
Vivek Anand: You are right , it's largely to do with seasonality, there is no one -off in it.
Jinesh Gandhi: One more last question is on the EV range. V2 also would not be PL I compliant, right? So, how do we think about our PLI investment, which we are doing and by when we'll be launching our PL I compliant portfolio ?
Swadesh Srivastava : Hi, Ji nesh, this is Swadesh. Thanks for the question. Ye s, so our V2 portfolio is also going to get into PLI complian t very soon. We are filing the papers around that . And in the next fiscal, you'll see the whole portfolio coming into the PLI compliance . So, we are in advanced stages of that.
Jinesh Gandhi: Great. Thanks and all the best.
Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Hi, good morning sir. Thanks for the opportunity. Sir, a c ouple of follow -ups on the topics that were discussed. One , on the tax break, if you could give a breakdown of the profile of the consumers maybe for the industry or for Hero MotoCorp whatever you have in terms of the occupation, how much is the rural mix, how many are salaried customers and how many are business or SME kind of customers, which ever way you b uild the profile, is there anything available like that?
Vivek Anand: So, Kapil, first of all, thanks for the ques tion. We w ill share that separately with you, ye s.
Kapil Singh: Okay. Second , I had a question on demand. We notice that till festive period, the demand for the industry was pretty buoyant , and in the last couple of months, things seem to be slow. So, just wanted your assessment of the demand conditions and also the financing conditions ?
Ashutosh Varma : Yes. Thanks, Kapil for the question. As we move into Q4 and with the wedding season that's coming up and the festives that kind of kick in from March onwards, we expect that the industry will just keep on improving from here. Yes, of course , the festive was really good and it probably sucked up some demand fro m the forthcoming months, but we are seeing good traction as we move into February and then possibly into March as well .


Kapil Singh: Okay. And s ir, just one follow up was there on VIDA as well? We have come out with a more attractively priced product. Can you comment how much of that is coming because we have been able to reduce costs, how we have been able to do that and will the V2 profitability be better given the price reductions that we have done, some color on whether it's gross margin positive or something like that?
Swadesh Srivastava: Hi, thanks for the question. Yes, you're right. The V2 range is a better platform , better performance, slightly different look, the dealers and the customers are really taking on to it and we continue to improve our cost structures , not just from one model launch to another model launch but within the launched vehicles. So, we will continue to work on it and you'll see that we will obviously share our profitability milestones as we start hitting them . But that's an ongoing effort , and even with the new launches which will happen in the coming months , they will be even better cost structures from now.
Vivek Anand: Kapil , I just want to supplement. I think clearly in EV, our priority is to really scale up and cont inue to invest in product and pricing. Having said that, we are continuously working towards optimizing our BOM cost through localization and PLI benefit realization. So, I thought I will just add to what

Swadesh said .
Kapil Singh: Thanks sir . So, PLI initially your intent will be to build penetration , that's h ow you would think about PLI benefits, right?
Swadesh Srivastava : So, as Vivek also said, we want to make sure that we are competitive in the market, but that doesn't mean that we're going to leave profitability out of the table. So, as I mentioned earlier to a different question, we are in advanced stages of getting our PLI and you'll hear about it in the coming months , not just on one or two models, but beyond that.
Kapil Singh: Okay. Thank you sir. Thanks a lot.
Moderator: The next question is from the line of Gu njan from Bank of America. Please go ahead.
Gunjan Prithyani : Hi, thanks for taking my question . I just wanted to continue on this EV business. You all made this announcement of transitioning the EMBU as a separate entity from Feb 1 onwards. So, just trying to understand the rationale here and does that mean that whatever we sell on E Vs incrementally is going to be accounted outside of standalone? What d oes this restructur ing mean? And I am also going back to a comment you made earlier that that we were going through a transition and hence investments in EVs are lower. Is it to do with this restructuring , if you can just clarify ?
Swadesh Srivastava: Hi, thanks for the question , Gunjan . So, EMBU has been a separate BU over the last few years. We do see that our strategic pillar being ‘Build EV Leadership ’ will require further acceleration and further focus and further innovation, and hence there is a concerted effort of bringing more synergy and bringing more focus and dedication on the EV innovation and product development . That's what it is going to be. And I will let Vivek answer on the reporting side , but just on the third part of your



question, we were going through the transition from V1 to V2 in the last one and a half months and hence you might have seen some lower dispatches . But as we said, the intent is not to lower the investment. We have filled the pipeline in the market and you'll start se eing much better market share starting this month, because now the channel is full of V2.
Vivek Anand: Yes. So, just to add to what S wadesh said, so , see, EV is already a separate business unit , we are not really talking about having a new entity. So, it will be part of standalone.
Gunjan Prithyani : Okay. No accounting change as such . You're just sort of clubbing a few other busin

esses like I see
CITs there, etc., Just all of them cohesively working towards EVs, that's the intent, not any accounting chang e?
Vivek Anand: So, it's largely driven by synergy and to really have better execution, ye s.
Gunjan Prithyani : V1 to V2 , are there any material cost improvement that are worth calling like the BOM cost went down by whatever percentage , is there something that you can share insights on?
Swadesh Srivastava: So, as I was mentioning earlier, we continue to improve the BOM cost structure and localization on the existing models and we make it a point that when we have new launches, they take benefit of that continuous growth. So , in V2 also , there are those changes , there a re certain hardware changes optimization we have done which has led to BOM cost reduction. We don't share those numbers, but we continue to work on reducing the BOM cost and we do have them as well.
Gunjan Prithyani : Okay. Got it. My second question is on the OBD -II. If you can share how we should think about it going into Q1 both in terms of the stock management, do we really need to destock and then restock with OBD -II and what is the cost on the portfolio or increase on the portfolio that we may see on back of this?
Vikram Kasbekar: We are on track as far as OB D-II Phase -B is concerned. This is slightly different from the earlier one , in the sense that we can manufacture up to the 31st March and thereafter it can be sold also in the market. But OBD -II Phase -B we have to necessarily manufacture from 1st of April. But we are right on track and we will be converting our entire folio well before the deadline is there. As far as the price is concerned, there's going to be a marginal price increase of 1 % - 2% because of the additional hardware that would be installed in the products and that would be valid across the industry. It's basicall y lower because it's already in FI system.
Gunjan Prithyani : Got it. And if you can share the Hero Fin Corp, whatever you can share from a business fundamentals perspective , where are the operating metrics , because w e keep hearing delinquencies and asset quality deteriorating with some of the other NBFC s on two-wheeler lending , so if you can share some comments on that please ?



Vivek Anand: Yes. So, first of all on HFCL Q3 , the loan book size is ■55,500 which is an increase of 13% versus last year, right . So, business continues to grow. Yes , during the quarter and for the last two, three quarters, we have seen lower collection efficiency especially in the personal loan categories. As a result of that, the credit cost has moved up b y almost 150 basis points. And that's a trend we are seeing across NBFCs . So, the focus now for HFCL team is to really focus on collections and we are seeing improving trends in collection specially in the month of December and January and with more focus on customer credit , we expect the profitability which got impacted this quarter should improve going forward.

Gunjan Prithyani : Okay. Got it. Thank you so much.

Moderator: The next question is from the line of Kumar Rakesh from BNP. Please go ahead.

Kumar Rakesh: Hi, good morning . Thank you for taking my question . My first question was a continuation on the Hero F inCorp performance. So, you reported a loss in this quarter, and you spoke about that the credit cost has also inched up . So, where t he credit cos t currently is sitting, it now more than 7% for you? And also how is the funding cost trending for you?

Vivek Anand: Broadly, I can tell you the credit cost is currently close to 6%, right . But more details if you want, we can certainly share offline with you.

Kumar Rakesh: And funding costs for the business , how i s that trending, i s it still going up?

Vivek Anand: Yes. So, that's what I said. We'll certainly be happy to engage separately an

d share the details with
you.

Kumar Rakesh: Got it. My second question was on your EV strategy - more a little from medium to longer term perspective. So, what is it that you're targeting with the EV business , are there any milestones that you are looking for that , say you want to be the top three EV companies or do you want to be a niche player and get to profitability first in the industry , or any of those longer term milestones that we can hinge you against , that what exactly is our strategy here in the EV business?

Swadesh Srivastava: Hi. Ye s. Thanks for the question . It's very clearly mentioned in our House of Strategy that we are geared to build EV leadership and we're not saying we'll build EV leadershi p many years from now , which is in the near future. And that will require work on both aggressively positioning our products in each segment , and you have seen product portfolio expansion this year, you'll see much more coming especially on the afford able segment , you will see some other use cases also being addressed with our new product being launched in the next fiscal . We have done huge geographical expansion. Obviously, we're really building the brand out , we have taken the responsibility to build the charging infrastructure . So, all of these efforts are being put in place to really own the category , right. As I said earlier, while we are doing it, we are not going to take our eyes off the profitability but segment -



by-segment, we will play to win, and it might require different levers to be pulled. So, we will continue to work on both.

Kumar Rakesh: But as a market positioning of your EV products, so what is the aspiration here , do we want to be present in all the markets? Do w e want to be a niche player ? That's what I am trying to understand here is , that we have created a separate brand VIDA . It's been more than 1 - 1.5 years now and the market share we haven't seen something which Hero would want to have in that segment . How should we look at the aspiration or the target that you are ch asing?

Niranjan Gupta : The way we are driving VIDA b rand is on 3As which is ‘Accessible, Affordable and Aspirational ’. And as far as if you look at our market share , we are not present nationally. So, in fact, if you look at our play area , below ■1 lakh market , 60% of the market where we are not present , where we have just launched our product through our VIDA V2 that we that we launched into that recently , just a month back. So, you will see that playing out. W e're not really 60% of the market. If you see the play area and where we play , a lot of towns actually we are exceeding now 20% market share and many a 10% market share . So, I think it will not be right to look at an overall market share of 5% nationally given the price segment wise we are not present , in 60% of the market and geography wise , we are not present in half of the market. So , as we expand our retail d istribution to cover more and more through Hero 2.0 stores and expand our portfolio to cover all the price segments , we are confident of winning in this.

Kumar Rakesh: Thanks , Niranjan for this. That's why I was asking more from medium term perspective. Today's market share I understand is not ref lective of the potential . Absolutely agree. Just one final clarification on the margin side . You spoke about the ICE margin is about 16% in the quarter. So, there's a quarter -on-quarter decline of about 50 basis points despite the higher spare part revenue contribution this quarter sequ entially . So, what drove that 50 -basis point s margin contraction in ICE?

Vivek Anand: Yes, because this quarter there was higher spends because of the festive, right . So, we had higher support on marketing and advertisement spends on our power brands. And I think that was the reason why there was a contraction.

K

umar Rakesh: Got it. Then it should reverse in the coming quarters.

Vivek Anand: That's right. That's righ t. It's more specific to this quarter.

Kumar Rakesh: Perfect. Thanks a lot for taking my question.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: Thank you sir, for the opportuni ty. And nice to see the new Hero website. Sir, firstly, can you help us understand plans to revive the HF Deluxe brand on the 100cc portfolio? And also, I have seen that



recently there has been changes made in the pricing. Just want to understand over me dium term, what's the plan for to revive this brand, sir?
Ashutosh Varma: Hi, Ashutosh here. In this category, the entire 100cc, we are the market leaders. And hence, not only do we have to ensure our market share, but also we have a responsibility to gro w the category, which is what we would be trying as a part of our strategy. We know that for this segment, affordability is the major anchor on which we need to work. So we work on a host of solutions, financing solutions. We also want to augment the value proposition of the current motorcycles that we have in this sector. We also are working to improve the penetration levels in the under -penetrated areas. And there are a host of ongoing actions that we will continue to do. As I said, all coupled together, the larger goal is to grow the category.
Mumuksh Mandlesha: Got it, sir. Sir, on the Harley -Davidson partnership, you recently mentioned about the extended partnership and plan to launch a new motorcycle. Just can you share what are the plans on the product portfolio there? And also, just want to understand, are there any export opportunities where we can leverage the global Harley -Davidson network for the X440 brand?
Ravi Avalur: So, the produc t is based on existing products, which is the first answer to your question.
Umang Khurana : Ravi Avalur.
Ravi Avalur: Sorry , Ravi Avalur. I head the Harley Davidson business unit. So, the current products planned are both based on the existing product, which is the 440 platform and also an entirely new product of which we will reveal details in time.
Mumuksh Mandlesha: So, it would be a new engine CC platform, sir?
Ravi Avalur: I would say it's a new platform. That's all I can say.
Mumuksh Mandlesha: And any export opportunity for the brand, sir?
Ravi Avalur: The product is for domestic and international, eventually.
Mumuksh Mandlesha: Okay. Got it, sir. Yes, that's all from myself. Thank you so much for this, sir.
Ravi Avalur: Thank you.
Moderator: The next question is from the line of Amit Hiranandani from Phillip Capital. Please go ahead.
Amit Hiranandani: Yes, congrats team for a good set of numbers and reporting good EBITDA . Sir, my two question is if you can give some color on how the rural and urban grew in Quarter 3 and outlook for the same for next fiscal? Secondly, according to your evaluation, what product gaps have you identified? And additionally, do you have any intentions to enter into the electric three wheeler ?



Niranjan Gupta: I will let Ashutosh answe r the first question on rural and urban and then we will take up the next one.
Ashutosh Varma: Yes, hi, Amit. In Quarter 3, we did see a big spike in the rural demand. The contribution of rural went up almost by 3%, as we saw in the festive season. We expect the momentum to continue going forward in the next financial year as well. We know that there are a host of government measures that are coming in to improve the rural sentiment, and we expect to benefit from that. And of course, there will be spikes on occasions which we expect to continue.
Niranjan Gupta: As far as the next question is concerned, as part of our ‘Diversi fy Revenue Stream

s ’ pillar of the House of Strategy, we will continue to evaluate any adjacent segment which makes sense for us and where we have a right to win and opportunity to grow.
Amit Hiranandani: Any gaps within motorcycle and scooter segment ?
Niranjan Gupta: Not getting the question.
Umang Khurana : Amit, is your question whether we are considering non two-wheeler segments? Is that what you had asked earlier?
Amit Hiranandani: Within two -wheelers, any product gaps?
Uman g Khurana : Product gaps in the two -wheeler segment.
Niranjan Gupta: As far as the two -wheeler segment is concerned, as you know, we have reshaped our portfolio very strongly over the last couple of years. And therefore, and more coming, if you look at our premium portfolio, probably stronger than ever. Our Entry and Delux e portfolio is already strong. Our EV portfolio is expanding into below 1 lakh price segment. So, broadly speaking, if you look at it, the portfolio is in the right shape. And beyond this, it will be more about executing and scaling up.
Amit Hiranandani: Right. All the best sir. Thank you so much.

Moderator: The next question is from the line of Pramod Kumar from UBS. Please go ahead.
Pramod Kumar: Yes, thanks a lot for the opportunity. Before I go ahead with my questions, congratulations and wish Niranj an and Ranjivjit Singh all the best for the future endeavor. It was great interacting with you guys and look forward to hearing from you , and Niranjan particularly , soon.
With that, I will just move on to the first question, sir. It's been pretty categorical that rural has done much better than urban for the last year or so across every category. But what surprises me is that despite that, motorcycle as a category is losing category share at the industry level. Scooters plus Moped is already 37% + as per SIAM data, excluding some of the EV manufacturers. If you include them, the scooter format or the non -motorcycle format has breached the 40% mark, right . So, what is happening? Is there a tectonic shift in terms of the customer preference in the rural urban market


or the semi -urban rural market, which is putting pressure on our growth because we are down on market share in a year when rural demand has done very, very well . Ideally, we should have gained market share and particularly with all the new launches.
So, what are you seeing on the ground? And what can we do to further double down on the non - motorcycle categories? Because we have the portfolio, we have the launches, Xtreme has been a great hit, but we haven't had the desired result in terms of market share, especially on the Scooter side and the EV side. So, if you can just help us understand what's happening here and what is the course correction , what Hero can do in the next year or so.
Ranjivjit Singh: Yes, again, this is Ranj ivjit here. Thanks for the question, Pramod. What we have seen over the festival and we have been sharing our thoughts with you in terms of how there has been a contrac tion in the overall 100cc segment led with Entry. And our job as the market leaders is to expand. And that's what Ashutosh also talked about, Grow the Category.
Now, the unlock really is in terms of addressing , not only the symptom of affordability, but also getting the penetration up, getting people to understand the benefits of using the motorcycle and how it really helps them.
So, our programs around rural, around the simplified financing that we have put i nto place with, you know the financing programs that we have, and expanding that to our secondary networks and the rural networks is really what is a big lever that we are seeing, and we have seen that in action in the festival, and we see that going forw ard as we get more marriage dates, as we get more festivals in Q4. So, this is a program that we are on in terms of expanding the market and

growing the category.
So, that's broadly the thing. As far as non -motorcycle is concerned, we are very, very happy about the new launches that we have announced in Bharat Mobility for scooters. Destini FBC is getting a very good response. The initial dispatches have already taken place. There is excitement all across. And soon we will be dispatching the Xoom 125 and the Xoom 160. All of these are going to become really the fuel to increase our presence in these kind of markets. So, I think overall we are in a good shape on our strategy and execution.
Pramod Kumar: So, if I understood you right, you are not seeing any structural shift or change in the consumer preference away from motorcycles towards scooters, EVs and the non -motorcycle format. You don't see that , because the numbers clearly show that very cl early.
Ranjivjit Singh: Yes, absolutely. There is no structural kind of changes that we are seeing. It's a question of how we as leaders are also coming in , as I have described to you in quite detail.
Pramod Kumar: Okay, fair enough. And on the EV side, sir, I understand there is a transition happening, but volumes have kind of collapsed after Diwali. So, is that a production issue which we are facing? Or what exactly is driving it? Because volumes are just capsulated, right? And not having the presence i n the marketplace as a brand over a period of time does start hurting the customer perception, right? The


more you see it on the road, it drives positivity in its own, right for the consumer . So, how do you see the volume ramping up in the near to medium term on the VIDA, sir?
Swadesh Srivastava : Yes, we can chat at the end of this month, and you will see that. As I mentioned that during the transition, we were just handling the pipeline so that the best product is available at the dealer front.
That has already happened. And in the last few weeks, the channel is already full. And we are a lready seeing the daily sales throughput going back to what it used to be. And from here on, we will only accelerate. So that will reflect in the market share by the end of Feb and that too by the end of March.
So, our outlook remains the same, what we had thought at exit March.
Niranjan Gupta: And Pramod, as I explained earlier, on the medium -term outlook about the towns that we are hitting 20% market share, the towns that we are hitting 10% market share, the portfolio gap that existed,

which has got just now filled up. So that augurs well because that's a clear indication of what market shares we can get. And the recent that you saw the dispatch shortfalls were on account of transitioning from one model to the other. And that transition is complete now. A nd therefore, you will see moving forward the volumes taking up.
Pramod Kumar: Sounds great, sir. Thanks a lot, and wish you all the best. Thank you.
Niranjan Gupta: Thank you, Pramod.
Moderator: The next question is from the line of Sakshat from ICICI Prudential. Please go ahead.
Sakshat: Yes, hi. Thanks for the opportunity, and congratulations on good set of numbers. Sir, just one clarification on the OBD -II Phase 2 norms. You said that the price hike we will take because we are already on F I system would be 1 to 2%, right?
Vikram Kasbekar: Right.
Sakshat: And what would it be for, let's say, someone who is still on carburetor engines?
Vikram Kasbekar : You said carburetor?
Sakshat: Yes.
Umang Khurana : No, all our products have already moved to F I, and therefore, Sakshat, the impact on us will be limited, as Mr. Kasbekar mentioned, to 1 -2%. We don't have any carbs left, and therefore.
Sakshat: One of our competitors would be still using carburetor. So, I wanted to…
Vikram Kasbekar : No, let me explain. For OBD -II Phase B, Carb will not work. That's for sure. I don't know if somebody is saying that. That's surprising. But yes, fo

r exports and EV markets, some countries do require carb, which will continue making.



Sakshat: Okay. So, let's say someone who is still b ased on carb, how much can it affect them in terms of price or cost?
Vikram Kasbekar : Yes, it would be slightly higher for them who are converting from Carb to F I.
Niranjan Gupta: But we would refrain from commenting on the portfolio of our competition.
Sakshat: Okay, fair enough. And sir, one more question from my side, on the industry demand, like you mentioned there are marriage date s, so you expect some revivals . But let's say next year, in terms of you are expecting high single -digit volume growth, do you want to provide any guidance for next year? Like, what volume growth are you expecting for yourself and for the industry as well?
Vivek Anand: See, this year, Vivek here, this year the guidance we have given for double -digit revenue growth. Looking at our first nine months performance and looking at how this quarter has started, we believe that will be a repeat next year, a double -digit revenue growth for next y ear.
Sakshat: Got it. Great. Thank you so much, sir, and all the best.
Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.
Amyn Pirani: Yes, hi. Thanks for the opportunity again. I just wanted to go ba ck to the discussion around lending and to some extent Hero FinCorp. You mentioned that there were some steps on the personal loan book. But is personal loan a very large proportion of Hero FinCorp? And how much will be the auto book size for Hero FinCorp , if you can share that?
Niranjan Gupta: Amyn , given that it's an associate company, we will refrain from making detailed comments on their portfolio and the business as of now. But of course, offline, we can get a call scheduled with their team with you.
Amyn Pirani: So, just as a follow -up, in general, outside of Hero FinCorp, from third -party lenders, have you seen any pullback? Because I am guessing a lot of them have also been talking about, you know, stress, not just in personal loan, b ut also, you know, on the two -wheeler loan book. So, are you seeing some pullback from their side? Or do you continue to see willingness to lend and availability of finance not being a challenge?
Niranjan Gupta: There hasn't been a pullback on the willing ness to lend, but certainly in terms of the collections, I think most of the NBFCs who serve the bottom of the pyramid in some parts of it are having a little bit of uptick on the delinquencies.
Amyn Pirani: Okay, understood. Thank you.
Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.



Niranjan Gupta: Yes. So, as you have seen, I will just recap a few of the highlights of the quarter before I sign off. And clearly, as you saw, consistently we are delivering now more than ■10,000 crores of revenue quarterly. We have registered on a year -to-date basis almost 10% revenue growth. We have clocked 20% PAT growth on a year -to-date basis. Our quarterly double -digit PAT growth, again, highest -

ever revenue and the profits that we are talking about. 95% of our portfolio has started recovering market share. Our retail shares, which is Vahan, are higher than our dispatch market shares.
And when yo u look at our portfolio, with multiple launches across segments, the portfolio has got enhanced and much better shape for us to grow in future. We started focusing on executing as per our strategic pillars in terms of growing the category, which is called the Entry. And you saw some of the actions that Ranjivjit and Ashutosh talked about. 125cc, we have gained remarkably well from a 13% share in Quarter 4 of the last fiscal. We are

now comfortably above 20% and the journey will continue on that.
On the Premium, as you see, our portfolio is stronger. We have a 5P framework to actually now start scaling up the premium business. On EV, we have expanded the portfolio below 1 lakh segment. And geographically, we are expanding to more stores as we are upgradin g the Hero 2.0 stores, which also we have accelerated, where we have clocked now almost 700 2.0 stores in less than 700 days , at the speed of more than one store a day.
Our Premia stores continue, which has crossed 60. It will cross 100 soon , it will continue on that path, which will further boost our presence in the premium segment and our Global Business, which allows us to reduce our geographical concentration, that has started firing well with the first nine months growing twice that of in dustry at 40% growth. And we continue to be stronger and stronger on the Parts, Accessories, and Merchandise business, which has clocked the highest revenue. And that journey continues with even more potential on the accessories and merchandise.
And that's not all. As we said, that there are six pillars to the strategy. And the last and not the least is ‘Lead ESG ’. And which is where you saw us getting into the DJSI World Index, which is the only Indian two -wheeler amongst the top auto compan ies. And we are among the top four auto companies globally. So, we are conscious of our responsibility to lead by being conscious of the ESG.
Overall, if you look at it, we now have a very clear strategy for 2030 called our House of Strategy, which was prepared last year, signed off with clear focus, choices, and priorities. Our portfolio, especially in Premium, is stronger than ever now. And Global Business has started firing as well. Our recent expansion of EV portfolio places us below the 1 lak h segment positions as well. And therefore, it augurs well for our journey moving forward. And recent indications of many towns where you have crossed 20% market share is an indicator of the medium -term potential of the portfolio.


What's more, our financi al shape is stronger than ever with EBITDA margin crossing ■10,000 per unit. It allows for accelerated investment behind the strategic priorities I just talked about and hence, therefore, more accelerated execution that you heard from Vikram.
Once ag ain, I would like to thank all of you for the immense support that you provided to me and the team over these years, and I am sure that you will continue to do that to the leadership led by Vikram.
Thank you all.
Ranjivjit Singh: I would like to thank eve ryone here. This is Ranjivjit here. It was absolutely fantastic to engage and interact with you. Great insights. I look forward to catching up in the future. But thank you so much for this.
Umang Khurana : Thank you, everyone. We look forward to having an Investor Day. We will come back to you shortly , with all the leadership together to talk more about this as well. Have a wonderful day. Bye -bye for now.
Niranjan Gupta: Thank you.
Moderator: On behalf of Investec Capital Services (India ) Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: May 2025

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May 19 , 2025

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Sub: Transcript of Earnings Call for the quarter and financial year ended March 31, 2025

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on May 14, 2025, for the quarter and financial year ended on March 31, 20 25.

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

Encl.: As ab ove
Hero
Hero I ICICI Securities CHOR L L'
1


“Hero Moto Corp Limited
Q4 FY '25 Earnings Conference Call ”
May 14, 202 5

The Management Team represented by:
Mr. Vikram Kasbekar
Acting Chief Executive
OfficerMr. Vivek Anand
Chief Financial Officer
And Umang Khurana, Chief Risk Officer and Head -Investor RelationsMr. Ashutosh Varma
Chief Business Officer –India BU
Analyst:
Mr. Vivek Kumar –ICICI Securities



Moderator: Ladies and gentlemen, good day and welcome to Hero MotoCorp Q4 and FY '25 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation conclude. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch -down phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vivek Kumar from ICICI Securities. Thank you. And over to you, sir.
Vivek Kumar: Thank you, Manav. Good morning, everyone. On behalf of ICICI Securities, I would like to welcome everyone on Hero MotoCorp's Q4 and FY '25 Earnings Call. I would like to thank the management of Hero MotoCorp for giving us this opportunity to host the call.
Now I would like to hand the call to Mr. Umang Khurana, Chief Risk Officer and Head, Investor Relations. Over to you, Umang. Thank you.
Umang Khurana: Thank you, Vivek. Thank you for hosting us. Hello, everyone. You may all have noticed that we have postponed our Investor Day. We believe it to be respectful and prudent. We shall come back to you on this.
On the call for us today, we have Mr. Kasbekar - our Chief Executive Officer; our CFO - Vivek Anand; India Business Head - Ashutosh Varma. We will begin with the call - Mr. Kasbekar's comment on the call. And then Vivek will have his opening comments as well, after which we will open this for questions and answers. Mr. Kasbekar, could we begin with your comments, please?
Vikr am Kasbekar : Thank you, Umang. Namaskar a nd welcome to everyone to the Hero MotoCorp's Earning Call. We hope you all are keeping safe. We salute our armed forces for protecting the nation and keeping us all safe.
Now moving on to business. I am sure you m ust have seen our strong quarterly performance. We ended the full year FY '25 clocking our highest -ever top line and bottom line. I'm happy to report that we have retained our leadership as the world's largest manufacturer of motorcycles and scooters for 2 4 consecutive years.
Let me start with the overall economy. While there is an ongoing global turmoil due to the border situation , trade tensions, on the domestic front, the economy has started on a positive note, driven by tapering inflation, lowering int erest rates and income tax cuts and expectations of a better monsoon. With regards to two -wheeler industry riding on the wave of a positive economic momentum, two -wheeler demand is shaping up nicely, boosted particularly by a strong marriage season in May and June. Overall, we expect the industry to grow in the mid - and high single digits in FY '26.
Key business highlights for Quarter 4 FY '25. In my first call, I had talked about our medium - to long -range -term strategy; and my focus will be on execut ion. Let me now talk a bit on some of these. On VAHAN , we have retained the number one spot during the quarter and on the full year basis. For the first 4 months in the calendar year, we have gain ed month -on-month market

share. We have seen a strong bounce -back in the entry segment also. In the 125 motorcycles, on the back of Xtreme 125, we continued to outperform the category. We launched 2 scooters in the Quarter , Xoom 125 in the sporty segment 125cc category and Destini 125 Xtec in the commuter segment category. Both have been received very positively in the market. Our latest launches in the premium segment, Xpulse 210 and Xtreme 250R, have seen very good responses. Global business has grown at 43%, 2x of the industr y growth. Our strategy of focus in the top 10 markets is starting to work well. In the EV business, we gained market share during the quarter and exited March at 7%.

The EV business is on a sustained growth curve helped by
investments behind the brand, brand building, pricing interventions and launch of the VIDA V2 scooter. In 30 + towns , we have 20%+ market share . And in 60 + towns , we have 10%+ market share .
Lastly, I want to reiterate that my focus will be on implementing our strategy to win and gain market share. Over to you, Vivek.
Vivek Anand: Thank you, Vikramji. Good morning all, and thank you once again for joining the call today. I'm pleased to report strong financial performance of Hero Moto corporation for the Fourth Quarter financial year '25 and full year 2025 driven by disciplined fiscal management and focused strategic execution.
Firstly, for the quarter, the company recorded quarterly revenue of ■9,939 crores, EBITDA of ■1,416 crores and PAT of ■1,081 crores. The Company reported quarterly revenue for Parts, Accessories and Merchandise (PAM) business at ■1,553 crores, a year -on-year growth of 11%.
The EBITDA margin during the quarter for ICE business stood at 16.1%, driven by mix improvement, lower material costs and LEAP savings, while we contin ued to invest behind brand building and new business. During the Quarter , after taking into account the investment behind EV business, approximately ■143 crores, the overall EBITDA margin stands at 14.2%.
I'll now move to full year '25. We achieved the highest -ever revenue from operations and PAT. Revenue stood at ■40,756 crores, up 9%; EBITDA of ■5,868 crores, up 12%; and PAT of ■4,610 crores, a growth of 16%.
ICE EBITDA margin, at 16.2%, improve d by 90 bps, driven by mix improvements, price and cost savings. During the year, after taking into account investments behind EV business, approximately ■630 crores, the overall EBITDA margin improved by 40 basis points to 14.4%.
Our continued focus on cash management resulted in delivering strong cash from operations, strengthening our financial performance.
I'm happy to share that the Company has declared a final dividend of ■65 per equity share. Including the interim dividend of ■100 p er share, the total dividend for '24, '25 financial year amounts to ■165 per equity share, representing a payout of 8,250%.
We continue to maintain market leadership, with sales of 5.9 million vehicles in the financial year 2024-25. Further, we maintained our market leadership in the 100cc category in both entry


and deluxe segments. And we have rapidly gained market share in the 125cc segment, driven by success of Xtreme 125R.
In global business as well, we continued our strong performance, repo rting our highest -ever quarterly market share. Overall, our dispatches in Financial Year '25 grew by 43% year -on-year, almost 2x of industry. This performance was broad -based, as almost all our key markets, including Bangladesh, Colombia, Ne pal and Mexico grew.
As part of our planned operational strategy, the Company implemented a temporary production halt from April 17 to 19 at its Dharuhera, Gurugram, Haridwar and Neemrana facilities to facilitate supply chain alignment and conduc t scheduled maintenance and infrastructure enhancements. Production is expected to normalize during this month. It is important to clarify here that we continue to grow our retail sales during the current quarter.
Moving ahead, we'll continue to invest be hind growth. We remain consistent in our commitment towards investing behind premium, scooters and EV portfolio; and to improve customer experience in stores with Hero 2.0 and Premia.
Diversifying our portfolio into adjacent categories is a key part of ou r strategy. I'm happy to share, this quarter, we acquired 34.1% stake in Euler Motors for an investment of ■510 crores, which make Euler Motors an Associate Company of Hero MotoCorp. Through this, we have marked our entry into the fast-growing EV three -wheeler category. We ar

e excited about the
prospects of growing this business.
I'm also happy to inform that Ather Energy, our Associate Company , is now listed on the

National Stock Exchange . The capital raise allows Ather management to accelerate their growth.
We are positive about the growth prospects of two -wheeler industry. And with the continuity of demand and recovery in the broader two -wheeler market for us, both rural and urban; ramp -up of 125cc portfolio; new product launches; and strong investment behind brand -- power brands, we expect to grow ahead of the industry.
Thank you for listening to me. And on this note, let me open the floor for Q&A. Over to you, Umang . Thank you.
Moderator: We have our firs t question from the line of Vipul from HSBC.
Vipul: Sir, my question is from the next 5 - 10 years perspective. Now looking at the future prospect of premium isation , Hero still ha s close to 80% market share in the population of entry -level motorcycles. And inherently, Hero has been a strong customer base who will upgrade in the future -- who will upgrade in future. So Xtreme 125 has been a success, but it was more of a catching up with the competition, so how do you plan to capitalize on your strong base and gain market share in the 125cc segment over next 5 to 10 years? That would be my first question.
Ashutosh Varma: Can I take that?
Vikram Kasbekar : Yes, yes, please. Ashu, pleas e take that.


Ashutosh Varma: Hi. Vipul, thank you for the question. We've had some very strong gains in the 125cc category this year. On a full year basis, we gained close to 250 basis points in terms of market share. Xtreme as a brand if you see, only on 125R, we sold close to 300,000 units. Overall, Xtreme portfolio, since it's been there, is touching close to 0.5 million units already.
And the kind of response that we have received on the product also gives us a lot of confidence that this brand overall will become much stronger. The more recent launch of Xtreme 250R has also met with some amazing response, and we're very confident that it's on the way to become a power brand in itself. 125cc, we have been very strong dominant players i n this category over the years. We are recovering very strongly, and last year is a testimony of this. We have exciting product launches that we have in this category which will make us even stronger. We are confident that we'll gain share and move towards lea dership.
Vipul: Sure. So are you suggesting that we'll be looking at more product launches in 125 category in near future?
Ashutosh Varma: Yes, as per market need. We have an exciting product lineup that's planned for the future.
Vipul: Okay. My second question pertains to the vehicle quality. So again it's, sir, from, like, feedback from last 5 years post BS VI. So the feedback we got from our channel checks is that, of lately, there have bee n some issues with the quality. And a lot of issues have been addressed in past -- like within 2 years or 3 years of launch of the BS VI models, but still Hero is known for its quality in the entry level, so -- and second feedback we got was that, when you star ted like in 2017 -18, you started with innovation plus margin expansion program, but eventually what we realized is that it eventually moved to only to the margin expansion, while there was some degradation in the quality which happened, so -- and that i s also reflected in kind of warranty queries coming to the dealers.
So how do you plan to address -- like we are seeing that change in leadership is also happening to the Company . Is there any way we can track like a improvement in the quality and the brand value of the models?
Vikram Kasbekar : Ram, can you take that...
Ram Kuppuswamy: Sure. This is Ram here. I'm the Chief Operating Officer at Hero MotoCorp. To answer your question: Firstly, we pride ourselves

at Hero at hav ing products that work for our consumers and last with our consumers over many, many years. The quality of our products is paramount to us. And our brand is built on the strength of the incredible value and quality that we deliver to our customers over the years. We have not seen a drop -off in any of those levels.
And we pride ourselves in making sure that the products that leave our factory and go to our dealerships and go to the hands of our consumers have quality levels which are of the highest level in the industry. And we'll continue to maintain that standard. We will not allow for any drop-off on that front. And I must say that all of our products in our portfolio have seen the strong reception that they have because of the quality levels that we main tain with them.


Vikram Kasbekar : And, going forward, we are using technology for our development of our products in the R&D and addressing all quality issues at 360 degrees, whethe r it's the quality of customer experience,

quality of manufacturing and quality of design. So all the areas we are strengthening ourselves very well.
Moderator: We have our next question from the line of Chandramouli from Goldman Sachs.
Chandramouli: My first question is just on the comment you made ea rlier around mid - to high single -digit growth in the industry. I just want to clarify that that's volume growth for the industry. And just as a follow -up to that, if you're able to share what Hero's expectation is for FY '25 in terms of volume. And hist orically, I think, you've spoken about revenue. So , I just want to understand those in a little more detail ?
Ashutosh Varma: Hi Chandra, if I got the question right, you're wanting to know a little bit more on what our projection for the industry is and how is Hero thinking about these volumes.
Chandramouli: That's right. That's right.
Ashutosh Varma: Okay, thank you. Thank you for the question. Overall, this year, we expect the industry to grow in the region of around 6% to 7%, pretty much the same a s last year. I mean we have a lot of tailwinds this year. We have a good monsoon prediction. We have a good marriage season after a long time. And the initial signs are already visible. We've seen some income tax relief that should put in more money in the hands of consumers. There's a lot of government spending that's happening. I mean the inflation is lower, so we expect the industry to be better that way. Of course, there are little headwinds as well in terms of what's happening in terms of OBD II and the price increase that's happening therein, but overall, we expect the industry to be in the region of around 6% to 7%.
We -- on the other hand, we're very confident of our performance. We have some launches that happened in Q4 that are yet fully to man ifest in terms of volumes. And we are very confident that we'll outpace the industry growth and gain share.
Chandramouli: Got it. That's helpful. My second question is just around channel inventory. So I think in the your remarks you did mention t hat you did some scheduled maintenance at some of our key plants in the month of April, which caused retail growth to exceed wholesale growth, specifically for the month, by a decent quantum, so I just want to understand now, after that event, where we would be in terms of channel inventory in maybe number of weeks. Are we at 4, 5, 6 weeks? I just want to understand that also.
Ashutosh Varma: So Chandra, after this, our -- I mean we were sufficiently covered. Our channel inventory currently stands at around 4 to 5 weeks, but inventory is always forward looking. We know that, as we get up with the festive season, we will be able to step it up in accordance with what we expect out of the festive season, but we are sufficiently covered in terms of inventory cur rently at 4 to 5 weeks.
Moderator: W

e have our next question from the line of Amyn Pirani from JP Morgan.



Amyn Pirani: My first question is also on this inventory. So should we understand that 4 to 5 weeks or maybe 4 weeks is kind of a normalized level that we are looking at going forward? Some sense would be important. And secondly, you mentioned that you had done a lot of launches in 4Q. And while obviously the wholesales were corrected and retails are picking up gradually, any initial sense, if you could give, as to what is the response to maybe the Destini 125 or the premium motorcycle that you have launched and what kind of numbers you are expecting to ramp up over the next maybe few months?
Ashutosh Varma: Hi Amyn, thank you very much. Overall, fr om -- I mean, if you look at the performance the last month in terms of VAHAN registrations, we had crossed 5 lakhs. We are increasingly focusing on retails as the key metric for performance. A channel inventory of anywhere between four to six weeks is our -- is the normal level that we would want to operate in. I mean, depending upon the season, we might just take it up a little notch, but subsequently come back to the same levels that we want to operate on.
As I said, we've launched some products in Quarter 4, met with some amazing response. You would have seen our scooter, market share inching up by almost 140 basis points, basis the new launches that we've had. We also have launched the Xtrem e and Xpulse. The order pipeline -- booking pipeline, sorry, is extremely strong.
As I said, they are yet to manifest fully. And as we move into Quarter 1 and towards the festive, we will see this taking full shape. I am confident that these will help outpace the industry in terms of growth.
Amyn Pirani: Thanks Ashutosh. Good to hear from you as well again. Second, I had a question on the numbers. We have been sharing this investment into EVs and what it does to our overall margins and thank you fo r sharing that. Is there a broad target as to by when we would want these EV losses to maybe turn breakeven? Is that a target or is that not something that we should be thinking about at the current stage?

Vivek Anand: Now -- thanks, Amyn. Vivek here. No, you're absolutely right. I think clearly -- yes, I think you are right. We've been transparent in terms of sharing the numbers, absolutely right. I think, this year, if I really look at our EV performance: Our volumes have grown 200%. And our EBITDA for EV business is at -95%, which I -- when I compare with our performance in 2023-24 has improved from 155% negative to 95%.
So as we really look forward, our priority is very clearly to grow volumes , to scale up the business and to really grow market share. Having said that, we will continue to improve on our profitability as we go forward. So if you're really asking me, in the near term, is there that I'm really looking for -- and as I said, I'm real ly looking for growing volumes, scaling up and market share.
But having said that, I continue to really drive the business with a lot more efficiency. What will really make this business profitable is our -- the scale -up which we talked about; the BOM cost reduction through localization, PLI benefit realization. These are the things which will really help me improve the profitability of the business going forward. And also what I want to really


add is that, at a 25,000, 30,000 levels of volume per month, we hope that this will break even, which in our view is couple of years away.
Amyn Pirani: Okay. Thanks for that color. I will come back in the queue.
Moderator: Thank you. We have our next question from the line of Pramod Kumar from UBS Securities. Please g o ahead.
Pramod Kumar: Yes. Thanks a lot for the opportunity. My first question is on your guidance on outperforming

the industry. The reason why I'm asking this is we had the same optimism and sentiment last year. We probably claimed to have the best laun ch pipeline. And the retail growth for the industry was 8% and we grew our retails by 1%. So what gives you the confidence that, this year, with slightly lower industry growth and not -as-actionable launch pipeline as last year, how do we expect to kind of outperform the industry on retail growth?
And linked to that, what would be the linkages of that on the margin aspirations as well? If you can just help us understand why we have kind of underperformed the industry last year so badly. And why a re we so confident of, as in overcoming all of those and outperforming the industry? What are you seeing on the ground and what are the likely read -across for margins from that strategy?
Ashutosh Varma: Sure, Pramod. Thank you. I'll let the margin question be answered by Vivek, but allow me to come back on the first part of your question. The confidence comes from the delivery that we've had in Quarter 4. If you look at the performance that we've had in Quarter 4: In the entry category, we gained 600 basis points in terms of market share. The confidence comes from the fact that we've -- over the year, we have recovered on 125cc strongly, gained 250 basis points there. The confidence comes from the fact that the new scooters that we have launched in the market have met with some amazing response. It led to increase in market share in the later part of Quarter 4 and also retail growth.
That said, we are also working on -- as industry leaders, we know in th e core category our work is to expand the category. The fact that we have 1 lakh customers reporting into our workshops every day gives us an excellent opportunity to work on upgrades and own -based marketing. So these are fundamental strengths that we hav e that we'll increasingly leverage this year. And we are very confident this will help us move in terms of market share, outpacing the industry growth.
Umang Khurana: Yes. So just following that up. India business, therefore, there is -- the rural recovery is well underway. That makes the number of new launches - India business growth. You've also looked at our export growth, Pramod. That is double the industry export growth as well. Our emerging mobility business unit, our EV business has grown far ahead o f this total rate as well. So when you looked at this, every month sequentially there is growth when you look at VAHAN.
That is where we are coming back from to say that there is an opportunity that we are starting to -- all the building blocks are in pla ce. We now need to implement. And that's what Mr. Kasbekar talks about.


Vivek Anand: Yes. Thanks, Umang. Hi Pramod, Vivek here. I think -- as Ashutosh and Umang said, I think we had a great start, I'll say, to the year. I think we are gaining VAHAN share for the last 4 months in a row. I think the growth is clearly broad -based. We are seeing that in our Indian

business. We are seeing it in global business. And we are seeing it in the EV portfolio, right? .
Having said that, on your second question, on margin, I must start by saying that we will continue to invest behind growth. And we have given a guidance to th e market of maintaining our EBITDA margins between 14% to 16%, and directionally we will be there.
Pramod Kumar: And sir, when you talk about market share, you're talking about Y -o-Y market share trends or sequential market share trends. Because it's a seasonal industry, as we all know. So -- because when I look at VAHAN, the Y -o-Y market share, there's been a decline since January to April. Correct me if I'm wrong there, please -- unless you are referring to sequential market share. Am I right?
Ashutos h Varma: Referring to sequential, Pramod, but also I mean -- I think, May, it's translating into Y

-o-Y as
well.
Pramod Kumar: Okay. So out of 5 months, 4 months, it's a sequential gain; Y -o-Y, 1 month. Okay, fair enough. I look forward to that outperforman ce. And last question, on the leadership transition, if you can just help us understand how are we placed there as to -- because there has been reasonable attrition at the top. So just trying to understand by when do we expect to have a full -time active CEO at the company?
Vikram Kasbekar: Thanks, Pramod. I'll ask Vivek to take that.
Vivek Anand: So Pramod – so Mr. Kasbekar he is the acting CEO and he is fully on the job. So he's the one who is currently driving the business. And we'll come back to you as we have more to share.
Pramod Kumar: Thanks a lot. Thank you. Best of luck.
Moderator: Thank you. We have our next question from the line of Sonal Gupta from HSBC Asset Management. Please go ahead.
Sonal Gupta: Hi, good morning. Thanks for taking my question. First, I just wanted to get a sense on like the non-vehicle revenue part for this quarter. I mean like even adjusting for spares , like our ASP is sort of looking much higher on a sequential basis, so could you just highlight are the re any other larger amount of non -vehicle revenue or other stuff which has sort of boosted the revenues for this quarter?
Vivek Anand: I think large part -- so there is a revenue per unit growth of almost 4% year -on-year. And that's large ly driven by two -wheelers and parts business.
Sonal Gupta: Okay. So on a sequential basis like our ASP is up big time, so I'm just -- is that just a mix effect or are there some other drivers there?
Vivek Anand: Yes, it's largely the mix effect. Yes, you'r e right. So we are -- we have increased our revenue per unit both year -on-year and on quarter -on-quarter; specific to your question, on quarter -on-



quarter, which has increased by 2,236. It's largely the two -wheelers contributing to two -third of it and the balance coming from spare part business.
Sonal Gupta: Okay. Just the other thing was on like we had this production issue and somewhat uncharacteristic for Hero, so I just wanted to -- I mean, could you give some more color into that? Was it some supplier -related issues and which sort of related -- led to the disruption or I mean like because we had three plants down, so I'm just trying to understand?
Ram Kuppuswamy: Sure. This is Ram here. So as you know, last month, we had a planned production ha lt at four of our factories in Dharuhera, Neemrana, Gurgaon and Haridwar. The primary driver was to realign the supply lines, but also we had scheduled maintenance and we made some infrastructure investments and upgrades that we wanted to. This did go on to impact, unfortunately, some of our dispatches in April, but I'm happy to share that we are at full strength in May. And there was no real retail impact, but I'll let Ashu maybe speak to the retail impact of that shutdown.
Ashutosh Varma: So, of course, Ram I said this before. Last month, in April, we clocked over 5 lakh in VAHAN registrations. In spite of, last year April being heavy in terms of marriage season and festives, there has been no retail impact whatsoever. We are sufficiently covered. And as it improves going further, we will be sufficiently covered for the festive as well.
Sonal Gupta: Got it. And just I had two more questions. I'll just put them in one line. One was on the financing side. I mean we're getting some mixed responses in terms o f where the -- I mean two -wheeler financing is becoming tighter. And especially given the entry -level portfolio that we have, are we seeing any of that? And just also if you could give some more color on what is the export outlook for FY '26?
Ashutosh Varm a: Yes. I just wanted to quickly come on the financing side of the business. So overall, our retail finance penetration for the Quarter 4 wa

s in the region of 59%. For the full year, it was at 63%,
but this is a seasonality that comes into retail f inance pretty much in Quarter 4. We were same at the same level last year. So at a penetration level, we haven't seen an impact.

Yes, the nature of the products has changed a little bit because of certain stress that some of the financ iers have seen, but I guess there is a lot of innovation that's coming in there in terms of different kinds of schemes that are available. I think, with the easing of interest rates, we expect low EMIs to become a larger part of the overall basket of products, but again as I said, seasonality, fundamentally nothing that we should be too worry about.
Vivek Anand: And just to add to what Ashutosh said. I think our finance penetration currently is around 65%, almost in line with last year. So we've not seen much of a shift there, just to add.
Vikram Kasbekar: On the global business, our strategy of making products specific to countries in LATAM, Bangladesh, Nigeria is yielding very good results, which is evident from the last year's performance. And going forward, we are quite aggressive on the growth in the GB segment.
Vivek Anand: Yes. And to add and to supplement: I think, this year we had a fantastic performance of growing 2x of industry. I think clearly our 80 -20 strategy is working well. Our top 10 ma rkets continue to grow well. We have re -entry in Nepal, entry in Sri Lanka and Philippines. That's really going


to contribute to our growth as we get into 2025-26. So we are really confident about growing our global business and continuing to gain mark et share in 2025-26.
Sonal Gupta: Got it. Thank you.
Moderator: Thank you. We have our next question from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Sir, can you let me know, what is the spares revenue for the quarter?
Vivek Anand: It's ■1,553 crores, which has grown by 11% year -on-year.
Kapil Singh: Sir, this has been growing quite well for last few years actually, so could you share some insights here? What is driving this growth? In fact, the growth has been well ahead o f the volume growth that we are seeing?
Ashutosh Varma: Hi Kapil, thank you very much for that question. I mean parts business growth is something that we have looked back with pride over the years. In fact, there is a lot of fundamental work that has gone into where we are today. I mean there is a lot of work that has happened in terms of scaling up the networks, so we are much more deeply penetrated today than what we were earlier, especially in the aftermarket.
We worked also at our existing workshops b ut more so in the aftermarkets where we have penetrated deeply. We have expanded our portfolio, I mean, when it comes to accessories. We've added new product lines, like the t yres and the batteries. So all this adding up to the consistent performance that you are seeing today.
Vivek Anand: And also to add to what Ashutosh said. So while we are -- we had a good track record of almost hitting double -digit growth. And that's what certainly we are looking at as we look into the current year. While we look to r eally grow this business, we continue to grow this business profitably is what I wanted to add.
Kapil Singh: Okay. And second, I wanted to check on VIDA . Where are we in the PLI approval cycle?
Vivek Anand: So for VIDA Pro, we have just filed our PLI application. I think we expect the approval to come in by July. And I think, other products, we are in the process of filing the application.
Kapil Singh: Okay, great. Sir, also one question I had on Euler Motors. We have taken a 34% stake there, so could you share some thoughts here that -- why not a majority stake if you are looking at this as a new segment that you want to enter?
Vivek Anand: Yes. So I think you're right. So we've acquired 34.

1% stake in Euler. And I think, first of all, what I reall y want to say is that three -wheeler presents an attractive alternate adjacent category for us to really diversify, which is part of our strategy. And I think we've talked about it in the past.
I think as a category it offers us large value pool. It's a seg ment -- in terms of size, revenue size, it's ■17,000 crores in last financial year; 6.4 lakh units. And this is projected to grow to ■22,000


crores in the next 5 years. Also it provides an attractive profit pool of ■2,300 crores. And this category has a EBITDA margin of 20% +, yes. We are seeing rapid electrification in the three - wheeler category and we believe this is the right time for us to really enter. I think this category is driven by favourable government policies, TCO benefit versus diesel of almost 40% - 50%. And current electrification at 22%, offers headroom for all of us to really grow our share in the respective category.
So at this point, I think, if you really look at our investments in the past supporting the enterprise

in the long term has really created value for us, like we've done, say, in the past. And we strongly
believe that this model which has worked in the past will continue to do well for us going forward
in case of Euler.
Kapil Singh: Sure, sir. Thank you.
Moderator: Thank you. We have our next question from the line of Gunjan from Bank of America. Please
go ahead.
Gunjan: Thanks for taking my questions. I had a few clarifications. On the ASP increase quarter -on-
quarter, wh ich you covered earlier, is there an element of OBD price hike that's captured there?
And if you can sort of just quantify that?
Vivek Anand: OBD price increase, yes. We've taken almost 2%, which is almost the case in the industry.
Umang Khurana: Gunjan, t his is a similar price hike across the industry.
Ashish Misra : Yes, but if your question is how much of that is baked into the Q4 numbers: The Q4 numbers
have very little of it because this was phased out over the months and model on model. So very
little impact in the Q4 ASP increase.
Gunjan: Okay, got it. So the large part of ASP is essentially mix. Because when I look at the entry -
executive etcetera mix, that's not changed materially. So is it within the models that the -- what
we are selling is probably higher variants or higher price points within that. Is that the way I
should be thinking about ASP? Because it's actually seen quite meaningful increase over the last
couple of quarters. I don't think it's just quarter 4, b ut right from Q1 to now, there has been quite
a step -up in the ASPs?
Vivek Anand: Yes. So you're right, Gunjan. I think, compared to last year , our ASPs have grown by 4%. And
as I explained earlier, large part of it is coming from mix improvement within th e segments,
product segments; and a part of it from price. So two -third coming from mix and one -third
coming from pricing. By and large, I think that's what you can really take. And as we clarified,
OBD -II price increase is something which is effective Apr il. You will see the impact of that in
quarter 1.
Gunjan: Okay, got it. And the other clarification that I was looking for was this difference between the
subs and associate profitability, which is quite decent in this quarter, I think, roughly around ■80
crores or so. Can you just share some color on what -- this has been in losses for last couple of


quarters, so what's really contributing? Is there a one -off her e or any turnaround in the associates
that's captured there?
Vivek Anand: Gunjan, you will have to re -clarify the question. Just be more specific on for the quarter or for
the full year. What is the question?
Gunjan: It is for the quarter, if I look at the subs contribution which is, I think, captured as prof

it from
associates in the consolidated P&L. That's actually a positive number, a reasonably positive
number, I think, ■70 crores or so, which has been in losses for last couple of quarters. So just
trying to understand what's really changed there. Or is there some mark to market or something
there?
Vivek Anand: Yes. So you're right. So let me just explain that. So you're right. So we -- yes. The number has
always been a lower number. This time, we had a onetime gain of CCPS conversion to equity,
right, in case of April. And that has translated into a onetime gain of ■170 crores. So that's the
one which has really inflated the profitability in our consolidated results for the quarter and for
the full year.
Gunjan: Okay, got it. That's clear. And last question, on the...
Moderator: Sorry to interrupt, ma'am. May I please request you -- your 2 questions are up.
Gunjan: Okay, all right.
Moderator: We have our next question from the line of Amit Hirananda ni from Phillip Capital.
Amit Hiranandani: See this margin improvement journey in coming 2 to 3 years. And do you see any risk due to
rising EV and export mix?
Vivek Anand: So I don't see a risk. I think this is a very conscious investment the company has decided to really
make, right, in the next, I'll say, couple of years, near to middle term, right, so I don't see a risk
to that. I think what is important for us to really -- is to really scale up the business, scale up the
business fast, grow it profitab ly, right, so we will continue to grow our business and reinvest in
EV. I think that's the strategy. And therefore, our margins will continue to be in the range of
14% to 16%.
Amit Hiranandani: Right. And your outlook for these urban, rural separately for this fiscal, please.
Ashutosh Varma: So I mean what we expect this year is, of course, in the earlier answer that I had given, the
prediction of a better monsoon, a good marriage season, increased government spending i n the
rural areas, lower inflation. All that, we expect, will work in Favor of rural. I mean our rural
contribution is in the high 50s.

We expect that to be as strong, in fact expect good rural growth coming in this year overall.
Also, I just wanted to ad d here that, I mean, we are very confident since we have a product line -up that's strong in some of our base categories. As the segment grows bigger, we'll be able to outpace in terms of the industry growth as well.



Amit Hiranandani: And if I can ask the net worth of Hero FinCorp, please, as on 31st March, please. That's it.
Umang Khurana : We'll take that offline, Amit.
Vivek Anand : Yes. We'll share with you separately that number.
Moderator: We have our next question from the line of Raghu Nandhan from Nuvama Research.
Raghu Nandhan : Firstly, on the 100cc motorcycles , the industry volume and Hero volume have seen some decline in last 2 quarters. How do you see the volume expectations for this segment going forward? What are the drivers?
Ashutosh Varma: I mean, for the 100cc and the entry category, of course, there was for the last few years stress at the bottom of the pyramid, which is why this segment had probably seen a little more stress than some of the other segments. Qu arter 4, I mean, we had seen an impact across categories, not only in these. I mean, if you look at the delta shift from how these segments were growing versus how Quarter 4 behaved, you saw a blip across categories, so we really can't single out the 100cc category just by itself. That said, I mean, we are a very dominant player in this category. In the 100cc, we operate with almost a 90% market share. Year -on-year, we've had a 600 basis points increase in terms of entry market share.
So here our job is to expand the category, and this is where we'll -- we are going to be indexed upon. I mentioned in my earlier comment that we h

ave the largest base of customers. We have almost 4 crore customers visiting our workshops every year, so there is a lot o f own -base work that has -- that can possibly happen here in terms of upgrades.
There is a lot of finance -related actions that we continue to do. And there are innovations and especially in terms of digital finance that we are trying to bring about which w ill make affordability and inclusion much easier. So we are confident that this segment, on the back of rural coming back much stronger this year, will do well and help in overall growing of the 100cc industry, led by us, of course.
Raghu Nandhan : Secondly , in terms of the new products, if you can talk a bit more about the -- on the EV side, products like Vida Z. When can we expect these products? And any other launches you want to highlight for FY '26?
Vikram Kasbekar: Okay. Our existing product has been r eceived very well. And you can see the volumes are anywhere going from 7,000 to 8,000 on a monthly basis. Very shortly, we are launching an upgrade which will be far better in terms of the value proposition to the customer. And it will come with a launch i n July. And of course, that will be addressing the basic customer requirements across the segment.
Vivek Anand: So just to add on the new launches. I think there is -- clearly, as we talked about, I think, we had a great exit to the year. We exited with a market share of 6% +. I think, the launches we had in the second half of last year, they continue to do well. In addition to that, we are planning 2 new affordable products in first half, most likely in July. And that will continue to really strengthen



our product portfolio, which will help us really drive our growth, accelerate our growth and help us gain market share.
Raghu Nandhan : So both the affordable products will be in the EV side, right?
Vivek Anand: That's right. We are talking of EV business, yes. That's right.
Raghu Nandhan : Lastly, how do you see the collaborations, synergies playing out with your partners, in terms of be it Ather, Zero Motorcycles or Euler? How do you see that joint efforts happening? And how can it benefit the company over the near term, medium term, if you can talk about it?
Vivek Anand: No, I think, very clearly -- on the Ather side, I think clearly it's a long -term investment we've made. I think we really like the enterprise and we really continue to stay invested in tha t. Euler, we just -- it's just a start of the relationship. I briefly talked about it's a very exciting category. It's a very exciting business. I will say we have a very experienced team in Euler, right, which is a very good mix of young professionals a nd experience from industry, right . We have a very differentiated product, right, to offer in the marketplace, so we are really excited working with the new team as we really go forward.
Vikram Kasbekar: And we have the synergy with Ather on the charging infrastructure . We are sharing the same.

Added to that , on Zero front is the technology at the higher voltage which is what we are absorbing, which will have a very good future as the time passes. Yes.
Moderator: We have our next question from the line of Mihir Vora from Equirus.
Mihir Vora: So sir, my question was on HF Deluxe, basically if we see the FY '19 volumes and compare it with FY '25. Sir, HF Deluxe has seen a major drop here, while your Splendor has been something which is sort of a flattish , or either it has grown. So what is it that the HF Deluxe demand has been so impacted? Are the customers moving to Splendor? Can you throw some color on it?
Ashutosh Varma: Thank you for the question. In fact, what you witnessed from FY '19 to FY '25, in the middle of that, was a huge disruption that happened in the industry. There was COVID, which impacted disposable incomes to a great extent; and als

o BS -VI transition that happened, which increased bike prices substantially across categories and across a ll industry players.
What we saw was a lot of customers at the bottom of the pyramid coming under a large affordability stress. Used two -wheelers, for example, which used to be 1:1 of new two -wheeler sales, post COVID, immediately post COVID, actually ros e to close to 1.5:1. I mean there were a substantial number of people who held onto their bikes longer. Our workshop data suggested that people owning HF Deluxe were not replacing as frequently as they were earlier, so we had vehicles in our workshop 5 years and above increase significantly. So we knew all the while that it was just a matter of time before it will come back, so we've invested aggressively in terms of augmenting the value proposition of the product, bringing in new exciting additions in t his category.
We have already seen it started to work for us from the late -- from last quarter of the financial year. We -- last quarter of the financial year, we also saw the replacement demand coming back



significantly from almost 6% to 11%, in quarter 4 sequentially, so we are very confident that, as we bring more excitement into this category, we will see a lot of customers who have dropped out from the mobility space coming back and opting for this. And our quarter 4 performance is an indication of t hat.
Mihir Vora: So second, on th is, sir, replacement number which you quoted that -- being around 11% of the total. Is it of the total volumes? Or how do you see it ?
Ashutosh Varma: Yes, total volumes
Mihir Vora: Okay. And going ahead, with the FY 2018-19 base being so high, do we expect this to go up? And to what levels does normally the replacement demand peak at?
Ashutosh Varma: So we've seen replacement demand to be in the vicinity of around 18% to 20% generally. We expect that it will gradu ally bounce back to that level. And of course, it will also depend in terms of the innovation that people are able to bring about, overall across the industry, in the categories for people to be tempted enough to upgrade.
Mihir Vora: All right, okay, sir. And are we seeing some kind of some customer moving from the HF Deluxe to a scooter segment? Or some kind of data which we work on. Do we see that shift towards scooters there?
Ashutosh Varma: The category drivers for both of these segments are very differ ent. So I mean scooters are largely into a different space altogether. This is -- I mean the average running is much higher, so I would not want to draw that conclusion.
Moderator: We have our next question from the line of Pramod Amthe from InCred Equitie s.
Pramod Amthe: So in the recent context of your supply chain realignment shutdown which you've taken, I wanted to understand. How do you see new plants' capacity versus the old plants? Because you have plants since inception, almost like 20 + years on. Is there a scope to shift the production and bring those operational efficiency; and think through beyond having that 14% -16% margin?
Ram Kuppuswamy: So okay. I think there were 2 parts to that question. I'll address each one. To start with, the -- as we mentioned, we did temporarily halt production in 4 factories for 3 days. We, as I said, are back at full strength in this month. And we don't see any issues going forward. With respect to the second half of your question, which is more around the new factories that we have, we are ramping them up quickly.
Our factory -- the last factory that we started, which is in Tirupati district, which is where we produce our EVs today, is ramping up and ramping up very well. And we've already also announc ed that we will invest significantly in that side to bring up a second Global Parts Center. That campus will be one of the larger campuses that we have in our network in the future.
Pramo

d Amthe: But is there a broader thinking in terms of realigning yo ur capacities so that you can get the best of the latest production technologies, for your profitability?

Ram Kuppuswamy: We do that on a continuous basis. I can assure you that we are constantly looking at the mix, the different models that we produce acr oss the different sites that we have. One of our largest strengths is the manufacturing capacity that we have and the supplier ecosystem that supports it flexibly. We will look at this on a continuous basis.
Vikram Kasbekar: And just to reinforce what Ram said. Even our older plants have the latest of the technologies. And we continue to improve upon the manufacturing technology.
Pramod Amthe: Sure. And the second one is the investment into some of the new ventures. You have been right in catching up the wa ve and nurturing some of the best entities within those, either if you look at Hero FinCorp or Ather to that extent. How do you look -- and you avoid the temptation to book profit in the IPOs, but how do you see the monetization? Would you look through for maturity of these industries to get out? Or would you look for the right time to make the best buck? How do you look at monetizing the same?
Vivek Anand: Pramod, these are -- as you rightly said, these are long -term investments . And we will conti nue to really invest and work behind these enterprise, support the management and create value in the long term. That's all I'll say at this point in time.
Umang Khurana: Thank you, everyone. To reiterate highest -ever revenue and profits for the year. We've been going -- growing market share on VAHAN sequentially every month in this calendar year already, so happy with that, as you could see from what you're hea ring from us. Increasing dominance in entry. And as -- that market share has gone to 65%, up, 6% growth year -on-year. The growth in the 125cc segment, with product interventions, process improvement, is something that's been helping us go forward. What will support this growth is premium and scooters as well.
To your question on mix. As scooters and EMBU EV does better, the new launches in this category has us excited with the Xoom franchise, Xtreme, XPulse and the Premia dealerships as well. Global bus iness has had a great year. We exited the year with 9% market share. We continue to outperform the industry. You'll be pleased 40% of our exports are actually premium products.
Closing with EV with 20% and more market share in 30 of our towns already, the focus on market share expansion, network, new products and brand building is what we are doing.
With that, thank you, everyone, for coming in. Jai Hind, please keep safe.
Moderator: Thank you, everyone. On behalf of ICICI Securiti es, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Aug 2025

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August 12, 2025

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Sub ject : Transcript of Earnings Call for the quarter ended June 30 , 2025

Dear Sir (s),

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on August 7, 2025, for the quarter ended on June 30 , 2025.

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Dhiraj Kapoor
Company Secretary & Compliance Officer

Encl.: As ab ove
Hero
Hero JM FINANCIAL C n 0 Ft LL•
Mr. Vikram Kasbekar
Acting Chief Executive
Officer The Management Team represented by:
Mr. Vivek Anand
Chief Financial Officer Mr. Ashutosh Varma
Chief Business Officer— India BU
And Umang Khurana, Chief Risk Officer and Head - Investor Relations
Analyst:
Mr. Saksham Kaushal —1M Financial Institutional Securities

“Hero Moto Corp Limited
Q1 FY '2 6 Earnings Conference Call ”
August 07, 202 5



Moderator: Ladies and gentlemen, good day, and welcome to the Hero MotoCorp Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone p hone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Umang Khurana, Chief Risk Officer and Head of Investor Relations. Thank you, and over to you, sir.
Umang Khurana: Thank you, Vishakha. Hello, and welcome, everyone, to the Hero MotoCorp Q1 FY '26 Investor Call. On the call with us today, we have our CEO - Vikram Kasbekar; CFO - Vivek Anand; India Business Unit Head - Ashutosh Varma; and Emerging Mobilit y Business Unit Head - Kausalya Nandakumar, who joins us today.
We will start with opening comments from our CEO, followed by comments from the CFO and then take questions. Mr. Kasbekar will start with your opening commentary.
Vikram Kasbekar: Thank you, Umang. Namaskar, and welcome, everyone, to the Hero MotoCorp's Earnings Call for the First Quarter FY '26. I'm sure you must have seen our healthy quarterly performance. We are pleased to report a positive start to the fiscal year with our Vahan market sh are recovering to 30.9% in quarter 1 FY '26, representi ng a sequential increase of 1%.
The economic landscape appears notably optimistic as we approach our festive season, commencing with Onam on 26th August and Ganesh Chaturthi on 27th August. Multiyear low inflation recorded in June, coupled with significant RBI rate cuts and favorable monsoon should help in demand sentiment as the year progresses. Riding on this positive optimism, we expect two-wheeler demand to continue its upward trajectory as we ente r the upcoming festive season.
In key business highlights, we continue to gain market share in entry 100cc Deluxe , Scooters and EV business. The company temporarily paused production in April '25, which impacted the overall dispatch and volumes during the quarter and has since normalized. In the entry segment, HF Deluxe spearheaded the category expansion for industry, gaining 800 bps market share year -on-year, taking our market share to 11 -quarter high. We also strengthened our HF Deluxe portfolio with the launch of HF Deluxe Pro with the first -in-segment features. In the Deluxe 125cc segment, we are strategically poised to disrupt the market with the forthcoming launch of a new 125cc with best -in-class technology , features and style and a refreshed sporty 125cc variant. Both are designed to offer compelling value and enhance our competitive edge. In Scooters 125cc , we reached our highest market share in June at 9.7%, led by new Destini 125 and Xoom 125.
Premia cha nnel scale -up is progressing well, and we reached 90 stores by Q1 FY '26 and covering more than 40% of the premium industry's footprint. Global business continued to gain market share, driven by gain across majority of our focus markets. In EV, we reported our highest ever market share, quarterly market share of 7%, more than doubling year -on-year. Our July market share further increased to over 10%. To further accelerate our growth in the EV business , in July we launched the VIDA VX2 pioneering Battery -as-a-Service model.



We are confident about strong growth momentum in the business. We have ramped up our marketing efforts with recent high visibility campaigns in HF Deluxe Pro to expand the entry segment and Xtreme 250 to boost our premium market standing . The VIDA VX2 EVOOTER campaign caters to meet the evolving Indian consumer need for a blend of reliable scooter and modern EV technology.

The rare earth -- heavy rare earth situation is evolving. We are covered in the short run for both ICE and EV and co ntinu e to work on other alternatives. Supplies normalized for us during the quarter.
As we continue to strengthen our leadership and capabilities across the organization, I am happy to introduce Ms. Kausalya Nandakumar, who joined us as the Chief Business Officer for our EV

business. Kausalya brings nearly 2 decades of leadership experience, spanning the automotive, electric mobility, digital innovation and social impact sectors.

I will now pass the floor to Kausalya for her introductory comments. Kausaly a?

Kausalya Nandakumar: Good morning, everyone, and Namaskar. I'm Kausalya. I joined Hero MotoCorp to lead the Emerging Mobility Business in July. I've had close to 2 decades of experience in the automotive sector and a privilege to lead digital start -ups as well as large businesses. I have spent the lion's share of my career in the automotive sector and I'm extremely passionate about energy transition and EV in the mobility space. I am also looking forward to bringing the best of our start -up agility, which is defined by the Emerging Mobility Business Unit and Hero MotoCorp's 40 + years of leadership in this space. Thank you very much, and I look forward to being here.

Vikram Kasbekar: Thank you Kausalya. Over to you, Vivek, for your commentary on the quarter's performance.

Vivek Anand: Thank you, Vikramji. Namaskar, very good morning, and thank you all for jo ining the call. I am pleased to report financial performance for Hero MotoCorp for the first quarter of FY'26. The company recorded quarterly revenue of ■9,579 crores, EBITDA of ■1,382 crores and PAT of ■1,126 crores. The EBITDA margin during the quarter f or ICE business improved to 16.8%, driven by mix improvement, price and LEAP savings, while we continue to invest behind brand building and new businesses.

During the quarter, after taking into account the investments behind EV business of ■189 crores, the overall EBITDA margin remains flat at 14.4%. The average selling price increased 6% year - on-year, driven by mix and price. However, average selling price quarter -on-quarter was impacted by seasonality of PAM business. The company reported q uarterly revenue from parts, accessories and merchandise business at ■1,296 crores.

Consolidated PAT for the quarter stood at ■1,706 crores. This includes share of onetime gain of ■722 crores on account of dilution of the company's share of investment in associate companies, consequent to the public issue and private placement. Our continued focus on cash management resulted in delivering strong cash from operations, strengthening our financial performance.



Our EV business expansion is gaining significant momentum, achieving a share of 7% during the quarter, which further improved to 10% in July. Our market presence is evident from achieving over 20% market share in 27 towns and securing a top 2 position in 54 towns. We expanded our offerings across both s porty and family scooter segment with the launch of VIDA VX2 range, which is being well received by the market. Our new offerings of differentiated Battery -as-a-Service reduces the upfront ownership cost and will help bring in new customers. We also receiv ed PLI certification for VIDA V2 Pro in July and are working on approval for other models.

With our product launches, and as we amplify our brand building initiatives, we expect to grow our EV share in the coming quarters. In ICE business, we endeavor to increase our leadership in the entry segment with the launch of HF Deluxe Pro with segment first features. Similarly, we expect market share in the Deluxe 125 segment to expand with our launches planned in the stylish and sporty 125 segments.

Moving to th e premium portfolio , as we grow Xtreme 250 and Xpulse 2

10 and scale up the Premia channel, we are looking forward to improving in the premium segment. In scooters, there was a sequential increase in market share during the quarter on the back of new launch es of the new Destini 125 and Xoom 125. We expect the momentum to continue. In global business, we reported dispatch growth of 27% year -on-year. Our strategy of focus on top 10 markets and new product launches has helped us grow our share.

Moving forward, we will continue to invest behind growth. We remain consistent in our commitment towards investing in premium, scooters and EV portfolio and to improve customer service in store with Hero 2.0 and Premia . We are positive about the growth prospects of two - wheeler industry, with the continuity of demand and recovery in the broader two -wheeler markets for us, both rural and urban. New product launches and strong investment behind building power brands, we expect to grow ahead of the industry. Thank you. On tha t note, let us open the floor for Q&A. Over to you, Umang.

Umang Khurana: Happy to take questions now, Vishakha.

Moderator: Thank you very much. The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyan i: Just 2 questions. Firstly, on the industry. It did seem like the start of the quarter was pretty strong, but things slowed down towards the end of the quarter at industry level. So if you can talk about 2 things - On industry , One, what is it that we have seen on the ground in rural, urban and why the softness in the month of June and again, July as well? And there's an interesting data point that you put on the financing penetration that it went down for a couple of quarters a nd now has

come back to 65% in July. So what are we seeing on the financing side?
Ashutosh Varma: Hi Gunjan, Ashutosh here. I'll take that question. Yes, you're right. I think what we have seen for the last 4 months is like 2 distinct patterns emerging. Wh en the year started, rural was outpacing the urban growth. For the last couple of months, it's urban that's actually growing a little stronger. What we see is the larger reason, some early arrival of monsoon. I mean, in some


sense, it has disrupted the las t couple of months, but it augurs well for the upcoming festive season. I mean, good sentiments should translate into good market performance.
From a financing standpoint, Q1 generally is a time where we see a little lower finance penetration. I mean, dri ven by a lot of marriage buying , we see a lot of cash purchases coming in Q1, and that's generally been the trend. However, as we move into Q2 and as more urban markets open up, I mean, colleges and, as I said, I mean, those markets open up, we start seein g finance penetration going up. So that's a phenomena that we've observed year -on-year. And we also feel that going into festive, they just become stronger.
Gunjan Prithyani: And just to be clear, this financing, there is no cautiousness or are you seeing that change in the lenders , because there was a period where the lending norms were being more stringent. Is that something which is changing now? Or it's more just the seasonality?
Vivek Anand: Hi Gunjan, Vivek here. Just to build on what Ashutosh said, r ight. So no, we are not seeing much change in the lending trends or norms. Yes, as Ashutosh said, in Quarter 1, the penetration actually comes down. That's largely driven by seasonality. We are seeing in July, the penetration actually moving up to 65%, almost in line with what we have seen last year, right . So I just want to add, we are not seeing too much of tre nds into it. I think it was more of seasonality, which really drove lower penetration in last quarter.
Gunjan Prithyani: Okay. And , second question on the 2 launches that you sort of referred to, can you share more , like, are t

hese like new sort of models or variants and some timelines around it? What are we trying to plug on with those 2 launches? A little bit more color on the timelines and the brands.
Ashutosh Varma: Yes, Gunjan, so I mean, both these launches are planned in this quarter. They are -- I mean, new value propositions for the customers, exciting interventions in the te chnology space and we expect new customers to be driven into our showrooms basis these new launches.
Gunjan Prithyani: More of varian ts of the existing brands, right?
Ashutosh Varma: So there's a lot more excitement that comes in there. I mean, allow us to share more details as the time passes.
Moderator: The next question is from the line of Amyn Pirani from JPMorgan.
Amyn Pirani: Actually, my first question was on the HF Delu xe Pro. So again, our understanding was that there is an affordability challenge in that category for a very, very long time. And the product that you have launched, obviously, it has significantly added feature s, but it's also priced higher .
So just trying to understand what is your thought process, which obviously you're looking at much more data than we can , as to what is the challenge in this category? Is it that people are just waiting for a significantly better product even if it is more expensive? Or are they looking for a better price? So , some color there on what your thought process is , will be very helpful.
Ashutosh Varma: Hi Amyn, good to hear you. Let me take this question. So on the entry segment, what we believe is fundamentally, there are 2 levels of challenges. While yes, affordability is a concern, which also encompasses total cost of ownership and hence, mileage and stuff like that also come in


there. There is also aspiration that drives people to -- and this is their first bik e, so into mobility.
So our current HF Deluxe continues to remain strong in our portfolio.
We have launched the HF Deluxe Pro, which has improved mileage and a lot of new features, graphics, digital meter, LED head lights, all that adds to a lot of aspira tion in this category. And we feel that, I mean, we should be addressing both these issues, which is affordability , at the same time, aspiration, which is why the portfolio has been made a bit more robust. And we are seeing some good initial responses comi ng in.
Amyn Pirani: Okay. So if I can follow up on that. Is there a risk that it starts moving into the entry -level Splendor price points? Or , do you think that those brands are so distinct that nobody really moves between the two?
Ashutosh Varma: So, there still continues to be substantial difference in terms of what Splendor has to offer and what HF has to offer, right? These 2 are very strong brands in the market , have their own customer base. We expect that the entry -level mobility customers, HF wil l continue to excite

them, while Splendor continues to enjoy a very robust and loyal fan following that continues to grow with as we keep adding more variants there.
Amyn Pirani: Okay. Great. That's helpful. And just one question on the margins. Obviously, despite a quarter where ideally you would have seen some operating deleverage, the margins have still been maintained. So can you provide some more color on what are the cost areas that you managed to control? And is it something which is sustainable beca use the other expenses seem to have come down quite sharply. So what is -- was it just tactical cost cutting because this was a planned production reduction? Or are there some elements there where you have taken out costs? Because I'm guessing that a large portion would be fixed cost and you still managed to cut them and show the margins that you have guided for . So some color there would be helpful.
Vivek Anand: Yes. Thanks Amyn, Vivek here. First of all, I'll say that the margins , we're ho

lding on to our
EBITDA margins at 14.4% that's a normal course of business, right . So I'll answer this in 2 parts. One, we've seen the improvement in gross margin during the quarter versus last year by 100 bps that was largely driven by mix and pr ice increase and that was fully offset by adverse operating leverage, yes .
So, what has happened is while you briefly talked about that our operating expenses, right, we are almost in line with last year, in fact, slightly lower than in absolute terms in last year. I think there was a lot of cost management, which we've not done this quarter, we've been doing in the past, which really helped us contain our expenses. But because our revenue was down, right, we -- that whole margin increase coming from gross margin, right, got -- was impacted by the adverse operating margin.
Amyn Pirani: Okay. Okay. If I can then just ask a follow -up on this. So as your volumes improve in the coming quarters , because partly festive partly because you took the shutdown or the production cut in April, should we expect that a lot of these costs will also have to increase and hence, we should continue to think of that 14%, 14.5% as the range? Or how should we think about it?


Vivek Anand: Yes, that's right. I think we've given the guidance on the margin that the margins will operate between 14% and 16%. And in the short term, you are right, it will operate on the lower band of this range.
Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas.
Kumar Rakesh: My first question was on the growth expectations. So last quarter, you had spoken about that you expect the industry growth to be about 6% to 7%. So how do we stand on that after how the first quarter has gone by? And your inventory in June quarter inched u p to about 6, 7 weeks. I would estimate that in June, July and inventory would be higher than that. So what kind of growth going into festival season you are building in?
Ashutosh Varma: So Rakesh, I mean, the full year growth forecast for the industry , when we started off the year was around 6% to 7%. In the quarter 1, we have seen the retail industry grow at around 3%, 3.5%, so in that range. It has dampened in the last couple of months, but we feel that it's a postponement that should largely come back i n festive and hence, should be back to that 6 to 7 growth percent by the festive, and that's our outlook is. In terms of inventory, this is the time when you'll start from here on building stocks for the festive. So yes, we are operating at close to around 7-odd weeks. But as we move forward, we'll build inventory for the festive.
Kumar Rakesh: Great. My second question was around financing, more specifically Hero FinCorp. So what exactly is ailing that business in terms of not able to generate profitabilit y, asset quality being under pressure? And by when do you see those things to start peaking and start reversing?
Vivek Anand : So Kumar, I think on HFCL, I think the loan book grew by 4% versus last year. Yes, you're right, the performance got impacted duri ng the quarter by high credit cost and NPA, right . But that's the trend we are seeing across the industry. And with interest rates falling, and we are seeing improvement in credit quality and collection efficiency, and we are confident that going forward, HFCL will go back to profitable growth.
Kumar Rakesh: Can you just clarify what's the loan book now for HFCL?
Vivek Anand : It is ■54,735 crores.
Moderator: The next question is from the line of Arvind Sharma from Citi Group .
Arvind Sharma: The first question would be on the Battery -as-a-Service, which was off ered with a VIDA V2. If you could give some more details, more on technical parts, how you track it in the profitability for the company for the BaaS service? That will be the first question.
Kausalya Nandakumar:

Hi Arvind, this is Kausalya. I think with respect to where we looked at Battery -as-a-Service coming in, at the most fundamental level, we looked at some of the key barriers for people to enter the electric category and address quite a few of them. With respect to how we see the

offering, it's a hi ghly differentiated industry -leading offering. We are seeing a lot of customers
looking at how they could come into the electric ownership through this model.


It's -- at a very simple level, it's a pay per kilometer battery subscription model that allows customers to look at the total cost of ownership in a different way. It allows them to finance the 2 elements separately. And basis their usage of the actual scooter, they can actually look at different offerings. It's addressed some of the key elements of the category growth, and we are very optimistic about the offtake of this particular product.

Arvind Sharma: I believe there would be some sort of a tracking element that you would use to track it, right?

Kausalya Nandakumar: Absolutely. Very early stage, again, for us. As you know, VX2 was launched on the 1st of July, and we have started the process of rolling this out. So early green shoots. Consumers are looking at various aspects. We have multiple plans in offering, and we've kind of been able to get a tremendous amount of interest into the segment.

Arvind Sharma: The second question would be on the 125cc strategy. There are quite a few brands that you have. So how do you position the brands in that specific 125cc strategy? Maybe if you could throw some more light on the upcoming brands. But even from the existing portfolio, what's your strategy going ahead, the 125cc specifically?

Ashutosh Varma: So there are 3 vectors Arvind here, right ? One is, of course, on performance where Xtreme is positioned , then there is style where Glamour is positioned , and then there is efficiency and mileage where Super Splendor is positioned, right . They are 3 very distinct audiences, and each of these 3 products have a very strong value proposition. As we said, we are augm enting the portfolio further in this quarter 2, making us stronger in each of these 3 vectors. And we believe that will help us gain significant further improvement in market share in 125cc.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: My question is on VIDA. We've seen a sharp ramp -up in volumes this quarter. Is this mainly driven by VX2? And what percentage of sales are coming from VX2? Also, if you could talk about what is really working here? Is it the pricing o r some features of the product? Is the product gaining share from ICE scooters , or is it the bike customers also who are coming in over here?

Kausalya Nandakumar: Yes. This is Kausalya. We are obviously very motivated and energized by the offtake for the electric portfolio. We are seeing a very healthy mix right now. We have the V2, which is positioned more in the sports range. And we, of course, have the VX2 that's come in to appeal to the segment of family and other buyers. So we have expanded the address ability of the portfolio to more consumers. It's -- again, it's the first month of launch, and therefore, we are ramping up in terms of both product offerings to consumer.

In terms of the kind of people who are coming in with the differentiated offering o f Battery -as-a-Service with our introductory pricing, we've seen new consumers walking in, people who are looking at the segment in a different way and with the improved access , there is a lot of curiosity that we actually built in here. So again, early da ys, but a lot of green shoots. The portfolio is now robust with offerings in both categories, and we are seeing healthy offtake.

Kapil Singh: Sure. The second question was on ASPs. If I look at ASPs, excluding the spare

parts revenues,
on a quarter -on-quarter basis, it's not changed much. We had taken some price hikes for OBD II


as well. So just trying to understand whether this is a mix impact or there have been some pricing changes also, which has resulted in this.

Vivek Anand : Kapil , so you are right, I think largely quarter -on-quarter, the ASP has -- is down by ■1,900, right . That's largely because the mix impact coming from the PAM business. I think on the price increase, if you remember in the last call, I had said that the OBD II price increase, we had started our dispatches sometime in the previous quarter itself. So that price increase got spread out between quarter 4 and quarter 1, right? Just to really let you know that the full impact of that price increase was not there in t he last quarter. It was actually shared between quarter 4 and quarter 1.

Kapil Singh: Okay. And lastly, sir, on the commodities, what is the outlook for Q2? And has the pricing fully passed on the cost pressure?

Vivek Anand : Yes. So this quarter -- last qu arter, we've seen -- our commodity prices went up by 0.5%. I think looking forward, we believe that it will be range bound. And with our LEAP program, right, the cost saving program we have, we are confident of neutralizing the impact of that.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: My first question is to Ashutosh on the 125cc segment. I think last year with the Xtreme, we had a fairly solid start, very encouraging reviews, customer feedback, even co mpetitors acknowledge that it's a pretty good product. But what we have seen is that we have -- in the last few months or last couple of quarters, the market shares -- Xtreme's volumes have kind of started slipping meaningfully.

So, I just want to underst and what is holding us back in terms of ramping up on Xtreme, be it in terms of marketing investments or higher dispatches because you still have reasonable distinction versus the competition on the safety side and all of that. So I just want to understand your thoughts as to what's kind of holding that back as a brand? And what's the plan going forward?

Ashutosh Varma: Thanks, Pramod, for this question. Good to hear you again. On Xtreme 125, it continues to be an extremely loved product. In fact, if you lo ok at the sporty 125cc segment as a whole, that has seen some headwinds in this quarter. I mean, hovers around 43 -odd percent in terms of contribution to the entire 125cc. I mean, in this segment and almost all players have faced those headwinds. Xtreme co ntinues to gain market share within this sporty 125cc. So if you look at the competition and the players that normally customers keep in the consideration set, we continue to be emerging and gaining market share within this category.

As I was saying, little headwinds for the category as such, but we have made interventions in terms of bringing in a single seat variant, so that has had great acceptance. We have also refreshed it with some new color options. And, there are some exciting interventions that ar e planned, as I said, in quarter 2, which will make this even more attractive. This thing is largely a lot of rationality in purchase, and we feel that as long as we continue to be ahead of the curve in terms of features and tech that we are able to provid e, we'll continue to gain share, which so far has happened in this category. But of course, we need to speed up that a little bit.



Pramod Kumar: Okay. And second question is on the industry itself, Ashutosh, and because last year, the base impact is quite big on the festive. And even in this year so far, first quarter, we had a bumper marriage season, if I were to -- if I may call that, because of the additional days compared

to last year. But despite that, the industry in July has seen reasonable decelerat ion, right . Vahan retails have collapsed, and you have been underperforming the industry. So just trying to understand why -- what gives you the confidence or why the industry is still holding on to a 6%, 7% expectation when the first 4 -month retail trends are not at all that encouraging. We had a good marriage season, but things have kind of fizzled out after that.

And given the base ahead and the inventory situation, I'm just trying to understand what is driving that confidence? Or do we run the risk of the industry, the festive season kind of disappointing on the margins given the high base, right? So just trying to understand what are the green shoots you're seeing because it's been -- income tax cuts have been in the market for like, what, 5 months now , but we haven't seen much traction.

And on the same topic, also your color on sustained outperformance of premium categories even during the marriage season. So what are the thoughts there? Because we haven't seen much participation from our brands there. So just -- if you can just share your broad thinking on that, Ashutosh, that will be great.

Ashutosh Varma: Sure. Pramod, I said that in one of the previous questions. I mean, the last 4 months, you can kind of see 2 very distinct patterns. So April and May, when we had peak marriages, in fact, June also had, unfortunately, with the early onset of monsoons, we saw that getting disrupted a little bit. But the demand doesn't go away. We know it will come back. The April and May, the rural was outpacing the urban growth. It was doing well. Unfortunately, June and July has been a little damp from that aspect. But , as I said, I mean, there's such a stark difference between how April and May for the industry has performed and how June and July for the indus try has performed. At fundamental level, things do not change is what we believe. This should come back strongly for us in festive because we have some marriages in November as well, November, early part of December, for which buying should happen in the f estive as well.

We know that we are making interventions in terms of, as I said, new products in -- across motorcycles and scooters category, which is in more recent months has helped us gain volume significantly. HF Pro, I just spoke about as to how that is bringing aspiration back in entry mobility category. We have a couple of exciting launches in the 125cc motorcycle category. We have had launches in the 125cc scooter category. And Destini , for the last couple of months, our scooter market share has in ched up to beyond 6% now. And , we are confident that as we ramp up our supplies, we'll be able to make further dent. That said, I mean, our scooter performance, both ICE and EV put together, is also driving a new set of customers into our showrooms.

A qui ck point on premium. We mentioned last time that we have a very differentiated strategy in terms of -- we are selling that from our Premia outlets. We are rapidly expanding our Premia footprint, close to 125 -odd outlets is what we have now. Every month, th e throughput per store is going up, which gives us more confidence. Xpulse and Xtreme 250 continue to be on demand. There is booking pipeline that we have to serve. But there is, of course, a lot of work to be done here still. But we are confident that we' re moving in the right trajectory.



Pramod Kumar: Fair enough. Last question for Vivek. Sir, on the financing arm, because at some level, sustained poor operating metrics kind of start reflecting on the business...

Moderator: Sorry to interrupt, sir. I will request you to join the queue back for follow -up questions. The next question is from the line of Vishal from Bandhan AMC.

Vishal: Just a couple of things. If you could say the price hike that we've taken, what would be the impact for us?

Moderator: Sorry to interrupt you, Mr. Vishal. Your voice is very low. Can you please speak a little louder?

Vishal: Yes. Could you tell in the 6% Y -o-Y increase in ASP that we've seen, what is the price hike impact?

Vivek Anand : Surely. Yes. So the price increase, what we've taken in the last 4 quarters is around -- okay, we'll share the details separately with you, yes .

Umang Khurana : Vishal, I will it take offline with you.

Vishal: Fair enough. And could you elaborate a bit more on the Battery -as-a-Service economics fo r the VIDA V2 -- VX2 subscription plan?

Kausalya Nandakumar: Hi Vishal, Kausalya here again. We are offering the Battery -as-a-Service right now on the newly launched VX2. We have 2 options. We have the variant called VX2 Go and the feature tech one which is the VX2 Plus. As of now, the Battery -as-a-Service offering goes again for both. On the VX2 Go, we have 2 plans in terms of 2 years and 3 years. And on the VX2 Plus, we are offering it for 2 years, 3 years and 5 years. We are building the usage pattern of consumers and catering to that basis consumer insights that we got in. And depending on your usage, you could select a package that caters to you.

Moderator: The next question is from the line of Amit Hiranandani from PhillipCapital India Private Limite d. Please go ahead.

Amit Hiranandani: Congrats for consistently gaining share in electric vehicles and superior ICE margin performance. Sir, if you can help us understand how the ICE scooter portfolio is doing? And any plans to strengthen this scooter por tfolio further, including the ICE and EV as well.

Ashutosh Varma : So Amit , from an ICE scooter portfolio perspective, as I just mentioned in the previous answer, I mean, as we are ramping up our supplies, we are seeing great traction. As I said, last couple of months, our overall scooter market share has been north of 6%. We -- the products that we have launched in this category, the 2 new ones that we have launched, the Destini 125 and the Xoom 125 and another impending launch of Xoom 160, we are covered with all the white spaces that are there in terms of the scooter industry. So a pretty well -covered range, meeting all the different kind of consumer requirements. We're confident that we will continue to move northwards in terms of ICE scooter market share , and also EV for which let me pass on to Kausalya.

Kausalya Nandakumar: In terms of the EV portfolio, with the launch of VX2 and the 2 variants and the unique offerings, we have already expanded our portfolio with V2 now occupying the sports segment and VX2



now catering to the family segment. We will continue to strengthen this portfolio as we go forward and build more consumer -driven offerings that allows them the flexibility of ownership and better access to electrification. So there will be more offerings in this space as we build consumer requirements into the product portfo lio.

Amit Hiranandani: Right. Just lastly, can you update further on our partnership with the Harley and any plans to launch new models over there?

Vikram Kasbekar: Yes Amit, Vikram here. Our partnership with H -D continues to be strong, and we are developi ng products with them. One will be launched very soon sometime in the quarter 2. And going forward, there are a couple of exciting products, which will come in Year'26. So many, many things are in the pipeline there, and it goes from strength to strength a s far as the relationship is concerned.

Moderator: The next question is from the line of Darshan M. Bhandarkar from Banyan Tree.

Darshan M. Bhandarkar: I have a question on our 440cc bike segment. In fact, our annual report indicates that now Premia showro oms are scale d up to 80 stores. But still we haven't seen that much of volume scale up for us in this 44

0cc bikes. Can you shed some light on this?
Ashutosh Varma : Sorry, was your question specifically on 440cc bikes?
Darshan M. Bhandarkar: Yes, for like X440 and Mavrick.
Ashutosh Varma : Okay. Okay. So -- if you look at our Premia expansion, we are expanding rapidly. We have as I -- I mean close to 124 -125 now Premia outlets that cover almost 47% to 48% of the entire premium industry -- upper premium industry, which comprises of the 440cc platform as well.
We have 2 products here in this space. We have the Harley X440 and we also have Mavrick 440.
I mean these are e xciting products, which -- where we get a lot of love from the customers. As Mr. Kasbekar said, we are expanding the Harley lineup with new additions in this space, which will continue to excite the customers. From a Mavrick 440, I mean -- we will continue to sell from our Premia outlets and in the select markets. The product has a lot of love, which we are confident that will continue.
Darshan M. Bhandarkar: Actually, my question was on volume ramp -up, like we haven't seen that kind of ramp -up in the last 2, 3 quarters for this segment. So I mean, like are we doing some refreshers or anything for this segment?
Vikram Kasbekar: So Darshan, as I mentioned, there is a new product from the H -D 440 portfolio, which you'll see in quarter 2 launch. And going forwa rd also, there will be exciting products, which will come through from the H -D portfolio.
Moderator: The next question is from the line of Abhinav Ganeshan from SBI Pension Funds.
Abhinav Ganeshan: Two questions from my side. First thing is that we are see ing a very good scale -up of our EV portfolio. Kudos on that. I could see a 10,000 + retail number for the month of July, which is


very encouraging. But just wanted to understand how are we placed given the rare earth conundrum? And how are we addressing tha t?
And my second question is that we have always been a very dominant player in the entry -level motorcycle. So now if I look at it, there has been -- this segment is slowing down a bit. So how are we as the market leaders looking at this problem? And what are the mitigation steps that we are taking to address the same?
Vikram Kasbekar: Hi Abhinav, Vikram here. As far as the rare earth metal is concerned, it is an industry -wide phenomenon. It is a challenge, no doubt on that. So the key components of magnet availability in the EV motor, the engine speed and ICE also, so engine speed sensor, wheel speed sensor, et cetera, bank angle sensor. These are all required as a common thing. So we are covered for the quarter 2 FY '26 for both ICE and EV vehicle. And we continue to work on alternatives, and this is something that we will try and see that we circumvent the problem.
Ashutosh Varma : Yes, I will take the question on entry. So I mean, in this segment, yes, has been under stress for a while now. And I guess ou r strategy was twofold here. One, of course, how do we gain more share in this space? And second is how do we grow the category. In fact, if you look at our performance from the last -- for the last couple of quarters, I mean, there are 2 fundamental probl ems to address. Of course, we had to address the affordability piece, and we also had to address the aspiration piece. I mean for the last couple of quarters, we have seen significant market share improvements in this category, 600 basis points in the prev ious quarter, 800 basis points year -on-year in this quarter. We are now operating close to around 67% in terms of market share in the entry space.
We continue to drive innovations in finance. We have a large park size of our own customers whom we are leve raging, trying to nudge them to -- for faster replacement. So all those are actions that we are trying to do.
That said, I mean, from an aspiration standpoint, we have brought in the HF Delux

e Pro, which
improved mileage and tech features like, I mean, di gital screens, LED headlights and a very emotional and a beautiful campaign that we have just launched in HF Deluxe. I don't know if you have seen that, but it is something that is evoking a lot of positive sentiments and emotions driving customers to our showrooms.
Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs.
Chandramouli Muthiah: My first question is just on the network. If you could just refresh us on how many sales touch points, service touch points you have? And just related to that, if you could also give us some color on at this stage, the VIDA portfolio, including the VX2, what is the kind of channel network that we're operating on that product?
Ashutosh Varma : So overall, from a sales and service touch po ints, we operate with more than 6,000 in the market, and we continue to expand in critical areas. Kausalya, do you want to take that question?
Kausalya Nandakumar: Yes. On the VIDA offering, we are focusing on expanding in select network. We are now presen t

in more than 400 cities, and we have a network of more than 600 touch points for consumers.


VIDA is today offered from Hero as well as from Premia show rooms , and we are now looking to expand that as we ramp -up.

Chandramouli Muthiah: Got it. That's helpfu l. And just as a clarification on Xtreme 125 as well. Is that now available across the 6,000 touch points? Or is that also sort of restricted to Hero 2.0 and Premia only?

Ashutosh Varma : So, almost all our outlets now are 2.0 , from -- I mean, dealership standpoint , of course, the network touch points close to 5,000 -odd that we have. We are in the process of upgrading that and moving rapidly there. But Xtreme 125 is available everywhere. It's not restricted to select outlets onl y.

Chandramouli Muthiah: Got it. That's helpful. And second question is just around exports. So over the past 3 quarters, we've seen exports significantly outgrow domestic for the industry. Exports is maybe a smaller share of your total volume, but that tr end has been visible for you as well. So just wanted to understand over the next 12 to 18 months, how you see the export market opportunity shaping up for you? And if there are any targets that you're looking at there?

Vikram Kasbekar: So I will take that question. As far as our strategy is concerned, we are now making products specifically suiting to these global markets. Our focus of attention is clearly on 10 to 12 markets, and that is what we are making products for. Additionally, these new products whi ch we have taken are catering to those specific customer requirements there. And if you have seen the quarter 4 -- quarter 1 also, there's a good growth coming through. Last year, we grew by about 40% plus. And this year also, we want to grow by over 40%. And going forward, we would like to have 10% of our revenue and volumes coming through from the global business. So we are quite aggressive as far as the global business is concerned.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Just want to understand how do you see the ABS regulation for the less than 125cc market? Just want to understand what kind of price hike could be the impact? And what are options you are working with the government to ensure, I mean, not major impact on the industry, sir?

Vikram Kasbekar: Thanks, Mumuksh. Vikram here. I will take that question. As far as the regulation is concerned, MoRTH issued a draft notification on 23rd June, which made ABS mandato ry for ICE vehicles less than -- greater than 50 cc and EV greater than 4 kilowatt and effective 1st January '26. Now please note, this is a draft notification. The requirement for this is also going to grow multi fold from

the current capacity. It will go up as much as 5x. And , the entire industry is trying to look at how to meet these requirements, number one.

The second aspect is we are, as an industry and as Hero committed for rider safety. We feel that is the topmost priority, and we will do all effort s to see as far as engineering of the product is concerned that the best -in-class features get adopted. Having said that, yes, this is going to be expensive. But if you look at the kind of a volume gain that will happen, it will basically reduce and bring down the cost also, the material cost. It does require certain capacity building, and I don't think it will happen in -- by January . However, we are in talks with the government, MoRTH, to sort of give alternate options as the SIAM body. So we are giving t hem alternate


options as well as looking at the practical timeline to implement this improvement. But again, I would like to repeat, we are committed to rider safety when it comes to our product offering s.

Mumuksh Mandlesha: I also want to understand what kind of expansion plans are there for the Premia. So we have reached almost 120 -plus stores -- 125 stores. So how do you plan to further expand that? And finally, how is the Hero FinCorp performance...

Moderator: Sorry to interrupt you Mr. Mumuksh, I will request you to join the queue for follow -up questions. The next question is from the line of Milind Raginwar from Bank of Baroda Capital Markets Limited.

Milind Raginwar: Just an extension of the question by the previous participant some time back is you h ad the entry - level issues in terms of affordability plus aspirational part of it. So is this -- I mean, in terms of the aspirational part, do you see that as a permanent dent in the revival of that markets? Or how do we -- how is our assessment there? If y ou can just throw some light there?

Ashutosh Varma : Sorry, Milind, I didn't understand the question very well. If you could repeat that, please?

Milind Raginwar: Yes. I mean to say if there is a permanent dent in that segment is what we look at because of the segment shifting to the higher end at the ent ry level itself?

Ashutosh Varma : Okay. Sorry, got that now. So I mean, we've seen this segment to be under stress for a while. But if you -- at a granular level, I mean, as you study this a lot more, you wil l see that what -- there has been postponement of purchases in this category for several reasons, right . If you look at, let's say, for example, the average holding time of bikes in these categories, it has gone up significantly in the last 4 years, right . It is coming back. I mean, it should come back as you bring in more innovations, as I said, in terms of affordability, in terms of aspiration. I mean, in quarter 1, the first -time buyers jumped up to almost 74%, which normally hovers around 71%. So this g ives us a lot of confidence that as you keep innovating in these aspects, you will continue to drive new customers into this category and also, of course, nudge the older ones to adopt faster replacement cycles.

Vikram Kasbekar: And Milind, one more aspect is the aspiration of the people is increasing in every segment. If you take the Entry, the Deluxe, the 125cc , Premium. It's a phenomenon which is across the industry and aspirations are definitely growing.

Umang Khurana: To sum up, we are pleased to highl ight our strong financial performance in quarter 1 FY '26, demonstrating effective cost management and an improved mix despite lower volumes. On EV business, that is scaling up rapidly and it has achieved its highest ever quarterly market share of 7% furth er increasing to over 10% in July, notably with the launch of VIDA VX2, we are also pioneering with Battery -as-a-Service that came up as well.

Our Vahan market share improved to 30.9% during the quarter, driven by retained

leadership in
the entry segment, 11 quarter high market share and strong performance in Deluxe 100cc as we helped expand the segment. We now have over 120 Premia stores, which cover more than 45% of the premium industry footprint. These enhanced customer footprint with improved



conversio ns, we'll continue to work on these. Our global business continued to outperform the industry with 27 %+ dispatch growth. Our retail growth is even stronger.

Looking ahead, while there are ongoing geopolitical and supply uncertainties, as you have heard from the team, we stay confident owing to product launches, the Entry, 125cc impetus, style and technology product, scooter growth, the Xoom 125 and premium launches as well as VIDA variants that will come up. Broader economic landscape is also doing better, favorable monsoons and as well as the positive expectations on the festive season should help us going forward.

Thank you all for your continued interest in Hero MotoCorp and have a lovely day.

Vishakha, we could close the call, please.

Moderator: Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited and Hero MotoCorp, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Nov 2025

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November 19 , 2025

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BSE Limited
25th Floor,
Phiroze Jeejeebhoy Towers,
Dalal Street,
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Scrip Code: 500182

Sub: Transcript of Earnings Conference Call for the quarter ended September 30, 2025

Dear Sir / Madam ,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find attached the transcript of the earnings conference call held on November 14 , 2025, for the quarter ended on Septem ber 30, 2025.

This is for your information and further dissemination.

Thanking you,

For Hero MotoCorp Limited

Vikram Kasbekar
Executive Director, Chief Technology Officer and
Acting Chief Executive Officer

Encl. as above
t Hero
Hero DAM CAPITAL
Mr. Vikram Kasbekar
Acting Chief Executive Officer The Management Team represented by:
Mr. Vivek Anand
Chief Financial Officer Mr. Ashutosh Varma Ms. Kausalya Nandakumar
Chief Business Officer—India BU Chief Business Officer — EMBU
And Umang Khurana, Chief Risk Officer and Head - Investor Relations
Analyst:
Mr. Mitul Shah — DAM Capital Advisors Limited

“Hero Moto Corp Limited
Q2 FY26 Post Results Conference Call ”
November 14, 202 5



Moderator: Ladies and gentlemen, good day, and welcome to the Hero MotoCorp Limited Q2 FY26 Post Results Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the call over to Mitul Shah from DAM Capital. Thank you, and over to you, sir.
Mitul Shah: Thank you, Sarthak. Good morni ng, everyone. On behalf of DAM Capital, I welcome you all to the Q2 FY'26 Post Results Conference Call of Hero MotoCorp. I also welcome the senior management of Hero Moto Corp to this call. Thank you for giving us the opportunity to host this conference cal l. Now I hand over to Mr. Umang Khurana, Head - Investor Relations and Risk, to take it forward. Over to you, Umang.
Umang Khurana: Thank you, Mitul. Thank you, Sarthak. Hello, everyone and welcome to the call. With us on the call today, we have Mr. V. S Ka sbeka r, our CEO; Vivek Anand, the Chief Financial Officer; Ashutosh Varma, who is the India Business Unit Chief Business Officer; and Kausalya Nandakumar , the EV business Chief Business Officer as well. We will begin the call with opening comments from Mr. Kasbekar and then Vivek. Thereafter, we'll open up the floor and take your questions. Sarthak, we could -- we'll first begin with Mr. Kasbekar and then take it from there.
Mr. Kasbekar ?
V. S. Kasbekar: Thank you, Umang. Namaskar a nd a very warm welcome to everyone joining us for Hero MotoCorp's earnings call for the second quarter and the first half of FY '26. Let me start by wishing you and your families a very happy and a prosperous festive season. Trust you all had a safe and joyful Diwali. I hope you a ll would have seen our strong financial performance in the quarter.
At the outset, I would like to express our sincere gratitude to the Honorable Prime Minister, Shri Narendra Bhai Modi ji and Honourable Finance Minister for announcing the GST reductions ahead of the festive season. This timely intervention significantly uplifted the consumer sentiment and revitalized retail momentum across the markets. Riding on this positive sentiment, we concluded the festive season this year with nearly 1 million retails on VAHAN on October’25. Our VAHAN market share in October expanded by 3.7% year -on-year to 31.6%. Consumer sentiment has continued to remain buoyant. And even after the festive season, we expect the retail momentum to sustain.
In the key business highlights for the quarter, first, I would like to mention about the gain. We gained market share d ispatch across all key segments - Entry, Deluxe, Premium, Scooters, EVs and even our Global Business. Our entry segment share in overall 2 -wheeler industry expanded for the second consecutive quarter. We gained 3% market share in Quarter 2 and 5% in H1 in the segment, led by the launch of aspirational HF Deluxe Pro, coupled with a very emotional customer connect campaign. I'm sure you would have seen the ‘Hathi Wala ad ’. Splendor further


strengthened its market leadership, gaining us -- helping us gain market share in the Deluxe 100 category. In the Deluxe 125cc space, our new launch Glamour X has received excellent response, driving sequential market share gains. We expe ct this momentum to continue as we further scale up our Glamour X. The Xtreme 125R also gets an upgrade with the dual channel variant. While in the motorcycles overall, we continue to maintain our dispatch market share.
In scooters, our recent launches of Destini 125, Xoom 125 led to approximately 10%

market
share in the 125cc segment. Bulk of our market share gains have come primarily from the strong scooter markets like Kerala, Karnataka, Maharashtra and Gujarat. We are confident of building on this with the ramp -up of Destini 110 - metal body a nd the Xoom 160 premium scooter.
In the premium segment, our premium network expansion progressed well. We have now

reached 100 stores, which covers 50% of the upper premium market. Xpulse retails grew by 31% in th e ongoing festival period. The EV business delivered its highest ever quarterly market share of 11.7%, which is up 6.8% year -on-year, riding on the success of Vida VX2. And finally, in our global business, dispatches grew by an impressive 77%, which is alm ost 3x the industry growth. Overall, on the back of the macroeconomic tailwind and a robust product portfolio, we are gearing up well for the rest of the year.
Lastly, happy to share a significant development for Hero MotoCorp's leadership team and our future trajectory. We are delighted to announce the appointment of Mr. Harshavardhan Chitale, our new Chief Executive Officer effective January '26. Mr. Chitale is a distinguished leader who brings with him three decades of extensive global and diversified expertise across multiple sectors. His profound experience will be instrumental in shaping and guiding the next exciting chapter of Hero MotoCorp's journey. He has proven track record of consistently delivering profitable growth and driving large -scale tra nsformations. Mr. Chitale is widely respected for his exceptional strategic vision, execution excellence and remarkable ability to empower and inspire diverse global teams. We are confident that his leadership will significantly strengthen our capabilitie s and accelerate our journey to become a global leader in a rapidly evolving mobility landscape.
I'll now hand over to Vivek for your commentary on the quarter's performance. Over to you, Vivek.
Vivek Anand: Thank you, Vikram ji. Namaskar and thank you al l for joining the call and warm greetings for the festival season to everyone. I'm pleased to report strong financial performance for Hero MotoCorp for the second quarter and first half of FY'26. The company recorded its highest ever quarterly revenue of ■12,126 crores, reflecting year -on-year growth of 16%, highest ever EBITDA of ■1,823 crores, growth of 20% and highest ever PAT of ■1,393 crores, growth of 16%.
Moving on to the half year FY'26 results. The revenue amounted to ■21,705 crores, year -on-year growth of 5.3%, EBITDA ■3,205 crores, a growth of 7.7% and PAT of ■2,519 crores, a year-on-year growth of 8%. The EBITDA margin during the quarter for ICE business improved to 17.7%, up 121 basis points year -on-year, d riven by lower material cost, cost ef ficiencies and mix improvement , while we continue to invest behind brand building, new businesses and new



products. During the quarter, after taking into account the investment behind EV business of ■252 crores, the o verall EBITDA margin improved 54 bps to 15% for the quarter. The average selling price increased 4.2% year -on-year and 2.4% quarter -on-quarter, driven by mix and pricing.
The company reported quarterly revenue from parts, accessories and merchandise busin ess at ■1,533 crores, which is a growth of 5% +. Our continued focus on cash management resulted in delivering strong cash from operations, strengthening our financial performance, operating cash generated in first half is ■4,111 crores.
During the quarter, we had 12 new models and variants seeing the festive for the first time, our highest ever for a season. This strong product portfolio expansion and GST reforms led to record sales of nearly 1 million units on VAHAN and a market share ga in of 370 bps year-on-year to 31.6% in October.
During this year, festive season starting from ONAM i.e.

from 23rd August '25 until yesterday,
November 13, 2025, the growth in ICE VAHAN registration stood at 16.2%, ahead of industry growth of 14.7% over the comparable period in the previous year, leading with a 40 bps market share gain. This was suppo rted by strong traction in the Entry, Deluxe and Scooter segments. Our market share gains have continued into November, supported by sus tained post -festive demand and the strength of our refreshed product portfolio. This buoyancy was clearly visible in our operations. Post the festive period, we now have the lowest inventory and lowest receivables in the recent years. Based on these encou raging trends, we expect the 2 -wheeler industry to grow 8% to 10% in the second half of FY'26 with Hero poised to outperform the overall market and continue to gain market share.
Moving on to Vida, Hero MotoCorp Emerging Mobility Business cont inued its robust growth trajectory with highest ever EV business market share of 11.7%, led by Vida VX2 EVOOTER. We now hold over 20% share in 48 towns and are among the top 2 players in 56 towns, a clear testament to the growing strength of our EV brand. The company's Global Business continued its upward growth trajectory during the quarter with dispatch growth of 77%, which is 3x the industry growth, led by Bangladesh, Nepal, Sri Lanka and Colombia. The company marked its entry into Europe and the U.K. markets, bringing our presence to 52 countries.
Dow Jones Sustainability Index score further improved to 75 in FY'25 from 69 in FY'24,

reflecting HMCL's leadership towards sustainable business growth. We expect the momentum in gr owth to continue, supported by benefits flowing in from the GST reforms, healthy macroeconomic parameters and a robust product portfolio. Moving forward, our journey of investment behind growth will continue. We remain consistent in our commitment towards investing in Premium, Scooters, EV portfolio, brand building and to improve customer service in store with Hero 2.0 and Premia.

Thank you, and I'll hand it back to Umang now for him to open it for questions.

Umang Khurana: Sarthak, we can take ques tions now.



Moderator: Thank you very much. We will now begin the question and answer session. O ur first question is from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani: Congratulations on good festive. First question was more on the festive trend. You did speak about the 17% growth. Can you give us a bit more color on what we are seeing particularly post GST in terms of a bit segment color, whether if you can split this 16%, 17% as to what came from entry, what came from scooters, etc etera - a bit more color around that and rur al urban sort of color as well ?

Ashutosh Varma: Hi Gunjan, Ashutosh here. I hope you can hear me well. So the festive 17 -odd percent growth that we've had so far , in fact since Vivek said 16.2% it's impr oved in 1 day to 17% now. It's getting better with every passing day. We've seen a very strong recovery in 100cc. There were a lot of fence sitters who joined the mobility space. So that has really helped the -- us to grow ahead of the industry in the fes tive. And we are seeing very strong traction around Splend or, even HF. So that has helped. Scooters ha ve been also a very good story of growth. Again, you would see our quarter 2 numbers. We have grown ahead of the industry, d oing well, almost 39% - odd growt h that you saw in the quarter , festive also, I mean, good double -digit growth that came in.

Our new models have been really accepted well, and that has helped us gain acceptance across markets, across geographies. I mean, as Mr. Kasbekar said in his openi ng remarks, we have been doing well in markets like the South and West, where scooters are predominantly stronger, and we've done well there.

Rural was a little slow to start with, pr

imarily because of certain rain disruptions and festive also came in early this time. But as we have progressed late into festive towards Dhanteras and then early part of November, we are seeing all th is crop harvest ing proceeds reaching the market and it's now responding really well. And that's why November continues to be very strong, and we expect that to continue going forward. Of course, GST reductions have been a huge shot in the arm. Our festive closing stock has been the lowest ever, as Vivek said. November demand continues to be one of the highest that we've seen in the previous year. So confident going forward.

Vivek Anand: Gunjan, just to add to what Ashutosh said, I think we've also seen the highest ever c ollections during the festive period, thereby bringing our receivables in the Indian business to close to 12 days compared to what it was 30 days in the previous years, right . So that itself really shows the kind of mood and the demand we are seeing during the festive period.

Gunjan Prithyani: That's actually quite good to hear. Ashutosh, actually just a little bit zooming into what you said on the growth. I'm just trying to understand post GST, is it that we've seen entry surge back? Or for now, it is more around everything being very broad -based and for you, it's a combination of a little bit of scooter , new products adding in. So if you can give us some sense on how is entry responding to post the GST rate cut . Is this far outsized growth coming from entry when you look at the retail that you are in?



Ashutosh Varma: Yes, Gunjan. So as I said, I mean, the fence sitters who joined the mobility space, so that has really helped. I mean a numerical indicator, first -time buyers generally hover around 70%, 72% on an average. In the festive, it went up to 81%. So that's really added new customers into our portfolio. Entry has been -- I mean, 100 cc, I would say, largely overall, of course, this continues to be very aspirational for a large part of the country. And that has drawn new customers in, which augurs well. But that said, I guess, I mean, we had products across categories this time and 12 new products, as Vivek mentioned. We have had all products responding very well, and some of them were urban -centric, som e of them were rural focused, and we have had that response all across.

Gunjan Prithyani: Sure. The second question, Vivek, is more around the margins. Of course, you consistently delivered on the margins. I'm just trying to understand as we see the growth coming from, let's say, ICE scooters and exports a bit more higher than the rest of the businesses, is there something from a mix perspective we should bear in mind like are exports expected to be accretive, dilutive or similarly with scooters, a bit more color around that.
Vivek Anand: So Gunjan, I think I have answered this in the past, and I'll just repeat that we will -- as a business, we will continue to invest behind brand building. We invest behind product across businesses, which includes EV and gl obal business. So we will continue with our investments there. And while we are making the investments, we are very, very conscious that we continue to expand our margins.
And therefore, our -- the mix is something which we will -- we continuously drive i n terms of really improving on an ongoing basis. We will continue to drive volumes, which will help us deliver operating margin -- operating efficiencies. So therefore, the guidance what we've given, we will continue to really be within EBITDA margins of 1 4% to 16%, right . So there has not been any change in that guidance. And even if you really look at this quarter, although we are at 15% EBITDA margin for the quarter, but in the first half, we are at around 14.8%.
Moderator: Our next question comes from t he line of Amyn Pirani from JPMorgan.
Amyn Pi

rani: Congrats for a great festive season. I had a question, I don't know if you can answer that because something that is on the mind of investors and us is that, obviously, when the GST was announced, there wa s a period of postponement. And then the festive was strong, but then at the same time, there was some buying which was pending for the month before.
At the same time now, post festive, given the strength that we are seeing, it looks like there could be some preponement also because of the whole communication by the government as well as every company around GST cut. So just trying to understand if you can help us, how should we think about the momentum as we go int o, say, the next 3 to 4 months b ecause cl early, the post - festive momentum has also surprised us. So how should we think about this as we go into year - end and probably early next year? Whatever sense you're getting from the ground .
Ashutosh Varma: So Amyn, good to hear you again. Just the number o f 17% that we mentioned is accounting for the time since Ganesh Chaturthi, and that was the time when the GST cut was announced, of course, not implemented, implemented on 22nd of September. So I mean, if you look at the



growth from 22nd onwards, it's act ually I me an, far, far higher. So this actually balances out. And you would see that 17% manifesting from a little earlier than Ganesh Chaturthi so far. The good thing is that, as I was explaining to Gunjan also in the earlier question, I mean, we hadn't s een the rural market respond very well in the early part of the festive. Festive actually comes early for 4 years and then actually resets itself.
And this time, it was the -- I mean, festive came in the earliest in the 4 years. I mean this is the time wh en the crop harvesting most is not very synced with some of the key festive dates. So that, of course, towards the later part of the festive has started manifesting a lot more. We had good marriage season, I mean, quarter -- I mean, the marriages season th roughout -- marriages throughout November. Again, we have a good quarter 4 in terms of marriages. We see again a good quarter 1 in terms of marriages. So these are good positive indicators as to how we see the year manifesting. I mean, overall, from -- I mean, the monsoon, almost two consecutive years of good monsoon, reservoirs are full.
I mean overall -- and also you would see everything. I think we are -- we continue to spend in November in terms of our actions, both ATL, on ground, classic early cycle recovery pattern that you would see - leaders increasing spend, smaller players cutting back. I think it augurs well overall.
Vivek Anand: Amyn, Vivek here. Now also in addition to what Ashutosh said, if you really look at the income tax cuts, right, the lo w inflation is really also supplementing. But I just want to also just bring it to you what happened in the past when we had excise rate cuts in the past, right . So we had three rounds of excise rate cuts in 2003, '08 and '14, where the price cuts were 5% to 8%. And we've seen double -digit growth in the 2 -wheeler industry for the next couple of years. And this time, the price cuts are the highest ever of 10%, right . In our product, it ranges from ■5,500 to as high as ■15,000, right . So therefore, I thi nk if I really look at the long -term trend, right, and also what we've been able to achieve in the 85 days of the long festive period, I think we strongly believe that this trend is likely to stay.
Amyn Pirani: Great. That's good to know. And my second que stion was actually on exports. We -- it's still a relatively small part of the overall company. But consistently, we've been seeing very strong double -digit growth here. So any color if you can give? Are there any new geographies that are helping you? Are there existing geographies where you've been gaining som

e market share?
What's the kind of response? And what's the kind of numbers that we should look forward to going forward?
Vivek Anand: Yes. So Amyn, Vivek here once again. So I think, one, of course, I think this quarter, we've grown 3x the market. And I think that has been our performance now for the last couple of quarters. And I think what is really driving this performance is your q uestion. So clearly, our 80 - 20 strategy of focus on top 10 markets is really playing out very well for us. In the top 10 markets, we already have 12% market share. And in some of the markets, we are number one . In the top five -- in the top 7 markets, act ually, we are gaining market share. Our new product launches, which we've had across our markets in Asia, LATAM, have continued to really do well.




I'm also happy to share that our premium product contribution is 40% + in the global markets, right . And the premium portfolio, therefore, continues to really outgrow the markets. We've actually been designing and developing products now, which is very, very specific to the markets. And I think that strategy is also really helping us gain market share. We've also been investing in improving customer service across the markets. So I think this is a combination of all what we are doing is really helping us sustain our performance in the global markets.
Moderator: Our next question comes from the line of Jay Kale from Elara Capital.
Jay Kale: Congrats on a good festive and strong margins. My first question is on the scooter and motorcycle mix. We've seen that including EVs, it's now close to around 40 -odd percent. How are you seeing that? Because clearly, in the l ast 1 -1.5 years, the scooter ICE segment has positively surprised. With this GST cut and you mentioning about the rural and first -time buyers expectation s coming back, how do you see this scooterization trend settling now? Have we hit a plateau or you see further scope of this moving up?
Ashutosh Varma: Hi Jay, thank you for the question. You're right. I think overall, ICE plus EVs put together, the scooter contribution has been pretty robust. In fact, ICE alone also has done really well. I think the good part that has happened in the scooter segment is today, there is sub segmentation and new products that are serving different needs of customers have evolved. So I mean, you today have a sporty segment, a large wheel cruising segment, a typical metal body low er 100cc commuter segment. So there are quite a lot that has emerged and everything is carving a niche out of itself, suits larger needs. And this is why we feel that overall, from a scooter category growth perspective, the momentum will sustain.
And I me an, we are also seeing that in our portfolio. I mean now we have a complete portfolio catering all these subcategories. And we are seeing growth across these, across markets. So overall, from a scooter perspective, in fact, ICE coupled with EV today is, I mean, driving new set of customers to our showroom. So that's also giving us a lot of confidence. We think that this is going to sustain going forward.
Kausalya Nandakumar: This is Kausalya. Just to add on to what Ashutosh talked about, I think the scoo terization trend is, of course, now contributing a significant share of the overall 2 -wheeler market. We also see electrification really catching imagination in the scooter segment with product launches. I think in the last quarter, we ended close to parti cipation of 25% of scooter sales was actually in the EV category. And again, here with Vida, we continue to outperform and outgrow that market and contribute with new product launches as well as segment share. So overall, we see a very positive trend on t he adoption of EVs in the scooter space. And now with Vida's portfolio, we also see a positive contribution from Hero MotoCorp in that sp

ace.
Jay Kale: My second question is on -- you mentioned about first -time buyers now contributing in the festive of 70% to 80%, 82%, which also means that as we have more first -time buyers, the penetration of 2 -wheelers has also started further inching up. How do you see this over the next 2 to 3 years given that already 2 -wheeler penetration is relatively on the higher side. Of course, there is still opportunity. But how do you see this first -time buyer contribution settling because




eventually, it will hit a level where further penetration increase will kind of plateau. So how do you see it from a next 2 -3 year growth perspective?
Ashutosh Varma: So Jay, I mean, as Vivek said, I mean, every time an intervention like this has happened, we've seen the growth momentum sustain for few years and which is why we think that this momentum is going to c ontinue. That said, I mean, 2 -wheeler volumes are not -- have not crossed the pre - COVID levels yet, right? So I mean, we have seen higher numbers.
We feel that the replacement demand should come back even more. I mean we had seen in the

last 3, 4 years, c ustomers holding on to their products much longer. We've seen that in our workshops, 4 years old customers, actually the percentage increasing. So we feel that as now, I mean, markets are opening up, the overall sentiment is looking far more positive. The new product introductions that are happening, all that will also help bring the old customers -- I mean, replacement cycles being faster. So yes, I hope that answers your question.
Jay Kale: Sure. I mean we're looking forward for the replacement cycle also to come back because, frankly, after the price increases, a lot of postponement of the replacement cycle would have been seen. So we are hoping for that to drive in the rest of year .
Ashutosh Varma: And we think it should.
Moderator: Our next question com es from the line of Pramod Kumar from UBS Securities.
Pramod Kumar: Congratulations on a very good set of numbers. And I think credit especially to Ashutosh and the team for really turning on the market share. So my first question is on the market outlook, Ashutosh, as in -- did I hear it right that you talked about a 10% kind of a growth in the opening remarks? And just want to clarify, that's for the full year or for the second half year?
Ashutosh Varma: So yes, Vivek said that 8% to 10% growth in the sec ond half of the year, Pramod. Good to hear you again.
Pramod Kumar: Yes. Great. But I think I just had one follow -up on that. Basically, if you look at the growth what you're clocking in October and what we are slated to do as an industry in November, if y ou work with the 10% number for the second half, then that practically implies a decline for the remainder of the period. So I'm talking about VAHAN retail, by the way. I'm talking entirely on VAHAN retail. So just trying to understand, is that expectation low or it would be -- can there be an upside to this particular number?
Ashutosh Varma: So YTD September, the industry was growing at 2%. And last couple of months, October, November put together, YTD numbers have gone up to almost 12%, right . It will tap er down for sure because this festive spike is a festive spike. But we anticipate that overall, for a full year perspective, we'll be not far away from the growth estimate that we had given at the beginning of the year, which was close to around 5%, 6%.
Pramod Kumar: Okay. Not that because, Ashutosh, it effectively implies a decline for the December to March period. So I'm trying to understand why would that be the case, given that inventory levels for you who are the largest player is a multiyear low. And we understand even other companies had



a reasonably sharp reduction i n inventory levels

post season. So why -- I'm just trying to understand what is you are seeing on the ground, which is making you -- or the entire industry sound a bit more conservative o n the guidance side. I'm just trying to understand here as to what's holding you back from g iving a more optimistic outlook?
Ashutosh Varma: So we don't see a decline for sure, Pramod. I mean if the current trends are anything to go by and historical data gives us that confidence that this is -- this momentum is going to sustain. Probably might not sustain at the festive levels that you have seen in the last -- because there was possibly a lot of these customers who are holding back who came in this festive . But clearly, the fundamentals seem strong. I mean you see rural markets recovering, rainfalls, as I said, being good, 2 surplus years, reservoirs being full. I mean, government can be supportive in terms of what they're trying to do for rural economy, GST, I mean, a huge shot in the arm, right . All this doesn't point towards any decline that you would see, right . It could possibly not sustain at the October, November period that you have seen , industry did 30 lakhs in October, right . So from the re on, you might possibly see a decline, but from -- but I mean, clearly, we expect a much better H2 and overall full year -- I mean, that better that overall full year will turn into positive and close the year, not far away from what the expectations we had set in the beginning of the year.
Pramod Kumar: So then Ashutosh on Hero specific performance because clearly, you are doing much better than the underlying market. And I think -- now I think after a long time, the entire portfolio is firing in terms o f scooters, premium, EV as well. So how would you kind of look at the next 6 months or 1 year in terms of milestones for market share come back?
If you can -- anything you can help us understand here because that will help us kind of quantify the kind of outperformance what we can expect from Hero next year because a lot of these launches happened in the recent times, so you haven't had the full year benefit. There's no inventory. So if you can just help us understand how you think about market share incre mentally from here on?
Ashutosh Varma: So sure, Pramod, thank you. We -- our goal is to grow ahead of the market, and that's what you would have seen in manifesting as we have made our portfolio more robust. Our focus going forward is going to be scooters where we have had some really good exci tement around the new products that we have launched.

The 125cc motorcycles, the intervention that we have done with Glamour X and Xtreme 125R, I mean, really very well accepted. And as we step up our campaigns and capacities, we are expecting a very stro ng H2 around the 125cc as well. So overall, of course, from a year -end outlook, I mean, our goal is to grow ahead of the market and end up gaining significant share.
Vivek Anand: Hi Pramod, just to also talk very briefly about global business. I think this qu arter, we had an 8.6% share, which is an improvement of almost 250 bps compared to previous quarter. And I think clearly, the way that the demand trends are, we are confident we'll continue to gain share quarter -on-quarter from now onwards.


Kausal ya Nandakumar: Hi Pramod, Kausalya here, just to add on the EV front, again, we see ourselves outperforming. We have grown both in quarter 2 as well as overall H1 far outpacing the market growth and continue to gain market share. So overall, the outlook for -- from the EV combined portfolio would also be extremely positive, and we estimate that we would do extremely well as the combined portfolio as well.
Moderator: Our next question comes from the line of Kapil Singh from Nomura.
Kapil Singh: Congratulations on a good performance for the quarter. I just wanted to understand ou

r growth
expectations in terms of the segments , when we are looking at 10% growth in the second half or the period beyond that as well, the 100cc, 125cc , premium and scooters, where -- how would you rank the growth rates or range of growth rates for these segments? And any thoughts you have?
Ashutosh Varma: So yes, the growth percentage that we spoke about was aggregate. We feel and if the festive trends are anything to go by, a very strong bounce back on the 100cc category. That's where we have seen, I mean, a very strong demand across HF, Splendor and Passion portfolio that we have - we have the strongest portfolio there. So we see that segment doing well. As I said, new customers coming in to the space. Subsequently, we also expect the replacement cycles to pick up, overall rural coming back sharply towards the later part of the festive. So we expect this segment to -- I mean, it has been subdued for a while, and I think it has its due. I mean it should come back, which is what we see, the early signs in the festive.
Scooters, we expect that they will continue to do well across markets. They have been doing well for the last few years as well and should continue to do well. And so primarily, if you ask me, I mean, these 2 segments should largely lead the growth followed by the others.
Kapil Singh: Okay. And sir, on the ABS cost impact, how much it is , by when are we expecting? And can it impact the industry growth in your view?
Vikram Kasbekar: So I'll take that, I'm Vikram. We are definitely very much for the safety of the customers, and we continue to drive our technology for the vehicle engineering , to see that we come up with the most optimum cost -effective solution. We are in talks with the government. And I think shortly, we should come to a very positive conclusion, which will be far more effective technological intervention.
Kapil Singh: One last question I had on the EV profitability. Can you just talk about where are we in terms of EBITD A margin? And what are the milestones that we are looking at to improve the profitability over there? By when can we expect EBITDA breakeven for this business?
Kausalya Nandakumar: Hi Kapil, this is Kausalya. Let me take that first. In terms of the EV busines s, our continued focus is, of course, to bring in the better products into the market, which can meaningfully grow. The market is bringing more consumers to adopt for EV. We also continue as an organization to invest in brand and build the electric vehicle portfolio.
Of course, there will be focus and relentless focus, if I may add, on optimizing our cost and bringing in focus across the cost elements. And we will continue to leverage benefits like PLI in


order to bring the EV business overall into a more positive road map. Having said that, the current focus for Vida and HMC L continues to be focused on bringing new products into the market as well as building the brand so that we can drive customer adoption in the EV segment.
Vivek Anand: Yes. So Kapil, Viv ek here. So I think clearly, as Kausalya said, our number one priority is to continue to invest behind product and brand build ing. So that clearly stays our number one priority. Having said that, you're right, our gross -- at a product contribution level, we are still in a negative zone. So that's something is the second priority we have in terms of really getting to a product contribution neutral level. A couple of interventions we are doing in terms of relentlessly working on in terms of bringing down the BOM cost. We are really making sure that

the PLI benefit we've applied for one product. We are in the process of really getting approvals for the others. And third, we've also taken a price increase effective 5th of November. So hopefully, right, as we get into start of next financial year, this will help us really improve

our
gross margin. And thereafter, it's a matter of really getting your volumes up, right, which will really help overall profitability for the business.
Kausalya Nandakumar: Kapil, jus t to add on here, we are already focusing on scaling our volume and focusing on key markets for that. Ju st to let you know, we are now number one or number two in 50 + towns and cities, for focus markets, and we have gained meaningful market share in m ore than 48 towns where we are ranking more than 20% of market share. Some of these are large core electric vehicle markets, including the large metro. So as we scale our volumes, which is our current focus now, there will be a clearer path to profitabilit y.
Moderator: Our next question comes from the line of Pramod Amthe from InCred Capital.
Pramod Amthe: So 2 questions, of which first one is with regard to the EV division. Thanks for the detail ed data points on EVs and what we are trying to achieve in some of the key markets. What has worked for you in those 50 markets where you are number two ? Is it the characteristics of marketplace or product profile? And what you plan to do taking th ose successes into new markets o r to that extent, what is the ambition of market share in the overall EV space ?
Kausalya Nandakumar: Hi Pramod, Kausalya again. Thank you for the question. What has worked for us, essentially, if you look at the new product introduction that happened in the month of July of 2025, we launched our new EVOOTER, the VX2 in core markets. So the focus of bringing this product into a category of consumers who are looking at the versatility of a scooter with the technology and total cost of operation of an EV has actually caught the imagination and pref erence of customers across these markets. These are focus markets for us in terms of penetration as we continue to focus on newer markets as we will scale up. So fundamentally, what has worked is the product has been a resounding success. We see a lot of pull from consumers for the new VX2, which is now a significant contributor to the overall portfolio.
The other element is certain key innovations that we drove around the product positioning, including our Battery -as-a-Service offering. This was an inno vative offering, which allowed for consumers who may not have considered an EV in their portfolio earlier , to walk into our showrooms. With the offering of , you will pay as you ride, it allows consumers to walk in and understand the benefits of an EV and he lped us to drive a large set of our inquiries through


innovative offerings. We also continue to focus on elements that allow consumers to be aware of the portfolio.
So there is a large focus on brand awareness in these markets with dedicated attempts to e nsure that more consumers are aware of this offering from Vida. So we continue to focus on these markets. The success of these markets will be replicated as we scale both in terms of volume and aspiration.
Pramod Amthe: And any aspirational market share in EVs?
Kausalya Nandakumar: I think, Pramod, you've seen the trajectory of Vida. We have been doubling market share almost since last year. This aspiration continues, and we will continue to outpace and outgrow the market. We also will have a robust pipeline of products coming in. This will give buoyancy to our aspiration.
Pramod Amthe: And what's the Battery -as-a-service penetration now? Is it, I think, significant to call out?
Kausalya Nandakumar: Pramod, I assume you're asking for the Battery -as-a-service penetration. A key metric here was especially to democratize access of electric vehicles to consumers. We have seen a significant share now , of our inquiries coming in from the Battery -as-a-service element. So we continue to use this communication an d this product offering as such to bring in mo re consumers to our show roo

ms to talk about what are the benefits of EV overall.
Pramod Amthe: Interesting. And related to that on the profitability, thanks for sharing for last couple of quarters the drag or i nvestment you are doing on EBITDA level. Can you give some color in terms of how the gros s margins have changed for you with a new product versus the old product and if you want to take into account that PLI where would your gross margins be in the couple of quarters down the line?
Vivek Anand: So our gross margin trajectory has been positive. Quarter -on-quarter, we are seeing improvement in gross margins, and that's largely driven by, of course, BOM cost reduction that's really helping us. Our new product s, which we are going to add will further help us improve our gross margin trajectory. As I said earlier, the price interventions we are taking will help us really grow our gross margins and the PLI, all a combination of that, right . Quarter -on-quarter, we will see --

we've been improving it in the past, and we'll continue to improve it in the subsequent quarters.
Pramod Amthe: Actually more absolute volumes in the future will be helpful .
Vivek Anand: Okay. Yes. We'll be happy to share with you.
Pramod Amthe : And the last question, if I can squeeze in. Some of the developed markets...
Moderator: Pramod, sir. Sorry to interrupt. May I please ask you to rejoin the question qu eue for your follow -up question. Our next question comes from the line of Joseph George from IIFL Capital.
Joseph George: So 2 questions. One is a clarification. You mentioned that you are expecting a growth of about 8% to 10%. So I just want to understand, are you referring to retail growth in the second half? Or are you referring to wholes ale growth for the industry in the second half?


Ashutosh Varma: I mean largely -- retail, but largely wholesale should also be in the same line. Did you get that?
Joseph George: Okay. Yes. Okay. So you said it's -- so basically, you're expecting 8% to 10% for both retail and wholesale in the second half of the year ?
Ashutosh Varma: Yes, yes. Because also, I mean, if you look at H1, largely wholesales and retails are largely matching, should match in the second half of the year as well, Joseph.
Joseph George : Understood. The second question that I had was in relation to commodities. I think in your opening remarks, you mentioned that commodities were a tailwind. You said lower input costs. And when I look at commodity prices such as aluminum, precious metal, etcetera, they've moved up, and I think they have continued to move up in the third quarter. So how do you see commodity playing out in the third quarter?
Vivek Anand: So commodity cost during the quarter was largely flat. Yes, you're right. We've seen the aluminum prices come up, but at the same time, the steel prices have actually come down during the quarter, right . And I think our LEAP program, which is the cost saving program is really helping us keep the commodities actually flat . In fact, helping us really improve our margins. A bit on quarter 3, yes, aluminum continues to really -- we see inflationary trend there. So there will be -- quarter 3, broadly, the expectation is there will be some level of commodity inflation, but will be more range boun d within 1% to 2%.
Joseph George: Understood. Last thing, on ABS, the draft notification had said that it will be implemented effective Jan, but I think we are already in November and there is no final notification. So any communication from the government on when it's likely to be implemented?
Vikram Kasbekar: So Joseph, Vikram here. As I said earlier, we are in talks with the government, and they will definitely consider an appropriate time to bring the implementation in.
Moderator: Our next question comes from the line of Mihir Vora from Equirus.
Mihir Vora: So sir,

basically, my question was considering the recent elongated monsoon and there's many agriculture states which have seen some output loss. So those are many of the Hero core markets, which were impacted up till October. But what is your outlook now on the rural income visibility over the next few months? And are there any early indicators of better crop realization or dealer feedback on the financing pattern part? So how do you see the demand in the rural, particularly in the entry segment?
Ashutosh Varma: Hi Mihir, yes, you're right. I mean some of our core markets were impacted because of monsoons. We saw that impact in MP, South Gujarat, Rajasthan, UP, parts of Bihar, Bengal, I mean these are mark ets which are largely impacted by rains. The good thing is that, I mean, we have seen this coming back towards the later part of the festive, a s I said, and also in November. I mean, you can see the trends that are visible in November in terms of what's th e retail growth that's happening. I mean, we expect a strong month. As I also said in the beginning that I mean, 2 years of good monsoons overall, I mean, while there have been temporary disruptions, but overall, I think from a sentiment perspective, it lo oks positive. We have a good rabi outlook.


And overall, we expect this trend to continue, a good upcoming marriage season as well. So overall, these markets should come back. We've already seen early signs.
Mihir Vora: Sir, just a follow -up on this, like i n the -- you have been seeing the market for last many years. So in your experience, is it like it is more of a necessity -driven demand rather than a bad monsoon or something like that?
Ashutosh Varma: Sorry, your question, can you repeat that one?
Mihir V ora: I'm saying whether in the last 10 years, you have been seeing the market. So is it like the rural is more of a necessity -driven demand and if there's a short -term hiccups also, the demand can come if there's a necessity to the buyer?

Ashutosh Varma: So it 's resilient for sure, Mihir. I mean we have seen that. Unfortunately, last 4 years since COVID, we had seen, I mean, disposable incomes getting stressed. I mean, overall prices went up significantly post BS VI. So these were structural, I mean, challenges , which I think GST also solves.
And that's why we see this coming back. I mean it has been a resilient economy, should come back strongly. And there is a strong -- I mean, this market is driven by a strong need there, I mean, as part of livelihood. So th ere's no reason why it shouldn't come back. And as I said, we have already seen early signs of it.
Mihir Vora: Sir, my second question basically was on the last year, if you see the December to March period was sort of bad for the industry, industrial term , but we were down around minus 8 -odd percent last year. So as we enter the low bridge , do we expect that you'll see decent kind of a growth during this December to March month? How are the conditions right now in terms of financing penetration and discoun ting side?
Ashutosh Varma: So the industry hasn't seen much discounting for sure. I mean, as a company, we are also focused more on building brands, strengthening our brands a lot more, which will continue to drive aspirations. And we have realized that th at's a key success parameter. So you will see more of that happening as we move into H2.
I mean -- and as I answered in the previous question as well that we have some new products, we really haven't seen the market in full force. And as we increase our c apacities and the demand around these stabilizes, we are expecting H2 to be far more stronger. And I mean, both from a quarter 3 perspective, we already are into 45 days into quarter 3 and continue to see a very strong momentum. So expecting that to contin ue in quarter 4 as well.
Mihir Vora: And the financing is

stable?
Ashutosh Varma: So overall, from a full year perspective, financing largely is stable. Of course, we'll see temporary ups and downs. I mean some cash customers have come out more in the festive. But overall, I guess, the fundamental doesn't change. I mean it continues to be a key driver for purchase. And I mean, companies will continue to innovate around financing products to keep the momentum on. So we expect this to be stable around in H2.


Moderator: Our next question comes from the line of Vipul Agrawal from HSBC.
Vipul Agrawal: So my first question is on the discount. This year discounts were relatively lower as compared to last year. Can you give us some idea what was the decline on d iscounts on Y -o-Y basis? I'm just trying to understand what is the headroom we have to boost the demand just in case it slows down ?
Ashutosh Varma: So I think this is a very specific question, but I'll say that we are not spending any less than what we wer e spending last year, right . I think the way we are spending that has changed. We continue to spend for consumers, right . And that is bringing in demand. Of course, there are new -- the discount is not the only lever to have demand and you're right , but we are spending as much as we are in brand building, in new product introductions. Yes. But then yes, you're right. I think we focused more on these rather than discounting, and that has come down.
Vivek Anand: And also, Vipul, just to add, Vivek here. So a s Ashutosh said, we continue to invest behind brand building and new products. So just to give you some numbers, our advertisement spend for the first half, that has grown by 10%, right . So we continue to invest behind -- across our ICE, EVs and across our global markets portfolio.
Vipul Agrawal: In fact the question was more general to the industry -- overall industry because we have this -- just give an idea. We could not see much of a newspaper advertisement of any OEM during this festive season. Like la st year, it used to come like every other day, half of the first page of the newspaper will come at a lot of 2 -wheel er advertisement. But this year, it was, I would say, it was almost more than 50%. So I was just assuming that since the demand was driven la rgely by the GST cut, maybe OEMs might have a headroom to spend more in future to keep the demand at current pace. So would tha t be the correct understanding o r anything you can add on that?
Ashutosh Varma: So Vipul I mean, we can speak for Hero, right . I mean if you look from a post -festive spend perspective, we are -- we continue to be the highest spender in terms of share of voice , in terms of print campaigns, in terms of TV and several other parameters as well. So we haven't really cut down in terms of o ur spends , just that the medium of spending this has changed. I mean if you look at -- I mean, we -- post-festive, we have had over 150 -odd inserts in the market after the traditional festive 32 period. So -- and that continues to be much more than any other competition player in the market.
Vipul Agrawal: Sir, my next question would be on the EV market share. Like in the last 5 years, EV penetration has necessarily taken away the market share from entry -level motorcycles. So how do you see this trend going for ward? Like which segment in your opinion, will see the market share for EVs

going forward?

Ashutosh Varma: The fundamental drivers for these two customers are very different. So we don't see a correlation between EV purchase and entry segment buying, right . I mean these are -- they largely meant for different usage patterns. So don't see a correlation there. Of course, I mean, we have different actions that are planned for expanding the segment share in entry.

As we said, getting the replacement demand back. I mean we are focusing on greater than 4 -year cus

tomers who are coming to our workshops working with them. And we are seeing some great



signs , early good responses happening here. EV, of course, is a different strategy altogether. But as I said, I mean, we don't see a correlation between the demand drivers of both these segments.

Vipul Agrawal: So would it be fair to say that like entry level s egment is -- will remain strong because given now GST cut -- with GST cut, the new customer addition will now only multiply going forward. And the EV penetration might take away share from scooters - ICE scooters plus 125cc segment or maybe 110cc segment. W ould that be a fair assumption?

Ashutosh Varma: Trying to draw too many correlations trend. But I would only say that, I mean, if you look at the entry segment for the last 2 quarters, the segment has started expanding. And I mean, went -- in quarter 4 was as low as 7.9%, has gone up to almost 9.2% now. And that's without the GST impact. With that coming in, this is expected to grow even more. As far as -- I mean, we feel that there will be a very robust coexistence between ICE models and EV models across t he industry as the drivers continue to be different.

Umang Khurana: Just to close, thank you, everyone. In highlights, financial best ever, you looked at our revenue, you saw our PAT. Strong festive performance, looking at a long -ish period of time, Septem ber, October, November, it continues to be strong. Post -festive demand has continued. Dispatch market share gain across Entry, Deluxe and Premium . Launches of HF Deluxe Pro, Glamour X, Destini and Xoom 125 should help.

The second, and Ashutosh just mentio ned, consecutive quarter of segment expansion in entry. Market share gained 3.1% in Entry. Deluxe market share with Splendor and Passion continues to be stronger. In 125 Deluxe, there is the launch of Glamour X and then the Xtreme 125 are with the dual ch annel as well. PAM at ■1,533 crores.

Premium new launches are scaling up well. Scooter, we spoke about at length, grew 53% in retail, which is ahead of industry, especially in urban markets as well. EV, the highest ever market share, Kausalya spoke about it, and that continues to grow, multip le new towns, 20% + market share. We are between 1 and 2 in Delhi. Some months, we are 1, some months, we are 2. 20% plus market share, Kausalya was telling me in Mumbai as well. So that is fantastic. Strong global business performance and improvement in the DJSI score s are some of the highlights that we wanted to close with. Thank you, everyone, for coming in, and we'll -- so on DJSI, we got to 75, and then Pawan ji was rated in the TIME100 Climate List as well. Thank you, and speak to you soon.

Moderat or: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, an d you may now disconnect your lines. Thank you.

# Call: Feb 2026

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February 12, 2026

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Sub ject : Transcript of earnings conference call for the quarter and nin e months ended December 31 , 2025

Dear Sir / Madam ,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015, please find attached the transcript of the earnings conference call held on February 6 , 202 6, for the quarter and nine months ended on Decembe r 31, 2025 .

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Prabhat Singh
Company Secretary & Compliance Officer

Encl.: As ab ove


“Hero Moto Corp Limited
Q3 FY '26 Post Results Conference Call ”
February 06, 202 6

MANAGEMENT : MR. UMANG KHURANA – HEAD, INVESTOR RELATIONS & CHIEF RISK OFFICER
MR. V.S. KASBEKAR - EXECUTIVE DIRECTOR AND

CHIEF TECHNOLOGY OFFICER
MR. HARSHAVARDHAN CHITALE – CHIEF EXECUTIVE OFFICER
MR. VIVEK ANAND – CHIEF FINANCIAL OFFICER
MR. ASHUTOSH VARMA – INDIA BUSINESS UNIT, CHIEF BUSINESS OFFICER
MR. KAUSALYA NANDAKUMAR – EV BUSINESS , CHIEF BUSINESS OFFICER

MODERATOR : MR. MUMUKSH MANDLESHA – ANAND RATHI SHARE AND STOCK BROKERS LIMITED
This transcript has been updated to include minor corrections to the original version


Moderator: Ladies and gentlemen, goo d day, and welcome to the Q3 FY '26 Post Results Conference Call of Hero MotoCorp Limited hosted by Anand Rathi Share and Stock Brokers Limited . As a reminder all participants lines will be in the listen -only mode and there will be an opp ortunity for you to ask question after the presentation concludes .
Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone telephone . Please note that this conference is being recorded. I now hand over the call to Mr. Mumuksh Mandlesha from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, sir.
Mumuksh Mandlesha: Yes. Thank you, Pari. Good morning, everyone. On behalf of Anand Rathi Shares and Stock Brokers, I wel come you all to the Q3 FY '26 Post Results Conference Call of Hero MotoCorp. I also welcome the senior management of Hero MotoCorp to this call. Thank you for giving us the opportunity to host this conference call. Now I hand over to Mr. Umang Khurana, Head , Investor Relations & Risk, to take it forward. Over to you, Umang.
Umang Khurana: Thank you, Mumuksh. Thank you, Pari. Hello, everyone, and welcome to the call. With us on the call today, we have Mr. V.S. Kasbekar, Executive Director and Chief Technology Officer; Mr. Harshavardhan Chitale, Chief Executive Officer; Mr. Vivek Anand, the Chief Financial Officer; Ashutosh Varma, who is the India Business Unit , Chief Business Officer; and Kausalya Nandakumar, the EV Business Chief Business Officer.
We will begin the call, as usual, with opening comments from Mr. Kasbekar and then Vivek. Thereafter we'll open the floor and take questions. Pari, we could first begin with Mr. Kasbekar and take it from there.
V.S. Kasbekar: Namaste, and a very warm welco me to everyone joining us for Hero MotoCorp's earnings call for the third quarter and 9 months

of fiscal '26. I would like to begin by wishing all of you a very happy and prosperous new year 2026. One good news begets another , with pride and humility, I'm happy to share that Hero MotoCorp is the world's largest motorcycle and scooter manufacturing for the 25th consecutive year with dispatches of 6.1 million in the calendar year 2025.
Through this medium, I would like to express our sincere grati tude to our customers, business partners, employees and all stakeholders for their continued trust and support through the years.
Coming to the quarter , in the broader economic environment and the two-wheeler industry, the 2026 began with a heightened uncertainty shaped by persistent geopolitical tensions, volatility in commodity prices and shifting trade policies across major economies.
Against this background, the Indian economy stands out as a b right spot and fastest, largest growing economy for '26 . The RBI projects the GDP growth at 7.3%, underpinned by the government initiatives to boost domestic consumption through GST rates coupled with lower inflation.


The economic survey 2025 - '26 also projects GDP close to 7% for '27 , marking the fourth consecutive year of healthy growth. In line with the macroeconomic momentum, the 2 -wheeler industry has witnessed volumes rising , following the GST rate reduction in September. Post festive d emand continues to stay strong with January '26 retail growing at 21% year -on-year.
We expect this positive demand trend to continue in the coming months.

Turning to Hero MotoCorp's performance. Our recent launches across the segments have received encouraging customer response supported by focused marketing initiatives, and Vivek will elaborate further on the contribution from these new products in his rema rks. Before I conclude, I would like to thank our Executive Chairman, Dr. Munjal for the opportunity to serve in this role alongside the competent leadership at Hero.

In my role as Executive Director of the Board, I will focus on key initiatives of the man agement. With that, I would like to hand over to our CEO, Harshavardhan Chitale. As you would be knowing, Harsh brings with him 3 decades of leadership experience across reputed organization, including Signify, HCL Infosystems, Honeywell Automation and Tat a Group, my earlier company. We look forward to this leadership journey at Hero MotoCorp. Welcome aboard Harsh, and over to you.

Harshavardhan Chitale: Thank you, Vikram. Good morning, everyone. Thank you for joining us today, and I would also like to expr ess my best wishes to all of you for a prosperous and fulfilling new year. I'll begin by expressing my sincere gratitude to our Executive Chairman, Dr. Munjal, for reposing trust in me to lead this institution with such a rich legacy, legacy of leading two -wheeler industry, not for 1 year, not for 10 years, but for 25 years.

I would also like to thank Vikram for his invaluable leadership and steering this ship during this transition and ensuring that we remain focused on our shared long -term vision. I joine d exactly 1 month back. And in this 1 month, I have travelled extensively and now met with broad spectrum of stakeholders, dealers, suppliers, partners and of course, our Hero MotoCorp team. These interactions have given me very good insight into what make s us the leader.

It is the trust and unmatched relationships built across the entire value chain is what makes us the leader. And this is something that is very difficult to replicate for any company. In my over 3 decades of professional life across 3 cont inents, I have not seen this level of trust and relationships built across the value chain. And it is this trust and relationship that's going to stand us in good state as we charter our next growth journey.

Other thing that really stands out is our abili ty to make bold strategic moves

when needed as this
company demonstrated through investments in associate companies like Ather and Euler Motors. And it is this ability to make these bold steps will also help us stand in good stead as we charter the growth journey. While we take pride as a team in our volume leadership at Hero MotoCorp, we are all acutely aware of the opportunities that exist in some of the other categories , which are growing faster and where we are relatively underrepresented.

Hence, we see a big headroom for growth and market share expansion in categories like scooters, in premium motorcycles, in global markets, in EV, and also above all, parts and accessories



business because we are a company that has the biggest park size in the market. Number of vehicles that are out there, we have the largest share of those vehicles that are on Indian roads today. Hence, each of these 5 are going to be big opportunities of growth, and this is where, as a team, we are focused on accelerating and gaining share.

In my last 30 days, I've observed that as a team, we have detailed action plans on each of these 5 growth pillars. And what's heartening to see is that these action plans are not just on paper, but we are already seeing early results ou t of each of them, and Vivek will share with you, how on each of these growth areas, we are actually getting results and gaining share.

As I look forward to the next few years of our journey, we will focus on executing and accelerating our growth ambition s. We will also focus on ensuring that our supply chain is flexible, robust and resilient. We've all seen some of the disruption that as an industry, we had to face due to various component crisis and geopolitical issues.

And those issues are not over. The re will be many more that will come along the way. As a company, we have navigated this very well, but we need to be always prepared and make sure we are agile and have a robust supply chain. So that will remain our focus as well. Third, we are going to re main razor -sharp focused on customer centricity, both in presales, post sales as well as the experience that our customer will have with our products.

And finally, none of this will happen without having an engaged and passionate team of real heroes, the true heroes, which are my team at Hero MotoCorp. So we are also going to stay focused on this. And with that, I'm very confident that we will be able to make most out of these growth pillars and I look forward to having a constructive conversation with all of you as I continue to learn and grow in this role. Vivek, why don't you now take us through the quarter?

Vivek Anand: Yes. Thank you, Harsh. Good morning, and thank you all for joining the call and wish you all a very, very happy New Year 2026. I'm pleased to report strong financial performance for Hero MotoCorp for the third quarter and 9 months of financial year '26. The company recorded its highest ever quarterly revenue of INR12,328 crores, reflecting year -on-year growth of 21%.

EBITDA stood at INR1,810 crores, growth of 23% and reported PAT of INR1,349 crores, growth of 12% year -on-year. However, normalized PAT stood at INR1,489 crores, growth of 20% year -on-year. During the quarter, the company has taken cognizance of the new labo ur code and h as made provision of INR119 crores, which is reported as an exceptional item.
Moving on to the 9 months financial year '26 results. The revenue amounted to INR34,034 crores, year -on-year growth of 10% , EBITDA at INR5,015 crores, growth of 13% and PAT of INR3,867 crores, year -on-year growth of 10%. ICE business EBITDA margin expanded by 100 bps year -on-year to 17%, driven by pricing, LEAP savings and operating leverage.
During the quarter, after taking into account the investments behind EV business, appro ximately INR208 crores, the overall EBITDA margins improved 20 basis

points to 14.7%. The average
selling price increased 4.2% year -on-year and 1.3% quarter -on-quarter, driven by higher ASP across product segments.



The company reported highest quarterly revenue from parts, accessories and merchandise business at INR1,673 crores, which is a growth of 8% year -on-year. Our continued focus on cash management resulted in delivering strong cash from operations, strengtheni ng our financial performance. Operating cash generated in 9 months stands at INR7,045 crores.
Now moving to the key business highlights for the quarter. As Vikram Ji mentioned earlier, one of the key positives for us has been the strong customer acceptanc e of our new launches across priority segments, supported by high -impact marketing campaigns for the HF Deluxe Pro, Splendor, Glamour X, Destini 125, VIDA VX2, all of which have witnessed strong customer demand.
Starting with the entry segment. This marks the fourth consecutive quarter of market share expansion led by the HF Deluxe Pro, which accounted for 20% of HF retail volumes in January '26. In the Deluxe 100cc category, our focus continues to be on reinforcing our leadership position with Splendor. D uring the quarter, we achieved a market share of 91%, the highest level since financial year '18.
In the Deluxe 125cc segment, we are witnessing market share gain driven by both Glamour X and Xtreme 125R with the dual channel variant. The Glamour X campai gn launched in January '26 helped in retail grow th of 70% year -on-year and the G lamor portfolio market share is now at its highest level in the last 8 quarters. For Xtreme 125R, the dual channel variant accounted for more than 35% of retail volumes in Janu ary '26.
Moving to ICE scooter segment. Our market share has increased to close to 7%, supported by new launches in Destini and Xoom portfolio, which contribute now to greater than 50% of our scooter volumes. In the premium category, we continue to elevat e customer experience through the scale -up of Premia stores. We now have 106 Premia stores by the end of December '25, covering more than 50% of premium industry footprint.
In the EV portfolio, market share for VIDA expanded by 6% year -on-year to 10.8% in quarter 3 financial year '26, led by the recently introduced VIDA VX2 portfolio. ASP and unit economics improved further during the quarter, resulting in investment of INR208 crores versus INR252 crores in the previous quarter. We now hold over 20% share in 28 towns, 10% in 79 towns, and we are among the top 2 players in 37 towns, a clear testament to the growing strength of our VIDA brand.
Our global business volumes grew by 41% year -on-year and market share of 7.5% was up 100 basis points year -on-year. We continue to gain market share across key markets with the premium portfolio contributing 40% of total global volumes. I'm also happy to share that Hero MotoCorp was recognized as an ESG leade r amongst automobile companies by NSE Sustainability Rating and Analytics Limited.
Moving forward, our journey of investment behind growth will continue. We remain consistent in our commitment towards investing in premium, scooters, EV portfolio, global b usiness and to improve customer service in store with Hero 2.0 and Premia. We remain confident about the



growth prospects of the 2 -wheeler industry and expect the industry to grow by double digit during the current quarter.
The current demand trend is broa d-based across our portfolio and with new product launches supported by investment behind brand building, we expect to grow ahead of the industry. Thank you. On this note, let me open the floor for Q&A. Over to you, Umang.

Umang Khurana: Pari, we can begin with the Q&A.
Moderator: The first question is from the line of Gunjan from Bank of America.
Gunj

an: Best wishes to Mr. Harshavardhan for the new role. We hope to hear from you as you settle down. My first question is to Ashutosh. I think Ashutosh, just t rying to understand, get more insights on what you've seen on ground in terms of the growth between urban, rural, maybe a little bit more color on entry segment, how we are seeing that?
And maybe just taking this a little bit further, we did see a lot of s eesaw in volumes, right? I mean, October, November were great, December saw some tapering off. Just give us some sense how do we think about directionally growth -- this volatility from 1 month to another. some color on those points?
Ashutosh Varma : Hi Gunjan how are you? Hope you're doing well. Nice to hear from you. So overall, from a growth perspective, if you would see the rural versus urban, really the GST has given the market a big unlock, both the segments are growing -- both the regions, I m ean areas are growing very strongly. Clearly, urban has more things going their way with income tax coming in and the benefits of income tax coming in and that started growing.
We've seen that moving a little faster than the rural, though in rural, we saw in the festives, them peaking the peak. I mean the kind of response that we saw from the rural markets coming in, it was far better than what was expected. We also expect that as we see the wedding season unfolding from February onwards, some early festive s that set in from March, we expect quarter 4 also to be strong -- the later part of quarter 4 also to be very strong from a rural perspective.
I mean, you specifically mentioned about the volatility that we saw in quarter 4. I mean I would -- sorry, quarter 3, I would say, I mean, these times, the festives were a little early as compared to last year. So that has to be taken into account. But ove rall, from a quarter 3 perspective, the growth has been very robust. And we continue to see that kind of momentum moving into quarter 4 as well. I mean January also was a high double -digit growth for the industry as for us, and we expect this momentum to c ontinue as we move into quarter 4 -- deeper into quarter 4.
Gunjan: Any thoughts on how we think about F 27 now? I mean quarter 4, of course, you did guide, but anything on F 27 growth outlook?
Vivek Anand: Gunjan, Vivek here. Yes, I think if I -- buildi ng on what Ashutosh said, I think quarter 3 and quarter 4, we are seeing a good momentum. I think the industry overall, as you know, has been growing double digit in the last -- since, I'd say, October. We expect the same trend to really continue as we get into the next year. And however, right, as we get into second half of next year


because of high base, we see some moderation in growth. So overall, the industry for the next financial year is likely to grow in high single digits.
Gunjan: Got it. And my se cond question Vivek, to you is on the commodity side, we have clearly seen inflation in some of these metals, right? Can you help us just understand what was the commodity hit that sort of reflected in quarter 3? Any color on how much more to go in quarter 4? And if you guys have taken any pricing action or mitigation to these commodity headwinds?
Vivek Anand: Yes, Gunjan. So you are right, we are seeing inflationary trends. We've seen the prices of aluminum, precious metals going up starting last quarter. We've also seen some forex impact again starting last quarter. So your first part of the question was how much is the impact coming from the commodity in the previous quarter was approximately 40 to 50 basis points. That's what I'll say. Are we seeing simi lar trends during the current quarter? Yes, the answer is yes, we are seeing the prices continue to rise during the current quarter as well.
In the start of the year, we've already taken 1 round of price increase to mitigate the impact,
Gu

njan, right? And I'll say we are monitoring the situation very closely and are taking proactive steps to ensure financial resilience, right? I also would like to add that the market conditions are strong, and we'll be taking adequate price increase if required during the quarter.
Gunjan: And how much was the price hike? And I'll just join back the queue after that.
Vivek Anand: Yes. The price hike we've taken in January was INR300 is what we've taken from 1st of January per vehicle, INR300 per vehicle.
Moderator: The next question is from the line of Chandramouli from Goldman Sachs.
Chandramouli: Welcome on board, Harshavardhan. Best wishes to you in your leadership journey at Hero. I have 3 questions. First one is just around the electric two -wheeler business. So it looks like we've been closing the gap in terms of registration growth versus the industry over the past few quarters, but electric two -wheelers, there's stil l some amount of under -indexing?
I just want to understand our peers have launched sub INR1 lakh electric two -wheeler products and when we can expect that from Hero? That's the first question. And then I have a follow -up

on channel stock and the Destini product, which I can ask later?
Kausalya Nandakumar: Chandramouli, Kausalya here. Good morning , and wishing you a happy New Year from all of us. Thank you for your comments. We are also buoyant by the impact that the EV portfolio is having at VIDA. We do see a strong customer demand for the newly launched VX 2 series, which we launched in the middl e of the second quarter.
We are quite happy with the response that we are getting. We have a range of variants offered in the product portfolio, some of which are at a competitive price point, which is in the mass segment below INR1 lakh. And we are cateri ng to different customer needs across the spectrum in terms of feature stacking and value laddering.


So we do have a portfolio. We also launched an innovative product, which was the Battery -as-a-Service offering. This improved affordability of consumers w ho are looking to own an EV and help them to kind of bridge that barrier between affordability and actual desire to own a high -tech product.
So between the combination of having a set of variants in the sub INR1 lakh bracket as well as having Battery -as-a-Service as a new offering to consumers who are looking to own an EV, we have been able to give consumers a wide range of choice. So we do have a portfolio, and we look to keep taking in consumer inputs and insights in order to drive our portfolio expansio n as well.
Chandramouli: Got it. That's helpful. Second question is just around channel stock. So I think with the volatility around wholesale a couple of months last calendar year, it looks like the channel stock at Hero is still a little lower. So I just wanted to get clarity on where we are right now on channel stock? And as you head into the marriage season over the next few months. I just want to understand where you'd look to take that?
Ashutosh Varma: Chandra, if I got your question right, you wanted to know as to where our channel stocks are and how it's been moving, right?
Chandramouli: Correct.
Ashutosh Varma: Yes. So I mean we've seen a very strong retail momentum this year , I mean, channel stocks, if you look at the movement, and that's for everyone to see the difference between wholesale numbers and what is appearing on VAHAN , you would see that we have significantly reduced our channel inventory this year. And we are very judicious in terms of planning. So we know that as we move forward into quarter 4 and next year quarter 1, which we expect to be extremely strong, we will adequately be planning the channel inventory.
Chandramouli: All right. That's helpful. And just lastl y on the Destini, I think it's gotten off to a pretty decent start after

the refresh. We've had episodes in the past 6, 7 years, where you had refreshers of the scooter portfolio, you had new launches on the Xoom portfolio. And after this initial wave of euphoria, sometimes those numbers start to moderate a little bit. So this time around with, I think, this renewed push on the Destini, is there anything different? And then what are you planning to do to make sure you sustain these numbers and then potentia lly grow off that base?
Ashutosh Varma: So I mean, it's a great product, and we've seen the consumer response across markets. I mean, our portfolio in Destini since we have launched the product continues to swell. I mean more recently, we have launched ano ther variant, which is Destini 110 that augments the entire portfolio. From a feature perspective, it has 12-inch wheels, a very large floor board. It's excellent in terms of mileage. These are the things that are being appreciated by customers a lot more.
We have seen very strong response coming in from our West and South markets, where we have over-indexed. There are a lot of actions that we are doing in terms of our campaigns also being hugely appreciated. So we expect this momentum to continue. Of co urse, we are also aided by


the overall traction that the scooter industry is facing, but we're very confident that we'll continue to outpace the industry growth.
Moderator: The next question is from the line of Amyn Pirani from JP Morgan.
Amyn Pirani: Welc ome to Mr. Chitale. Hope to hear more from you in the coming weeks and months. My first question is actually on a topic, it doesn't get discussed very often, is your exports. Now obviously, from a very low base, this number has been growing at a very sharp clip over the past several quarters and it is start ing to become quite significant?
So any color you can give as to what geographies are emerging as important for you? Any broad

mix? Any specific regions or countries that are doing well for you? And how should we think about this ove r the next, say, 1 to 2 years?
Harshavardhan Chitale: Thank you, Amyn. Thank you for your best wishes. This is Harshavardhan. So as you know, we are very big in Bangladesh. We are, in fact, the market leader. Despite all the geopolitical issues that the country has faced, we continue to do well and gain share, and we do see good momentum there. We have also done very well in Colombia, massive growth and big share expansion. And still, there is a big headroom for growth. Be tween us and #1 there, there is still 700 basis points available. So I think that's also a big headroom for growth that we are working on.
We have, last quarter, introduced products in Europe. We have also opened up new Latin American countries, and we ha ve also opened up new dealerships and partnerships in both West Africa and in North Africa. So Africa, Latin America, new expansion in Europe, all continue to be opportunities for us. We have also started, on a low base, our presence now in Philippines.
So as you rightly said, global markets is a big area of focus. And while we are expanding rapidly, there is still a big headroom for growth, and we are focused on that.
Vivek Anand: Yes. Thanks, Harsh. And Amyn, let me com e in. I would like to add a supplem ent to what Harsh said. So I think you're right. I think YTD growth this year has been almost 50% for global business. And really what is really driving this growth, the couple of things I certainly want to call out. I think, first of all, it's the 80/20 s trategy of focusing on top 10 markets, which is really doing well.
Some of them, Harsh talked about, I think in 3 of the top 10 markets, we now have share more than 10% and growing fast. Our new products, which we've launched across the markets are doing v ery well. Some of them Hunk 125, Hunk 160, 250, Xoom 110, they continue to do well and have got very

good response from the market.
I'm also happy to say that the premium product contribution in the global market stands at 40% of global business volumes. Our products in the global markets have now been designed suiting the specific market conditions and customer requirements.
So that's really driving the offtakes in those respective markets. And last but not the least, we continue to invest in customer ser vice in those markets. I think all these actions combined are seeing a strong growth not only this year but in years to come.


Amyn Pirani: This is very helpful. And Vivek, since I have you right now, I just want to understand this interplay of commodity and pricing because there is a worry within the investor group for autos in general, that since GST has been a key driver of growth, if companies have to increase prices to now offset commodity, would that be a dampener?
So my question here really is, a, do you agree with that worry? And b, given that growth is strong, would it be fair to say that operating leverage itself can take care of a lot of these commodity challenges and the price hikes required may not be substantial? Just wanted to help -- get yo ur help on understanding that.
Vivek Anand: Yes. Amyn, I think good question. I'll say this GST rate reduction has actually have taken the prices back to what it was 3 years back, right? So this 10% price reduction is a significant price reduction we are s eeing across product segments, right? So starting last quarter, yes, we've started to see some headwinds in the commodity space. Briefly talked about that it's not across. It's largely coming from aluminum, precious metals and currency, right?
So now the way we really look at it is that we've been -- we have taken a price increase in January, right? So price increase is just not only a lever to really manage any impact of commodity. We continue to look at our cost saving programs which we call i t LEAP savings, we continue to improve our mix. And of course, the operating leverage, which is the big driver we have in terms of mitigating any currency and commodity impact.
So we continue to really work on all of that. But specifically coming to the p ricing I think if I also look at today, based on the growth trends we are seeing, we are seeing market conditions are strong. And I don't see any big concern in terms of really taking judicious price increase, right? And if required, I think we've seen acr oss the industry. I think everybody has been really doing that. And if required, I think that's something I don't see impacting our business going forward.
Amyn Pirani: Okay. That's good. If I can slip in one more question. Just going back to the comment o n the 125 cc traction, now specifically on Xtreme 125R, because we don't get to see the model wise retail, we can only comment on wholesale and there is a bit of lead and lag because of this GST change. It seems that the Xtreme 125R is having growth in spu rts, but then coming down as well?
And when we speak to dealers, there's also a sense that the product is popular, but there is not enough being done in terms of supplies. So just want to get a sense as to how should we think about the Xtreme 125R? And wh ere could the numbers go directionally over the next, say, few

quarters?
Ashutosh Varma: So Amyn, Ashutosh here, I'll take that question. So as far as the Xtreme 125R is concerned, the performance of that has really been consistent since the time we have l aunched it. More recently, we've introduced the -- sorry, the dual channel -- dual channel ABS that has come in, and it has received an amazing response. We have just started with it and maybe that's why you would hear some occasional feedback about some places where the inventory has probably not reached. But as we scale it up moving into quarter 4, you would see I mean, that doing far,

far better than what you would see from our current portfolio. Already the contribution, as Vivek said, has gone



up to a lmost one-third of our total Xtreme portfolio, and we expect that to move forward. This is a segment which -- the sporting sub -segment that largely developed post -COVID when we saw a lot of customers downgrading from 150 to 125cc.
And hence, a lot of featu res that 150 cc customers were largely looking at in this category and which is why we want to continue to add features in this category with ride modes, with ABS and want to keep it exciting. So we're confident. And as I said, the performance has been consistent, it'll only get better as we move forward with this new variant.
Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas.
Kumar Rakesh: My first question was around your Colombia subsidiary. So last year, we had taken impairm ent loss for that subsidiary. How is that business progressing now? And any investment, if there is, needed for that?
Vivek Anand: Yes. So Kumar, Vivek here. I think the business is -- this year has been one of the best years, I'll say, for the Colombia bu siness. The volumes have grown more than 200% in that business. We've improved our market share from 5% to 9%. And I am also happy to say the business has become now profitable, right? So the first 9 months, we've made a PAT of 5 million. So overall, if I really look at the health of the business, I think the volumes are growing by 200% market share, we've almost doubled and the business has become profitable.
Kumar Rakesh: That's very good to hear. My second question was around financing. So Hero FinCorp l osses have been increasing over the last 3 quarters. Do you see that becoming a bottleneck for the availability of financing for Hero MotoCorp? I'm asking this because our share of financing of total two -wheeler sales has been trendi ng down for the last 3 quarters?
Vivek Anand: So the simple answer is no, I don't see that as any concern. I think clearly, this quarter, again, the financing contribution coming from Hero Finance is almost 25%, which has actually improved quarter -on-quarter, right? So that's one. On the losses, yes, I'll say that HFCL has strong plans to increase the secured lending.
They've already moved it from 61% to 68% and the plan is to really take it to mid -70s next year. There are plans to bring down the credit cost, and there is a clear action plan to improve the collection of efficiency. So hopefully, we'll see them getting into green next year.
Kumar Rakesh: And once that entity gets listed, do you see any change in the relationship of how you currently have access to financi ng through that entity? Or the criteria that currently are being used to access the customers?
Vivek Anand: I don't see any change, right? So in any of the criteria. I only see it becoming more strengthening. So possibly their share of business with HMCL s hould only grow post listing.
Kumar Rakesh: Just one clarification. The data which you share in key highlights the LEAP saving, 120 basis points in this quarter you have spoken about. That's a very high number. But as an analyst, how should I be looking at that number? Because quarter -on-quarter, the margin has contracted. So there seems like 150 basis points sort of a headwind is there against all the LEAP savings, which



was there. So if you could share the entire margin bridge or how that data is getting calculated and what -- how to best use that or analyse that data?
Umang Khurana: We'll take it offline. We'll take it offline, Kumar.
Moderator: The next question is from the line of Kapil Singh from Nomura.
Kapil Singh: Mr. Chitale, best wishes for the ro le. My question is to you in terms of strategy going forward, how would you like

to operate? What I'm trying to ask is, are you looking to gain market share across segments? Or are there specific segments where you will be much more focused? From a margin perspective, what are your views? Do you feel that margins should rise further from current levels or the zone in which we are operating are fine? So just some thoughts o n the strategy would be helpful?

Harshavardhan Chitale: Thanks, Kapil. Thank you for y our best wishes. As I mentioned briefly in my opening remarks, we are very clear on -- as a company on where is the headroom for growth. And if I were to look at different categories between entry, premium, scooters, EV, parts and exports, if you look at these 6, other than premium, I think we have gained share and significant share actually in each of the other categories in Q3 itself.

Our challenge is that in some of the categories that are higher growth categories right now, like scooters, EV, exports, a s some of you on the call highlighted, while we are doing well, we are still underrepresented. And that's also an opportunity for us. And that's exactly where we are going to focus on.

How do we outgrow the market in these categories where we are relative ly underrepresented and are now seeing great momentum. So that's strategy #1. Second, we also spoke about how we are rapidly now expanding in global markets. Almost 50% growth Vivek spoke of. And I think still there is a big headroom there. So we are expan ding building capacities and channels into various countries there. That's number two.

Third, which is I think we are uniquely positioned in terms of our vehicle park size in terms of vehicles on the road. We have the highest number of vehicles on the road, having been the leader for over 2 decades in the country. And that's a big parts busi ness opportunity. While we -- it has grown 8% last quarter, I think still there is a big headroom for growth. And I think that's something that's extremely profit accretive, as you know. So it also creates us -- gives us the war chest needed to invest in o ther growth areas.

So I think these higher growth categories, exports, parts business is where we are going to remain focused. And an enabler for that is going to be getting our supply chain and capacities bolstered. In fact, as one of the earlier speaker or the question that we had, was around, is your Xtreme 125R facing supply challenges? I mean some of these are happy challenges to have because if you have a common platform between exports, which is growing at 51%.

And then domestically also Xtreme is doing well. You have those supply bottlenecks to resolve. So team is identifying each of these capacity enhancements needed by model, and we are also getting that quickly actioned. Did I answer your question, Kapil?



Kapil Singh: Just your thoughts on t he margins also, if you can add?

Harshavardhan Chitale: On the margins, I think with the growth, we will get overhead dilution, and we will see expansion there. And as Vivek answered earlier, we continue to look at the equation between commodity cost -- commodity and FX impact versus pricing. And the net impact is actually a fraction of the benefit that the markets saw out of GST. So we don't see the price increases to mitigate some of the cost increases net of the savings that we get is material to impact any demand. So we will hold the margin.

Kapil Singh: And second question, just a little breakdown in the growth outlook that we have given. Between the different segments following the GST cut, where should we expect higher growth? Do you expect entry and executive segments to also grow when you're talking of high single -digit growth, how should we break it down between the different segments?

And if you have any observations on why scooter growth has been much higher than the motorcycle growth? In fact, we have crossed a pre

-COVID level over there, but not in case of motorcycles. Any thoughts on why the market is evolving this way? And will it continue to be like this?

Harshavardhan Chitale: So it's gazing into crystal ball, but when the industry looks into it, if you look at the macro trends in the country, urbanization, city is getting congested and more and more women also coming into workforce, gig economy growing. I mean you start adding all of that together and all of those macro trends are favoring sc ooter expansion.

So if these macro trends continue, which, as an industry, everybody is expecting it to continue, I think scooters may have higher growth rate going forward versus motorcycles as well. And hence, our focus that we need to really grow much, much faster here and be a bigger player in this category.

Vivek Anand: Yes. And just to add, I think if I look at the trends in the last 4, 5 months, I think we are seeing a broad -based growth. We are seeing growth across all the segments. Yes, some segmen ts are growing faster than the other, right? I think we expect the same trend to continue as we get into next year.

Harshavardhan Chitale: And even on motorcycles, what's heartening to see is across segments, we see growth. For example, after many years, w e also saw very strong growth in entry and core. I think it was, I think, the impact of GST and that tailwind is continuing. And as the income levels go up, we

also see the premium category continuing to grow. So actually, there is a tailwind for different reasons across different categories.
Vivek Anand: Yes. And also, I think we are seeing rural coming back, so that will have a direct impact on the pace of growth in the entry and de luxe segment. We are seeing some very strong growth in the EV segment, rig ht? So as I said, it's broad based, right? So growth is across all segments. Some segments are likely to grow faster as Harsh said, scooters, both ICE, EV and premium we are -- we expect a faster growth than the rest of the categories. But overall, growth across all segments.
Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.


Mukesh Saraf: My first question is with regards to your supplier base. We're hearing from the ecosystem in general of late that Hero is looking at some k ind of a rejig or some kind of restructuring of its vendor base, supplier base. Just want to understand, is there anything that you'd like to kind of highlight here? Or , is this just kind of a process that you envisage ongoing kind of a process? So some comments there would help?
Harshavardhan Chitale: So there is nothing specific. There could be 1 or 2 suppliers who might have commented. So if we don't know where the comment comes from. But in general, as I mentioned in my earlier comments, we have one of the best supplier relationships and in fact, as a process, we do want to increasingly work closer with them, co -development, early involvement in development and also in capacity planning.
As we are growing now seeing rapid growth in some of these high-growth categories, be it EV our export, portfolio, scooters, there's a need to also do a lot of capacity augmentation even at a supplier end and we are working very closely with them. So there is no specific rumbling or issue that we've come across.
Mukesh Saraf: Got it. Got it. Understood. And just an update on the ABS regulation. Anything that the Ministry has now kind of given you any revised possible time lines on this?
Harshavardhan Chitale: So as an industry and as a company, I think we are all v ery committed to road safety. In fact, for us, we take pride in saying that our motorcycles and scooters are the safest. So as an industry, Siam has been working very closely with the government on various options to make different vehicles safer. And we c ontinue to engage. There are different

options being discussed -- and
we are awaiting further guidelines, if any, when they come. But we will be ready to fulfil those guidelines, whichever guidelines come.
Mukesh Saraf: Right, right. But there's no indicat ion of a possible time line as yet?
Harshavardhan Chitale: No, there isn't.
Mukesh Saraf: Right. and just lastly, again, I think one of our EV models is approved under the PLI. Any further update there on further new models getting added to that list?
Kaus alya Nandakumar: Yes. Mukesh, thanks for the question. Yes, we do have one model that was approved under PLI, and we continue to thank the government for their support on the production -linked incentive.
There is a strong momentum within the VIDA team to b uild more models which meet the criteria and become eligible and you should see progress there as well. It is the commitment from our side to continue to focus on improving our domestic value addition across the portfolio.
Moderator: The next question is f rom the line of Arvind Sharma from Citigroup.
Arvind Sharma: The first question would be if you could throw some light on your model pipeline, EVs and ICE. If not, the actual models, at least what's your strategy in terms of new nameplates and refreshes going forward?


Harshavardhan Chitale: Arvind, could you again repeat the question, the model pipeline for EVs, is what your question is?
Arvind Sharma: Sir, both EVs and ICE. And if not the actual models, just your strategy on new nameplates as well as refreshes/variants.
Kausalya Nandakumar: So Arvind, I'll go first. On the EV portfolio, you would be aware that in this year of F '26, we launched our now flagship model VX2, in the month of July. And we also have been launching variants under this brand plate in F '26 in order to improve the portfolio availability across range and feature comparative. We will continue to get insights into customer needs and you will be able to see t hat customer requirements being plugged into the portfolio going forward.
We now have a family of product offerings under the VIDA range from the V2 to the VX2 catering to the different customer needs. So there are multiple variants that you have seen this year along with the flagship launch of VX2.

Ashutosh Varma: Arvind, I will just supplement from the ICE perspective, I mean, if you look at our launches over
the last couple of years, we've had launches in almost every category. We have largely covered
the entire white space that was covered in the industry. While there will be refreshes and
upgrades going forward, but our task is here clearly cut out in terms of growing what we have
just launched and which we'll be investing and doing it.
Arvind Sharma: Second question is more a number question. If you could share your EV revenue and the losses,
have you shared the implied ICE margin, but if you could enumerate the EV revenue and the
losses in the EV business?
Vivek Anand: Yes, we can take it off -line, but I covered that in my opening, just give me a sec, right? So this
quarter, our EBITDA investment was INR208 crores for the quarter.
Umang Khurana: Arvind, I'll come back to you. We'll take it off line.
Vivek Anand: Yes. The revenue also, I can tell you, qua rter 3 revenue was INR450 crores, right? So yes. We
can quickly share details off -line.
Moderator: The next question is from the line of Yash Agarwal from Nirmal Bang Securities.
Yash Agarwal: The export growth has been really strong from last 3 quarters, I just wanted to understand, was
there any impact of increase in tariff rate in Mexico currently and going forward?
Harshavardhan Chitale: So Yash, there is no impact because we actually have a localization. So we have a benefit, in a
way, being relatively late entrant on export, we are not so globally integrated that you just ship
full vehicle from one place. And our a

pproach has been actually more local -for-local localization
partnerships. So we do have that in place in Mexico. So we did not see an impact .
Yash Agarwal: And the second question is like what has been the response to our Hero Corp models in the
Europe like Hunk 440, Xpulse 200? And what is the midterm expectation for the Europe
contribution to overall export sales?



Harshavardhan Chitale: It is just too soon. We just introduced last quarter. Secondary sales have started in all of those
models in all those countries, but it's just too soon to give an indication.
Moderator: The next question is from the line of Raghunandhan from Nuvama Resear ch.
Raghunandhan: Congratulations on strong results and wishing all the best to Mr. Harshavardhan. Firstly, for --
to Ashutosh Ji, on FY '27, in which customer segments do you expect better traction? Are you
seeing more demand on the first -time buyer side? How do you see the trends on rural, urban?
Any risks that you foresee for next year?
Ashutosh Varma: Raghu, I kind of touched on it on the previous answers, but let me just elaborate a little bit.
Overall, from an FY '27 perspective, we would see all segments responding well. We have seen
good unlock in terms of demand over the last quarter continues in this quarter, there is no reason
why it should not happen over the next year, of course, the first half of the year, and it will be a
little highe r.
Scooters, of course, are doing well. But as we see I mean, quarter 1, which is very heavy in terms
of marriages and then up to festives, we should see even motorcycles doing very well. We have
seen -- I mean, overall, the rural segment doing well, good harvest that happened. In fact, the
winter crop should start manifesting from quarter 1 onwards, and we expect this segment to do
well as well.
Raghunandhan: And how are you seeing traction, sir, from the first -time buyers? Has there been an increase in
this year?
Ashutosh Varma: Yes, I missed that. So from a first -time buyer perspective, we have seen I mean, for example,
what we saw in January, we have seen these customers inching from an average that we see of
close to around 75% to close to around 80 -odd percent. Again, as we were mentioning with the
GST unlock , we have seen a lot of first -time buyers coming into the category. This was one of
the reasons why we saw such a phenomenal response in the festive across the industry, and we
expect that, that wi ll continue as we move forward into quarter 4 and quarter 1 as well.
Raghunandhan: And secondly, to Kausalya. Ma'am, can you indicate for VIDA sales when we do channel checks
with dealers, dealers believe that they could sell more if they get enough supply, how do you see
the potential? And can you talk about the plans of increasing capa city going ahead? And battery -
as-a-service, what would be the contribution in sales as of now?
Kausalya Nandakumar: Hi Raghunandhan, thanks for the question. The VX2 success from consumer side has been quite
resounding. And we are very grateful for the con fidence that we have now gained in the market.
As you see for the last 6 -odd months, we have been consistently trending over the 10,000 mark,
and we continue to improve our ability to serve consumers and dealers alike. In due course of
time, they will be f ocused to kind of improve our ability to supply to the market.
And in terms of battery -as-a-service, this was a great opportunity for consumers, like I stated
before, to come into the EV ownership life cycle with a higher affordability index. So we do see
a lot of our inquiries and interest coming in from the battery -as-a-service even today, and that

continues to buoyant the overall EV adoption cycle. In VIDA, we also have another advantage that we have removable batteries.
This allows a

large segment of consumers who don't have necessarily access to a fixed parking and charging to also come into the overall funnel of EV ownership. So we do have both the strong levers and we'll continue to focus to improve adoption and penetr ation of EV. So that's the focus that we have right now in the VIDA team.
Raghunandhan: And when do you see this new capacity or for capacity expansion coming up?
Kausalya Nandakumar: So we are looking at F '27 as the year in which we would be able to see a marke d increase on this front.
Umang Khurana: That was the last question. To close off, strong growth on volumes, as you saw, substantial robust revenue growth of 21%. The PAT normalized grew at 20% as well. This was helped by our high ASP, both on ICE and EV. Of course, this comes in the 25th year of consecutive leadership. You've all seen the interim dividend getting announced. This was on the back of a strong festive season. VAHAN has been improving quarterly retails were the highest ever.
In core, a lot of you picked that up, rural market, fourth consecutive quarter of market share expansion, market share at 57%, which is up almost 4% in the core market as well, which has outpaced the industry. Deluxe market share, Splendor continues to be leading th e charge, impetus behind marketing campaign, a whole lot of our marketing campaigns. There is Glamour, there's Destini, there's Splendor is what you've seen.
The Deluxe 125, Glamour has gone on to increase , the Xtreme 125R, there was one of those questions , the dual channel as that came in, helped come up. In the meantime, we slowed down on the Xtreme supplies as those came by as well, and that's the growth that you're seeing. So in 125, you'll see both, Xtreme 125R and Glamour X as well. Highest ever qu arterly revenue of PAM that you saw.
In premium, the expansion to 106 stores already, which covers more than 50% of the market. Scooters are growing ahead of the industry, both in the 100cc and the 125cc. Destini is of keen interest as is as is Xoom. EV l eadership, Kausalya, just finished her commentary. We launched with the VIDA new models coming up. ASP and unit economics is improving there as well.
Strong global business performance, again outpacing the industry, a number of those.
Finally, on ESG, we' ve been recognized again as the best in the industry. Successfully, we have mapped initiatives against all 17 United Nations Sustainability Development Goals. Thank you so much for coming in. Happy to take your rest of the questions over the phone. Have a good day.
Harshavardhan Chitale: Thank you.
Kausalya Nandakumar: Thank you.


Moderator: On behalf of Anand Rathi Shares and Stock Brokers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: May 2026

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May 11, 2026

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Sub ject : Transcript of Earnings Call for the quarter and fin ancial year ended March 31, 2026

Dear Sir / Madam ,

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) , Regulations 2015, please find attached the transcript of the earnings conference call held on May 6 , 202 6, for the quarter and financial year ended March 31, 202 6.

This is for your information and further dissemination.

Thanking You,

For Hero MotoCorp Limited

Prabhat Singh
Company Secretary & Compliance Officer

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“Hero Moto Corp Limited
Q4 FY '26 Conference Call ”
May 06, 202 6

MANAGEMENT : MR. HARSHAVARDHAN CHITALE – CHIEF EXECUTIVE OFFICER – HERO MOTOCORP LIMITED
MR. VIVEK ANAND – CHIEF FINANCIAL OFFICER –

HERO MOTOCORP LIMITED
MR. ASHUTOSH VARMA – INDIA BUSINESS UNIT, CHIEF
BUSINESS OFFICER– HERO MOTOCORP LIMITED
MS. KAUSALYA NANDAKUMAR – EMERGING
MOBILITY BUSINESS UNIT, CHIEF BUSINESS OFFICER
– HERO MOTOCORP LIMITED
MR. SARTHAK SIKKA - INVESTOR RELATION S – HERO
MOTOCORP LIMITED

MODERATOR : MR. ANIKET MHATRE -- MOTILAL OSWAL FINANCIAL
SERVICES LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to the Hero MotoCorp Q4 FY '26 Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the confere nce over to Mr. Aniket Mhatre from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Aniket Mhatre: Thank you, S wapnali. Good morning, everyone. Welcome to the post results conference call of Hero MotoCorp. I would like to thank th e management team of Hero MotoCorp for giving us an opportunity to host this call.

I will now hand over the call to Sarthak from the Investor Relations team of Hero to take this forward. Over to you, Sarthak.

Sarthak Sikka: Thank you Aniket and S wapnali. Good morning, everyone, and welcome to our earnings call. With us on the call today, we have Mr. Harshavardhan Chitale, our CEO; Mr. Vivek Anand, our CFO; Mr. Ashutosh Varma, who is the Chief Business Officer of the India Business Unit; and Ms. Kau salya Nandakumar, Chief Business Officer of the Emerging Mobility Business Unit.

We'll begin the call with opening remarks from Harsh and Vivek followed by a Q&A session.

And with that, let me hand over to Harsh.

Harshavardhan Chitale: Thank you, S arthak. And good morning, everyone, and welcome to the Hero MotoCorp's earnings call. I'm sure that by now, all of you must have seen our strong Q4 and fiscal year 2026 results. FY '26 was a very strong year for us, where we delivered our highest ever topline and bottom line, while maintaining our leadership as the world's largest 2 -wheeler manufacturer for 25 consecutive years.

In the previous investor call, I spoke about opportunities that exist in the fast -growing segments of the 2 -wheeler industry, wher e we are relatively under -indexed, where we are relatively underrepresented. And I also spoke of how we are focusing on them with a clear objective of rapidly gaining share in each of them. It's heartening to see the results already coming through. And in these focus segments, we have seen advancement in last quarter.

In scooters, we saw 48% growth year -on-year. In EV, our EV scooter volumes expanded 2.5x over the previous year. And our global business, wholesale or dispatches saw growth of 41% year-on-year. Even in the premium categories, as you all know, we have partnership with Harley - Davidson for a certain range of motorcycles and our Harley -Davidson range of bikes that we sell or make and sell grew 26% year -on-year.

What's also important to note is thi s is not just dispatch growth. Our retail performance actually outpaced dispatch growth. And what that means is channel stock came down over the year, and we are entering next year with much more healthier channel stock levels.



We continue to strengthen our portfolio in FY '26 with 9 impactful launches and multiple key refreshes, both in our ICE as well as EV portfolio. You all have probably also seen our 6 high - impact marketing campaigns, and one of them is already going on right now, which is around our Xoom scooter portfolio.

Combined with these high -impact launches that we did last year, we have now filled critical white spaces, both in our motorcycle as well as scooter lineup. All of this translated into market share gains across 100cc, 110cc , ICE and EV scooters, global business , and as I mentioned, even in the Harley -Davidson range, the 400 to 500 cc range where we play. In Deluxe 125 segment, we did have a dip in the very first quarter of

last financial year. But thereafter, for 3 quarters,
we've been gaining share quarter after quarter. Going forward, our investments in these growth segments will continue. We are investing in capacity expansion, and we have committed over ■1,500 crores of c apex in FY '27. An d this c apex is going to expand our capacity in scooters, where for some of our models that are doing very well, we are doubling our capacity.
In EV, in fact, in a matter of a month, we would double our capacity from where we started last year. And then fu rther down the road in a few quarters, there will be further doubling of capacity as we are seeing great momentum for our VIDA brand. We are also making significant investment in building up a second parts center, which is going to help in further expansio n of our parts and accessories business. So we've committed over ■700 crores of investment in building out a global parts center in South of India.
Second kind of investment that we are going to continue doing is in brand building. Last year, just to call out, we increased our advertising and promotion spend by 22%. So while our overall costs were controlled and you saw its impact on our EBITDA expansion in the year, despite that cost control, we had a significant brand -building investment that we did last year, and we would continue to do so this year as well.
Third major investment that we'll be focusing on this year is new products. In addition to 9 launches that we did last year, you should expect from us this year many new exciting launches, both i n our VIDA brand, in our premium ranges and also in scooters. So we continue to have new products coming in quarter after quarter and stay tuned for that.
Fourth area of investment that we are driving and as an organization, it's a priority for us is on technology. We are committed to our continuous investments in low -emission powertrains, be it for electric vehicles or also for flex fuels, different blends of ethanol. We are also making investments in making more and more of our vehicles now connected. Already all of our electric vehicles and premium range of motorcycles and scooters are connected and over 3 lakh of 2 -wheelers that are on the road today are connected to our cloud platform, where we can monitor their performance, give rider guidance such a s turn -by-turn navigation, diagnostic information.
And we are also continuing to make investments in digital technolog y. You will be glad to know that we are now increasingly leveraging Gen AI for improving our customer conversion in our customer -facin g platform and also in reducing our cycle time of development.
All of you must have also heard about new appointment that we announced yesterday, which is that of our new CTO, Mr. Sachin Agrawal, who would be joining us later this month, and he


brings wit h him 29 years of experience in automotive R&D and technology leadership. I'm confident that under his able leadership, Hero MotoCorp will accelerate its R&D transformation and build additional differentiated future -ready technologies.
While we are all focused on these growth drivers, we remain mindful of the evolving macro environment. As FY '27 begins, the broader economy is navigating certain short -term uncertainties due to the developments in West Asia. That has impacted the entire industry in terms of commodity costs, be it cost of metals, cost of gas or in the recent past, also we've seen an increase in certain labor costs. Despite all of these headwinds, I'm pleased to report that we navigated our supply chain with no disruption at our plants as well as our suppliers, reflecting resilience and strength of our operations. On the demand side, 2 -wheeler sector has started the year on a positive note, continuing the momentum that we saw in the second half of FY '26.
With this, let me hand over to Vive k

for a more detailed review of our quarterly financial
performance and then we'll throw the call open for Q&A.
Vivek Anand: Thank you, Harsh. Good morning to all of you. I would like to thank everyone for joining the call today. I'm pleased to report a st rong financial performance for Hero MotoCorp for the fourth quarter and the full fiscal year 2026.
Regarding our quarter 4 financial year '26 performance, the company achieved its highest ever quarterly revenue of ■12,797 crores, representing a 29% year -over-year growth. This top line momentum contributed to robust operational results with EBITDA reaching an all -time high of ■1,856 crores, up 31% year -on-year and PAT reaching ■1,401 crores, up 30% year -on-year.
ICE business EBITDA margin in the quarter expanded by 100 basis points year -on-year to 17%, driven by pricing, LEAP savings and operating leverage. After taking into account the investments behind EV business of ■220 crores, the overall EBITDA margin im proved by 30 bps to 14.5%.
Coming to the performance in fiscal year 2026, we achieved highest ever revenue, EBITDA and PAT. Revenue stood at ■46,830 crores, growth of 15%. EBITDA ■6,871 crores, growth of 17%

and PAT ■5,268 crores, growth of 14% y ear-on-year. The ICE business EBITDA margin in financial year '26 expanded by 90 basis points to 17%, driven by pricing, LEAP savings and operating leverage.

After taking into account the investments behind EV business, the overall EBITDA margin improved b y 30 bps to 14.7%. Additionally, the average selling price in the quarter increased by 3% quarter -on-quarter across the product segments. I'm happy to inform that the Board has declared final dividend of ■75 per share, taking the total dividend in finan cial year '26 to ■185, our highest ever dividend. With this, we maintained our consistent dividend payout of 70% plus.

Our focus on cash management resulted in strong cash flow from operations, which stood at ■9,395 crores for the full year '26, an increase of 80% year -on-year, driven by working capital improvements.



While operating momentum remains strong, the industry is currently facing commodity headwinds that began in March. We expect a transitionary impact on margins in the short term and are m itigating this through calibrated price increases and an accelerated LEAP saving program.

We remain committed to our medium -term margin guidance of 14% to 16%. Looking ahead, we will continue to invest in capacity expansion, brand building and our premium , scooters, EV and global business portfolio. We also remain committed to enhancing customer service through Hero 2.0 and Premia. We are confident in the growth prospects of the 2 -wheeler industry and anticipate high single -digit growth during the current f iscal year. With resilient demand and upcoming product launches, we expect to grow ahead of the industry.

Thank you. And I'll now turn the call over to Sarthak to open the floor for questions.

Sarthak Sikka: Thank you. We can start with the Q&A.

Moderator: We will take the first question from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Hi team. Congrats on a good set of numbers. My first question is on your volume outlook. Could you share your thoughts on motorcycle industry v olume outlook that you expect and for yourself also for FY '27? And which will be the key models driving that growth?

Harshavardhan Chitale: Thank you, Binay. Thank you for your question. As Vivek mentioned, industry expects high single -digit volume growth in FY '27. And it's a combination of both growth in motorcycles as well as scooters. Having said that, we do expect scooters to grow a couple of points more than motorcycles. So high single digit with a little less motorcycle, more in scooters. And lookin g at our success of some of the new launches and the plans ne

xt year, we do plan to outgrow industry both in motorcycles as well as scooters.

Binay Singh: Any key models to watch in that, which will drive the motorcycle growth for you?

Harshavardhan Chitale: So we do have multiple launches planned. I would not like to give out information ahead of our launches. But you should expect launches across commuter, various high displacement bikes, different ranges of high displacement bikes. And y ou should also see some great launches coming from us in VIDA. I would not like to give specifics before the launch for competitive reasons.

Binay Singh: Okay. And secondly, in the opening remarks, you talked about headwind both on the wage side and the co mmodity side, and we are seeing aluminum almost, I think, all -time high today. Could you help us think that in the next few quarters, what is the quantum of headwind coming your way? What is the price hike taken? Are you hedged on some of these key commodi ties? Like how should we think about the margin bridge in the next few quarters from where we are?

Vivek Anand: Yes, Vivek here. So I think it's difficult to give a number, Binay, let me start with that because things are evolving as we speak. Things are changing really, very, very fast. But at an industry level, we are -- as you rightly said, we are seeing commodit y headwinds, which started in March,



right . So we expect that there will be a transitionary impact on our margins in the short term. And as management, we are doing whatever it takes to really mitigate the impact of that, which includes taking calibrated price increases and also accelerating our cost saving programs, right . But in the medium term, we are committed to our margin guidance of maintaining 14% to 16%.

Harshavardhan Chitale: And Binay, I think the reason we can't give any specific number, as V ivek said, is it's literally changing every day. Every week, if you see the volatility and hence, picking to any number would be taking a shot in the dark.

Binay Singh: But just for FY '27, do you think you'll be able to maintain this range that you've giv en, 14% to 16%?
Vivek Anand: See, again, we are certainly committed to that. But as I said, the way things are evolving, it's difficult to really commit at this point in time that how the full year is going to be. But what we can certainly talk about is th e interventions, what we are really doing, right . So we are certainly -- as I said, we've taken a calibrated price increase in April, right .
We are closely monitoring the market conditions. And if there is an opportunity, we'll try to cover up more durin g the quarter and in the times to come. Right. But certainly, internally, we have accelerated our cost savings program.
We are really looking at postponing some of our discretionary spends, cutting down on our discretionary spends to just make sure that to whatever extent we can mitigate in the short term.
As a management, we are doing whatever it takes to mitigate.
Binay Singh: And just lastly, on the EV losses, quite sizable. Do you think they have peaked out? How to think about it in terms of it volume ? Do they start to inch down , any comments on PLI? Like how to think about this EV loss number narrowing as the year progresses?
Harshavardhan Chitale: We are still in the phase of building out our EV portfolio. And we still have many new launches planned in the year and hence, significant R&D investments are happening there. As I mentioned, we are also in process of big capacity expansion on EV. So EV is still for us in a build -out phase because if you see just about 7% of 2 -wheelers in the country today a re EV. And there are many categories where EV penetration is very low. So it's still a build -out phase for us, and we are committed to continuing to do that build -out. Coming to the second question on PLI, maybe Vivek, you can giv

e.
Vivek Anand: You're ab solutely right. We are in an investment phase. But when I really look at our performance quarter -on-quarter, the EBITDA losses per unit is actually coming down, right, in each quarter.
Having said that, Binay, I just want to briefly talk about the 3 -pillar strategy we have in terms of making this business self -sustainable, right . So you talked about PLI. Let me start with PLI.
So I'm happy to share that we now have PLI for 3 products, right, which almost covers 60% of our portfolio, right . And we have pla ns during the year to go to almost 90% of our coverage.
And almost it translates to 13% of revenue as the benefit.


So you can work out that this could certainly help us in terms of achieving self -sustainability for our EV business. We talked about -- Hars h talked about scaling up the business because that's something really important for us to really -- as one of the levers to path to profitability. So we'll continue to scale up and invest in this business.
And the third thing I want to call out is the BOM cost reduction. So we are working aggressively on driving efficiency, LEAP savings and better unit economics for our new launches. So with all these 3 initiatives, right, we strongly believe that we'll continue to improve the profitability of this busines s quarter -on-quarter.
Binay Singh: If you could just end with EV revenue and losses for the quarter, that's it.
Vivek Anand: Yes. Binay, we'll possibly take this offline separately with you.
Binay Singh: Okay, yes. Okay. Thank you, team.
Moderator: We will take the next question from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Yes. Hi. Thanks for taking my questions. Just continuing on the margin question that Binay asked, could you talk about the price hikes taken so far since the beginning of this year? And also, is it fair -- could you also share in the sense that all the price hikes that we have taken, does it largely cover for where the commodities are right now or it covers 50%, whatever is there some thoughts that you can share what is the offset that we've already managed through the price hikes taken?
Harshavardhan Chitale: Yes. Thank you for the question, Gunjan. So the price hike that we've taken is close to 2% - varies by different model, but approximately , say, 2% of the sale price. Commodity and the labor cost and the fuel cost increase is far higher than that. It's in high single digits, and it's changing day by day. So the price hike as of now does not cover fully the BOM cost increase.
Having said tha t, the other mitigating factors that, as Vivek talked about, is a BOM cost reduction through our value engineering concept saving kind of programs, some of the offsets that we are also getting through reduction in discretionary spend and volume leverage. S o there are offsets through other things, but all of these put together in the short term will still have a margin impact, which will be transitory, as Vivek mentioned. So it will not fully offset the total commodity impact.
Gunjan Prithyani: And just so m aybe I'm clear, what you mentioned is high single -digit increase that you mean is

high single -digit increase as a percentage of ASP or as a percentage of revenue. That's the way I should look at that number, right? 2% against maybe...
Harshavardhan Chitale : Great point. So 2% was on the revenue, on the sale price, but high single digit was on the BOM cost.
Gunjan Prithyani: Okay. Got it. That's clear. And the second question, just going back to the introductory points that you made on capacity ramp -up. Coul d you just refresh us where we are on EV capacity, e -


scooter capacity right now, where do we plan to take it through the course of the year and also on the ICE

scooters that is the Xoom and Destini portfolio? Because I think that's something that you all also spoke about in last quarter that we are facing capacity bottlenecks. So some refresh on the numbers will help on b oth e -scooters and ICE scooters?
Harshavardhan Chitale: Sure. So starting with ICE scooters, we increased our Destini capacity by 50% already. We are in process of doubling our Xoom capacity. So significant on both of them, as you can see. And on EV, we have -- we are close to completing an expansion, which will effectively get us 50% more capacity than the last quarter. So within a mont h, we'll be at a 50% more capacity than last quarter. And then additional few quarters down the road, we are in process of further doubling capacity.
Gunjan Prithyani: So we have a 60,000 -odd scooter volume run rate right now. Is it fair to say you're sort of working through a number which is closer to -- if you're saying doubling, this could be closer to 100,000. Is that what we are seeing visibility in the business?
Harshavardhan Chitale: That's our ambition.
Gunjan Prithyani: Okay. Got it. And last quest ion, maybe, Harsh, for you. Now you're 3 months into the firm, right? I mean any thoughts that you would sort of like to talk about how you are looking at recalibrating strategies, areas that you're prioritizing, doubling down on areas where you think could be -- where we are doing fine and can be kept aside for a bit. So some thoughts 3 months into the system, any recalibration to the strategy, anything that you'd want to talk about?
Harshavardhan Chitale: Sure. So let me start with one part of your questi on where I've seen where we are already doing very well, and it's a question of continuing and just doing more of the same, first part of it. And then I'll come to the second part of where else are we going to focus more. So we are doing exceedingly well w hen it comes to entry and commuter motorcycles.
In some of those ranges, as you know, we have market share in excess of 90%. And last year, we grew on top of that market share. So we are doing exceptionally well when it comes to our entry and commuter moto rcycles. We have probably best in the industry go -to-market in terms of points of sale and also points of service. Wherever you go in the country, we are present. In fact, in 93% of the talukas in the country, we have our point -of-sale presence. So you -- a biker today, a rider can buy our bike and go anywhere and expect service will be available. So I think these 2, I would say, are great foundations.
Third, we do see brand salience high across various categories. And we do see across value chain, whethe r suppliers or dealers, I think relationships and trust that I'm sure a lot of the competitors and peers could give an arm and leg for. So those are the things that are actually great, and we are going to maintain going forward.
Now where are we going to p ut more emphasis and where there is more opportunity . First, as we talked about in last quarter as well, is have a bigger pie of the scooterization trend that we see and hence, all that capacity expansion that we spoke about. So we will have even stronger play going forward in scooters.


We will also have much, much stronger play and share going forward in our EV. And hence, you've seen our continued commitment, whether it was many years back to Ather to last financial year to Euler, which also gets into ad ditional categories in EV and continued investment in VIDA. So EV is a second area of focus.
Third big area of focus for us is other low -emission powertrains. We believe India is not just a single low -emission powertrain story. There will be multiple different powertrains will have their role to play. And where -- hence, we are also investing, and you should see some launches on that from us on vehicles that will work on highe

r blends of ethanol. We are also increasing focus going forward on technolog y. And that's where I spoke about in my opening remarks on

powertrains, connected vehicles, use of AI in different functions.
So that's another area where we are increasing emphasis. And lastly, as a relatively late entrant into exports, we started much l ater than some of our peers. We have a lot of headroom for growth in our global business. Last year, we grew by 41%. Year before that, we grew by 40%, but still, our exports is much smaller than what it could be.
And hence, that will be a continued focus of expanding right market fit products for different geographies in the world and also opening more and more countries in terms of our presence. We are right now present in 52 countries, but we see opportunities in many more.
Gunjan Prithyani: Thank you so much and best wishes. Thank you .
Moderator: We will take the next question from the line of Amyn Pirani from JPMorgan. Please go ahead.
Amyn Pirani: Yes. Hi. Thanks for the opportunity. Actually, my first question is something that, sir, you mentioned t owards the end of your comments on the exports. So last 2 years, we've seen a very sharp increase in our exports. So any color or guidance you can provide as to how should we think about maybe the next 12 months or maybe the next 12 to 24 months in terms o f the momentum?
And are there any specific markets where we are seeing any improvements? And how should we think about the development in this segment? And also, are there any near -term risks that we should think about given whatever is happening in terms of logistics, global shipping lines, so on and so forth?
Harshavardhan Chitale: Yes. No, thank you for your question. So we have good traction on our products in Latin America. And there are more and more countries where we plan to open our presence and strengthen our presence. So Latin America, we have good presence, and we should se e more opportunity there. We are relatively small in Africa, but we are now opening many countries and also planning launches next year in Africa. We are actually the largest 2 -wheeler brand in Bangladesh, but we operate only in about 50% of the market th ere, and we don't operate in 50%, and we are planning to have our launches into that balance 50% as well this year.
We have re -entered after a bit of a hiatus in Sri Lanka last year, and we are rapidly gaining share in Sri Lanka. So to answer your question , nearby SAARC geographies, Africa, which is a new


entry and expansion for us and Latin America is further building on what we are already doing and getting into newer territories.
We do hope to continue our momentum of last 2 years in FY '27 as well. Hav ing said that, the last part of your question about certain near -term challenges out of the West Asian war. We do see fuel price hike in Bangladesh, in Sri Lanka. There, we do see some impact on demand in the short term. And we do see increase in transport ation cost, container costs all over the world, but that's a matter of then pricing it and passing it on in the end retail price. And so far, we and our dealers have been able to do so.
Amyn Pirani: Great. My second question is more on the domestic demand and market share. And while it is well appreciated that in every category or most categories, you have managed to gain share last year, because of the differences in your salience in scooters and EVs, your market share -- overall retail market share still has come off a bit, even though that trend was also much better than the last few years.
So looking forward in FY '27, I know it might be a difficult question to answer. How should we think about your retail overall market share and the salience? And how s oon do you think that your salience in scooters and EVs can catch up so that your overall market share starts to lo

ok
stable to improving?
Harshavardhan Chitale: I think it's a great question. And the way you put it, that while we gained share across categ ories because of the business mix of different categories, it appears that arithmetically, total retail share has come down. But as we continue to outgrow the market in these high -growth areas, whether it's EVs or scooters or premium or also in our exports in each of them. And as that share continues to grow in our business mix, I think it's a matter of time where we expect to see overall reversal and also gaining of total retail market share. I think it's a question of just doing a math of how many quarte rs of that continued share gain will flip that. If we were to look at our last 2 quarters of growth on each of these categories, we have outgrown the market significantly on each of these categories.
And hence, it's a question of just continuing that momen tum. So EV, for example, 2.5x the industry; scooters, 48%; exports, 41%; Harley -Davidson range, 26%. So I mean, it's a question of now just continuing that momentum for a few more quarters and then the math flips.
Amyn Pirani: Sure. We'll look forward to that sir. Thanks for the opportunity and I will come back in the queue.
Moderator: We will take the next question from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good morning, sir. Thanks for the opportunity. Sir, j ust wanted to und erstand how you think will be the pacing of growth between the 2 halves of the year because last year, we had a very strong second half and a flattish first half. So in the second half of the year, are you expecting growth on this base? Just some color the re will be helpful.
Harshavardhan Chitale: So you're right. I think we do have a benefit of base effect in the first half. And hence, we do expect the first half growth to be stronger. And I think the second half will be relatively lower


than the first hal f. So I think there is a base effect definitely that will come into play. But overall, for the full year as a whole, we do continue to see growth momentum that you have seen in our overall revenue growth of FY '26.
Kapil Singh: Sir, also I had a quick foll ow-up on the commodity cost. In Q4, how much commodity cost pressure did we face?
Vivek Anand: Yes. So Kapil, in Q4, let me just -- just a second, yes. So our commodity cost increase in Q4 was a total of ■2,000 per unit. And in terms of -- if you really look at our revenue per unit, we also had a corresponding increase of ■2,000 in the revenue per unit.
Kapil Singh: Okay. And sir, how much price hike we have taken in April?
Harshavardhan Chitale: About 2%.
Vivek Anand: About 2% we've taken, and that r anges by products. So it starts with anything from ■700 to ■3,500.
Kapil Singh: Okay. Sir, just one follow -up on the EV demand and the scooter demand, you've been talking about much higher growth for scooter portfolio. Just from a consumer trends point of view, if you could share that last few years, we have been observing that motorcycle growth has been somewhere in mid -single digits and scooters and EVs has been much higher.
Is there a shift also happening here between these categories? Or it's j ust that more consumers are coming in the scooter category? Because is this a trend that we should expect for next few years? Just trying to understand.
Harshavardhan Chitale: In the near term, that's definitely so. I think the scooterization has happened to the industry and scooters as a share of 2 -wheeler industry has grown by a couple of points every year for last few years. And we do expect that to continue in the near term. And hence, you saw so much of focus from us in new launches in scooters and bui lding up of our capacity in scooters that we spoke about.
Kapil Singh: So I was just trying to understand if motorcycle consume

rs are also in some way straddling towards scooters as more options are coming here. Is that something you're observing? Or it's just that the scooter consumers are growing much faster?
Harshavardhan Chitale: So we are not seeing shift away from motorcycles, if that was your question, because these are 2 different consumer use cases. Wherever you need longer commute or higher load -bearing capacity, that's where motorcycles come into play. And hence, these are 2 distinct use cases. But with the urbanization that's happening in the country, the use case where scooters are good fit is where the growth has been higher. But it's not that people who have motorcycles are leaving motorcycles and going to scooters.
Kapil Singh: Okay, thank you so much.


Moderator: We will take the next question from the line of Raghunandhan from Nuvama Wealth Management. Please go ahead.
Raghunandhan: Thank you , sir, for the opportunity. Congratulations on good set of numbers. Firstly, I wanted to request your thoughts on a couple of regulations. One is that mandatory ABS regulation. And second is this draft EPR notification, which came out recently. I wanted to check what is your thoughts? What is the status currently? And what do you think can be the impact in future?
Harshavardhan Chitale: So on ABS, there hasn't been any development over the last few months. We will continue to work with government on ways an d means to keep making 2 -wheelers safer. But on specific ABS -related regulation draft that had come, there has not been any further development on that as of now. And on the EPR draft, Vivek, do you want to give some more details?
Vivek Anand: So EPR, at t his point in time, as you rightly said, it's still -- it's in evolving stage, right . So the industry is at this point in time working on in terms of how to really operationalize it, right . So -- and as you know, the pricing is still evolving. So I think it's early days at this point in time for the industry. Yes, it's difficult for us to really quantify any impact.
Raghunandhan: Noted. Just a clarification, would there be any retrospective impact as well of EPR?

Vivek Anand: This is currently under discussion, I'll say. So we are really looking at evaluating all options, right . So once we have clarity, and I think the clarity is at an industry level, once we have more clarity, we'll be happ y to really come back to you.
Raghunandhan: And second question is a housekeeping one. Can you share the export revenue for FY '26 in value terms and also the current dealer inventory , within that also, if you can give some light on scooter and EV because generally, that is where dealers say that if EV scooter inventory was much higher, they could have sold much more.
Vivek Anand: Yes. So in terms of the dealer inventory, it's around 5 weeks, I'll say. And your -- and as Harsh said, we have actually brought down our dealer inventory during the year, right . So it's currently at 5 weeks. And in terms of exports revenue, it is...
Harshavardhan Chitale: In terms of volume, it was in excess of 4 lakh units and value -- we can come back to you with value. I think Vivek is looking up the number.
Vivek Anand: Yes, it's around ■3,500 crores. And in terms of volume, it is 4,02,000 units.
Raghunandhan: And within the dealer inventory, which you mentioned, how much would it be for, say, EV scooters?
Vivek Anand: That we can certainly take it offline. I'll be -- but yes, certainly, EV scooters will be on the lower side. As Harsh talked about, we are in the process of building capacity.
Harshavardhan Chitale: Nationally, in single -digit days.
Raghunandhan: Noted, sir. T hank you. Thank you so much for the details. Very helpful.


Moderator: We will take the next question from the line of So

nal Gupta from HSBC Asset Management India. Please go ahead.
Sonal Gupta: Yes, hi. Good morning and thanks for taking my questions. So just -- most of them have been answered. Just on the -- I mean, just a data point on spare parts sales, could you give us what is that for this quarter and the year?
Vivek Anand: Yes. So for the quarter, it's ■1,650 crores. And for the full year, it's around ■6,200 crores, which is almost a growth of 6% year -on-year.
Sonal Gupta: Okay. And just also in terms of like you've talked about a few things, but in terms of what is the total R&D spend that we had during the year? And how do you see that trending going forward?
Vivek Anand: So I think we can certainly share the numbers. But in terms of trending, clearly, we are increasing our spending in this space year -on-year, right . So we can certainly offline share the details with you both in absolute and as a percentage of revenue, which I know is more -- is close to 2.5%, but we can certainly share the details.
Sonal Gupta: Right. And just sorry, one last question around -- I mean, like you mentioned about the expansion on the scooter and the EV capacities. So could you just sort of give us some quantification, right, like currently, like where are you? And by when do you see to what numbers, right? Like so EV, I understand we were at about 15,000 a month, which is coming to 30, 000. And then on scooters, if you could just quantify by when do you see -- where are you currently? And when do you see the extended capacity coming in?
Harshavardhan Chitale: Look, we did answer that question earlier. I think, as I said, Destini, we've i ncreased capacity by 50%. Xoom, we are in process of doubling the capacity, which will also happen this quarter. And on EV, as you mentioned, we've gone from 15,000 to 25,000 to further doubling of that capacity before end of this year.
Sonal Gupta: So the EV will see another doubling by end of this year is what you're saying?
Harshavardhan Chitale: That's right.
Sonal Gupta: And sorry, on the scooters also, could you -- I mean, by when are we expecting this additional capacity coming in?
Harshavardhan Chit ale: This quarter.
Sonal Gupta: This quarter itself. Okay , sure . Thank you so much.
Moderator: We will take the next question from the line of Jay Kale from Elara Capital. Please go ahead.
Jay Kale: Thanks for taking my questions. So my first question was regarding the demand scenario. I understand you mentioned about high single -digit growth for the industry in FY '27. Just wanted to understand, if you see 3 months back also, probably we would have expected a similar kind of growth.


And post that, we've s een a lot of macro headwinds in terms of sentiments around expected fuel price increase, prices increasing. So are you not expecting any dampening of that sentiment?

What is driving this on -ground strength? If you could help us some texture around rural ve rsus urban and your expectations going forward? That is my first question.

Harshavardhan Chitale: No. So it's a good question. It's an evolving situation. So volume growth of high single digit is what was the expectation pre -war. Post war, even if you see April and first week of May, that kind of momentum has continued. We have not seen any softening of demand yet because as an industry, the full inflation has not been passed on because of either productivity or volume leverage, just like what we've done. I think as an industry, hence, that impact is not passed on to consumers.

So there hasn't been any dampening because of that, nor has there been any significant move on fuel price. As a result, we don't see in the near term, the demand going down. But this is an evolving situation, and we need to keep monitoring because of this impact and the uncertainty that it creates.

Your second question on st

ructural drivers of growth. I think the urbanization, increasing penetration of e -commerce, gig economy and henc e, 2-wheelers remaining as a primary source of mobility for bulk of the country. I think that structural momentum is still there. And hence, I think the industry's bullishness towards this volume growth.

Jay Kale: Understood. And second question is on -- historically, we've spoken about scooters and premium motorcycles being the key focus areas for us. And it's heartening to see a lot of actions being taken and yielding results on the scooter side, both on ICE and EVs . If you could just talk a little bit about some of your learnings from that category and how one could use it to further enhance your presence in the premium motorcycles because that's clearly one of the last areas where one should -- one could expect incremental market share gains ?

Harshavar dhan Chitale: So I think our learning has been great products and good brand building yield results. And that's what has happened with our Destini and now with Xoom, great products, which are differentiated in their category, backed up by campaigns that ha ve created brand salience , same on VIDA, a differentiated product. We are the only one in the country that offers a removable battery so that your range anxiety is addressed. So a differentiated product like this and a brand campaign, you've also seen our sponsorship of KKR and the activation around that. And when you combine a product and brand building like that, you see a 600 basis point gain and hence, you can rapidly gain share. That's the learning when you get those 2. And that's the formula that now we are repeating.

You saw that also with our Harley -Davidson. We launched X440. And there was a product placement of that also in movie Saiyaara, so much so that customers would come into our showroom and ask for Saiyaara bike. And hence, our Harley -Davi dson range in premium, although it's a small part of the entire premium, but that grew 26% year -on-year.

And the new variant of that, X440 T that we launched last quarter actually gave us 120% growth year-on-year for the corresponding quarter. So good prod uct backed up by capacity and brand



building investment. And I think those 3 things is what hence, we are now repeating as we also expand further into premium.

Jay Kale: Okay, understood. Great. Thanks and all the best for future.

Moderator: We will take the next question from the line of Arvind Sharma from Citi. Please go ahead.

Arvind Sharma: Good morning sir, thanks for taking my question. It's a sizable capex that you are planning, ■1,500 crores. Just to understand the entire money would be only for FY '27. Is that the correct understanding?

Harshavardhan Chitale: That is right.

Vivek Anand: That is, yes.

Arvind Sharma: Okay. And sir, if you could also share the aspiration for PAM revenue since you're targeting a second global parts center. Roughly, you've got some target in mind that it should be x percentage of vehicle sales. That would be great just to understand what the target is. And if EV volumes grow significantly, given the capacity expansion, could it impact margins at least over the near te rm? Or as you said, PLI would more than offset this? So these 2 questions, PAM revenue target and the impact on margins?

Harshavardhan Chitale: Yes. On the PAM, if we look at our total vehicle par ts and considering that par ts and the kilometers that they run, how many parts you need to keep them running. If you do that calculation, our estimate is that about 50% of that demand is what we are servicing today. And for the balance 50%, either there is gray market or other spurious parts that riders, especial ly those with older bikes are accessing. So that is the kind of headroom available.

So first ; A, the vehicle park itself is growing; and B, how do we als

o get more share of that
unaddressed parts market. And hence, the capacity that we are building for ou r parts business
pretty much doubles our parts handling capacity. So the new center that we are setting up is to
get us a double the capacity. That's first part of your question.
And on the EV, PLI will certainly help in the investment phase as we are expa nding capacity.
And our continued expansion on ICE should hopefully help us mitigate this continued
investment as we rapidly grow our EV.
Arvind Sharma: Sure sir, thank you. That's all from my side sir. Thank you so much.
Moderator: We will take the next question from the line of Pramod Amthe from InCred Capital. Please go
ahead.
Pramod Amthe: Hi, thanks for taking my question. So the first question is with regard to Euler. Now you have
been investing consistently almost like ■200 crores quarterly. I wa nted to get how much stake
you hold now end of the year? And what is the expected investment plan in FY '27 or next 2, 3
years?


Harshavardhan Chitale: Yes. Maybe just to first clarify, we are not investing ■200 crores quarterly. We closed the ■210
crores investment as a follow -on investment to our earlier investment, but it's not a ■200 crore s
quarterly investment. Could you please repeat the second part of the question?
Vivek Anand: That takes our -- so we just invested ■200-plus crores, and th at takes our shareholding to close
to 37%.
Pramod Amthe: And what's the business requirement, if you can disclose for next 1, 2 years.
Vivek Anand: This should take care -- so you're right. So Pramod, this should take care of their funding
requirement for the current fiscal.
Pramod Amthe: Okay. Got it. And second question is with regard to the scooter portfolio. Considering the
success which you have achieved on the EVs, does it still make sense to balance both ICE and
EV portfolio or you could have gone ov erboard on the EV portfolio and keep the legacy out on
building capacity on ICE? How are you looking at it?
Harshavardhan Chitale: So what we are seeing is both are growing rapidly. And hence, there is an opportunity of growth
for both. And hence, our view is, I think we do need to continue to invest in both and gain share
in both. So it's a customer choice and different use cases, depending on total cost of ownership,
range and so on and so forth. So it's not either or, it's and for us.
Pramod Amthe: But a re you creating flexibility in terms of production capacity between both of them or how to
look at it?
Harshavardhan Chitale: So these are manufactured in the same factory. For example, in our Tirupati factory, both are
manufactured there. It's different l ines, but in the same factory. So a lot of the infrastructure does
get shared.
Pramod Amthe: Okay. Sure. And if I can ask, Harshavardhan, looking at your 3 months into the tenure, what has
positively surprised you in the firm? And what are the challenges y ou still feel have come
through?
Harshavardhan Chitale: I think strength of our value chain, both on the supplier as well as dealerships, I think it's really
unmatched across industries, different industries that I came from, extremely strong value chain.
And especially when industry is transitioning going from one category to the other, having that
strength is very useful because then you can move with that entire value chain with trust.
So I think that's a very strong -- it's, I would say, more than surpr ise, something that I wasn't that
aware of. And in terms of challenge, I would say, more of an opportunity that I see in some of
these categories where higher growth is and that we spoke of.
Moderator: We will take the next question from the line of Shridh ar Kallani from Antique Stock Broking
Limited.
Shridhar Kallani : I just needed the clarifications. Firstly, on the gross margin side. In the last quarter, you did

mention that 40 to 50 bps impact was expected in Q4. However, we see a sequential significant


impact of over 100 bps in the gross margin. This is in spite of your earlier commentary that the
■2,000 per unit commodity hike was adjusted with a similar price hike. So just wanted to
understand if I'm missing something over here because there seems to be a disconnect. And in
the near term also, you did mention that further commodity impact may be witnessed. So if any
clarity could also be given there?
And third, like the ■2,000 per unit commodity price hike, if you could directionally help us
understand how -- like what was this aluminium, steel or rubber prices, anything on direction

basis could be shared would be really helpful?
Vivek Anand: Thanks, Sridhar. So I'll just repeat. So during quarter 4, the material cost inflation was ■2,100 and the corresponding revenue increase during the quarter was ■2,000, right? So clearly, you see an impact in gross margin when you compare on a percentage basis of 100 basis points because the margin impact could not be recovered in the last quar ter. And that's almost contributing to 60% of the drop in gross margin.
Harshavardhan Chitale: If you see the value is covered, the cost increase is covered by price, but not the percent margin that you get on that cost. And that's what creates that margin percent impact, not the margin value impact.
Vivek Anand: The percentage impact there. And secondly, there is a higher BOM cost from EV business, which also partially impacted our gross margin percentage in the previous quarter. So those are the 2 reasons why you find a 100 bps drop in the gross margin in quarter 4.
Shridhar Kallani : And sir, from this ■2,000, any directional breakup could be shared, aluminum, steel, rubber like which is the most significant, if anything could be shared?
Vivek Anand: Yes, you're right. I think -- so I can say that, yes, we have seen inflation across the commodity basket, led by aluminum, steel, rubber prices and plastics have also got impacted because of high crude prices. So overall, there is a marginal increase we've seen previous quarter in the commodity prices. And it's basically across.
Shridhar Kallani : Okay. And sir, one clarification requested on capacity of EV that you mentioned. So 50% will be done by next month increase and then 2x increase will be of the add itional -- including the additional capacity that we may have?
Harshavardhan Chitale: So we said the first one will be in a matter of month and the second phase will be before end of this financial year.
Sarthak Sikka : That was the last question . Thank you all for joining the call.
Harshavardhan Chitale: Thank you, everyone, for joining the call. In case you do have any follow -up questions, you know how to reach us, and we will get back to you responding to your questions. Thank you, and wish you all a good day.
Vivek Anand: Thank you.



Harshavardhan Chitale: Thank you.
Moderator: Thank you, members of the management. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you all for joining with us today, and you may now disconnect your lines. Thank you.